

ANCHOR REPORT

Global Markets Research

7 October 2026



China semiconductor equipment and materials

Fab capacity build-out and localization lead the way

Semiconductor equipment and materials are the cornerstone of the IC industry. Throughout the IC manufacturing process, there are thousands of processing procedures, with hundreds of different machines involved. China's localization rate of semiconductor has been increasing, creating opportunities for domestic chip designers, foundries, and memory makers. Strong demand is transmitting upstream into the supply chain, which offers significant upside potential for equipment and material vendors. We initiate coverage on Piotech (688072 CH, Buy), and resume coverage on Advanced Micro-Fabrication Equipment (AMEC) (688012 CH, Buy), ACM Research (ACMR US, Buy), NAURA (002371 CH, Buy), and National Silicon Industry Group (NSIG) (688126 CH, Buy). We also reiterate our positive views on Hubei Dinglong (300054 CH, Buy) and Anji (688019 CH, Buy).

Key themes and analysis in this Anchor Report:

- China's Wafer Fab Equipment (WFE) market demand analysis
- The considerable supply-demand gap in semi to create further upside for WFE
- China's WFE market: dominated by global leaders but local players gaining market share
- Opportunities for equipment manufacturers, riding on China's tech roadmap
- Valuation of WFE players, using NAURA as a benchmark
- Semiconductor silicon wafer market in an upcycle; pricing improving

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China semiconductor equipment and materials

EQUITY: TECHNOLOGY

Fab capacity build-out and localization lead the way

Resume coverage on NAURA, AMEC, ACMR, NSIG;
initiate coverage on Piotech

We expect China WFE market to record a ~19% CAGR in 2025-2030F

In this report, we introduce our China WFE TAM (total addressable market) model, using a bottom-up approach to derive domestic WFE TAM for China WFE vendors in a wafer fab capacity upcycle. The key scope of our model includes: 1) equipment demand from domestic capacity expansion as well as maintenance and upgrades; 2) fabs located in China but operated by foreign players with no major expansion (except for an announced new fab in Dalian by SK Hynix (000660 KS, Buy); and 3) no EUV available in mainland China, and we assume this would persist through 2026-2030F. In our baseline scenario, we forecast China's overall WFE market size to grow 27% y-y to USD55.4bn in 2026F and reach USD103.5bn in 2030F. The cumulative WFE spending would total USD407.3bn during 2026-30F, with domestic foundries and IDMs contributing ~97%.

China semi self-sufficiency rate only 34% in 2025F; to increase to 47% in 2030F

We estimate there is still a significant gap between supply and demand, leading to a constant domestic supply capacity shortage. Our calculation suggests China's self-sufficiency rate (SSR; also localization rate) was only ~34% in 2025F, with mature nodes at the highest (~49%), followed by memory process (~25%), and advanced nodes (~4%). In our baseline scenario, the self-sufficiency rate in China's semiconductor market would only reach ~47% in 2030F, with mature nodes reaching close to 70%, memory process surpassing 45%, and advanced nodes surpassing 10%. A high SSR target would offer further upside for the WFE market. The US-China economic decoupling is still ongoing, driving more capacity localization. Therefore, we believe further capacity expansion plans in China remain, which should create upside for China's WFE TAM in the next few years. Under our most bullish scenario (i.e. reach a 70% SSR in 2030F), the cumulative WFE TAM in 2026-30F would be nearly double our baseline number.

Wafer fab equipment self-sufficiency rates diverge; lithography still the bottleneck

By sales market share, China's overall equipment SSR was 26-27% in 2025F (based on our estimate). Stripping equipment had the highest SSR of around 80-90% in 2025F, thanks to the global prominent position of E-Town Semiconductor (or Mattson Technology; 688729 CH, Not rated) in terms of market share (34% in 2025, according to Gartner), with NAURA also taking some share. Etching equipment and heat treatment equipment SSR has increased to 50-60% (from ~20% in 2020), driven by the rapid capacity expansion of NAURA, AMEC, and E-Town Semi. All the equipment types have seen SSR increasing over the past 5 years, driven by Chinese players' market share gains. Process control tools had an SSR of less than 1%, but has now improved to ~10%. Lithography is still the bottleneck, with an SSR of only 1-2% (a slight improvement from below 1% in 2020). By production line, existing production lines (built before 2020) in China generally have a lower SSR (we estimate to be less than 20%), because these lines rely heavily on global leaders as domestic players were still in development stages. Newly built production lines generally have a higher localization rate of 40-60%, as they usually are targeted to increase their local equipment percentage (driven by political target and risk diversion purposes, among others).

Opportunities for China WFE makers

We believe Chinese WFE makers are riding on the domestic WFE growth uptrend and opportunities presented by China's technology advancement and roadmap, including: 1) multi-patterning without EUV boosts demand for etching and deposition, and this is on top of the steep increase brought by node migration; 2) aggressive memory capacity expansion in China and technology advancement (more layer 3D stacking), and

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increased demand for etching (especially high-aspect-ratio etch) and deposition (especially plasma-enhanced chemical vapor deposition [PECVD] and atomic layer deposition [ALD]); 3) 3D integration and hybrid bonding (especially with Huawei's [unlisted] Tau's Law concept) pulling up the demand for wafer bonders, Chemical Mechanical Planarization (CMP) equipment, and cleaning tools; and 4) localization and import substitution is a long-term trend, which will continue to benefit Chinese vendors, in our view. At the same time, domestic players are rapidly gaining share in the CMP material market. We estimate that China's CMP material market size was ~USD1.0bn in 2025F, and that demand should record a ~16% CAGR over 2025-2030F, driven mostly by domestic capacity expansion (led by memory makers and advanced process) and partially offset by falling ASP (domestic suppliers usually have a lower pricing). Chinese players are witnessing share gains. Anji Microelectronics is a domestic leader in the CMP slurry field, with market share increasing to ~13% in 2025 (from ~7% in 2022, ~11% in 2024; source: TECHCET data). Hubei Dinglong is also catching up. As for CMP pad, we believe Hubei Dinglong is a domestic leader, with a domestic market share of ~38% (our estimate), covering most domestic fabs and IDMs.

Silicon wafer upcycle has just started

As the largest semiconductor material segment, the silicon wafer market is now in an uptrend. As an upstream material, silicon wafer is usually 2 to 4 quarters behind the semiconductor cycle. We estimate China's silicon wafer demand reached ~34mn for 12-inch equivalent, or ~3.9bn square-inch, in 2025F. We forecast China silicon wafer shipments to increase at a ~12% CAGR over 2025-2030F, reaching ~59mn for 12-inch equivalent wafers or ~6.7bn square-inch. We expect ASP to increase in 2026F-29F; hence, we project China's market revenue of silicon wafers to record a ~15% CAGR over 2025-2030F, reaching USD6.9bn in 2030F (from ~USD3.4bn in 2025). We estimate the current domestic capacity could only supply ~42% of total demand, and this ratio is likely to increase to ~63% in 2030F. This would offer further potential upside for domestic silicon wafer suppliers, especially if the localization rate is to be increased further.

Initiate coverage on Piotech; resume coverage on AMEC, ACM Research, NAURA, NSIG; reiterate our positive views on Dinglong and Anji

We believe China's dominant WFE vendors, the primary beneficiaries of the semiconductor localization trend in the country, are gaining market share in relevant fields and growing at a faster-than-industry pace, and are rapidly catching up with global leaders in terms of technology capabilities. We initiate coverage on Piotech with a Buy rating and target price of CNY913.00. We resume coverage on AMEC at Buy with a target price of CNY480.00, on ACM Research at Buy and a target price of USD118.00, and NAURA with a Buy rating and target price of CNY900.00. Our order of preference is Piotech > AMEC > ACM Research > NAURA, mainly considering the higher memory exposure of Piotech and AMEC, stronger addressable market expansion potential, and faster sales growth. On the silicon wafer side, we resume coverage on NSIG with a Buy rating and target price of CNY36.20, considering its prominent position in the China silicon wafer industry in terms of product coverage and customer base. We reiterate our positive views on Hubei Dinglong and Anji Microelectronics given their market share gains in the China CMP material market and strong demand for materials from wafer fabs.

Fig. 1: Stocks for action

Company	Stock code	Rating	Market Cap (USD mn)	3M Avg T/O (USD mn)	Current price (LCY)	Target price (LCY)	Upside
Piotech	688072 CH	Buy	27,890	628	640.00	913.00	43%
AMEC	688012 CH	Buy	45,509	1,356	318.55	480.00	51%
ACM Research	ACMR US	Buy	5,636	93	80.92	118.00	46%
NAURA	002371 CH	Buy	66,671	1,144	615.97	900.00	46%
NSIG	688126 CH	Buy	11,525	460	23.38	36.20	55%
Hubei Dinglong	300054 CH	Buy	9,602	417	67.45	104.00	54%
Anji Microelectronics	688019 CH	Buy	7,187	316	211.00	360.00	71%

Note: Pricing as of 30 Sep 2026; Initiating coverage on Piotech; resuming coverage on AMEC, ACM Research, NAURA and NSIG.
Source: Bloomberg Finance L.P., Nomura estimates

Executive summary

Semiconductor equipment and materials are the cornerstone of the IC industry. Throughout the IC manufacturing process, there are thousands of processing procedures, with hundreds of different machines involved. China's localization rate of semiconductor has been increasing, creating opportunities for domestic chip designers, foundries, and memory makers. These strong demand is transmitting upstream into the supply chain, offering significant upside potential for equipment and material vendors.

In this Anchor Report, we discuss the following main topics,

- China WFE market demand analysis from fab capacity expansion.
- The considerable supply-demand gap in semi that needs to be filled, creating further upside for WFE vendors.
- China WFE market landscape: dominate by global leaders but local players are gaining market share.
- Opportunities for equipment vendors, riding on China's technology advancement and roadmap.
- Semiconductor silicon wafer market in upcycle; pricing improving.

At the same time, we initiate coverage on Piotech with a Buy rating and TP of CNY913.00. We resume coverage on AMEC at Buy with a TP of CNY480.00, ACM Research at Buy and TP of USD118.00, and NAURA at Buy with a TP of CNY900.00. Our preference order is Piotech > AMEC > ACM Research > NAURA, mainly considering the higher memory exposure of Piotech and AMEC, higher addressable market expansion potential, and faster sales growth. On the silicon wafer side, we resume coverage on NSIG with a Buy rating and TP of CNY36.20, given its prominent position in the China silicon wafer industry in terms of product coverage and customer base. We reiterate our positive views on Hubei Dinglong and Anji Microelectronics given their market share gains in China's CMP material market and strong demand for materials from wafer fabs.

Fig. 2: Valuation comparison

Company	Stock code	Rating	Current price (LCY)	Market Cap (USD mn)	P/E (x)			P/B (x)			P/S (x)			EV/Sales (x)		
					2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Piotech	688072 CH	Buy	640.00	27,890	86.0	91.4	65.8	13.8	12.1	10.3	20.0	14.4	10.3	19.2	13.8	9.9
AMEC	688012 CH	Buy	318.55	45,509	64.8	96.4	72.4	11.5	10.4	9.2	15.6	13.4	10.1	15.3	13.2	10.0
ACM Research	ACMR US	Buy	80.92	5,636	34.9	29.1	22.0	3.0	2.7	2.4	5.0	4.0	3.2	5.1	4.1	3.3
NAURA	002371 CH	Buy	615.97	66,671	59.5	42.7	32.4	10.0	8.2	6.7	9.0	7.2	5.8	9.0	7.2	5.7
NSIG	688126 CH	Buy	23.38	11,525	n.a.	n.a.	n.a.	4.3	4.5	4.7	15.4	11.7	10.1	17.1	13.5	11.8
Hubei Dinglong	300054 CH	Buy	67.45	9,603	54.8	45.5	37.5	9.2	7.1	5.6	15.6	13.4	11.7	15.8	13.3	11.3
Anji Microelectronics	688019 CH	Buy	211.00	7,187	31.3	24.6	20.3	8.4	6.6	5.3	10.7	8.6	7.1	14.3	11.4	9.3

Note: Pricing as of 30 Sep 2026

Source: Bloomberg Finance L.P., Nomura estimates

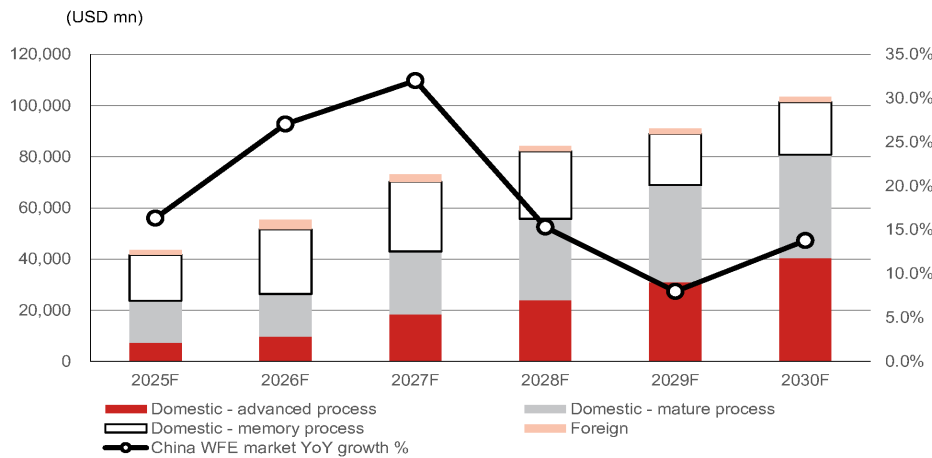
- Piotech is a prominent Chinese PECVD, ALD and wafer bonder supplier with product coverage expanding into PVD.
- AMEC is a dominant Chinese etching and MOCVD supplier with product coverage expanding into PVD, process control, and CMP.
- ACM Research is an important Chinese cleaning and ECP equipment supplier.
- NAURA is a platform type semi equipment supplier with product coverage spanning almost all front-end equipment (except for lithography, CMP, and process control).
- NSIG is a Chinese semi silicon wafer supplier with wide product coverage spanning from 200mm to 300mm, from polished wafer to SOI.
- Hubei Dinglong is a dominant Chinese supplier in CMP pads with expanding product coverage in photoresist.
- Anji Microelectronics is a fast-growing Chinese supplier in CMP slurries.

We expect China WFE market to register a ~19% CAGR in 2025-2030F

We introduce our China WFE TAM model, using a bottom-up approach to derive domestic WFE TAM for China WFE vendors in a wafer fab capacity upcycle. The key scope of our model includes: 1) equipment demand from domestic capacity expansion as well as maintenance and upgrades; 2) fabs located in China but operated by foreign players with

no major expansion (except for an announced new fab in Dalian by SK Hynix); and 3) no EUV available in mainland China, and we assume this would persist through 2026-2030F. In our baseline scenario, we assume China's overall WFE market size would grow 27% to USD55.4bn in 2026F and reach USD103.5bn in 2030F. The cumulative WFE spending would total USD407.3bn during 2026-30F, with domestic foundries and IDMs contributing ~97%.

Fig. 3: China overall WFE market size

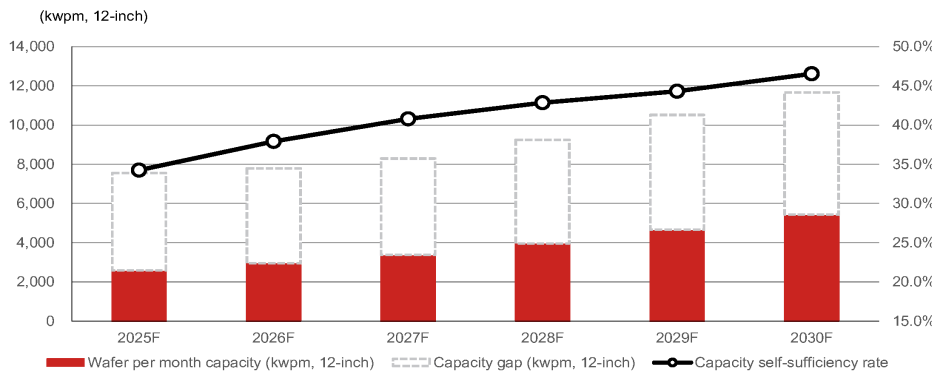


Source: Nomura estimates

China semi self-sufficiency rate only 34% in 2025F; to increase to 47% in 2030F

We estimate there is still a significant gap between supply and demand, leading to a constant domestic supply capacity shortage. Our calculation suggests China's SSR was only ~34% in 2025F, with mature nodes at the highest (~49%), followed by memory process (~25%), and advanced nodes (~4%). In our baseline scenario, the self-sufficiency rate in China's semiconductor market would only reach ~47% in 2030F, with mature nodes reaching close to 70%, memory process surpassing 45%, and advanced nodes surpassing 10%.

Fig. 4: China semiconductor self-sufficiency rate in terms of capacity and supply gap



Source: Nomura estimates

A high SSR target would offer further upside for the WFE market. The US-China economic decoupling is still ongoing, driving more capacity localization. Therefore, we believe further capacity expansion plans in China remain, which should create upside for China's WFE TAM in the next few years. Under our most bullish scenario (i.e. reach a 70% SSR in 2030F), the cumulative WFE TAM in 2026-30F would be nearly doubled that of our baseline's number.

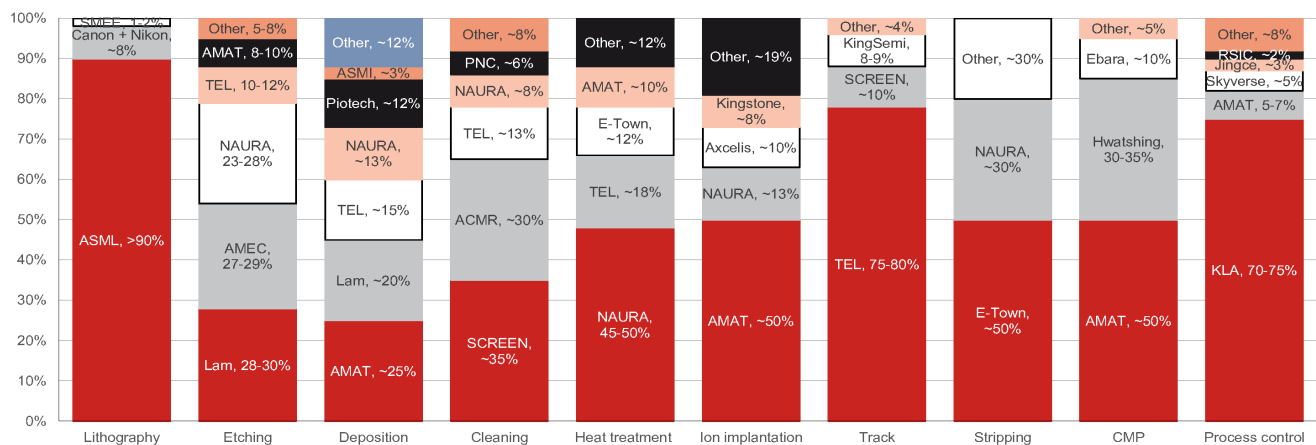
Fig. 5: Scenario analysis with different levels of self-sufficiency rate (SSR) assumption by 2030F

Scenario analysis	Baseline	SSR=50%	SSR=55%	SSR=60%	SSR=65%	SSR=70%
China semi self sufficiency rate in 2030F	46.5%	50.0%	55.0%	60.0%	65.0%	70.0%
China semi capacity needed in 2030F (kwpm)	5,428	5,833	6,416	6,999	7,583	8,166
Semi capacity net added in 2026-30F (kwpm)	2,841	3,246	3,829	4,412	4,995	5,579
Capex needed per 10kwpm 2026-30F avg (USD mn)	1,798	1,798	1,798	1,798	1,798	1,798
Cumulative capex in 2026-30F (USD mn)	510,725	583,394	688,239	793,085	897,930	1,002,776
WFE as a percentage of capex 2026-30F avg	77.2%	77.2%	77.2%	77.2%	77.2%	77.2%
Cumulative domestic WFE spendings 2026-30F (USD mn)	394,234	450,328	531,259	612,190	693,121	774,053
WFE spendings by foreign players	13,045	13,045	13,045	13,045	13,045	13,045
China cumulative WFE TAM in 2026-30F	407,279	463,373	544,304	625,236	706,167	787,098
China semi capacity CAGR in 2026-2030F	16.0%	17.7%	19.9%	22.0%	24.0%	25.8%
Cumulative WFE TAM upside compared to Baseline	N/A	13.8%	33.6%	53.5%	73.4%	93.3%

Source: Nomura estimates

Wafer fab equipment self-sufficiency rate diverse; lithography still the bottleneck

In terms of sales market share, we estimate China's equipment overall SSR was 26-27% in 2025. Stripping equipment had the highest SSR of around 80-90%, thanks to the global dominant position of E-Town Semiconductor (a.k.a. Mattson Technology), with NAURA also taking some share. Etching equipment and heat treatment equipment SSR has increased to 50-60% (from ~20% in 2020), driven by the rapid expansion of NAURA, AMEC, and E-Town Semi. All the equipment types have seen SSR increasing over the past 5 years driven by Chinese players market share gains. Notably Process control tools used to have a lower than 1% SSR, but has now improved to ~10%. Lithography is still the bottleneck, with a SSR of only 1-2% (has slightly improved from below 1% in 2020).

Fig. 6: China WFE market share by equipment category in 2025

Source: Company data, Nomura research

Fig. 7: WFE self-sufficiency rate by market share

Equipment type	Self-sufficiency rate (2025)	Leading domestic player in the field
Stripping	80-90%	E-Town Semi (a.k.a. Mattson), NAURA
Etching	50-60%	AMEC, NAURA, E-Town Semi (a.k.a. Mattson)
Heat treatment	50-60%	NAURA, E-Town Semi (Mattson), CETC division 45
Cleaning	40-50%	ACM Research, NAURA, PNC
CMP	35-40%	Hwatsing Technology, SIZONE Technology
Deposition	25-30%	NAURA, Piotech, AMEC, CETC division 45 & 48
Ion implantation	~20%	NAURA, Kingstone, CETC
Track	~10%	KingSemi, ACM Research
Process control	~10%	Skyverse, Jingce, RSIC
Lithography	1-2%	SMEE, Shanghai Yuliangsheng, Aishengna, CETC division 45

Source: Company data, Nomura research

By production, existing production lines (built before 2020) in China generally have a lower SSR (we estimate to be less than 20%), because these lines rely heavily on global leaders as domestic players are still in development stages. Newly built production lines generally have a higher localization rate of 40-60%, as they usually are targeted to increase their local equipment percentage (diven by political pressure and risk diversion purpose, among others).

Fig. 8: WFE self-sufficiency rate by production line

Situation	Self-sufficiency	Remarks
Existing production lines	<20%	Mostly built earlier than 2020; relied heavily on global vendors; Partial replacement with domestic equipment going on;
eg. Hua Hong 8-inch fabs	<10%	
eg. Hua Hong Fab7	~15%	
eg. YMTC Phase 1&2	~20%	
eg. CXMT early fabs	15-25%	
Newly built lines	40-60%	Usually with target to increase localization rate; higher bidding percentage from domestic vendors
eg. Hua Hong Fab9A&B	Over 30%	
eg. YMTC Phase 3	Over 50%	
eg. CXMT newly built fabs	35-50%	

Source: Company data, Nomura research

Opportunities for China WFE makers; CMP material demand rising

We believe Chinese WFE makers are riding on the uptrend of domestic WFE growth and opportunities in China's technology advancement and roadmap, including: 1) multi-patterning without EUV boosts demand for etching and deposition, and this is on top of the step increase brought by node migration; 2) aggressive memory capacity expansion in China, including Yangtze Memory Technologies (YMTC; unlisted) and ChangXin Memory Technologies (CXMT; 688825 CH, Buy), and technology advancement (more layer 3D stacking), and increased demand for etching (especially high-aspect-ratio etch) and deposition (especially PECVD, ALD); 3) 3D integration and hybrid bonding (especially with Huawei's [ticker, rating] Tau's Law concept) pulling up demand for wafer bonders, Chemical Mechanical Planarization (CMP) equipment, and cleaning tools; and 4) localization and import substitution is a long-term trend, which will continue to benefit Chinese vendors, in our view.

We estimate China's CMP material market size was ~USD1.0bn in 2025F, and that demand should record a ~16% CAGR in 2025-2030F, driven mostly by domestic capacity expansion (lead by memory makers and advanced process) and partially offset by falling ASP (domestic suppliers usually have a lower pricing). Chinese players are witnessing share gains. Anji Microelectronics is a domestic leader in the CMP slurry field, with market share increasing to ~13% in 2025 (from ~7% in 2022, ~11% in 2024). Hubei Dinglong is also catching up. As for CMP pad, Hubei Dinglong is a domestic leader, with a domestic market share of ~38% (our estimate), covering most domestic fabs and IDMs.

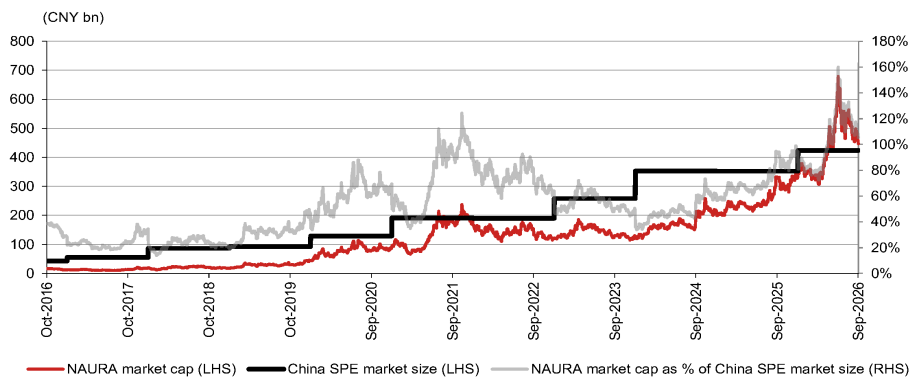
Valuation of China WFE players: premium to overseas peers amid market share gains

We choose EV/Sales as our major valuation method to value Chinese SPE companies, mainly considering: 1) Chinese vendors are at mid-capacity ramp-up and high-R&D phases, with profits largely pressured by heavy investment and one-off items; hence we think using earnings multiples will overstate their relative value; and 2) Chinese players are now at sales expansion and market share-driven stages, where sales growth and market share gains are the main focus for them, especially in a localization environment, in our view.

We believe it is appropriate to use NAURA as a valuation benchmark. Historically, NAURA's market cap as a percentage of China SPE market size has been largely increasing. Before 2020 the ratio was largely between 20% and 40%, and in the recent five years the ratio has ranged from 40% to over 100%. The percentage ratio recently surged to ~120% (a peak of 160% in Jul 2026). We forecast China WFE to reach

USD73.1bn/USD84.3bn in 2027F/2028F. WFE accounts for ~80% of the SPE market, which indicates China's SPE market size to be USD91.4bn/USD105.4bn in 2026F/2027F, equivalent to ~CNY630.4bn/~CNY727.0bn (USD/CNY FX assumed to be 6.90). If WFE were to account for 100% of the China SPE market size, NAURA's market cap would reach CNY630-727bn over 2026-27F (implying another 20-40% upside).

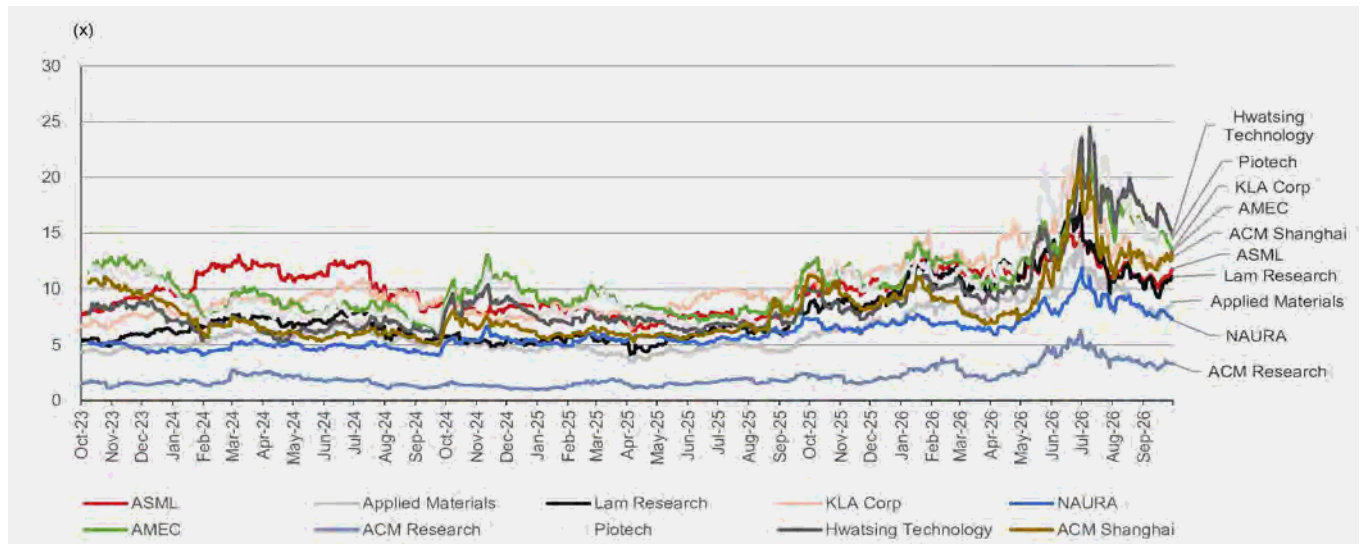
Fig. 9: NAURA's market cap as a percentage of China SPE market size (10-years)



Source: Bloomberg Finance L.P., SEMI, Nomura estimates

Piotech and AMEC currently have more expensive valuation than NAURA, at ~13x and ~14x our 2027F EV/sales, respectively. We think Piotech and AMEC should continue to enjoy some valuation premium over NAURA given their technology edges (PECVD, Etching, 3D integration), higher sales exposure to memory makers, and likely higher sales growth potential, which should also translate into higher EV/Sales multiple. As for ACM Research, which is listed on the NASDAQ, it is constantly trading at a discount to peers, even to its subsidiary ACM Shanghai ("ACMSH", 688082 CH, Not rated). The market cap gap between ACMR and ACMSH is narrowing, so we expect a re-rating for ACM Research.

Fig. 10: Forward EV/Sales trend: Piotech, AMEC trading at 75-100% premium to NAURA, while ACMR at a discount



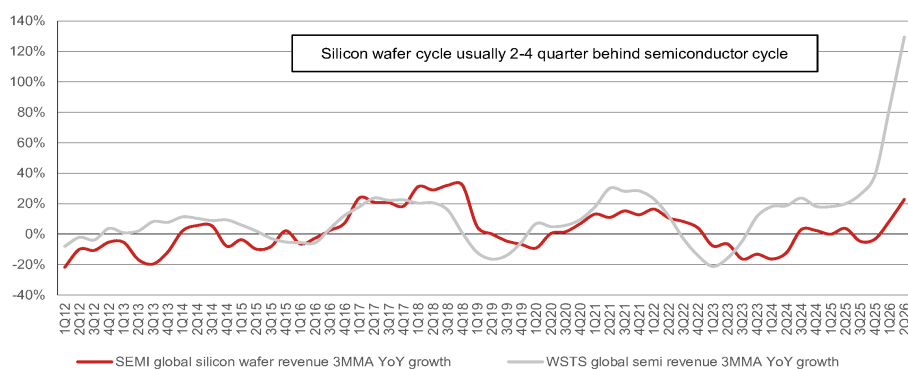
Source: Bloomberg Finance L.P., Nomura research

Silicon wafer upcycle has just started

As the largest semi material segment, the silicon wafer market has been in an uptrend. We note that as an upstream material, the silicon wafer cycle is usually 2 to 4 quarters behind the semiconductor cycle. We estimate China's silicon wafer demand reached ~34mn for 12-inch equivalent or ~3.9bn square-inch in 2025F. We forecast China silicon wafer shipments to increase at a ~12% CAGR in 2025-2030F, reaching ~59mn 12-inch equivalent wafers or ~6.7bn square-inch. With ASP expected to increase in 2026F-29F, we expect China's market revenue of silicon wafer to witness a ~15% CAGR in 2025-2030F, reaching USD6.9bn in 2030F (from ~USD3.4bn in 2025). We estimate current

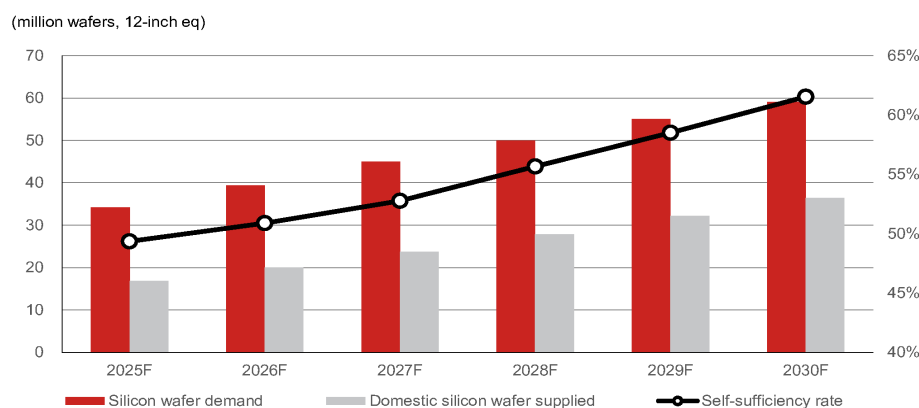
domestic capacity could only supply ~42% of total demand, and this ratio should increase to ~63% in 2030F. This indicates more potential upside for domestic silicon wafer suppliers, especially if the localization rate has to be increased.

Fig. 11: Semiconductor revenue growth rate vs silicon wafer revenue growth rate



Source: WSTS, SEMI, Nomura research

Fig. 12: China silicon wafer market demand and domestic supply



Source: Nomura estimates

China WFE market demand: From fab capacity to domestic WFE TAM

Semiconductor equipment, used in IC manufacturing, packing, and testing processes, is the cornerstone of the IC production industry. Throughout the IC manufacturing process, there are thousands of processing procedures, with hundreds of different machines involved. The **SPE** (semiconductor production equipment) is usually divided into three categories: (1) **WFE** (wafer fab equipment, which mainly used in the front-end of the IC manufacturing phase); (2) **APE** (assembly and packaging equipment, which is used in the back-end packaging processes), and (3) **ATE** (automated test equipment, also back-end). Among these three parts, WFE, including lithography, etching, deposition, ion implantation, heat treatment, cleaning, track (coating/developing), stripping, CMP, metrology and inspection (process control), usually account for over 80% of the market, and hence a key component of IC production.

Fig. 13: WFE accounts for over 80% of SPE market



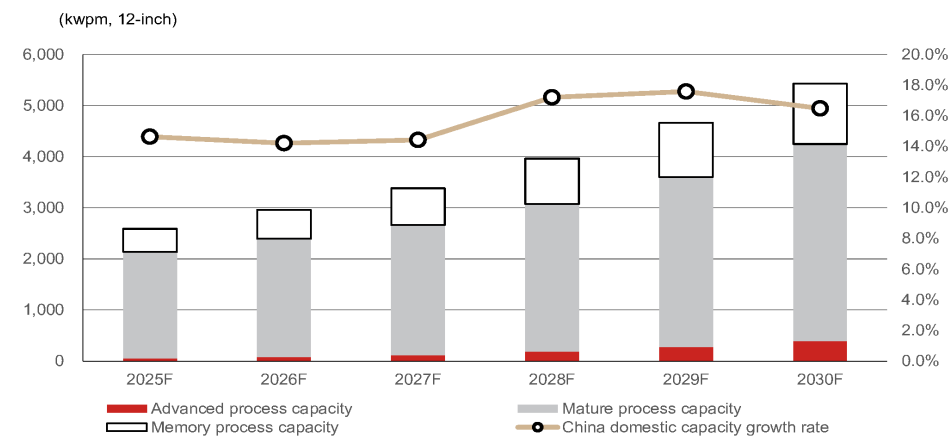
Source: SEMI, Nomura research

China's WFE market has faced strong demand driven by active capacity expansion (advanced process, mature process, memory process), non-EUV route for FinFET production, and continued increased localization rate in newly online production lines. Our calculation and estimate indicate a multi-year upcycle in China WFE TAM – cumulative WFE TAM in 2026-2030F totaling up to USD407.3bn.

China WFE TAM from domestic capacity

We introduce our China WFE TAM model, which adopts a bottom-up approach to derive domestic WFE TAM for China WFE vendors from wafer fab capacity expansion. The key scope of our model includes: (1) equipment demand from domestic capacity expansion as well as maintenance and upgrades; (2) fabs located in China but operated by foreign players with no major expansion (except for an announced new fab in Dalian by SK Hynix; and (3) no EUV available in mainland China, and we assume this situation persists through 2026-2030F.

Our **baseline** scenario considers currently-known capacity plans from domestic foundries and IDMs, with some adjustments and estimates.

Fig. 14: China semiconductor domestic capacity supply estimates (baseline scenario)

Source: Company data, Nomura estimates

Capex needed usually varies across platforms, process nodes, applications, etc. Usually advanced nodes require a considerable amount of capex due to more equipment needed (more process), more expensive equipment (higher-end equipment), and higher automation requirements (improve yield, for example). Mature nodes need less capex due to less equipment needed and relatively low equipment price. For memory, things vary according to product type. High-end DRAM (including HBM) usually requires EUV tools, and high price tools, thus higher capex is needed, while legacy DRAM usually needs less capex. NAND flash production adopts 3D structure, thus requires less expensive tools. In addition, capex usually comes 10-18 months before the capacity is being ramped up, so we put capex as trailing new capacity by 12 months.

We take the broad average in each process group: (1) USD2.6bn for advanced node process (14/16nm and below); (2) USD800mn for mature node process (28nm and above); and (3) USD1.6bn for memory process (DRAM, NAND flash, NOR flash). Another key assumption is that maintenance & upgrade usually accounts for ~18% of annual fab capex. Our calculation indicates a multi-year upcycle in semi capex from 2026F to 2030F, with total capex investment needed in 2026-2030F totaling USD510.7bn in our baseline scenario.

Fig. 15: Capex required estimates for China domestic wafer capacity

(USD mn)	2025F	2026F	2027F	2028F	2029F	2030F	2026-30F
Total monthly capacity (kwpm, 12-inch eq)	2,587	2,955	3,381	3,963	4,660	5,428	
Advanced node process	55	82	118	186	275	390	
Mature node process	2,082	2,311	2,543	2,887	3,330	3,858	
Memory process	450	562	720	890	1,055	1,180	
Net Add (kwpm, 12-inch eq)	330	368	426	582	697	768	2,841
Advanced node process	15	27	36	68	89	115	335
Mature node process	215	229	232	344	443	528	1,776
Memory process	100	112	158	170	165	125	730
Capex required per 10kwpm 12-inch new capacity							
Advanced node process (USD mn)	2,600	2,600	2,600	2,600	2,600	2,600	
Mature node process (USD mn)	800	800	800	800	800	800	
Memory process (USD mn)	1,600	1,600	1,600	1,600	1,600	1,600	
Capex required capacity add (12-month advanced)	43,250	53,229	72,380	84,984	92,158	104,635	407,386
Advanced node process	7,020	9,360	17,680	23,140	29,900	39,011	119,091
Mature node process	18,310	18,589	27,500	35,444	42,258	45,044	168,835
Memory process	17,920	25,280	27,200	26,400	20,000	20,580	119,460
Capex required for maintenance & upgrade	11,151	13,584	18,390	21,615	23,410	26,340	103,339
Advanced node process	1,544	2,059	3,890	5,091	6,578	8,582	26,200
Mature node process	5,127	5,205	7,700	9,924	11,832	12,612	47,274
Memory process	4,480	6,320	6,800	6,600	5,000	5,145	29,865
Total Capex required (USD mn)	54,401	66,813	90,770	106,600	115,568	130,975	510,725
Advanced node process	8,564	11,419	21,570	28,231	36,478	47,594	145,291
Mature node process	23,436	23,794	35,200	45,369	54,090	57,656	216,108
Memory process	22,400	31,600	34,000	33,000	25,000	25,725	149,325

Source: Nomura estimates

The capex used by IDMs and foundries mainly goes to WFE (70-80%), facilities and buildings (15-20%), and infrastructure (~5%; such as power supply, ultrapure water system, shipping system, etc.

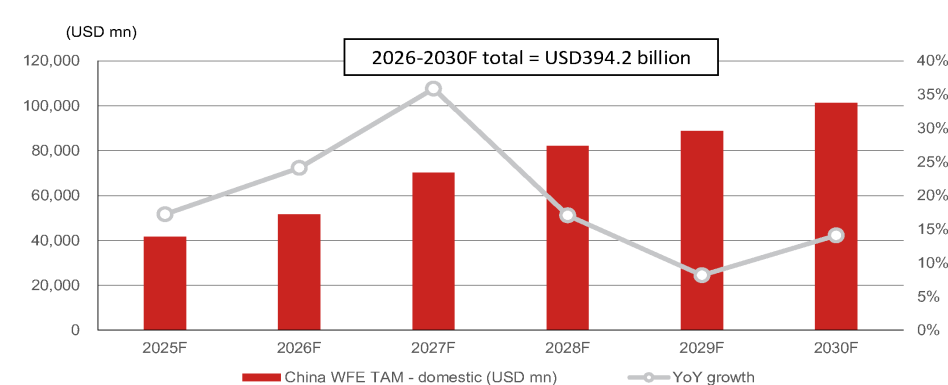
Fig. 16: China WFE TAM from domestic capacity

Corresponding to WFE TAM	2025F	2026F	2027F	2028F	2029F	2030F	2026-30F
WFE investment as % of Capex	76%	77%	77%	77%	77%	77%	77%
Advanced node process	85%	85%	85%	85%	85%	85%	85%
Mature node process	70%	70%	70%	70%	70%	70%	70%
Memory process	80%	80%	80%	80%	80%	80%	80%
China WFE TAM - domestic (USD mn)	41,605	51,642	70,174	82,154	88,869	101,394	394,234
Advanced node process	7,280	9,706	18,334	23,996	31,006	40,455	123,498
Mature node process	16,405	16,656	24,640	31,758	37,863	40,359	151,276
Memory process	17,920	25,280	27,200	26,400	20,000	20,580	119,460

Source: Nomura estimates

Our calculation indicates that the China WFE TAM from domestic capacity would reach USD51.6bn in 2026F, and continues to grow through 2026-2030F, reaching USD101.4bn in 2030F. The domestic TAM totals USD394.2bn in the period of 2026-2030F, in our baseline scenario.

Fig. 17: China WFE TAM from domestic capacity



Source: Nomura estimates

China WFE TAM from foreign players

So far, our analysis is based on **China WFE TAM from domestic capacity**, which is contributed by China domestic foundries and IDMs. To gauge China's overall WFE market, we need to consider capex for fabs located in mainland China but are owned by foreign companies, that is **China WFE TAM from foreign players**. This part usually accounts for less than 10% of China's overall WFE market size, unless there's major capacity expansion plans.

Fig. 18: Major China capacity by foreign foundries and IDMs

Company	Fabs	Platform	Current capacity	China's capacity share	2026-2030 capacity plans
SK Hynix	Wuxi	DRAM	180-200kwpm	30%-40%	LPDDR import by 2030F; mainly process upgrade
SK Hynix	Dalian phase 1	NAND	~100kwpm	~20%	Maintain; mainly low-layer stacking
SK Hynix	Dalian phase 2	NAND	N/A	N/A	Announced to in Aug; to reach 50kwpm by 1H27F
Samsung	Xi'an	NAND	230-250kwpm	35%-40%	V9 NAND upgrade in 2026-2027F;
TSMC	Nanjing	16-28nm	50-60kwpm, 12-inch	~4%	No expansion; mainly maintenance
TSMC	Shanghai	0.35-0.18um	100-110kwpm, 8-inch	~4%	No expansion; mainly maintenance
UMC	Xiamen Fab12X	22-80nm	30-32kwpm, 12-inch	~7%	No expansion; mainly maintenance
UMC	Suzhou Fab8N	0.5-0.11um	~83kwpm, 8-inch	8%-9%	No expansion; mainly maintenance

Source: Company data, Nomura research

We highlight SK Hynix announced in August 2026 to expand its capacity for NAND flash in Dalian fab by ~50%, and targeting production from 1H27E. Once fully ramped up, total capacity in Dalian would reach 150kwpm. This will significantly increase capex in 2026-27F.

Most of the other fabs are not seeing expansion plans, with capex mainly for maintenance

and upgrade. According to Gartner, generally speaking, maintenance accounts for around 18-20% of annual total capex. Based on this and relevant capacity share, we derive that China WFE TAM from overseas players could total USD13.0bn during 2026-30F.

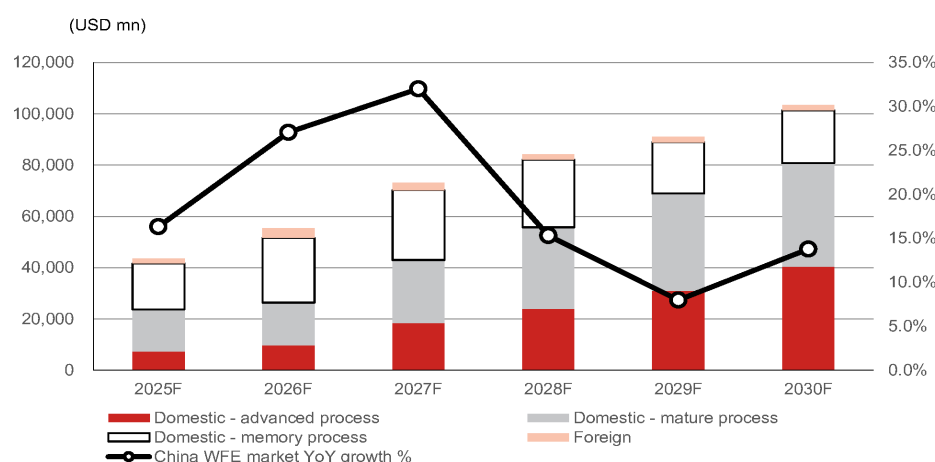
We estimate **China overall WFE market size** will grow 27% to USD55.4bn in 2026F, and to reach USD103.5bn in 2030F. The cumulative WFE spending will total USD407.3bn during 2026-30F, with domestic foundries and IDMs contributing ~97%.

Fig. 19: China overall WFE market size estimate

(USD mn)	2025F	2026F	2027F	2028F	2029F	2030F	2026-30F
China WFE market size	43,578	55,374	73,095	84,284	90,994	103,533	407,279
China WFE market YoY growth %	16.3%	27.1%	32.0%	15.3%	8.0%	13.8%	18.9%
China WFE TAM - domestic	41,605	51,642	70,174	82,154	88,869	101,394	394,234
China WFE TAM - foreign	1,973	3,732	2,921	2,129	2,125	2,139	13,045
China WFE TAM - domestic %	95.5%	93.3%	96.0%	97.5%	97.7%	97.9%	96.8%
China WFE TAM - foreign %	4.5%	6.7%	4.0%	2.5%	2.3%	2.1%	3.2%

Source: Nomura estimates

Fig. 20: China overall WFE market size

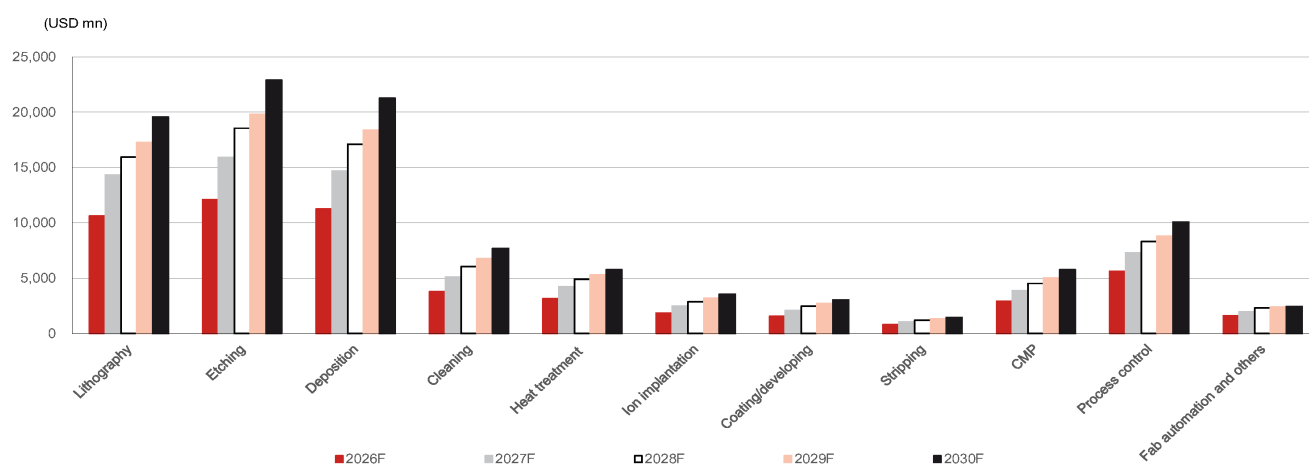


Source: Nomura estimates

Etching and deposition TAM growing faster than lithography

Similar to global market distribution, lithography, etching and deposition steps take up over half of the WFE TAM. We believe etching and deposition will likely grow at a faster pace than lithography, as China has no availability of EUV lithography equipment. Multi-pattern in advanced nodes would require more etching and deposition steps, which increases the TAM of etching and deposition equipment at a faster pace. This should particularly benefit domestic key players including Piotech (688072 CH, Buy), AMEC (688012 CH, Buy), and NAURA (002371 CH, Buy), which have been significantly improving their technology capability in etching and deposition, as well as gaining market share.

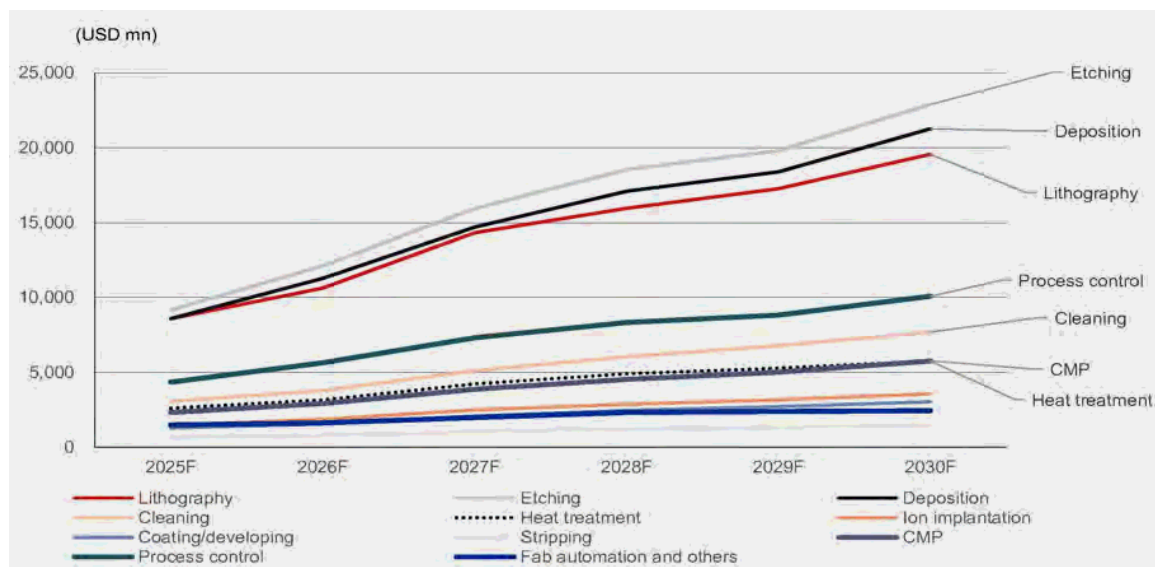
Fig. 21: China WFE market by equipment type



Source: Nomura estimates

At the same time, process control, cleaning, and CMP are also growing faster as process complexity and hybrid bonding penetration increases. This, we believe, will likely benefit ACM Research (ACMR US, Buy).

Fig. 22: China WFE market size by equipment type



Source: Nomura estimates

Strong China semiconductor end-demand; massive supply-demand gap needs to be filled

As one of the largest semiconductor consumption regions in the world, mainland China usually accounts for 35%-40% of global semiconductor market. Our demand forecast model indicates a ~27% semiconductor demand CAGR in 2026-2030F.

Fig. 23: China semiconductor market demand estimates

(USD mn)	2025	2026F	2027F	2028F	2029F	2030F	2026-30F
Smartphone	38,674	57,349	75,882	85,562	91,079	88,944	18.1%
Shipment unit (m)	274	241	253	275	304	315	
Semiconductor content per unit (USD)	141	238	300	312	299	282	
Advanced computing (USD)	55	61	67	72	77	84	
Memory (USD)	44	132	185	189	170	145	
Mature node products (USD)	25	26	28	30	30	31	
Others (USD)	17	18	20	21	21	22	
PC/notebook	10,203	14,838	16,061	18,403	20,250	21,959	16.6%
Shipment unit (m)	37	31	28	31	36	41	
Semiconductor content per unit (USD)	274	480	577	591	559	532	
Advanced computing (USD)	120	132	139	141	144	147	
Memory (USD)	95	285	371	378	340	306	
Mature node products (USD)	43	45	47	50	52	54	
Others (USD)	17	18	20	22	23	25	
Tablet	3,153	4,386	4,659	4,722	4,709	4,768	8.6%
Shipment unit (m)	31	27	24	23	24	25	
Semiconductor content per unit (USD)	101	165	198	204	197	190	
Advanced computing (USD)	46	49	53	56	61	65	
Memory (USD)	30	90	117	119	107	97	
Mature node products (USD)	15	16	17	17	17	17	
Others (USD)	10	11	11	11	11	12	
Automotive - ICE vehicle	11,104	12,474	11,609	9,805	9,019	8,154	-6.0%
Shipment unit (m)	18	16	13	11	10	10	
Semiconductor content per unit (USD)	620	792	868	891	880	858	
Advanced computing (USD)	50	63	75	83	84	86	
Memory (USD)	60	135	169	172	155	132	
Mature node products (USD)	350	403	423	431	431	431	
Others (USD)	160	192	202	206	210	210	
Automotive - NEV vehicle	19,128	29,199	35,770	40,124	43,605	46,140	19.3%
Shipment unit (m)	16	19	21	22	24	25	
Semiconductor content per unit (USD)	1,160	1,537	1,745	1,824	1,856	1,846	
Advanced computing (USD)	180	205	241	279	319	360	
Memory (USD)	120	300	375	394	362	312	
Mature node products (USD)	580	696	766	781	797	797	
Others (USD)	280	336	363	370	378	378	
General purpose server (non-AI)	14,687	27,152	32,493	35,052	36,652	38,602	21.3%
Shipment unit (m)	3.5	3.4	3.5	3.7	3.9	4.1	
Semiconductor content per unit (USD)	4,240	8,000	9,240	9,603	9,508	9,374	
Advanced computing (USD)	1,600	2,400	2,640	2,772	2,911	3,056	
Memory (USD)	1,800	4,500	5,400	5,508	5,233	4,866	
Mature node products (USD)	336	440	480	504	520	528	
Others (USD)	504	660	720	819	845	924	
AI server	69,585	122,110	179,323	249,162	350,614	448,318	45.1%
Shipment unit (m)	0.6	0.6	0.7	1.0	1.4	1.8	
Semiconductor content per unit (USD)	120,500	198,000	241,200	249,770	250,559	246,505	
Advanced computing (USD)	85,000	102,000	122,400	128,520	134,946	141,693	
Memory (USD)	30,000	90,000	112,500	114,750	109,013	98,111	
Mature node products (USD)	1,100	1,200	1,260	1,300	1,320	1,340	
Others (USD)	4,400	4,800	5,040	5,200	5,280	5,360	
Consumer electronics (TV, home appliances, edge devices)	21,949	34,569	40,956	43,082	43,663	43,644	14.7%
Advanced computing	5,487	6,036	6,519	6,845	7,187	7,546	
Memory	5,487	16,461	21,400	22,470	22,020	20,919	
Mature node products	6,585	7,243	7,822	8,292	8,706	9,142	
Others	4,390	4,829	5,215	5,476	5,749	6,037	
Communications (base stations, routers, switches)	21,130	30,237	34,479	36,096	36,607	37,209	12.0%
Advanced computing	6,339	7,924	9,112	9,841	10,333	10,850	
Memory	4,226	10,565	12,678	12,932	12,285	11,671	
Mature node products	4,226	4,649	5,021	5,272	5,535	5,812	
Others	6,339	7,100	7,668	8,051	8,454	8,876	
Industrial (automation, energy, robotics, medical, UPS)	23,147	31,538	36,758	40,392	41,814	42,866	13.1%
Advanced computing	4,629	5,555	6,111	6,600	6,930	7,276	
Memory	3,472	8,680	10,416	10,937	10,390	9,871	
Mature node products	10,416	11,979	14,374	16,531	17,853	18,746	
Others	4,629	5,324	5,856	6,325	6,641	6,973	
China semiconductor market demand (USD m)	232,760	363,853	467,990	562,400	678,012	780,605	27.4%
YoY %		56.3%	28.6%	20.2%	20.6%	15.1%	

Source: Gartner, CAAM, Nomura estimates

We estimate the semiconductor demand in China will record a ~27% CAGR in 2026-2030F, reaching USD780.6bn in 2030F, mainly driven by AI server, general purpose server, smartphone, PC & notebook, and NEVs. Key assumptions in the model include: (1) Gartner forecasts for smartphone shipment, PC/notebooks shipment and tablet shipment; (2) CAAM data and forecasts for automobile volume, with projections; (3) Gartner forecasts for general-purpose server and AI server shipments; (4) our expectation of memory pricing tripling in 2026F, maintains growth in 2027F, and peak in 2028F; (5) CPU and SoC prices continue to rise; and (6) top-down method (global market x China share) for consumer electronics, communications and industrial.

Wafer capacity demand continues to increase

Wafer prices also vary across platforms and process nodes. On average, in 2026F memory has higher wafer price than advanced nodes due to a memory price hike during the year. Mature nodes have lower wafer prices. In China, CXMT and YMTC usually offer price discounts to domestic customers; hence, we estimate a 5-20% discount on domestic memory wafer prices.

Our calculation shows that wafer capacity (kwpm, thousand wafer per month, 12-inch equivalent) demand in China would record a 9% CAGR during 2026-2030F, led by the demand in advanced node process (19% CAGR) and memory process (7% CAGR).

Fig. 24: China wafer capacity demand estimates

	2025F	2026F	2027F	2028F	2029F	2030F	2026-30F
China semiconductor market demand (USD mn)	232,760	363,853	467,990	562,400	678,012	780,605	27.4%
Advanced node process	102,557	122,946	158,224	203,092	273,147	350,888	27.9%
Mature node process	73,823	83,415	92,754	101,346	110,680	119,063	10.0%
Memory process	56,380	157,492	217,012	257,961	294,185	310,654	40.7%
Wafer ASP (USD)							
Advanced node process	5,652	6,500	7,150	7,579	7,958	8,276	
Mature node process	1,455	1,600	1,680	1,714	1,748	1,783	
Memory process	2,593	7,000	9,800	10,290	10,290	10,084	
Wafer per month demand (kwpm 12-inch)	7,554	7,796	8,290	9,251	10,520	11,665	9.1%
Advanced node process	1,512	1,576	1,844	2,233	2,860	3,533	18.5%
Mature node process	4,229	4,345	4,601	4,929	5,277	5,565	5.6%
Memory process	1,812	1,875	1,845	2,089	2,382	2,567	7.2%

Source: Nomura estimates

China semiconductor self-sufficiency rate to be below 50% in 2030F (baseline case)

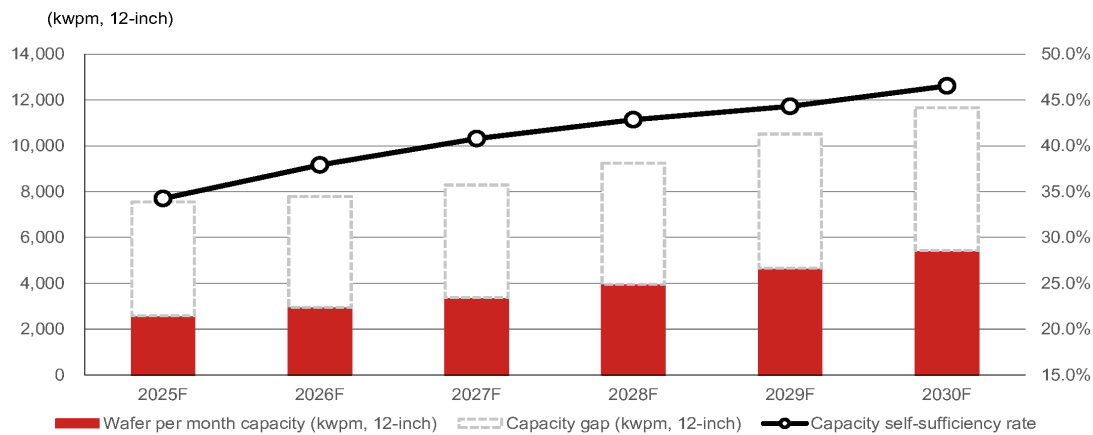
There is still a significant gap between supply and demand, leading to the ongoing domestic supply capacity shortage. Our calculation indicates China's self-sufficiency rate (or localization rate) was only ~34% in 2025F, with mature nodes having the highest (~49%), followed by memory process (~25%), and advanced nodes the lowest (~4%).

In our baseline scenario, where known capacity expansion is largely considered, we assume the self-sufficiency rate in the China semiconductor market would only reach around ~47% in 2030F, with mature nodes reaching close to 70%, memory process surpassing 45%, and advanced nodes surpassing 10%.

Fig. 25: China semiconductor self-sufficiency rate in terms of capacity

	2025F	2026F	2027F	2028F	2029F	2030F
Capacity self-sufficiency rate	34.3%	37.9%	40.8%	42.8%	44.3%	46.5%
Advanced node process	3.6%	5.2%	6.4%	8.3%	9.6%	11.0%
Mature node process	49.2%	53.2%	55.3%	58.6%	63.1%	69.3%
Memory process	24.8%	30.0%	39.0%	42.6%	44.3%	46.0%
Capacity gap (kwpm, 12-inch)	4,966	4,841	4,909	5,287	5,859	6,237
Advanced node process	1,457	1,494	1,726	2,047	2,585	3,143
Mature node process	2,147	2,033	2,057	2,041	1,947	1,707
Memory process	1,362	1,313	1,125	1,199	1,327	1,387

Source: Nomura estimates

Fig. 26: China semiconductor self-sufficiency rate in terms of capacity and supply gap

Source: Nomura estimates

Our analysis of supply is conservative, because: (1) we only consider the domestic-owned capacity, excluding capacity located in China owned by overseas players; and (2) we only consider currently-known capacity expansion plans with some conservative projections in coming years.

Considering the “Made in China 2025” target (70% self-sufficiency rate by 2025) has not been achieved (only ~34% self-sufficiency rate by our estimate), and supply has been tight across most of the platforms (especially memory and advanced processes), we believe more capacity expansion plans will likely be announced in coming years, and potentially result in higher capacity supply and self-sufficiency rate.

Higher self-sufficiency rate target and increased upside potential: A scenario analysis

As discussed earlier, our calculation indicates that the **self-sufficiency rate (SSR)** was around 34% in 2025F, and we estimate it will reach ~47% in 2030F. This is far below the “Made in China 2025” target (which targets a 70% SSR by 2025). Further, our calculation is based on wafer capacity and wafer demand. If valued using dollar value (production value and market sales), the SSR could be even lower, considering the lower contribution from advanced nodes and memory process, which generally have higher prices.

That being said, supply has been tight across most of the platforms, especially memory and advanced processes. The US-China economic decoupling remains, which demand more capacity localization. Therefore, we believe further capacity expansion plans are possible in China, offering upside for China's WFE TAM in coming years.

In our baseline scenario, the cumulative WFE TAM in 2026-30F totals USD407.3bn. This corresponds to a ~47% SSR in 2030F. Below table shows the cumulative WFE TAM upside under different levels of SSR. Under the most bullish scenario, where we assume 70% of the SSR target would be achieved in 2030F, the cumulative WFE TAM in 2026-30F would be nearly doubled compared to that under our baseline case.

Fig. 27: Scenario analysis with different levels of self-sufficiency rate (SSR) assumptions in 2030F

Scenario analysis	Baseline	SSR=50%	SSR=55%	SSR=60%	SSR=65%	SSR=70%
China semi self sufficiency rate in 2030F	46.5%	50.0%	55.0%	60.0%	65.0%	70.0%
China semi capacity needed in 2030F (kwpm)	5,428	5,833	6,416	6,999	7,583	8,166
Semi capacity net added in 2026-30F (kwpm)	2,841	3,246	3,829	4,412	4,995	5,579
Capex needed per 10kwpm 2026-30F avg (USD mn)	1,798	1,798	1,798	1,798	1,798	1,798
Cumulative capex in 2026-30F (USD mn)	510,725	583,394	688,239	793,085	897,930	1,002,776
WFE as a percentage of capex 2026-30F avg	77.2%	77.2%	77.2%	77.2%	77.2%	77.2%
Cumulative domestic WFE spendings 2026-30F (USD mn)	394,234	450,328	531,259	612,190	693,121	774,053
WFE spendings by foreign players	13,045	13,045	13,045	13,045	13,045	13,045
China cumulative WFE TAM in 2026-30F	407,279	463,373	544,304	625,236	706,167	787,098
China semi capacity CAGR in 2026-2030F	16.0%	17.7%	19.9%	22.0%	24.0%	25.8%
Cumulative WFE TAM upside compared to Baseline	N/A	13.8%	33.6%	53.5%	73.4%	93.3%

Source: Nomura estimates

Again, we highlight that our calculation is based on volume (wafer capacity vs wafer demand), instead of value (wafer production value vs semiconductor market sales); hence, the SSR tends to be higher. If value is considered, the SSR should be lower considering that a large portion of the SSR is contributed by mature nodes, which generally have lower wafer prices than advanced nodes and memory process.

China WFE market landscape: Dominated by global leaders, yet local players gaining share

Market share: domestic vendors taking up more share

The self-sufficiency of wafer fabrication equipment (WFE) in China has been even lower than semiconductor products. Back in 2021, in terms of value, China WFE vendors took up only ~16% of the market, by our estimate. However, China vendors have been gaining market share in the market, with the share rising to ~20% in 2023, and further exceeding 26% in 2025. Dominant players including NAURA Technology (002371 CH), AMEC (688012 CH), ACM Research (ACMR US), Piotech (688072 CH) and Hwatsing Technology (688120 CH) have been actively developing new and more advanced products, working closely with domestic wafer fabs to expand market share.

Fig. 28: China WFE market share

(USD mn)	2021 market share	2023 market share	2025 market share	Major equipment types
China overall WFE market	100.0%	100.0%	100.0%	
ASML	9.8%	21.3%	21.0%	Lithography system
Applied Materials	22.7%	17.5%	15.0%	Deposition, CMP, Ion Implantation, Etching
NAURA	4.2%	8.1%	11.5%	Etching, deposition, heat treatment, cleaning
Lam Research	14.9%	10.2%	11.1%	Etching, deposition
Tokyo Electron	12.8%	11.7%	10.6%	Etching, track, heat treatment, cleaning
KLA	6.6%	8.2%	7.1%	Process control (metrology and inspection)
AMEC	1.8%	2.8%	3.9%	Etching, deposition
SCREEN	2.4%	4.0%	2.7%	Cleaning
ACM Research	1.0%	1.7%	2.1%	Cleaning, ECP, furnace
Piotech	0.4%	1.2%	2.0%	Deposition
E-Town Semiconductor	1.9%	1.7%	1.6%	Stripping, heat treatment, etching
Hwatsing Technology	0.5%	1.1%	1.3%	CMP
Others	21.1%	10.5%	10.1%	
China vendors share	15.7%	20.0%	26.5%	
Overseas vendors share	84.3%	80.0%	73.5%	

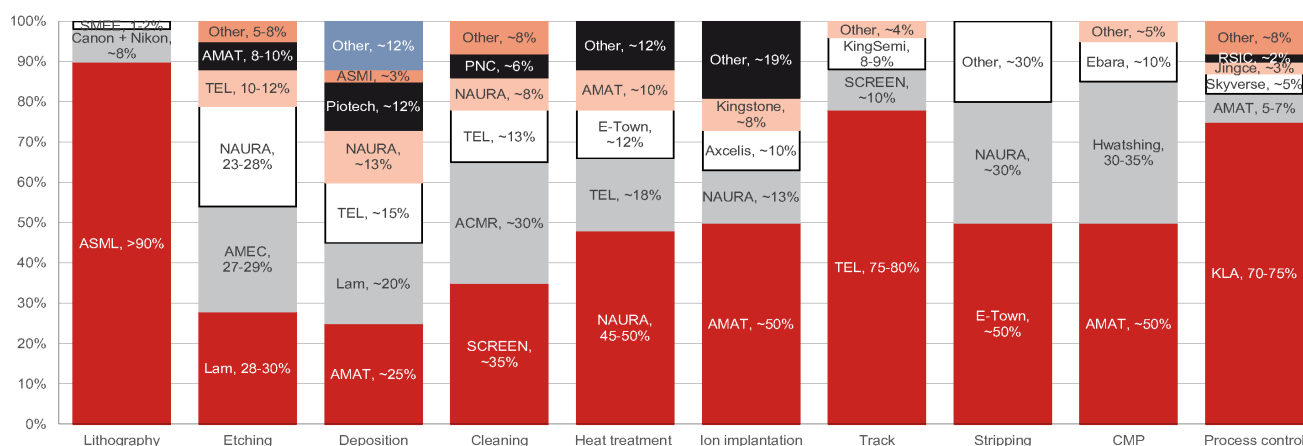
Source: Company data, Nomura research

We believe domestic vendors will highly likely continue to gain market share in China, driven by: (1) increasing capabilities and technology advancement; (2) increased willingness to buy domestic equipment from foundries and IDM (as a result of improved quality and technology capability); and (3) importance of semi equipment localization given ongoing strict export restrictions from the US, Japan, and Europe. Our China overall WFE market size estimates indicate 27%/32% growth in 2026F/2027F, but NAURA and AMEC recorded higher booking growth in 2025 (most of which will be recognized in revenue in 2026E, according to management teams), and booking growth expectation in 2026E (most of which will be recognized in revenue in 2027E, according to management). We believe their sales revenue growth rates will likely be above market growth, which indicates market share gains. A similar situation is highly likely for ACM Research and Piotech, in our view.

Market share by equipment category

Though China players are gaining market share in the overall WFE market, specific categories are still seeing dominance by a few global names. For example, ASML take up over 90% of lithography system sales in China due to its key position in mid-to-high-end DUV (or called DeepUV, mainly ArF and KrF) systems, which also has higher price. Ion Implantation is dominated by US player Applied Materials (AMAT US, Not rated), which dominates in deposition and CMP. Track (coating/developing) is mainly dominated by Japan's Tokyo Electron (8035 JP, Buy) and SCREEN (7735 JP, Neutral). Process control (metrology and inspection) is led by KLA (KLAC US, Not rated) and Applied Materials, with only limited market share by China vendors.

China players have a relatively high market position in etching (AMEC and NAURA), deposition (NAURA and Piotech), cleaning (ACM Research and PNC), heat treatment (NAURA and E-Town) and stripping (E-Town and NAURA).

Fig. 29: China WFE market share by equipment category in 2025

Source: Company data, Nomura research

China WFE self-sufficiency rate – mostly improved meaningfully, yet bottlenecks remain

Gauging WFE **self-sufficiency rate (SSR)** can be tricky, as there are other factors to consider besides market share. Market share gained by China domestic players can always be used to roughly estimate SSR, as it reflects how much value Chinese players gain in this year's equipment purchase. On the other hand, there are something else to consider when getting an idea of self-sufficiency, including: (1) domestic equipment share in equipment install base; (2) domestic equipment share in the purchase for newly-built production lines; and (3) equipment components' localization rate.

By **sales market share**, China's overall equipment SSR was 25-26% in 2025, but specific equipment type SSR varies. Stripping equipment has the highest SSR of around 80-90%, thanks to the global dominant position of E-Town Semiconductor (a.k.a. Mattson Technology), with NAURA also taking some share. Etching equipment and heat treatment equipment SSR have increased to 50-60% (from ~20% in 2020), driven by fast expansion of NAURA, AMEC, and E-Town Semiconductor. All the equipment types have seen SSR increasing in the past five years driven by Chinese players' market share gains. Notably, process control tools used to have a lower-than-1% SSR, which has currently improved to ~10%. Lithography is still the bottleneck, with a SSR of only 1-2% (slightly improved from below 1% in 2020).

Fig. 30: WFE self-sufficiency rate by market share

Equipment type	Self-sufficiency rate (2025)	Leading domestic player in the field
Stripping	80-90%	E-Town Semi (a.k.a. Mattson), NAURA
Etching	50-60%	AMEC, NAURA, E-Town Semi (a.k.a. Mattson)
Heat treatment	50-60%	NAURA, E-Town Semi (Mattson), CETC division 45
Cleaning	40-50%	ACM Research, NAURA, PNC
CMP	35-40%	Hwatsing Technology, SIZONE Technology
Deposition	25-30%	NAURA, Piotech, AMEC, CETC division 45 & 48
Ion implantation	~20%	NAURA, Kingstone, CETC
Track	~10%	KingSemi, ACM Research
Process control	~10%	Skyverse, Jingce, RSIC
Lithography	1-2%	SMEE, Shanghai Yuliangsheng, Aishengna, CETC division 45

Source: Company data, Nomura research

On **production line**, existing production lines (built before 2020) in China generally have lower self-sufficiency rates (we estimate to be less than 20%) as these lines rely heavily on global leaders as domestic players were still in development stages. For example, Hua Hong's (1347 HK, Neutral) 8-inch fabs (Fab 1 & 2 & 3) have equipment localization rate of below 10%, and its first 12-inch fab (Fab 7) has around 15% equipment localization rate. YMTC's and CXMT's early fabs have around 15-25% equipment localization rate, with YMTC generally having a higher rate (NAND production needs more etching and deposition). Production lines newly built in recent years generally have higher localization rate of 40-60%, as they usually come with a target to increase local equipment

percentage (for political and risk diversion purpose). For example, Hua Hong's new 12-in fabs (Fab 9A & 9B) have equipment localization rate of over 30%, and YMTC's and CXMT's newly-built lines have higher rates of up to 50%.

Fig. 31: WFE self-sufficiency rate estimated by production lines situation

Situation	Self-sufficiency	Remarks
Existing production lines	<20%	Mostly built earlier than 2020; relied heavily on global vendors; Partial replacement with domestic equipment going on;
eg. Hua Hong 8-inch fabs	<10%	
eg. Hua Hong Fab7	~15%	
eg. YMTC Phase 1&2	~20%	
eg. CXMT early fabs	15-25%	
Newly built lines	40-60%	Usually with target to increase localization rate; higher bidding percentage from domestic vendors
eg. Hua Hong Fab9A&B	Over 30%	
eg. YMTC Phase 3	Over 50%	
eg. CXMT newly built fabs	35-50%	

Source: Company data, Nomura estimates

On the other hand, **equipment component** is another angle to consider. Generally, component cost accounts for 60-70% of the BOM of an equipment, among which domestically-sourced parts are around 40-50%. Similar to equipment, the component localization rate also varies across different types. Optical systems, some high-end valve, pump and mass fluid controllers have lower localization rate, with most of the market dominated by US and Japan players. Electrostatic chuck (ESC) and optical systems are two bottlenecks with very low localization rates, in our view.

Fig. 32: Equipment components category and self-sufficiency rate (SSR) estimates

Category	Key components	Major equipment	Leading supplier	Domestic supplier	Est SSR
Mechanical & Motion systems	Wafer stage & robot, magnetic levitation vacuum handler	Most equipment	Brooks Automation (US), RORZE (JP), Yaskawa (JP)	Fortune Precision (富创精密),	~50%
Vacuum & Fluid systems	Dry vacuum pump, mass flow controller, valves & fittings, etc.	Most equipment	Edwards (UK), Pfeiffer vacuum (GE), Ebara (JP), Brooks Instruments (US), Swagelok (US), Fujikin (JP)	SKY (中科仪), Kinglai (新莱应材), Wandekai (万得凯), HANBELL (汉钟精机), NAURA	15-30%
RF & Power systems	RF generator, RF matcher, high-voltage direct current power, etc.	Especially important for plasma etching and PECVD	Advanced Energy (US), AEG Power solutions (NL), MKS Instruments (US)	CSL Vacuum (恒运昌), Injet Electric (英杰电气), NAURA	10-20%
Electrostatic Chuck (ESC)	Electrostatic Chuck (ESC)	Etching, deposition, lithography, Ion implantation	SHINKO (US), TOTO (JP), NGK/NTK (JP), Kyocera (JP), AMAT (US), Lam (US)	U-precision Tech (华卓精科), Kematek (珂玛科技), CETC Division 12 (中电科12所)	<5%
Optical systems	Lens system, laser source, high-precision mirror/lens, optical inspection parts, etc.	Lithography, process control (metrology and inspection)	Zeiss (JP), Cymer (US), GigaPhoton (JP), TRUMPF (GE)	RSLaser (科益虹源), UPAM (超纯应材), CASTECH (福晶科技), Mloptic (茂莱光学), UP Optotech (奥普光电)	<5%

Source: Nomura estimates

Some dominant equipment players like NAURA and AMEC have higher percentage of domestic-sourced components. NAURA has its own electronic components business, which can provide some critical parts to its own equipment, such as mass flow controllers (MFC), gas cabinets and valve, and electronic parts. AMEC, according to management, has a component localization rate of over 60% for its etching equipment, and over 90% for its MOCVD equipment.

Major domestic equipment vendors

There are well-established powerful suppliers of semiconductor equipment in China like NAURA (002371 CH), which has the most comprehensive product offering in China with a platform strategy. AMEC (688012 CH) is one of the strong suppliers of etching equipment, with the capability to enter overseas 3nm production lines. ACM Research has been an important player in the cleaning field, with the capability to enter overseas 5nm production lines. Piotech is one of the rising players in the CVD field, with W2W bonding being a new growth engine. Hwatsing specializes in CMP equipment with sizable market share.

Fig. 33: Major Chinese equipment vendors' product offerings

		NAURA	AMEC	ACM Research	Piotech	Hwatsing	E-Town Semi	SiCarrier	KingSemi	SMEE	Kingstone	PNC	Skyverse	Jingce	RSIC
Heat treatment	Oxidation/diffusion	✓		✓				✓							
	RTP	✓					✓	✓							
Lithography										✓					
Track		✓		✓					✓						
Etching	CCP	✓	✓					✓							
	ICP	✓	✓				✓	✓							
Ion Implantation		✓				✓					✓				
Deposition	PVD	✓						✓							
	CVD	✓	✓	✓	✓			✓							
	ALD	✓	✓		✓			✓							
	MOCVD		✓												
	ECD	✓		✓											
CMP						✓									
Cleaning		✓		✓		✓			✓			✓			
Stripping		✓					✓		✓						
Process control			✓					✓					✓	✓	✓

Note: NAURA has Track product through acquisition of KingSemi

Source: Company data, Nomura research

Fig. 34: Technology capabilities of major domestic players in different equipment categories

Equipment	Localization rate (2025)	Category	Leading Chinese players	Technology on hand	Technology under R&D or in qualification	Remarks
Etching	New lines 50-60% Installed 30-40%	Dielectric etch (mainly CCP)	AMEC	5nm in HVM (first Chinese vendor); 5nm & below on international fabs	3nm and below; atomic-level 0.02nm precision	CCP 6,800+ etch chambers shipped; 5nm passed TSMC validation (2018); 7,800+ total chambers in 170+ lines
		Silicon / Metal etch (mainly ICP)	NAURA	14nm in HVM; >30% domestic share at 28nm+	7nm in testing; 5nm ICP entered SMIC validation; 5-3nm ICP under development	ICP precision at atomic level; covers 95%+ of etch applications; NAURA ~28% domestic etch share; broad platform
		High-aspect-ratio etch (HAR)	NAURA, AMEC	60:1 in production (2D / 3D NAND)	90:1 (NAURA, readying); AMEC targeting 90-100:1	Enabler for 300+ layer 3D NAND
Deposition	20-25% (PECVD & PVD higher)	PVD (sputter)	NAURA	14nm HVM; 1,000+ units delivered	7-5nm	>60% domestic PVD share; leading domestic supplier
		LPCVD / APCVD	NAURA, AMEC	28-14nm	14nm and below	AMEC LPCVD 300+ chambers (tungsten CVD / HAR / ALD, repeat orders)
		PECVD	Piotech	14nm HVM; 3,400+ chambers cumulative	7-5nm	c.30% installed share at YMTC (up from 15%); 2025 PECVD rev CNY5.14b
		SACVD / HDPCVD / Flowable CVD	Piotech	28-14nm	7-5nm	Domestic SACVD/HDPCVD/FCVD at scale; gap-fill for trenches
		ALD (thermal & PE)	NAURA, Piotech	14nm (limited volume)	7-5nm	NAURA ALD c.CNY2b rev; Piotech 140+ chambers; PE-ALD SiO2/SiN/SiCO, thermal TiN validated
		MOCVD	AMEC	GaN (LED / power), SiC epitaxy	Micro-LED, advanced power	Global GaN-MOCVD leader; SiC epi tools in client validation
Cleaning	40-50%	Single-wafer wet clean	ACM Research	5nm entered TSMC supply chain; TEBO/SAPS for 28nm & below	TEBO validated in 18-19nm DRAM; advanced nodes	c.30% domestic / 8% global share (#4); 2025 cleaning rev CNY4.5b; Tahoe hybrid model cuts 75% H2SO4 consumption
		Single-wafer wet clean	NAURA	28-14nm	14nm	Akron-derived tech; broad platform
		Bench & single-wafer clean	PNC Process Systems	28nm (mature)	14nm	Mainly 8"; bench cleaning leader
		Single-wafer / scrubber + coat-develop	KingSemi	28nm cleaning; 28nm track validated	14nm	Front-end track main domestic supplier; back-end & advanced packaging
Heat treatment	50-60%	RTP (Rapid Thermal Processing)	E-Town Semi	Global #2 (13.05% share); advanced nodes adopted	Sub-5nm logic & memory	Chinese vendor in global top ranks for RTP
		Oxidation / diffusion furnace	NAURA	28nm+ (>60% share on SMIC 28nm lines)	14nm and below	1,000+ furnaces shipped
CMP	35-40%	12" CMP polisher (Universal series)	Hwatsing	28nm HVM + 14nm verified	7nm and below	1000th unit shipped Apr 2025; Universal-H300 >800 units; domestic 12" CMP at scale
		Wafer thinning / grinding	Hwatsing	HBM thinning (80-100 μm)	HBM4 / advanced 3D	2026 HBM repeat orders from top memory fabs
		Panel-level CMP	Hwatsing (Master-P510APEX)	First domestic panel-level CMP (2026)	Panel-level / glass substrate	For CoWoS-R / Intel glass-core style packaging
Ion Implantation	~20%	High-current / low-energy implanter	Kingstone	28nm and below HVM	<14nm	10+ customers; ~50 units shipped; >10M wafers in mass production
		Medium-current implanter	Kingstone, NAURA (Sirius MC 313)	28nm and above	14nm	Production insertion at customer sites
		High-energy implanter	Kingstone	28nm validated	14nm	3 customers, repeat orders; well formation & H injection

Source: Company data, Nomura research

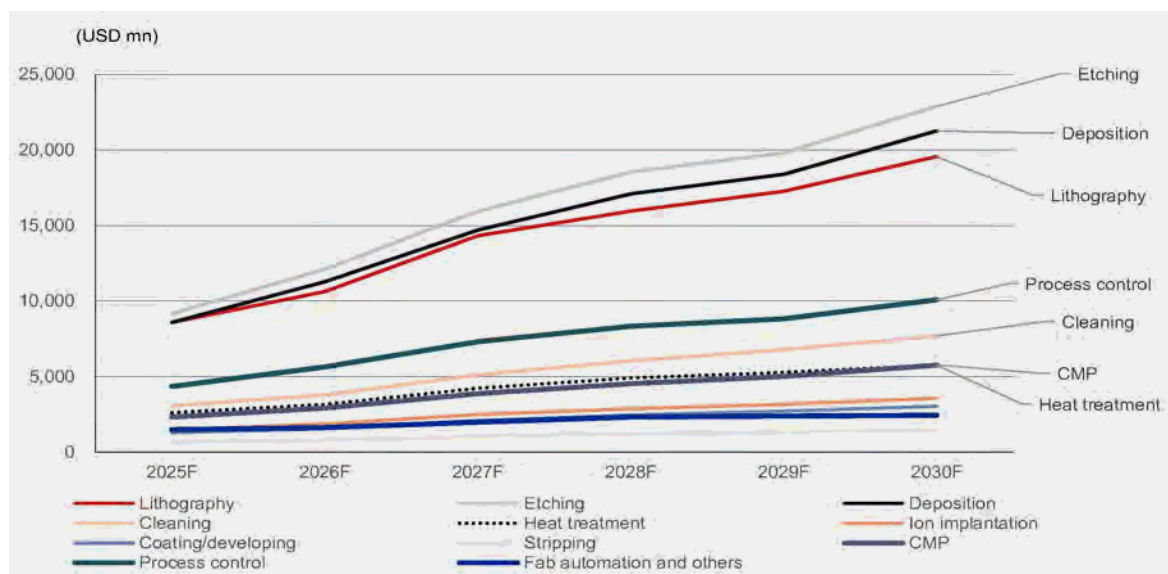
The bottlenecks and low-SSR fields are lithography, process control, track, and ion implantation. Though SMEE has been developing and selling lithography systems for over 20 years, the majority of its products are for back-end related lithography steps, which require less advanced technologies. The advanced DUV tools (or called DeepUV) are not transparent to the market. We believe SMEE has very limited DUV-immersion tools capability (maybe less than 10 units capacity per year), but has trouble getting qualified and penetrating into production lines. Besides, Yuliangsheng Technology (unlisted) and Shanghai Aishengna (unlisted) are reported to have immersion DUV tools tested domestically (*Reuters*), but very limited information is available now.

Opportunities for equipment presented by China's technology advancement and roadmap

China is among the world's largest single markets for semiconductor production equipment (source: SEMI data), yet it operates under a binding constraint: it faces restricted access to EUV lithography technology and, increasingly, to the most advanced DUV immersion tools and their service ecosystem. However, that constraint is not a dead end, but a **demand shifter**, in our view. It re-routes China's technology path toward three alternatives: (1) multi-patterning on 193i DUV, (2) aggressive vertical stacking in memory, and (3) advanced packaging/chiplet integration. These require equipment-intensive investment in a specific and predictable set of tool segments.

This section analyzes which equipment sub-segments see the strongest and most durable demand under the roadmap. We believe five segments stand out: **etching, deposition (especially ALD), cleaning, CMP, and hybrid bonding**.

Fig. 35: China WFE TAM by different product category

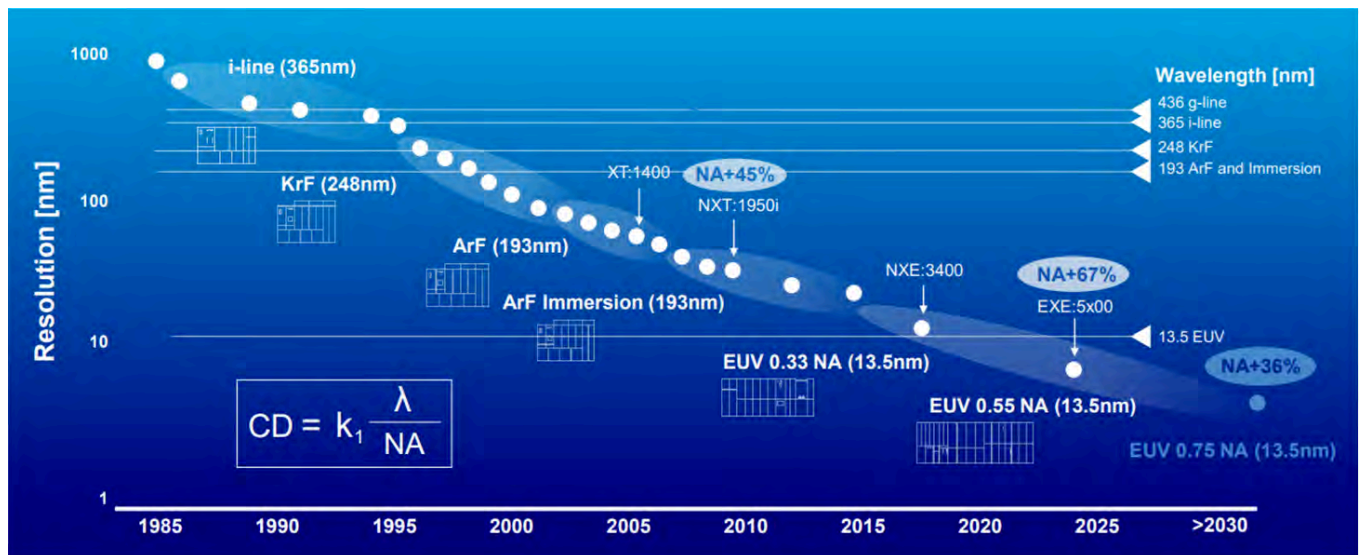


Source: Nomura estimates

Multi-patterning without EUV: the etching and deposition multiplier

In general, higher-end chips and smaller line-width require higher resolution from the lithography machine. Most of the DUV (or DeepUV) utilizes i-line, KrF, or ArF light sources to generate deep ultraviolet light, with wavelength down to 193nm (ArF). Coupled with lens systems and immersion method, the resolution can be down to 28/40nm with one exposure. When the line-width of chipsets are getting smaller, EUV tools are needed. The EUV tools utilize ultraviolet light sources, whose wavelength is down to 13.5nm. This means 13nm line-width can be achieved with single exposure (under low-NA system, which has a numerical aperture of 0.33). High-NA lithography can provide even smaller resolution (5/7nm), but the system is still too expensive and in exploration stage.

Fig. 36: ASML's lithography roadmap

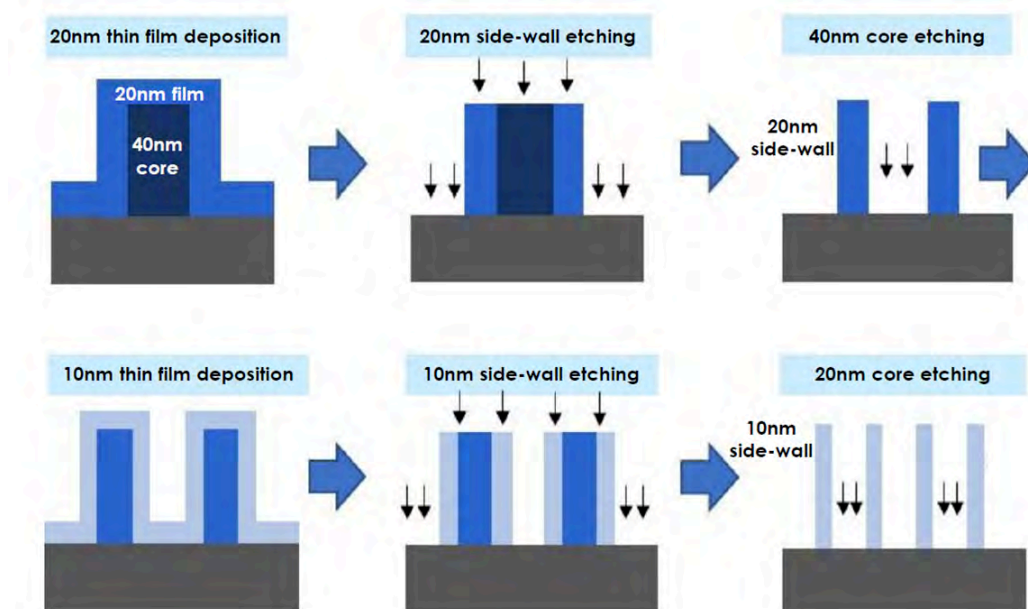


Source: ASML Investor Day 2024

The situation without EUV. EUV collapses a single critical layer into one exposure. Without it, the only way to reach sub-7nm pitches on 193i DUV is multi-patterning (litho-etch-litho-etch, or LELE/LELELE) or self-aligned double/quadruple patterning (SADP/SAQP). SMIC's N+1/N+2 processes, which power Huawei's Kirin SoCs, reach ~7nm equivalent by quadruple-patterning with DUV rather than by EUV. This is not a bridge technology for China but one of the key roadmaps.

Why it inflates equipment demand. Every multi-patterning scheme converts a *single* lithographic definition into a sequence of conformal spacer deposition, anisotropic spacer etch, mandrel-removal etch, and post-etch clean, repeated two (SADP) or four (SAQP) times per layer. Each of those steps is a distinct tool pass. The lithography burden is substituted by a deposition-and-etch burden.

Fig. 37: Double pattern process of 10nm: at least 4 more times etching and 2 times deposition

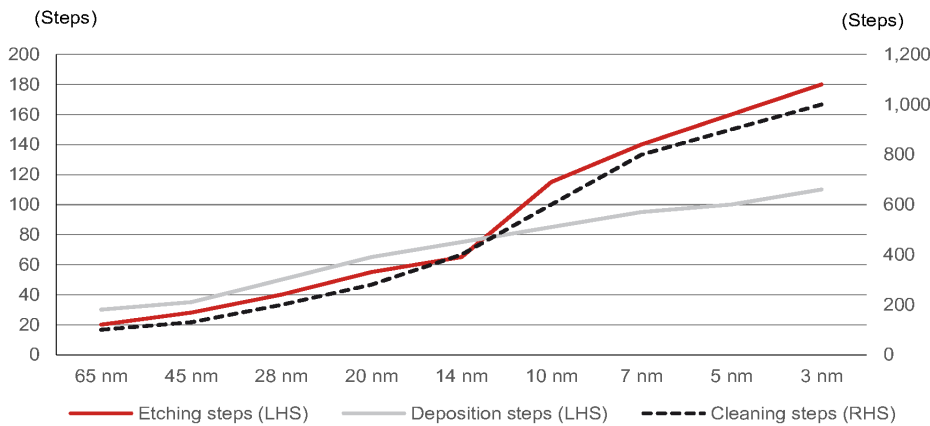


Source: AMEC, Nomura research

The step-count penalty (more steps needed) of multi-patterning is large. For example, a 7nm-class IC requires roughly **140 etch steps**, vs. about **40** at 28 nm — a ~3.5x inflation. On a per-fab basis, a 12-inch advanced line consumes roughly **60 etching tools per 10k wpm**, vs. **~25 for a mature-node line**, a 2.4x increase. Coupled with etching, more

deposition steps and cleaning steps are also required.

Fig. 38: Step count estimates (multi-pattern without EUV) of etching, deposition, cleaning by process nodes



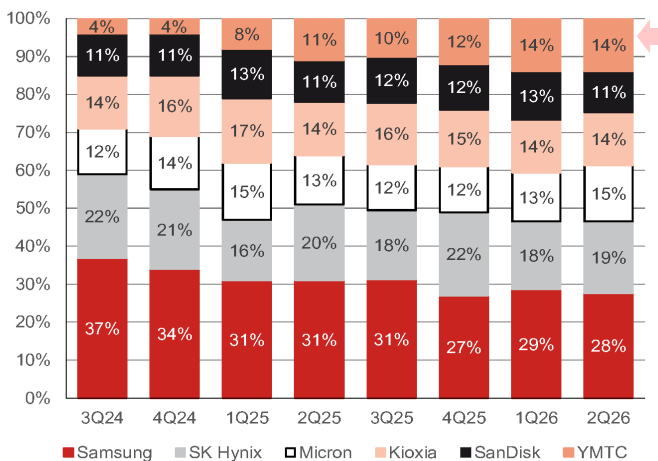
Source: SEMI, TEL, The Industry Cleaning Association of China, Nomura research

Consequence. As China cannot buy EUV or freely add advanced DUV capacity due to geopolitical reasons, multi-patterning is applied across more layers and on more wafers than anywhere else. This is the largest structural driver of etch and deposition demand in China, and it also lifts cleaning (residue/defect control rises with each extra pass) and CMP (planarity for overlay-critical double patterning), in our view.

Aggressive memory capacity expansion in China, strong etching and deposition demand to continue

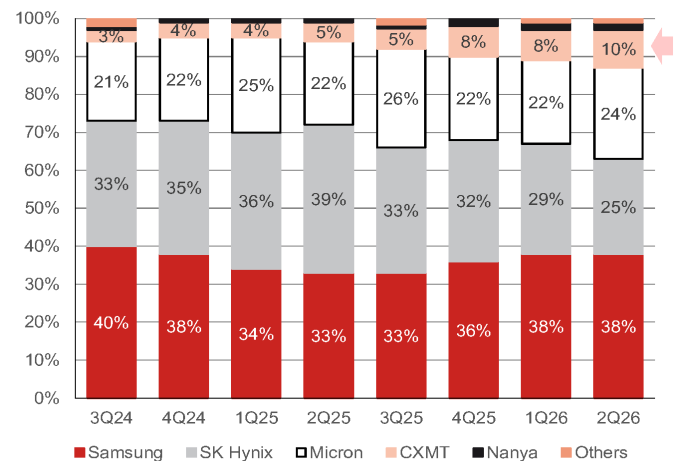
The two major Chinese memory makers, YMTC and CXMT, are the two largest customers of AMEC and Piotech, and also among the top 5 customers of NAURA and ACM Research. The capacity expansion plans for the two memory makers are aggressive, and the process advancements are also fast. According to Counterpoint, the global market of YMTC in terms of NAND revenue has risen to 14% in 2Q26 (from 11% in 2Q25), and the global market share of CXMT in terms of DRAM revenue has risen to 10% (from 5% in 2Q25), quickly gaining market shares.

Fig. 39: Global NAND revenue market share



Source: Counterpoint, Nomura research

Fig. 40: Global DRAM revenue market share



Source: Counterpoint, Nomura research

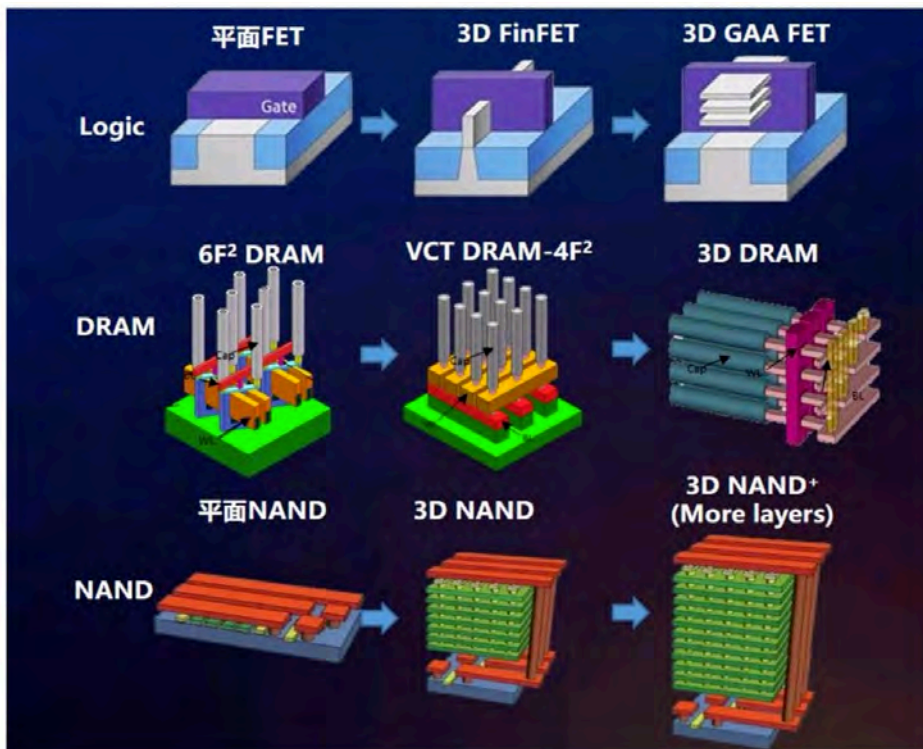
Fig. 41: Known capacity expansion plans from YMTC and CXMT

Company	Project	Location	Status & timeline	Target capacity (kwpm)	Investment & funding	Product focus	Remarks
YMTC	Wuhan Phase 3 (Fab 3)	Wuhan East Lake HTP2 (Future 3rd Road), Hubei	Groundbreaking Sep 2025; building topped out Jan-Feb 2026; tool move-in, hook-up and commissioning underway; process-tool tendering from May 2026. Initial production targeted for H2 2026, pulled forward from the original 2027 plan.	100 design; 50 by 2027	Registered capital CNY20.72bn: YMTC 50.19% (CNY10.4bn) / Hubei Changsheng Phase III 49.81% (CNY10.32bn); the latter one owned by Optics Valley Financial Holding 40%, Jiangcheng Industrial Fund 40% and Yangtze River Industrial Investment 20%.	3D NAND on Xtacking 4.0 (294L+); some lines may be switched to DRAM, with HBM to be co-developed with domestic OSAT partners	Takes group capacity to c.300 kwpm at full ramp. Domestic tool share >50% overall and >60% in the core etch, deposition and inspection steps.
	Phase 4 and Phase 5 (two further fabs)	Wuhan, Hubei	Planned; disclosed in the May 2026 IPO tutoring filing. No start date announced.	Group total capacity to reach ~500	Not disclosed.	3D NAND / DRAM	Would lift YMTC to c.15% of global NAND supply and, on current trajectories.
CXMT	Hefei base - Phase 3 build-out	Hefei Xinqiao, Anhui	Ongoing. Phase 1 in mass production; Phase 2 construction from Jun 2021 and now largely transferred to fixed assets; Phase 3 to follow.	~360 at full three-phase build-out	Hefei CXMT IC manufacturing base: total >CNY220bn, of which the "12-inch memory wafer manufacturing base" ~CNY150bn. Phase 1 CNY16.0bn, with Hefei Industrial Investment providing CNY14.4bn (80%).	DDR5 / LPDDR5X, with HBM conversion on part of the line	The 'Hefei model' of state-capital-funded industrial incubation is now being replicated by Beijing and Shanghai.
	Shanghai super fab	Pudong, Shanghai	Construction started Mar 2026; equipment installation scheduled for 2H26; production from 2027 and full output in 2028.	~100 per phase;	Two phases; Investment ~CNY34.50bn	DDR5, LPDDR5X and HBM3; the high-end product mix	Long-term project; would take group capacity beyond 600 kwpm if fully built.
	Shanghai HBM packaging & test fab	Shanghai	Production previously guided to mid-2026, may delay to end-2026	~50 HBM packaging	Investment ~CNY17.1bn (c.US\$2.35bn)	HBM die stacking and advanced packaging	N/A
	Beijing E-Town Fab 2	Beijing E-Town (Yizhuang) alongside the existing Beijing fab	Early stage. Site selected; financing discussions underway with the Beijing E-Town authority and several state-owned technology investors.	N/A	N/A	Advanced DRAM	N/A

Source: Company data, Nomura research

We believe technology advancement will create additional demand for deposition. Different from logic process structures, both DRAM and 3D NAND, require more etching and deposition (especially high-aspect-ratio etching, PECVD and ALD) instead of high-end lithography tools because of their unique structure and design.

Fig. 42: Difference between technology advancement in logic, DRAM and NAND



Source: AMEC, Nomura research

3D NAND is a vertical memory architecture in which memory cells are stacked in the vertical dimension rather than scaled horizontally. It consists of a tall columnar structure (a string of serially-connected charge-trap transistors) formed by etching an extremely high-aspect-ratio (HAR) channel hole through a thick alternating stack of dielectric layers (typically SiO₂/Si₃N₄), which is subsequently filled with a poly-Si channel, tunnel oxide, and charge-trapping nitride with multiple deposition steps. In the mainstream process flow, hundreds of silicon oxide and silicon nitride layers were formed using deposition (ONON stacking), and then the sacrificial nitride layers are later selectively removed through word-line slit trenches and replaced by metal gate stacks (W with TiN barrier; or latest roadmap with Mo) using highly conformal deposition, while staircase structures at the array edge step down the word-line planes to enable peripheral contact.

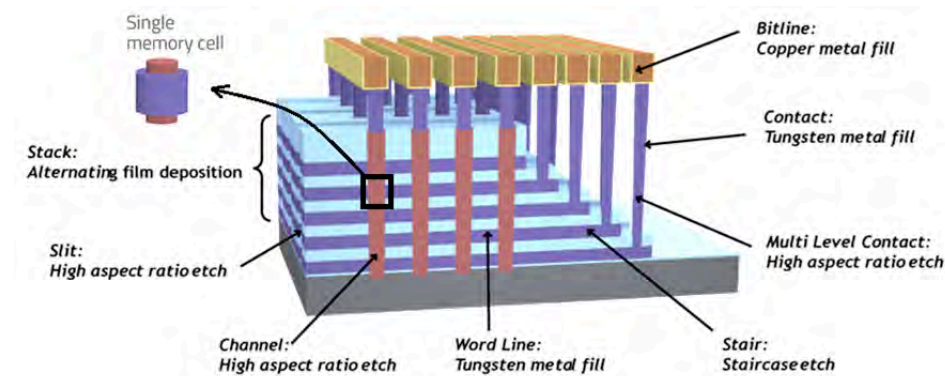
Within this flow, etching and deposition are the two most critical and value-intensive process steps.

- High-aspect-ratio (HAR) etch defines the channel hole (aspect ratios exceeding 100:1 and heading toward 140:1), the word-line slits, and the staircase;
- Deposition, from the initial ONON-stack layering, to the highly conformal channel/bottom-oxide films, to the ALD-based TiN/W gate fill. It determines string uniformity, threshold-voltage distribution, and ultimately yield.

The etching equipment capex share in a 3D NAND rises from ~35% at 32 layers to ~48% at 128+ layers, and HAR-related process cost climbs from ~20% at 64 layers to ~35% at 400+ layers. Usually, each incremental 100 layers raises the etch process steps by roughly 30% and doubles per-tool process time, while aspect-ratio-driven challenges (channel hole bowing, twisting, and incomplete bottom etch, plus film conformality loss and wafer bow from stack stress) demand for higher-quality etch and deposition tools.

The deposition share of equipment capex has risen from ~18% in 2D NAND era to ~26% in the 3D era, and keeps climbing as layer counts and aspect ratios increase. Deposition and etching together are the two largest front-end equipment categories. The alternating oxide/nitride (ONON) stacking is the biggest process load, accounting for most of total fab processing time and more than ~35% of 3D NAND equipment value. As each layer adds one oxide and nitride deposition step, the deposition step count scales roughly linearly with layer count (for example, moving from 64 to 232 layers roughly triples deposition steps). Further, ALD is increasingly required for conformality in narrow, deep features, and more sophisticated metal CVD or ALD for wordline fill.

Fig. 43: 3D NAND structure and etch & deposition required



Source: Lam Research, Nomura research

DRAM is built on the 1T1C (one-transistor-one-capacitor) architecture, in which each bit consists of an access transistor and a storage capacitor, arranged in a repeating array. In modern manufacturing, the array is formed through a tightly interleaved sequence: (1) shallow-trench isolation (STI) patterning of active areas; (2) buried word-line (bWL) trenches etched into the silicon and refilled with metal gates; (3) bit-line contacts and bit lines running perpendicular to the word-lines; and (4) the storage capacitor (the most demanding feature), realized either as a deep-trench capacitor (old technology) or as a high-aspect-ratio cylindrical cell (current mainstream).

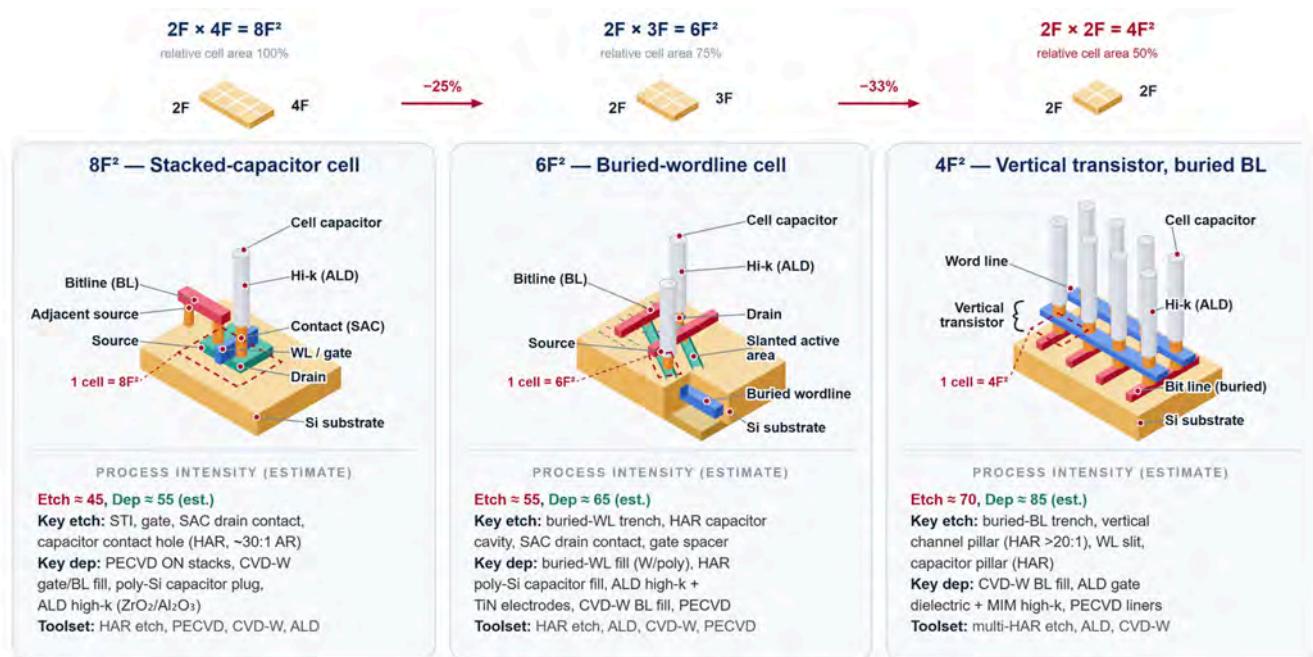
Etching and deposition dominate DRAM manufacturing cost and difficulty. Capacitor construction is a combination of PECVD steps, high-aspect ratio etch, and ALD steps:

- PECVD used for the deposition of sacrificial layer and structure layer (typically SiO_2 / Si_3N_4);
- Capacitor-hole etching, with aspect ratios already above 50:1 and approaching 80:1 or even 100:1 at leading nodes, plus active-area, buried-word line, and contact etch, constitute the largest single etch burden in the memory industry;
- Capacitor itself is essentially a deposition-built structure, requiring ultra-conformal ALD of TiN electrodes, atomic-layer high-k dielectrics, and void-free fills. Any pinhole or thickness non-uniformity will directly translate into retention loss and yield failure.

DRAM production line capex usually spends 25-30% for etch, and ~25% for deposition (combined >50%). Looking forward, DRAM faces two simultaneous scaling vectors: (1) process-node scaling (the xyz-nm dimension: 1xnm, 1ynm, 1znm, 1anm, 1bnm, 1y/10

nm), where each generation tightens critical dimensions, requires EUV for key layers, and pushes capacitor aspect ratios and etch selectivity; and (2) cell-topology scaling ($8F^2$, $6F^2$, $4F^2$), transitioning from the relaxed $8F^2$ layout to the current mainstream $6F^2$ arrangement, and ultimately toward the $4F^2$ limit. Each vector compounds etch/deposition demand.

Fig. 44: DRAM cell topologies evolution — $8F^2$, $6F^2$, $4F^2$



Source: Samsung Electronics, Nomura research

3D NAND stacking driving high-aspect ratio etch and ALD

YMTC and its peers are moving from ~ 128 -layer towards 200/300/400+ layer stacks. Each added tier requires one more cycle of ONON (oxide/nitride or oxide/polysilicon) deposition, one more staircase etch, one more wordline metal fill, and more CMP and cleaning. The key processes include **high-aspect-ratio (HAR) etch** and **atomic-layer deposition (ALD)**.

The channel hole is the hardest feature in the fab: for 300+ layers the required aspect ratio reaches **90:1 to 140:1**, and both NAURA and AMEC have announced 90:1 HAR-etch capability, with AMEC targeting 140:1 high ratio.

ALD, featuring high uniformity and conformity, precision control of deposition thickness, and low defect rate, mainly used to deposit ultra-thin film in 3D structure. NAND is the second-largest application of ALD, with $\sim 25\%$ of ALD capacity. The wordline metal transition from tungsten to molybdenum (adopted by Samsung [005930 KS, Buy] and SK Hynix [000660 KS, Buy] for 300+ layer parts) further entrenches ALD, since Mo fills high-aspect-ratio structures only via ALD.

Why it matters for China specifically. Export controls block China from buying the newest Lam Research and TEL HAR-etch and advanced deposition tools for memory. Domestic vendors (NAURA, AMEC and Piotech) are therefore not just selling into growth, but also are selling into a substitution market, especially in newly-built production lines, which accelerate qualification and volume.

Fig. 45: China major high-aspect-ratio (HAR) etch players (estimated 2025 market share)

	AMEC	NAURA
Market share in China	25-30%	23-28%
HAR technology capability	CCP dielectric etch core; 60:1 in HVM → 90:1 / 100:1 under dev; ALE at pilot	ICP + CCP dual platform; 60:1 (domestic standard) → 90:1 readying
Key applications	3D NAND channel hole / staircase; 5nm logic CCP dielectric etch; TSV	Logic silicon etch; memory; SiC/GaN power-device etch
Role in the market	Domestic leader (CCP dielectric HAR closest to int'l)	Platform leader (ICP strength); #1 domestic etch by revenue
Key facts and remarks	Entered YMTC 232-layer NAND line; 2024 3D NAND deliveries +137%	14nm CCP in HVM; >60% share in SiC/GaN etch; ~45% share of CXMT/YMTC buys
Major global competitors	Lam Research: ~30% market share; global HAR/ALE dominance, #1 in China; Tokyo Electron: 10-12% market share; ICP core + dielectric HAR; Applied Materials: 8-10% market share;	

Source: Company data, Nomura research

Fig. 46: China major ALD players (estimated 2025 market share)

	Piotech	NAURA	Leadmicro
Market share in China	~5%	~6%	~6%
ALD technology capability	PE-ALD + Thermal-ALD dual route (SiO ₂ /SiN/SiCO + TiN/Al ₂ O ₃ /AlN)	PE-ALD + thermal ALD; Polaris A series (high-k)	Thermal + PE-ALD; iTomic series
Key applications	3D NAND dielectric; DRAM; advanced packaging / 3D integration	High-k gate dielectric (advanced logic)	High-k gate dielectric; DRAM capacitor; low-temp ALD for advanced packaging
Role in the market	PECVD leader; ALD as secondary line	Platform player; ALD late-entrant	#1 domestic ALD by revenue
Key facts and remarks	2025 ALD rev CNY301m (+191.8%); 10-15% share at YMTC/CXMT (domestic); first TiN validated	Late entrant to ALD; focused on high-k materials	Domestic High-k ALD in front-end production; 2025 semi ALD rev CNY881m (+169%)
Major global competitors	ASM International: 25-30% market share; global ALD leader, #1 in China; global market share ~20%; Tokyo Electron: 15-20% market share; Thermal + PE-ALD; Applied Materials: 15-20% market share; >60% share in metal-gate ALD (HKMG); Kokusai Electric: 8-10% market share; leading in batch ALD; AMEC: ~2% market share; emerging in the field; Tungsten ALD and metal-gate ALD;		

Source: Company data, Nomura research

We believe aggressive 3D stacking, coupled with current strong demand in NAND driven by AI, will likely drive more demand for HAR etch and ALD. Note that this is already on top of the extra demand brought by multi-patterning. Hence, together they require even more etching and deposition capacity.

3D integration and hybrid bonding: The bonder + CMP + cleaning pull

As logic and memory scaling slow, the industry (China in particular, given its lithography ceiling availability issue) is turning to stacking as the growth path, such as 3D NAND (already stacked), HBM (stacked DRAM), and logic-on-logic / logic-on-memory chiplet integration. One of the enabling technologies is **hybrid bonding**, usually categorized into wafer-to-wafer (W2W) and die-to-wafer (D2W), which fuses copper pads with dielectric at room temperature with no microbumps, achieving a pitch below 5µm.

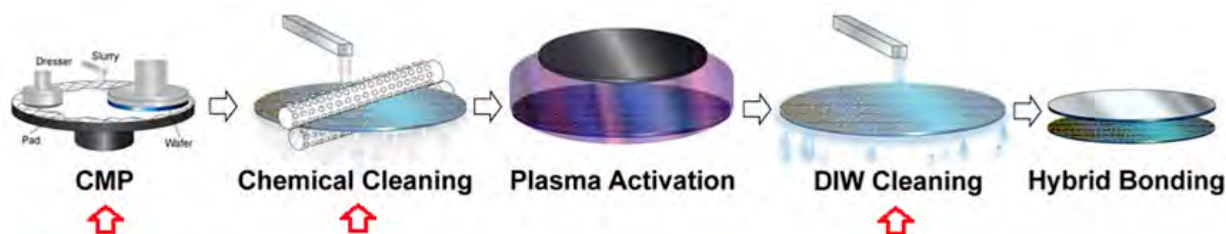
Why hybrid bonding is needed? As computer chips get smaller and more powerful, the traditional way of connecting stacked chips hits a physical wall. Hybrid bonding resolves these critical problems. First, solder bumps have trouble shrinking any more. Traditional microbumps can only shrink down to a pitch of around 10-20µm. Too small pitch would push them closer together, resulting in solder melting and bridging together, causing electrical short circuit. Hybrid bonding does not use solder, allowing connections to be packed closer than 1µm apart. Secondly, by eliminating physical bumps, it allows chipmakers to place up to millions of connections inside a single square millimetre, up to 16x more dense than traditional methods. Moreover, it also requires lower power and allows better battery heat control.

Currently, the major use cases of hybrid bonding include advanced CIS, AI & HPC, next generation HBM, and ultra-dense 3D NAND. **Advanced CIS** was one of the earliest high-volume uses for hybrid bonding. Sensor makers like Sony (6758 JP, Buy) and Samsung (005930 KS, Buy) use it to fuse the pixel layer perfectly flush against the digital logic layer, allowing phone cameras to capture high-resolution pictures and process data instantly. At **AI and HPC** fields, the penetration of hybrid bonding is growing fast, widely

deployed for elite, high-end server processors and AI accelerators. Major foundries like TSMC (2330 TT, Buy) and Intel (INTC US, Not rated) are ramping up capacity to enable logic-on-logic and memory-on-logic 3D stacking. Huawei's Law of Tau introduced its Logic Fold method, improving chip performance using 3D stacking, which also adopts hybrid bonding. **3D NAND flash** adoption of hybrid bonding is also rising. China's YMTC has been the pioneer, using its "Xtacking" hybrid bonding method since 2021. With the industry pushing the layers up to 300-400, processes could cause severe physical warping; hence, makers are actively rolling out hybrid bonding architectures. **HBM** now has low penetration for the adoption of hybrid bonding. HBM3e and the upcoming 12/16-Hi HBM4 are heavily relying on mass reflow (MR) and thermal compression bonding (TCB). The industry is eyeing for the volume adoption of hybrid bonding in 2028 or beyond, with HBM4E or HBM5, as increasing bandwidth and integration complexity make hybrid bonding necessary.

The hybrid bonding process is not just about the bonder; it is a process cluster that pulls in CMP, cleaning and inspection: the two surfaces must be planarized to sub-nanometer roughness before bonding, which requires additional CMP and ultra-clean surface preparation. Therefore, along with hybrid bonder, equipment like CMP (for planarization), cleaning (for ultra-clean surface), and inspection (process control, for alignment accuracy) are needed.

Fig. 47: Schematic of the hybrid bonding process flow



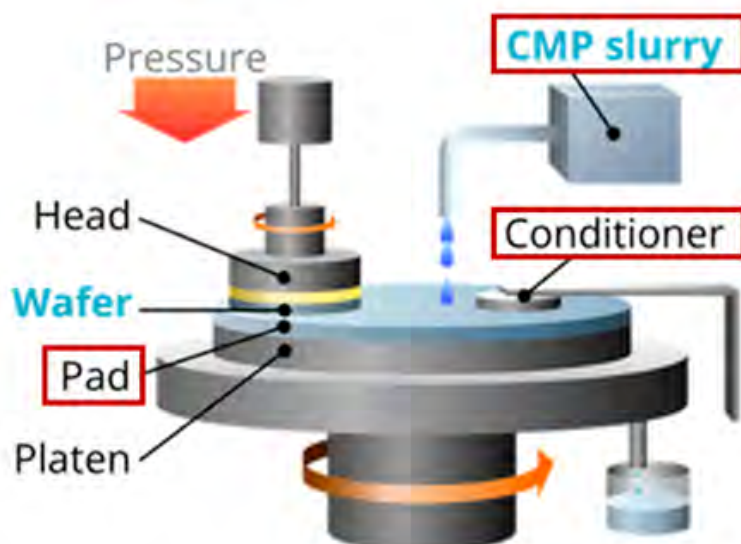
Source: ResearchGate, Nomura research

We believe China's limited availability of advanced WFE would provide impetus for more advanced packaging efforts, with The Law of Tau being an example. Hybrid bonding, as one of the most and highly-performance methods, is now being actively explored by leading Chinese chipmakers like Huawei and YMTC. We view this as an additional opportunity for CMP (Hwatsing Technology) and cleaning equipment (ACM Research and NAURA), and hybrid bonders (Piotech and NAURA).

CMP materials: domestic leaders gaining market share

Chemical Mechanical Planarization (or CMP) is a polishing process that utilizes chemical slurry formulation and mechanical polishing to remove unwanted conductive or dielectric materials on the silicon wafer, achieving a near-perfect flat and smooth surface upon which layers of integrated circuits are built. In the process equipment needed is CMP, which is dominated by Applied Materials and Ebara, with domestic players Hwatsing Technology and SIZONE Technology rapidly gaining market share. Main CMP materials include: CMP polishing pad, CMP slurry, Diamond Disc (or CMP conditioner), and post-CMP cleaning solution. We have analyzed the CMP material market in our Anchor Report, "*China semiconductor materials: CMP materials' import replacement to accelerate*" (published on 29 October 2020).

Fig. 48: CMP process



Source: Resonac, Nomura research

CMP slurry consists of abrasive particles and chemical components such as pH adjuster, dispersant, polymeric additives, oxidizer, and a passivation agent, depending on polishing purpose, to provide proper surface modification of material. According to different manufacturing and technology requirements, each wafer will go through multiple or dozens of CMP processes. The global CMP material industry has long been dominated by companies from the US and Japan.

Abrasive particles in the polishing slurry are essential for polishing, and the size of the particles used in polishing has shown to have impacted the rate at which material is removed from the surface. Common materials of abrasive particles in CMP slurries are silicon dioxide, tungsten, and copper. Tungsten CMP is generally used for the memory IC process, while copper CMP is widely used across IC categories.

Fig. 49: Major compositions of CMP slurry

Composition	Description
Abrasive particles	Abrasive particles are essential for polishing the metal surface. For polishing silicon and silicon-based materials, colloidal silica (silica gel) or other metal oxides such as ceria are typically used. Abrasive particles' size, concentration, and integration with other chemical materials all influence the polishing performance.
Oxidizer	The oxidizer is a substance that has the ability to oxidize other substances, facilitating mechanical polishing on the wafer.
Chelating agent	The chelating agent forms complexes with metal ions. A combination of the oxidizer and chelating agent would help to obtain a better passivation layer and high dissolution rate of the metal.
Corrosion inhibitor	The corrosion inhibitor is a chemical compound that decreases the corrosion rate of a material which comes into contact with the fluid. The CMP process can obtain perfect surface planarity, only if the concave surface of the wafer is properly protected from corrosion by the corrosion inhibitor
Surfactant	Surfactants are compounds that lower the surface tension, or interfacial tension, between two liquids. In the CMP process, surfactants can enhance the cleaning process.
pH adjustor	The pH adjustor is to adjust the pH of CMP slurry so as to improve the removal rate of the CMP slurry.

Source: Nomura research

The global CMP slurry market is dominated by US and Japan companies. US player Entegris (including Cabot; ENTG US, Not rated) is the largest supplier with ~30% global market share, and even a bigger player in copper slurry field. Japan players Resonac (4004 JP, Buy) and Fujifilm (4901 JP, Buy) together holds another 30-35% market share, and followed by Versum (acquired by Merck; MRK DE, Not rated) and Fujimi (5384 JP, Neutral). The top 5 suppliers together takes up 70-80% of the global market share. Domestic players are growing quickly, with Hubei Dinglong (300054 CH, Buy) and Anji Microelectronics (688019 CH, Buy) gaining market shares.

CMP pad is an innovative tool used in the CMP process for semiconductor manufacturing, especially after the PVD (physical vapor deposition) process. The CMP

pad is made of a loose and porous structure that comprises a matrix consisting of fibers. The polishing pad surface has voids in which slurry flows during chemical mechanical polishing of substrates. The debris formed during the chemical-mechanical polishing of substrates is temporarily stored for subsequent rinsing. The CMP pad helps in applying the CMP slurries evenly on wafers and improve the stability and efficiency of planarization. CMP pads are consumable materials, with normal usage life of 45-75 hours. Memory chips are the largest downstream applications of CMP pads.

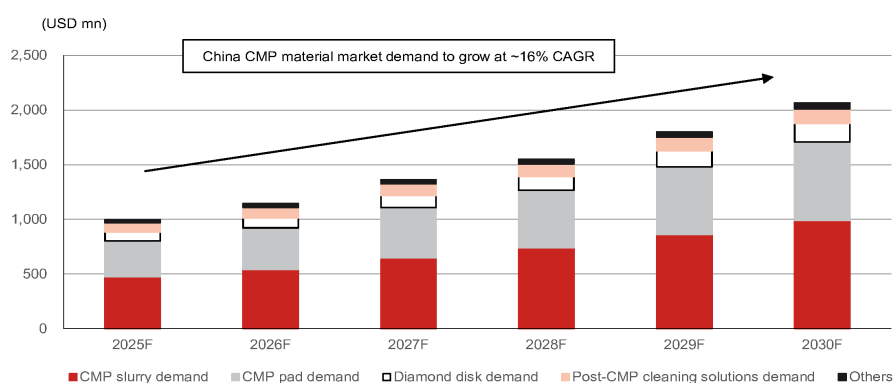
Diamond disk, or called **CMP conditioner**, is used to scrape the pad surface for next use. During the CMP process, the pad surface becomes smooth and glazed due to mechanical compression from wafer contact and the particle and chemical buildup from slurry residues, reducing pad roughness and slurry flow, leading to lower removal rates and the risk of non-uniform polishing. Therefore, CMP pads need to be reconditioned continuously to extend their useful life. The pad conditioner (or diamond disk) would mechanically scrape the pad surface to reopen pores for slurry distribution, regenerate micro-asperities to restore surface texture, and remove glazed material.

Post-CMP cleaning solutions are required after the CMP process to remove residual slurry, abrasive particles, metal ions, and organic chemicals from semiconductor wafers without damaging delicate multi-material surfaces.

CMP process increasing with process node advancement. As IC manufacturing processes revolutionize and become more complicated, the demand of CMP materials is also increasing. For example, 65nm node technology needs 10 steps of CMP process, while 14nm requires ~22 steps of CMP process. The 7nm manufacturing technology needs 24-30 steps of CMP process. The actual step count will vary across different platform and different manufacturing know-how, but the trend is similar: CMP step count increases with process node advancement.

China CMP material market demand expectation. Based on our China fab capacity estimates in our China WFE TAM model, and average utilization rate assumption, we estimate China's silicon wafer demand to be ~34mn wafer (12-inch equivalent). We forecast China silicon wafer shipments to record a ~12% CAGR over 2025-2030F, reaching ~59mn 12-inch equivalent wafers in 2030F. Hence, we estimate China's CMP material market size to be around USD1.0bn in 2025, and the demand to record ~16% CAGR in 2025-2030F, driven mostly by domestic capacity expansion (led by memory makers and advanced process), partially offset by ASP down (domestic supplier usually come with lower pricing).

Fig. 50: China CMP material market demand estimates



Source: Nomura estimates

We believe China players are in a share gain story. We estimate the current self-sufficiency rate of CMP slurry in China to be 30-40%, with advanced process lower than 5% and mature process higher than 50%. Anji Microelectronics is a domestic leader in the field, with market share increasing to ~13% in 2025 (from ~7% in 2022, ~11% in 2024; TECHCET data). Hubei Dinglong is also catching up. For CMP pad, we estimate China's self-sufficiency rate to be around 40-45%. Hubei Dinglong is a domestic market leader, with a market share of ~38%, but accounts for over 80% of domestic-supplied pads, covering most of the domestic fabs and IDMs.

We maintain our positive view on **Hubei Dinglong (300054 CH, Buy)**, as: (1) CMP pad

shipments are at record highs; (2) broadening of slurry pipelines; and (3) likely accelerated domestic photoresist substitution. Key risks are: slower ramp-up of ArF/KrF order conversion; and goodwill or integration risk from the lithium materials company acquisition.

We also like **Anji Microelectronics (688019 CH, Buy)**, given: (1) incremental pull-ins from growing CMP step count; (2) advanced-node exposure; and (3) ongoing in-house abrasives likely supporting to record 55-58% gross margin in 2026-28F. Key risks: ultra-high-purity silica sol remains dependent on Fuso (4368 JP, Not rated), rising competition from Dinglong (300054 CH, Buy), and fab-led vertical integration.

Localization and import substitution: the persisting long-term trend benefiting Chinese vendors

As discussed earlier, China's self-sufficiency rate (SSR; or localization rate), by sales market share, was around 26-27% in 2025, with differences across segments. Considering current availability limitation of getting advanced tools from overseas leaders for China domestic fabs, we believe the localization trend will continue to increase and will be a persisting long-term trend. We believe this is only a China-specific demand increment.

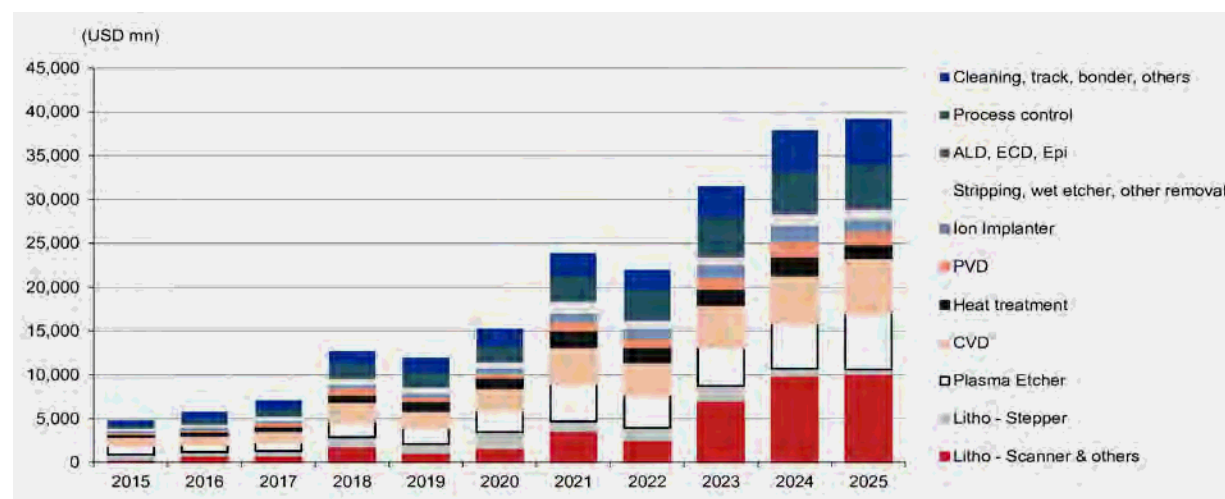
Fig. 51: China WFE self-sufficiency rate (localization rate) by segment

Equipment type	Self-sufficiency rate (2025)	Leading domestic player in the field
Stripping	80-90%	E-Town Semi (a.k.a. Mattson), NAURA
Etching	50-60%	AMEC, NAURA, E-Town Semi (a.k.a. Mattson)
Heat treatment	50-60%	NAURA, E-Town Semi (Mattson), CETC division 45
Cleaning	40-50%	ACM Research, NAURA, PNC
CMP	35-40%	Hwatsing Technology, SIZONE Technology
Deposition	25-30%	NAURA, Piotech, AMEC, CETC division 45 & 48
Ion implantation	~20%	NAURA, Kingstone, CETC
Track	~10%	KingSemi, ACM Research
Process control	~10%	Skyverse, Jingce, RSIC
Lithography	1-2%	SMEE, Shanghai Yuliangsheng, Aishengna, CETC division 45

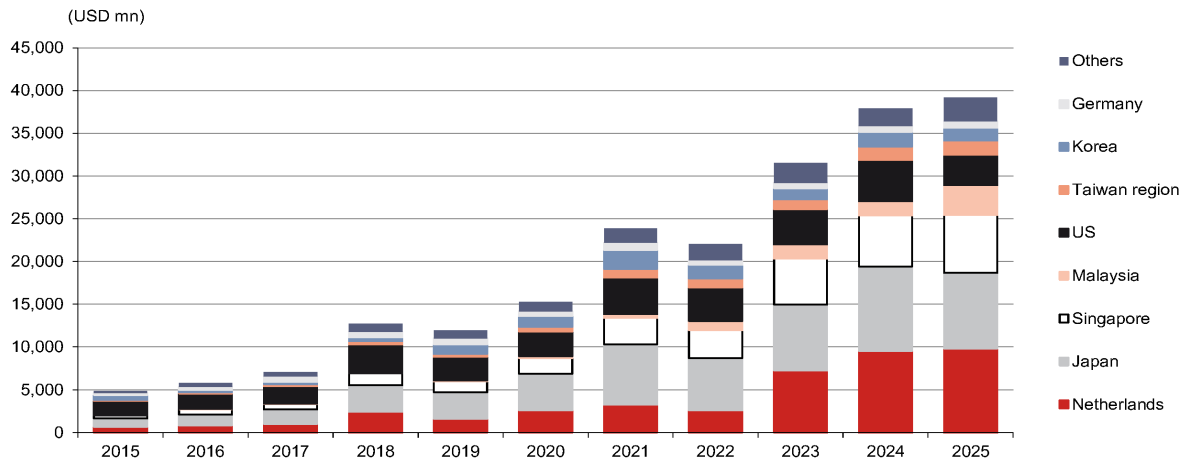
Source: Company data, Nomura research

China's imports for semiconductor front-end equipment, according to PRC Customs data, were at USD39.2bn in 2025, a growth of 3%. The number looks higher than our WFE TAM estimate (90% of our WFE TAM, vs our estimate of overseas players' share of ~74%). This is mainly due to: (1) domestic goods re-importation (or the "Bonded Zone one-day trip") where domestic products go through the bonded zone to comply with regulations and claim export tax rebates; (2) some pre-emptive stockpiling and lead time differences, resulting in import value recorded, but capex is only partially recorded; and (3) double counting of components and full systems because the import value usually includes parts and accessories specialized for the equipment.

Fig. 52: China import value of semiconductor front-end equipment by category (in USD)



Source: PRC Customs Statistics, Nomura research

Fig. 53: China import value of semiconductor front-end equipment by region (in USD)

Source: PRC Customs Statistics, Nomura research

The import mix, similar to market share, is highly concentrated and dominated by Western and Japanese suppliers. In 2025, the Netherlands alone accounted for 28% (~USD9.8bn), with a large portion to be ASML lithography tools; other major regions include: Japan ~25% (Tokyo Electron, Canon, Nikon, Kokusai, SCREEN, DISCO, Advantest and Lasertec); Singapore ~16% (ASMPT, plus Applied Materials, KLA and ASML plants); the US ~6% (Applied Materials, Lam Research and KLA); Korea ~4% (SEMES, Hanmi, KCTech and AP Tech).

Fig. 54: China's major SPE import regions and important suppliers

Region	2025 share	Primary vendors, sites, equipment types
Netherlands	~28%	ASML: HQ in Veldhoven (EUV & DUV lithography final assembly) — EUV (TWINSCAN NXE series, high-end DUV (NXT:1980Di immersion scanners).
Japan	~25%	Tokyo Electron: Yamanashi/Tokyo — track, etch, clean, CVD); SCREEN: Kyoto — cleaning; Kokusai Electric: Hitachi — ALD, furnaces; Canon: Hachioji — KrF/i-line steppers; Nikon: Yokohama — KrF/ArF dry scanners; DISCO: Tokyo — dicing, grinding); Advantest: Tokyo — SoC/memory testers;
Singapore	~16%	ASMPT: HQ in Singapore — advanced packaging: TCB bonder, wafer-level molding, hybrid bonder, SMT; Applied Materials: Singapore plant — PVD/CVD/CMP/inspection assembly; KLA: Singapore plant — defect inspection, metrology; ASML: Singapore — e-beam inspection, YieldStar;
Malaysia	~10%	Lam Research: Penang / Bayan Lepas — etch chambers, CMP subsystems, wafer-handling modules; Besi: advanced packaging; Advantest: Penang site — SoC/memory testers;
US	~6%	Applied Materials: Santa Clara, CA HQ — PVD/CVD/etch/CMP/inspection, full front-end; Lam Research: Fremont, CA — etch, CMP, clean; KLA: Milpitas, CA — inspection, metrology, e-beam;
Korea	~4%	SEMES: Samsung subsidiary — HBM tools, cleaning, coaters-developers, single-wafer wet; Hanmi: advanced packaging KCTech: test handlers, probe stations; AP Tech: (chemical cleaning);

Source: PRC Customs Statistics, Company data, Nomura research

Domestic vendors grow faster than the underlying equipment market, because they not only capture a rising slice of a growing pie, but also gain market share. Overall equipment localization rate in existing production lines was <20% in 2025 (installed base), while new-fab procurement hit 40-60% in the domestic market.

Combined with the technology drivers above, this creates a two-way demand picture:

- **Highest near-term revenue potentials:** etching, depositions (such as PECVD, SACVD, LPCVD, PVD, etc), cleaning, CMP, heat treatments.
- **Long-term growth potentials:** advanced deposition (such as ALD), Ion implantation, process control, track and hybrid bonding.

The reason why we didn't put lithography here is that the high-end litho system is the most difficult one in terms of hardware integration, and we believe the extremely-low localization rate would continue, with a modest increase in the near-future. In the next section we discuss the lithography in China.

Lithography in China: A potential constrain for fab capacity expansion; domestic lithography progress

Access to foreign DUV tools. China's leading-edge fab build-out is theoretically capped by lithography access. Under the current US-Japan-Netherlands trilateral controls, EUV has been embargoed since 2019, and the newest immersion-DUV systems have been progressively withdrawn. The most advanced scanner ASML may still ship to China is the TWINSCAN NXT:1980Di, a 2015-era ArF-immersion tool (193 nm, NA 1.35) with ≤ 38 nm single-exposure resolution, ≤ 1.6 nm single-machine overlay and 275 wafers/hour. The newer NXT:2000i / 2050i / 2100i (which make 5–7 nm multi-patterning practical) are blocked. Nikon's ArF-immersion tools (NSR-S636E/S635E, 38 nm) are likewise caught by Japan's 2023 controls, leaving ArF-dry (NSR-S333F/S322F, 65 nm) and KrF (NSR-S220D, 110 nm). Canon, which exited ArF long ago, can ship only KrF (FPA-6300ES6a, 90 nm) and i-line.

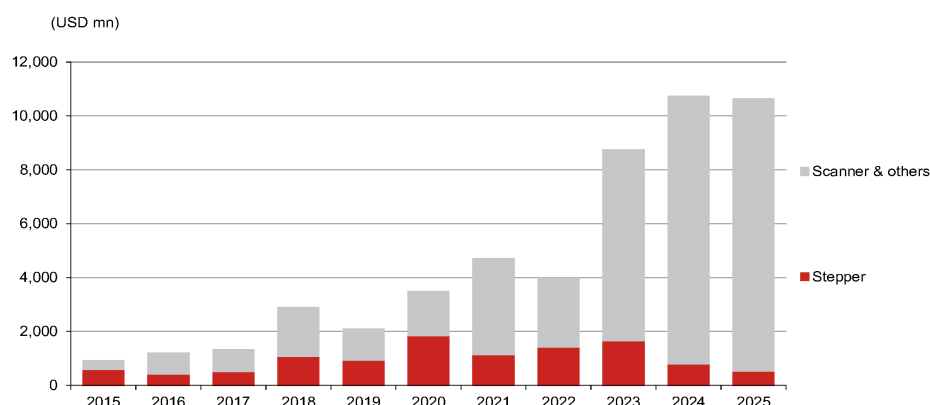
The practical ceiling is, therefore, ~ 7 nm logic. TSMC's first-generation N7 was built on 1980Di via multi-patterning; hence, the route technically exists, but at the cost of many more passes, lower throughput and worse yield, and the efficiency-enabling newer scanners are off-limits. The 2024 service ban also threatens the installed 1970i/1980i base. This is why China pre-emptively stockpiled. Lithography imports jumped from roughly CNY20bn in 2022 to CNY60-80bn in 2023–2024. Mature-node (28nm+) expansion remains feasible on 1980Di and dry/KrF tools, but leading-edge capacity adds are more significantly impacted by foreign tools' availability.

Fig. 55: Lithography system available for Chinese chipmakers by foreign vendors

Vendor	Model	Type	Resolution (single exposure)	Overlay	Throughput	Effective node
ASML	TWINSCAN NXT: 1980Di	ArF immersion (wavelength 193nm / NA 1.35)	≤ 38 nm	≤ 1.6 nm	275 wph	28nm; 7nm via multi-patterning
Nikon	NSR-S333F	ArF dry (wavelength 193nm / NA 0.92)	≤ 65 nm	≤ 4 nm	275 wph	65nm; 28nm via multi-patterning
Nikon	NSR-S220D	KrF (wavelength 248nm / NA 0.82)	≤ 110 nm	≤ 6 nm	≥ 300 wph	≥ 110 nm
Canon	FPA-6300ES6a	KrF (wavelength 248nm)	90 nm	≤ 5 nm	≥ 230 wph	≥ 90 nm
Canon	FPA-5550iZ2	i-line (wavelength 365nm)	350 nm	25 nm	~ 300 wph	$\geq 0.35 \mu\text{m}$

Source: Company data, Nomura research

Fig. 56: China import value for lithography tools by type



Source: PRC Customs Statistics, Nomura research

The import value for **steppers** (usually used in mature nodes and power devices, as well as advanced packaging) has recorded declines in the past two years (-35% in 2025, -51% in 2024), which we think could be a result of: (1) less aggressive mature nodes capacity expansion, and (2) Chinese players gained market share in low-to-mid-end lithography systems. Japan accounted for ~74% of import value in 2025, and the Netherlands accounted for ~22%. For **scanners** (used mainly for advanced logic process and memory process) and others, import value surged 178% in 2023 (likely due to stockpile before stricter export controls), and followed by two years of growth (+40% in 2024 and +2% in 2025). Netherlands have been taking the absolute majority share, accounted for 96% of the import value in 2025.

Domestic lithography has moved from paper specifications to first hardware. SMEE's SSX600 series (90nm-class dry ArF) is now in volume production (~50 units shipped in 2025, ~80% domestic market share), and its SSA800-10W/10i 28nm immersion DUV was delivered in 1H26 (overlay 2.3-2.5nm, >90% domestic content). Separately, Huawei-linked Yuliangsheng has undergone immersion DUV test at SMIC since September 2025 under the "Mount Everest" codename (early yield ~70%, benchmarked against ASML's 2008-vintage NXT:1950i). In mid-2026, Reuters identified Shanghai Aishengna Electronic Technology Group (unlisted), a state-owned entity (Shanghai Electric Holding and a Shanghai International Trust subsidiary) formed in August 2023 with CNY7bn registered capital, as the consolidator of domestic immersion-DUV production, having absorbed engineering teams from both SMEE and Yuliangsheng; it targets ~5 units in 2026 and ~20 in 2027, with first deliveries to SMIC, Hua Hong and CXMT, though key components still depend on Japanese suppliers.

On the EUV front, Huawei-affiliated SiCarrier (新凯来) (unlisted) is pursuing a laser-induced-discharge-plasma (LDP) route (versus ASML's LPP), and Shenzhen's experimental EUV prototype produced 13.5nm light in December 2025, a proof-of-concept, with 2028–2030 cited as the realistic window for any production use. SMEE's spin-off AMIES (芯上微装) has meanwhile put advanced-packaging lithography into volume production and is bringing dry-ArF into production testing.

Fig. 57: China's domestic lithography vendors' latest status

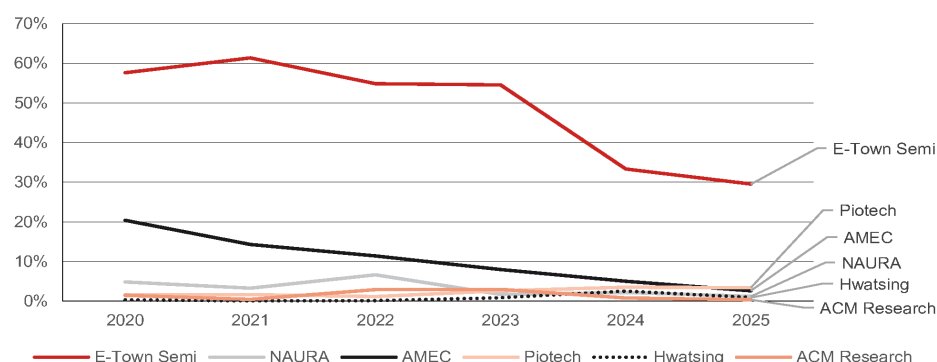
Vendor	Model	Capability	Status
SMEE	SSX600 series (ArF dry)	90 nm	Volume production (~50+ units per year)
SMEE	SSA800-10W/10i (ArF immersion)	28 nm; overlay 2.3-2.5 nm	Delivered in 1H26, validation ongoing
Yuliangsheng (宇量昇)	Immersion DUV (code "Mount Everest")	28 nm-class	SMIC testing since Sep 2025; early yield ~70%
Aishengna (爱晏纳)	Immersion DUV (consolidated teams from SMEE+Yuliangsheng)	28 nm-class	~5 units in 2026; ~20 units in 2027; first deliveries to SMIC/Hua Hong/CXMT
SiCarrier (新凯来)	EUV (LDP route)	Proof-of-concept	Prototype; light source revealed in Dec 2025; 2028-2030 HVM target
AMIES (芯上微装)	DUV ArF dry for advanced packaging	Packaging	Packaging in volume; DUV dry entering production test

Source: Company data, Nomura research

Are exports an extra opportunity for Chinese players?

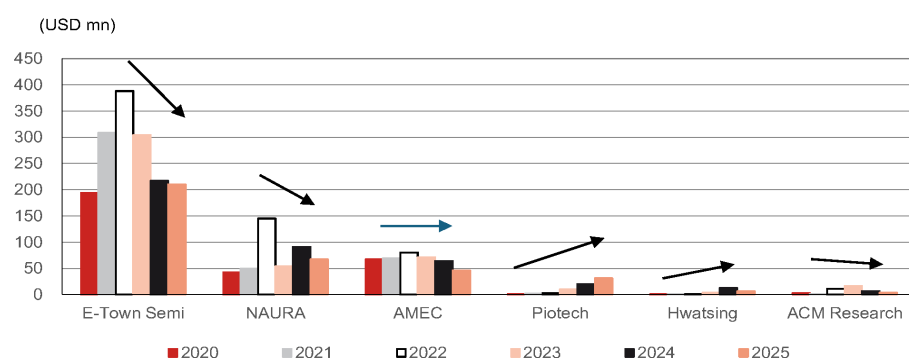
For most Chinese equipment vendors, exports or overseas businesses are not yet a meaningful opportunity, and the window of opportunity is narrowing. Among the major domestic equipment suppliers, E-Town (through acquired US subsidiary Mattson) generates a material share of revenue outside China (~30% in 2025). Others like NAURA, AMEC, ACM Research, Piotech and Hwatsing (688120 CH, Not rated) mostly derive well under 5% of revenue overseas, and the percentage is falling.

Fig. 58: Overseas revenue percentage of major Chinese equipment vendors



Source: Company data, Nomura research

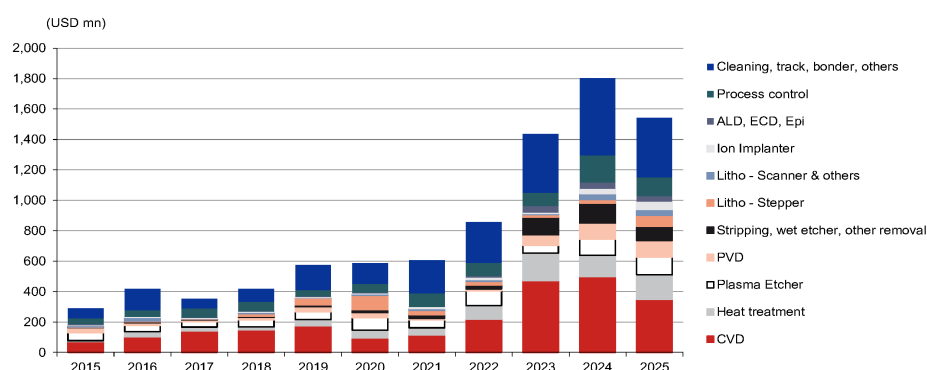
Fig. 59: Revenue from overseas businesses of major Chinese equipment vendors



Source: Company data, Nomura research

That being said, domestic brands have registered sizeable overseas sales in CVD and etching. This is the segment with a potential outbound story. China's CVD and etching equipment exports reached USD349m and USD116m in 2025, respectively (-30% and 9% y-y, respectively). Overseas revenue of Piotech has been increasing. But we believe in the short-to-mid-term, the domestic market is still the main focus for them, as equipment SSR is still low, yet the WFE market is growing.

Fig. 60: China export value of semiconductor equipment by equipment type



Source: PRC Customs Statistics, Nomura research

Fig. 61: Meaningful case that Chinese vendors in overseas customers

Vendor	Foreign customers or fabs	Installed base	Nature of the relationship
E-Town (Mattson)	TSMC, Samsung (the largest customer), Micron, UMC, Kioxia - covers the global top-10 chipmakers	Dry-strip #2 globally (~34% market share); RTP #2 (~14%) dry-etch among top-10	Held through the US Mattson entity. Samsung alone is 20-31% of revenue
AMEC	TSMC, Samsung, SK Hynix	5nm CCP etch passed TSMC validation (2018); 6,800+ CCP chambers across 137 lines	Supplier for leading equipment in TSMC; CCP dielectric etch at 5nm-and-below
ACM Research	SK Hynix (entered 2009)	Cleaning #4 globally (~8%); plating #3 (~8%)	Early SK Hynix win
NAURA / Piotech / Hwatsing	None material	-	Mainly domestic; NAURA global market share ranked #6, but revenue >98% in China

Source: Company data, Nomura research

The policy wall: risks of being shut out. For Chinese players, the key risk is political. The US has already placed most leading Chinese toolmakers (AMEC, NAURA, ACM Research, Piotech, SMEE, Kingsemi, PNC, etc.) on the Entity List, which blocks their access to US components and to US-aligned customers. The proposed MATCH Act (introduced in April 2026, still in draft) would go further: it targets “countries of concern” and would apply Entity-List-style treatment to ~15 named Chinese firms, including the toolmakers mentioned above plus SMIC, Hua Hong, YMTC and CXMT, covering installation, calibration, maintenance, software updates and training, and would extend to any foreign-made tool containing US content. Critically, it also names immersion-DUV and cryogenic-etch equipment, and compels the Netherlands and Japan to align.

This would introduce mounting uncertainties in major chipmaking regions worldwide:

- US: Intel and TSMC Arizona will not further adopt Chinese tools; the Entity List plus “default-denial” licensing on US-content equipment make it de facto impossible.
- Europe: the EU Chips Act favors EU and allied suppliers. Infineon, Bosch, STMicroelectronics, and TSMC Dresden have no Chinese equipment in their roadmaps.
- Japan: Renesas, Sony, Kioxia and TSMC Kumamoto do not source Chinese tools.
- Taiwan: TSMC, UMC and Powerchip are technically and geopolitically locked out of Chinese tools. AMEC’s Taiwan revenue is the residual legacy share and is shrinking.
- Korea: Samsung and SK Hynix buy Chinese tools only inside their China fabs (local-for-local strategy). Their home fabs and ACM Research’s Korea subsidiary face mounting export friction.

Despite headwinds in major chipmaking hubs, there are still export story in non-allied, cost-sensitive area (Russia, India, Southeast Asia, the Middle East) where etch and mature-node tools are competitive, but where unit prices are falling. This is a real but modest opportunity, and it does not change the strategic picture: growth for these companies mostly remains a domestic-substitution story.

US sanction and Entity List one of the key risks

The US sanction on Chinese equipment vendors is one of the key risks, on both component sourcing and overseas sales expansion. Most of the dominant Chinese WFE players are on the Entity List, including NAURA, Piotech, Hwatsing, E-Town, ACM Research (Shanghai), and NSIG’s Shanghai Zing, while AMEC is not named, and Dinglong and Anji have no list exposure at all. AMEC was once recorded on the DoD military-companies list in Dec 2024, but it won a lawsuit to have it removed from the list. Still, it lost its VEU status, and it is already being excluded from TSMC’s 2nm lines due to regulatory risk.

Being on the Entity List primarily affects a company’s capability of purchase. For equipment vendors, some critical parts are mainly coming from the US and Japan, including mechanical & motion systems, high-end valves, pumps, electrostatic chuck, and mass flow controller. The Entity List increases the difficulties and compliance costs of purchasing these components, and also introduces risks of being cut off.

AMEC is not on the Entity List, which should directly benefit its component sourcing. At

the same time, these lists also identify Chinese foundries, memory makers, and some IDMs, which are customers of these equipment vendors. The sanction exposure forces them to increase domestic equipment purchases in order for capacity and production expansion, which is a tailwind for equipment vendors. For example, YMTC is now buying over 50% of its domestic tool needs in 2026 vs ~20% in the past, and CXMT is buying 35-50% of domestic tools in 2026 vs 15-25% in the past. In addition, the MATCH Act (proposed April 2026; would extend controls to all DUV tools and to services/maintenance) and the Affiliates Rule (50% rule, scheduled to take effect on 10 Nov 2026, which would put unlisted subsidiaries of listed parties in scope) are two new sanction lists that are being discussed.

Fig. 62: Summary of Chinese equipment and material vendor US sanction status

Company	Segment	Entity List (BIS)	DoD 1260H / CMC	Military End User (MEU)	VEU (Validated End User) status	MATCH Act (proposed)	UVL (Unverified List)	Other
NAURA	Equipment (platform)	LISTED 2 Dec 2024: NAURA + 10 subsidiaries (incl. Beijing NAURA Microelectronics). Add'l designations Jun-Aug 2026.	No evidence of listing	No evidence of listing	N/A (not a prior VEU)	PROPOSED named in Apr 2026 MATCH Act equipment list.	No evidence of listing	N/A
AMEC	Equipment (etch, MOCVD, LPCVD)	NOT LISTED	REMOVED; originally added on 31 Jan 2024, removed on 13 Dec 2024 after litigation.	No evidence of listing	REMOVED from VEU on 2 Dec 2024 (with HHGrace & CR Micro)	PROPOSED named in MATCH Act	No evidence of listing	TSMC excluded AMEC tools from 2nm lines (customer-side, not a list)
Piotech	Equipment (CVD, bonder)	LISTED 2 Dec 2024: Piotech (+ subsidiaries). Re-designated Jun-2026.	No evidence of listing	No evidence of listing	N/A (not a prior VEU)	PROPOSED named in MATCH Act	No evidence of listing	N/A
ACM Research	Equipment (cleaning, ECP, furnace)	LISTED (subsidiary only) 2 Dec 2024: ACM Research (Shanghai) listed. US parent ACM Research NOT listed.	No evidence of listing	No evidence of listing	N/A (not a prior VEU)	PROPOSED named in MATCH Act	No evidence of listing	N/A
Hwatsing Technology	Equipment (CMP)	LISTED 2 Dec 2024: Hwatsing (+ subsidiaries).	No evidence of listing	No evidence of listing	N/A (not a prior VEU)	PROPOSED named in MATCH Act	No evidence of listing	N/A
Beijing E-Town / Mattson	Equipment (strip, RTP, etch)	LISTED 2 Dec 2024: Beijing E-Town Semiconductor Technology (parent). Mattson Technology (US subsidiary) NOT separately listed.	No evidence of listing	No evidence of listing	N/A (not a prior VEU)	NOT named in MATCH Act	No evidence of listing	Samsung / SK hynix & TSMC evaluating excluding Mattson from new lines (customer-side)
National Silicon Industry Group	Materials (silicon wafers)	LISTED (subsidiary only) 2 Dec 2024: Shanghai Zing (+ subsidiaries). Holding co. NSIG not separately listed.	No evidence of listing	No evidence of listing	N/A (not a prior VEU)	NOT named (MATCH Act targets equipment cos.)	No evidence of listing	N/A
Hubei Dinglong	Materials (CMP pads/slurry)	NOT LISTED	No evidence of listing	No evidence of listing	N/A	NOT named	No evidence of listing	OFAC compliance incident (not a list): filed Voluntary Self-Disclosure on 2 Jul 2026 regarding to ~USD1.3mn Iran USD sales.
Anji Microelectronics	Materials (CMP slurry)	NOT LISTED	No evidence of listing	No evidence of listing	N/A	NOT named	No evidence of listing	N/A

Source: Company data, Nomura research

Valuations for China WFE players: Premium to overseas peers amid market share gains

China equipment vendors generally trade at a higher valuation than global peers'. On a P/E basis, China names look expensive. Overseas peers in front-end equipment currently trade at 25-30x 2027E P/E, based on Bloomberg consensus estimates, while domestic players trade at 45x to over 100x 2027E P/E (but ACM Research only 27x 2027F P/E), with a notable premium. If based on EV/sales multiple, global leaders would trade at 2-10x 2027E EV/sales with an average of 5.7x, while domestic players are largely at 6-30x with an average of 14.5x. We think the main reason for the premium is: (1) stronger sales and earnings growth especially in China given their market share gains; and (2) the localization theme is boosting sentiment.

Fig. 63: Valuation comparison of global semiconductor equipment companies

Company	Stock Code	Nomura Rating	Stock Price (local currency)	Market Cap (USD mn)	2026F P/E (x)	2027F P/E (x)	2028F P/E (x)	2026F P/S (x)	2027F P/S (x)	2028F P/S (x)	2026F EV/Sales (x)	2027F EV/Sales (x)	2028F EV/Sales (x)
Overseas - Front-end focused													
ASML	ASML NA	Not rated	1,612.80	710,766	42.4	30.7	23.8	14.4	11.2	9.2	14.2	11.1	9.2
Applied Materials	AMAT US	Not rated	512.01	406,330	39.4	27.2	21.4	11.8	8.7	7.2	11.8	8.6	7.2
Lam Research	LRCX US	Not rated	323.86	405,286	34.2	27.2	23.0	11.6	9.7	8.6	11.6	9.7	8.5
KLA Corp	KLAC US	Not rated	196.53	256,776	35.9	28.7	23.9	14.1	11.7	10.2	14.2	11.8	10.2
Tokyo Electron	8035 JP	Buy	11,815.00	176,019	7.0	5.0	3.8	1.6	1.3	1.0	8.0	6.5	5.3
ASM International	ASM NA	Not rated	892.20	49,970	38.1	29.2	24.0	10.5	8.2	6.9	10.3	8.0	6.8
Canon	7751 JP	Buy	4,605.00	39,101	11.3	10.7	9.7	0.8	0.8	0.7	1.4	1.4	1.3
SCREEN Holdings	7735 JP	Neutral	14,540.00	17,658	23.1	17.8	14.9	3.7	3.1	2.7	3.4	2.9	2.5
Daifuku	6383 JP	Buy	5,729.00	13,853	26.3	21.4	19.0	3.1	2.6	2.4	2.7	2.3	2.1
Kokusai Electric	6525 JP	Buy	9,578.00	14,485	35.2	25.2	19.0	6.1	4.9	4.1	6.6	5.3	4.4
Nikon	7731 JP	Neutral	1,937.00	4,114	53.6	29.0	22.3	0.9	0.8	0.8	1.0	0.9	0.9
Axcelis	ACLS US	Not rated	128.69	3,974	31.3	24.4	15.6	4.5	4.0	3.2	4.1	3.7	2.9
Average - overseas front-end					31.5	23.1	18.4	6.9	5.6	4.8	7.5	6.0	5.1
Overseas - Back-end focused													
Advantest	6857 JP	Buy	34,260.00	159,653	37.0	29.9	23.7	13.9	11.6	9.9	14.0	11.6	9.9
Teradyne	TER US	Not rated	403.02	63,008	45.6	35.2	27.3	12.4	10.1	8.4	12.4	10.0	8.3
DISCO Corporation	6146 JP	Neutral	57,450.00	39,691	34.1	28.1	24.4	11.2	9.5	8.4	10.7	8.9	7.8
BE Semiconductor	BESI NA	Neutral	192.50	17,736	55.7	31.6	20.6	17.8	11.4	8.2	18.0	11.5	8.2
Hanmi Semiconductor	042700 KS	Not rated	256,500.00	18,063	78.7	50.7	42.3	32.6	21.3	18.1	32.5	21.2	18.1
ASMPT Limited	522 HK	Buy	160.00	8,553	48.0	40.9	n.a.	3.8	3.6	n.a.	3.7	3.4	n.a.
Kulicke & Soffa	KLIC US	Buy	93.72	4,904	41.8	35.2	n.a.	5.1	4.7	n.a.	5.0	4.6	n.a.
Average - overseas back-end					48.7	35.9	27.7	13.8	10.3	10.6	13.7	10.2	10.4
Domestic vendors													
NAURA	002371 CH	Buy	615.97	66,671	59.5	42.7	32.4	9.0	7.2	5.8	9.0	7.2	5.7
AMEC	688012 CH	Buy	318.55	45,509	64.8	96.4	72.4	15.6	13.4	10.1	15.3	13.2	10.0
Piotech	688072 CH	Buy	640.00	27,890	86.0	91.4	65.8	20.0	14.4	10.3	19.2	13.8	9.9
ACMR Shanghai	688082 CH	Not rated	294.28	21,299	76.0	55.3	41.6	16.7	12.4	9.6	16.0	12.0	9.2
Hwatsing Technology	688120 CH	Not rated	227.43	16,835	72.3	54.0	41.3	18.9	14.3	11.1	18.4	13.9	10.9
Skyverse Technology	688361 CH	Not rated	349.09	18,330	447.6	196.1	113.6	41.2	26.3	17.7	40.9	26.1	17.5
Huafeng Test & Ctrl	688200 CH	Not rated	374.00	11,219	82.5	60.8	46.7	38.1	27.4	20.7	37.0	26.5	20.1
Kingsemi	688037 CH	Not rated	327.27	9,865	375.7	158.3	92.2	26.8	18.6	13.3	27.2	18.9	13.5
E-Town Semi	688729 CH	Not rated	21.95	9,676	71.3	47.9	35.5	11.0	8.1	6.4	10.5	7.8	6.1
Fortune Precision	688409 CH	Not rated	170.10	7,769	151.6	93.5	60.1	10.3	7.0	5.2	10.8	7.4	5.5
Jingce Electronic	300567 CH	Not rated	184.03	7,679	178.7	97.4	60.5	11.9	9.1	7.3	12.9	9.9	7.9
Zhejiang jingsheng	300316 CH	Buy	35.88	7,008	36.2	32.3	n.a.	4.2	3.8	n.a.	4.1	3.8	n.a.
ACM Research	ACMR US	Buy	80.92	5,636	34.9	29.1	22.0	5.0	4.0	3.2	5.1	4.1	3.3
PNC Process Systems	603690 CH	Not rated	22.22	1,269	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Average - domestic					133.6	81.2	57.0	17.6	12.8	10.1	17.4	12.7	10.0

Note: Pricing as of 30 Sep 2026; Bloomberg consensus estimates for Not rated stocks

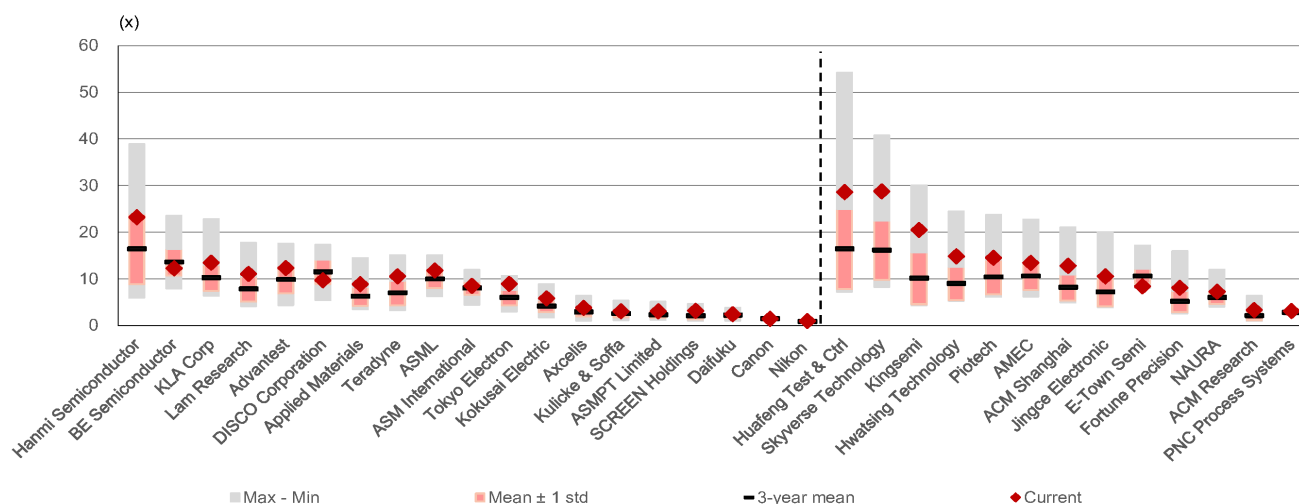
Source: Bloomberg Finance L.P., Nomura estimates

EV/sales as the main multiple

We choose **EV/sales** as our major valuation multiple to value Chinese SPE companies, mainly considering: (1) Chinese vendors are in mid-capacity ramp-up and high-R&D phases with profits weighed down by heavy investment and one-off items, so we believe earnings multiples overstate their relative value; and (2) the Chinese companies are now at sales expansion and market share-driven stages, where sales growth and market share gains are the main focus for them, especially with a localization theme.

EV/sales is a capital-structure neutral metric (EV includes net debt, so it is comparable across different leverage and tax regimes), and is less affected by depreciation, amortization and R&D capitalization policy. For cross-market, cross-lifecycle comparison of hardware companies, EV/sales is a clean proxy, in our view. But limitation is equally clear: it says nothing about profitability, so it should always be read alongside margin revenue growth.

Fig. 64: Horizontal comparison of EV/sales (blended forward 1 year) of major SPE companies



Source: Bloomberg Finance L.P., Nomura research

NAURA as a valuation benchmark for China WFE companies

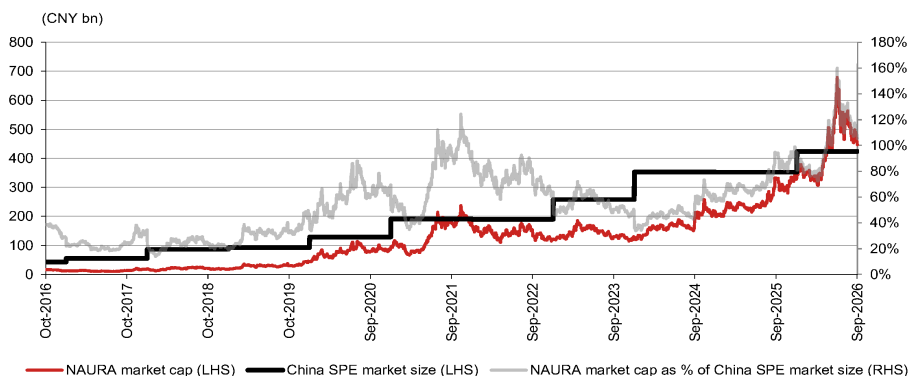
In our Anchor Report “*China SPE: The basis of Made in China 2025*” (published on 13 Jan 2020), we analyzed valuations of Chinese SPE vendors using NAURA as a reference basis.

In 2018, the market cap of Applied Materials (AMAT US, Not rated), one of the largest global SPE players, reached the level of the global SPE market size. Similarly in China, we think this makes studying NAURA’s market cap and the China SPE market size important. At the same time, we think this also makes NAURA a good reference point to value AMEC, Piotech, and ACM Research.

NAURA’s market cap as a percentage of China SPE market size has been largely increasing. Before 2020 the ratio was largely between 20% and 40%, and in the recent five years the ratio ranged from 40% to over 100%. The percentage ratio recently surged to ~120% (highest 160% appeared in Jul 2026).

As previously discussed, we forecast China WFE to be USD73.1bn/USD84.3bn in 2027F/2028F. As WFE accounts for ~80% of the SPE market, China’s SPE market size would be USD91.4bn/USD105.4bn in 2026F/2027F, equivalent to ~CNY630.4bn/~CNY727.0bn (USD/CNY FX assumed to be 6.90). If assuming 100% of the China SPE market size, NAURA’s market cap could be CNY630-727bn over 2026-27F (implying another 20-40% upside from current levels).

Fig. 65: NAURA’s market cap as a percentage of China SPE market size (10 years)



Source: Bloomberg, SEMI, Nomura estimates

Piotech and AMEC currently trade at more expensive valuations than NAURA, at ~13x and ~14x our 2027F EV/sales, respectively. We think Piotech and AMEC should continue to enjoy some valuation premium over NAURA given their technological edge (PECVD, Etching, 3D integration), higher exposure to memory makers, and their faster sales

growth expectation, which should also translate into higher EV/sales multiples. As for ACM Research listed on the NASDAQ, it has consistently traded at a discount to peers, even relative to its subsidiary ACM Shanghai (ACMSH, 688082 CH, Not rated), based on Bloomberg consensus. The market cap gap between ACMR and ACMSH is narrowing, so we could potentially see a re-rating for ACM Research.

Fig. 66: Forward EV/Sales trend: Piotech, AMEC trading at 75-100% premium to NAURA, while ACMR is at a discount

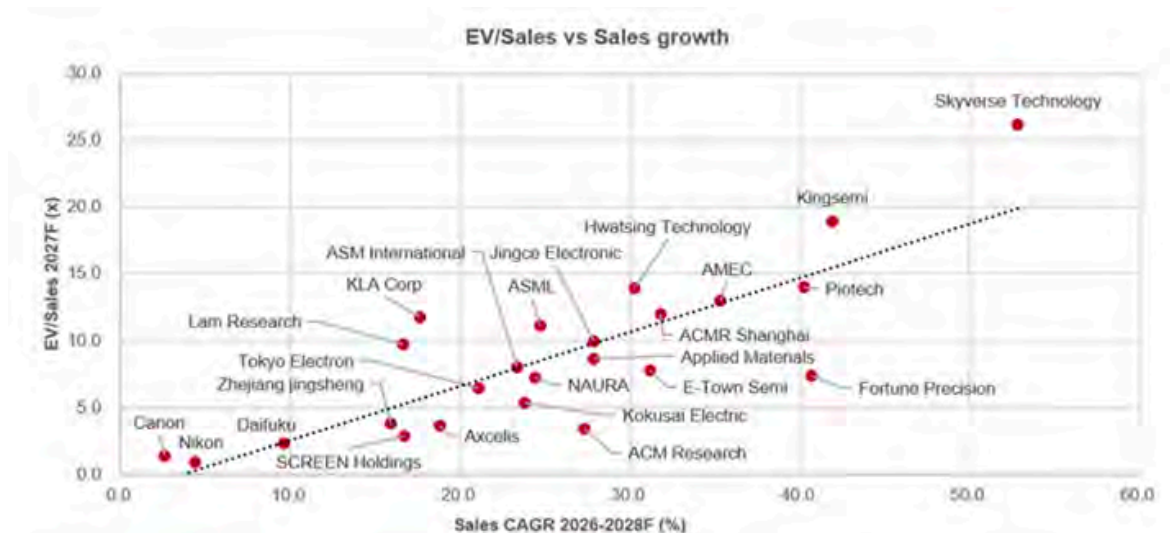


Source: Bloomberg, Nomura research

EV/sales read together with sales growth

If read with sales growth, we note that higher sales growth expectations usually come with higher valuations (EV/sales). Most prominent Chinese players are still trading at or below the fair value level (represented with the regression line), such as NAURA, ACM Research, and Piotech. AMEC is now near the fair value (but as discussed earlier, we expect the premium continue to exist).

Fig. 67: Global semiconductor equipment company EV/sales vs sales growth (3-year period)



Source: Bloomberg Finance L.P., Nomura research

Therefore, in this report:

- We initiate coverage on **Piotech (688072 CH)** with a **Buy** rating and target price of **CNY913.00**, based on **20.0x** forward EV/Sales and 2027F revenue forecast;
- We resume coverage on **AMEC (688012 CH)** with a **Buy** rating and target price of **CNY480.00**, based on **20.0x** forward EV/Sales and 2027F revenue forecast;
- We resume coverage on **ACM Research (ACMR US)** at **BUY** with a target price of

USD118.00, based on **6.0x** forward EV/Sales and 2027F revenue forecast;

- We resume coverage on **NAURA (002371 CH)** with a **Buy** rating and target price of **CNY900.00**, based on **10.5x** forward EV/Sales and 2027F revenue forecast;

We believe these dominant Chinese players, being the most direct beneficiaries of China's semiconductor localization trend, in our view, are gaining market share in relevant fields and growing at faster-than-industry pace, and rapidly catching up with global leaders in terms of technology capabilities. Our preference order is Piotech > AMEC > ACM Research > NAURA.

Silicon wafer upcycle has just started, in our view

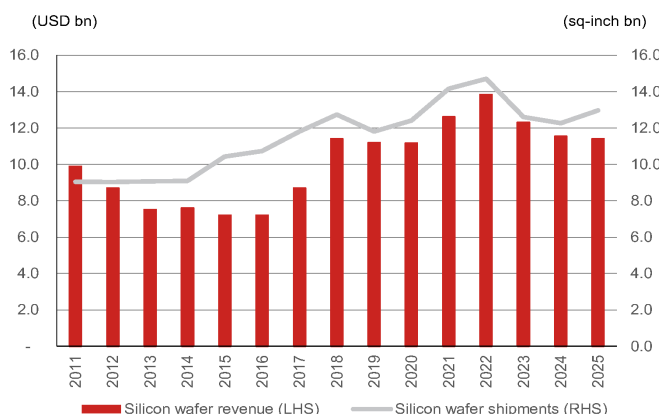
Silicon wafers are the single largest wafer-fabrication material, at roughly 35-40% of semiconductor materials usage, according to SEMI. The supply side is a genuine oligopoly, with the top-5 suppliers, Shin-Etsu (4063 JP, Neutral), SUMCO (3436 JP, Buy), GlobalWafers (6488 TT, Buy), Siltronic (WAF GR, Not rated), SK Siltron (unlisted), supplying nearly 90% of global silicon wafers, and even higher in the 300mm sub-market (higher than 95%). Supply is concentrated in Japan, Taiwan, Europe, and Korea. The current demand for silicon wafer is slightly divergent: advanced-node 300mm (AI logic plus HBM) is tight and commands pricing power, while mature-node (including automotive, industrial, consumer) demand is less tight but recovering only gradually. We expect this demand for 200mm wafer to be firm in 2H26F. The forward market is large enough to absorb the cycle. WSTS projects global semiconductor revenue of USD1.51tn in 2026E (+89.9% y-y) and USD1.9tn in 2027E, while the wafer market itself is forecast to exceed USD20bn by 2030E (SEMI), with 2026E area of 13,696mn square inches and the 300mm mix rising to 79.5%.

Market size and market share: highly concentrated market

According to SEMI, global silicon wafer market revenue was USD11.4bn in 2025, representing a ~1% y-y decline. Shipment was around 12.97bn square-inch, representing a ~6% y-y increase. This indicates that the wafer average price per square-inch saw a 7% decline in 2025. There has been a recovery, as most silicon wafer vendors saw wafer prices bottom out and recover from 1H26.

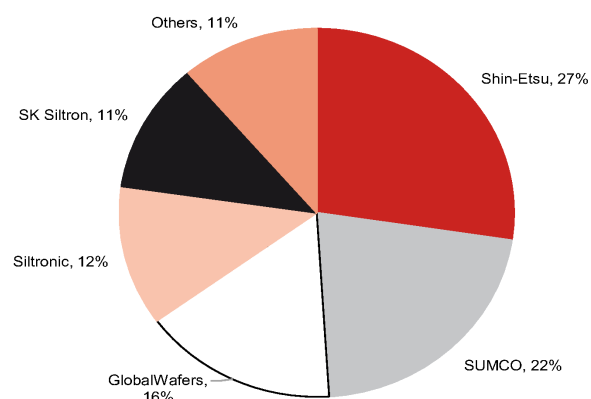
The market share has been concentrated, with the top 5 players taking up nearly 90% of the global market, and we believe this percentage would be even higher in the 300mm wafer subsegment.

Fig. 68: Global silicon wafer revenue and shipment



Source: SEMI, Nomura research

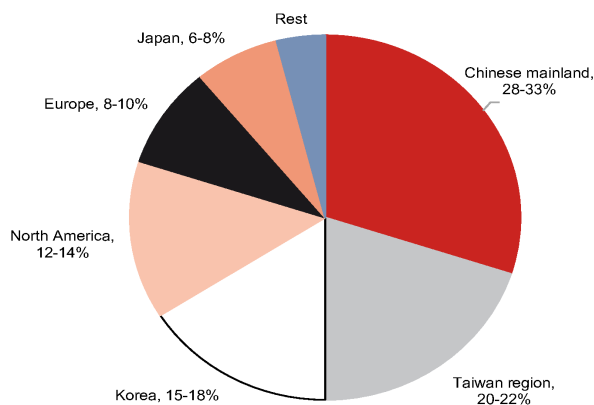
Fig. 69: Global silicon wafer market share estimate (2025)



Source: Company data, Nomura research

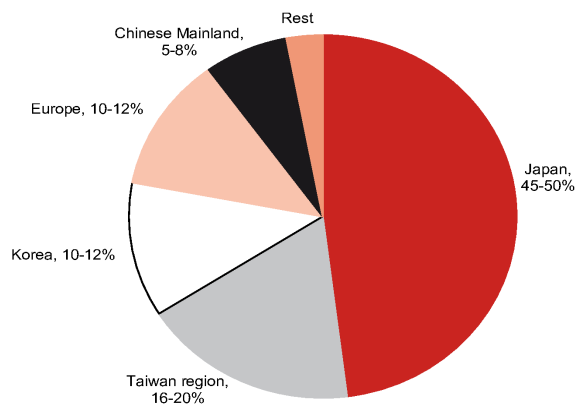
From a geography perspective, the supply and demand distribution is not balanced. For example, Japan supplies nearly half of silicon wafers to the world, but only consumes in high single-digit percentage. Chinese mainland consumes around ~30% of silicon wafer shipped, but only supplies in mid-single-digit percentage. This is due to China's high-reliance on the imports of silicon wafer, and hence the low SSR.

Fig. 70: Silicon wafer consumption share by region



Source: Nomura estimates

Fig. 71: Silicon wafer supply share by region



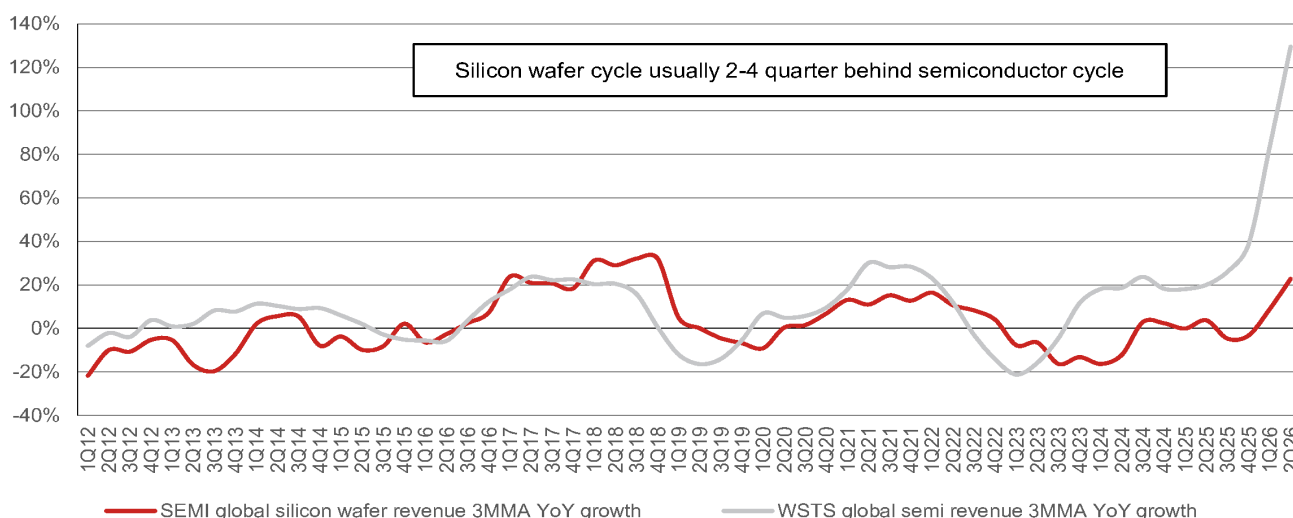
Source: Nomura estimates

From a wafer size perspective, currently the 300mm wafer (12-inch wafer) is the mainstream, with a 75-80% shipment share, on our numbers, which is mainly driven by advanced logic, memory, part of analog and power devices. The 200mm wafer (8-inch wafer) should now command a 15-20% share of total shipment, with applications mainly on power devices, analog, CIS and MCU. For 150mm and below wafers (6-inch wafer and smaller) used by legacy and low-end power devices, they only account for 5% or less.

Silicon wafer cycle lagged the semi cycle; uptrend has just begun

If looking together with the semiconductor cycle, it's easy to find that as a upstream material, silicon wafer cycle is usually 2 to 4 quarters behind the semiconductor cycle. The reason for this is: (1) demand change needs time to transmit upstream into the supply chain; (2) fabs and IDMs usually keep a certain level of healthy inventory (1.5 to 3 months) to mitigate some downstream volatility, which smoothens cyclical trends; and (3) some vendors use LTA (long-term agreement) to lock in supply and price for years, which also smoothens the cycle.

Fig. 72: Semiconductor revenue growth rate vs silicon wafer revenue growth rate



Source: WSTS, SEMI, Nomura research

The semiconductor upcycle has lasted for over a year, mainly driven by the considerable demand brought by AI and HPC related areas, as well as the supply-squeeze effect, which has further tightened supply in some other fields. Our channel checks suggest the silicon wafer market saw prices bottom out in 1Q26, and prices have gradually recovered since 2Q26, in line with the cycle pattern. We expect the semiconductor cycle to last for

years, with industry supply (foundry capacity and fab equipment constraint) expected to remain tight. In this circumstance, we also expect the silicon wafer market to enjoy a prolonged upcycle, starting from early this year.

12-inch semiconductor wafer supply-demand to turn more favorable in 2027-28F

In our Anchor report “*Greater China Semi: A guide to Semi renaissance in 2026-30F*” (published on 21 May 2026), we analyzed the global 12-inch semiconductor wafer supply demand situation. We expected five major drivers of 12” semi wafer demand over 2026-30F, including:

- The regular 12” semi wafer market growing on an average at around 5% per year.
- Semi companies’ capacity expansion across leading foundries and memory makers, which could add another 2-3pp growth per year. This incremental growth was seen during the COVID period in 2020-22, when most of the semi companies added capacity to meet rising WFH demand.
- Wafer-bonded NAND could add another 1-2pp growth per year, due to additional logic wafer that will be used.
- The BPD process and photonics SOI demand could add another 0-1pp growth per year, purely driven by new technology adoption.

As a result, it is possible that the global 12” semi wafer demand could grow by around 10% each year from 2026 to 2030F. Assuming most of the leading semi wafer companies reach their capacity limitation by around 2028F, supply-demand could turn more favorable in 2027-28F.

Fig. 73: 12” semi wafer market growth catalysts



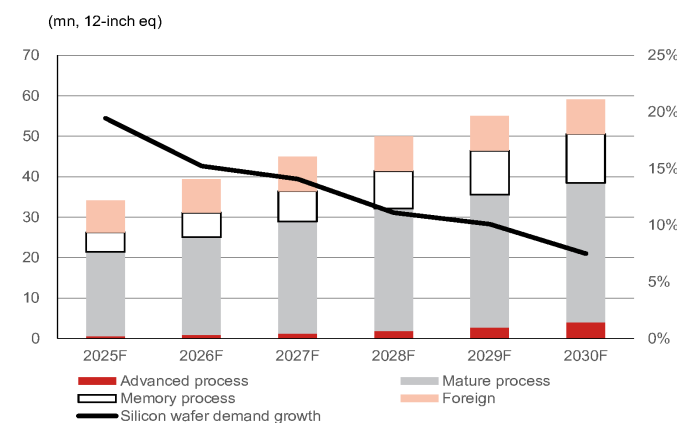
Source: Nomura estimates

Fig. 74: 12" semi wafer supply demand trend

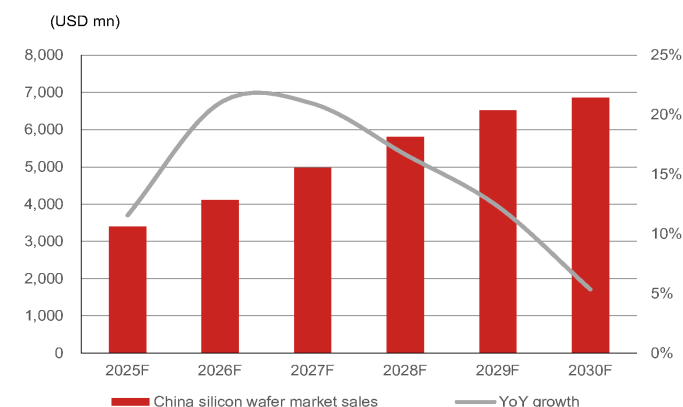
Source: SEMI, Nomura estimates

China silicon wafer market demand expectation; localization rate to continue to increase

Based on our China fab capacity estimates in our China WFE TAM model, with some assumptions in average utilization rate and silicon wafer ASP (USD per square-inch), we estimate China's silicon wafer demand to be ~34mn wafer (12-inch equivalent) or ~3.9bn square-inch. We forecast China silicon wafer shipment to increase at a ~12% CAGR in 2025-2030F, reaching ~59mn 12-inch equivalent wafers or ~6.7bn square-inch. With ASP expected to increase in 2026F and keeps increasing in 2027-2029F, we expect China's market revenue of silicon wafer to record a ~15% CAGR in 2025-2030F, reaching USD6.9bn in 2030F (from ~USD3.4bn in 2025).

Fig. 75: China silicon wafer demand volume

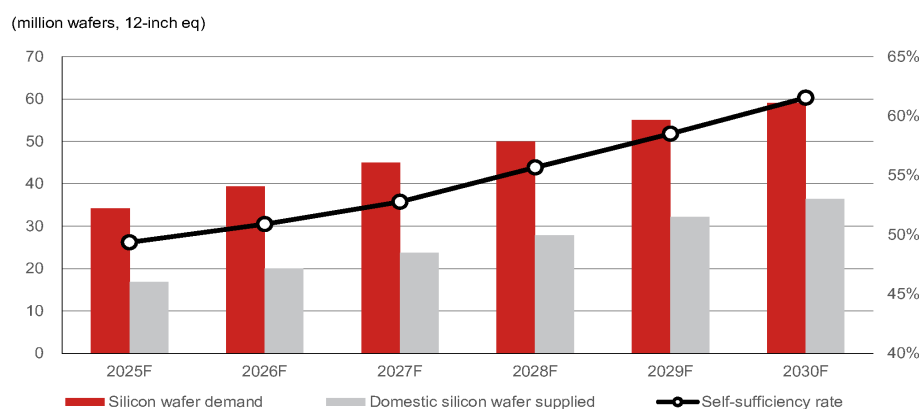
Source: Nomura estimates

Fig. 76: China silicon wafer market demand value

Source: Nomura estimates

By our estimate, China's overall domestic silicon wafer design capacity was around 3.5mn wpm (300mm-equivalent) in 2025, with 2.75/1.40/0.5mn wpm for 300mm/200mm/150mm-and-below. Assuming around 40-45% load in 300mm capacity, 30-35% load in 200mm capacity, and 85-90% load in 150mm-and-below capacity, the existing capacity could only supply ~49% of total demand. With known expansion plans and linear forecasts, by 2030F, we expect SSR to be at ~62%. This indicates more potential upside for domestic silicon wafer suppliers, especially if localization rate has to increase.

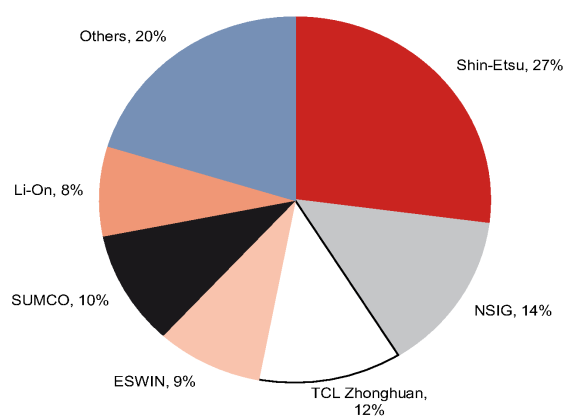
Fig. 77: China silicon wafer market demand and domestic supply



Source: Nomura estimates

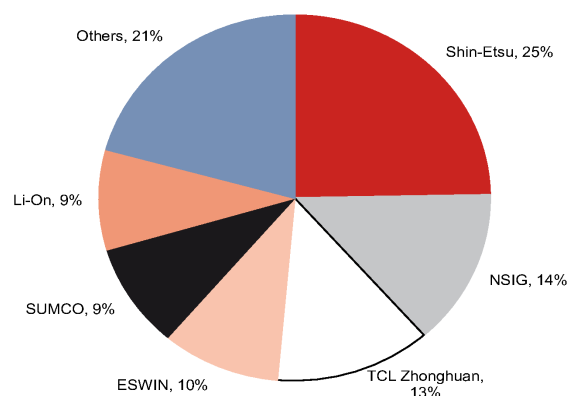
Shin-Etsu is still taking the leading market share in China market, with Chinese players NSIG, TCL Zhonghuan, ESWIN, Li-On taking sizeable share.

Fig. 78: China silicon wafer market share (2024)



Source: Company data, Nomura research

Fig. 79: China silicon wafer market share (2025)



Source: Company data, Nomura research

Pricing improvement: evidence from peers

The silicon wafer industry, which suffered from a severe downturn and widespread losses in 2025, has entered an upward pricing cycle starting from 1Q26. This recovery is primarily AI demand, and the expiration of long-term agreements that had locked prices at low levels.

The two Japanese giants, Shin-Etsu and SUMCO, along with GlobalWafers have announced two rounds of price hikes in 2026. The second round, in May, included a 5-8% increase for standard 12-inch wafers and an 18-22% increase for high-end wafers used in AI and HPC applications. GlobalWafers also proactively communicating with customers to seek improvement in 2H26, with full utilization at 12-inch facilities. According to domestic giant, NSIG, price repair has begun and the market is entering an upward channel.

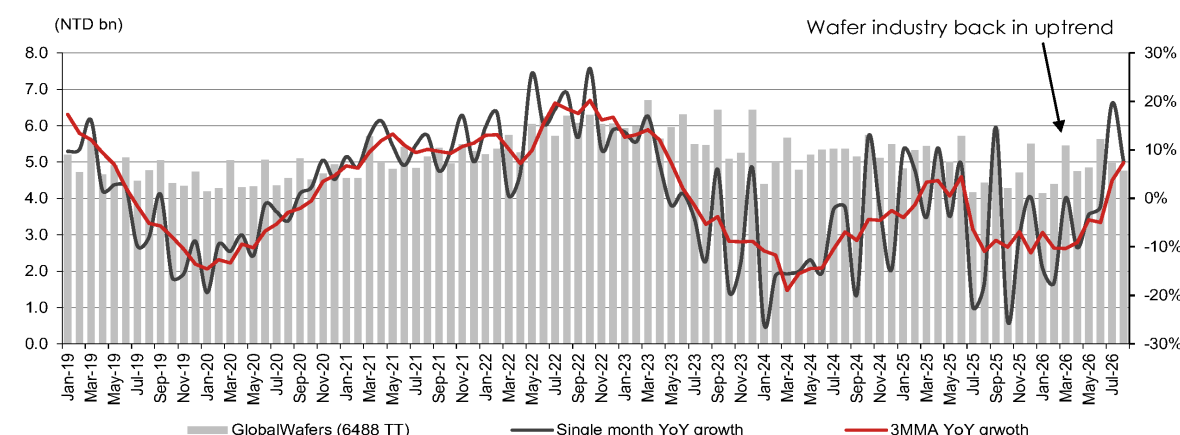
Fig. 80: Pricing trends and comments from major silicon wafer vendors

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Total Revenue QoQ										
Shin-Etsu	-5.7%	1.1%	11.8%	-0.8%	-4.8%	-0.5%	4.4%	-1.0%	-1.5%	3.5%
SUMCO	-11.0%	12.1%	-6.1%	1.6%	2.5%	0.4%	-3.7%	6.2%	-3.6%	12.0%
GlobalWafers	-10.0%	1.6%	3.5%	3.0%	-4.6%	2.7%	-9.5%	0.1%	-3.6%	8.8%
Siltronic	-3.7%	2.3%	1.7%	1.0%	-4.1%	-4.8%	-8.8%	23.7%	-17.5%	4.9%
SK Siltron	-1.8%	N/A	N/A	N/A	N/A	12.2%	-0.3%	8.5%	-19.1%	N/A
NSIG	-9.4%	16.6%	7.6%	0.0%	-11.8%	11.7%	5.4%	13.9%	0.8%	13.7%
300mm wafer pricing										
Shin-Etsu	N/A	N/A	N/A	N/A	N/A	LTA flat	N/A	N/A	Spot ↑ (LTA hold)	N/A
SUMCO	Spot ↓	Spot ↓	Mixed	Mixed	LTA stable	Mixed	Mixed	Spot ↓	Spot ↓	Spot ↑
GlobalWafers	Mixed	Mixed	N/A	N/A	N/A	Non-LTA ↓	Spot ↓ (LTA hold)	N/A	Spot ↑	Non-LTA ↑
Siltronic	Low SD ↓	Almost stable	Spot ↓ (LTA hold)	Slightly ↓	↓	↓	Non-LTA ↓	Non-LTA ↓	N/A	Spot ↑ (LTA hold)
SK Siltron	N/A	N/A	N/A	↓	↓	N/A	↓	N/A	N/A	↑
NSIG	↓	↓	↓	↓	↓	↓	↓	↑	Price bottom	↑
200mm wafer pricing										
Shin-Etsu	N/A	N/A	N/A	N/A	Soft ↓	N/A	↓	N/A	Flat	↑
SUMCO	Spot ↓	Mixed	Spot ↓	Slightly ↓	LTA stable	Spot ↓	↓	Spot ↓	↓	↑
GlobalWafers	Mixed	N/A	N/A	N/A	N/A	↓	↓	N/A	Limited ↑	↑
Siltronic	↓	↓	↓	↓	↓	↓	↓	↓	↓	↓
SK Siltron	N/A	N/A	N/A	↓	N/A	N/A	↓	N/A	N/A	↑
NSIG	↓	↓	↓	↓	↓	Slightly ↑	↓	↓	↓	↓
150mm & lower wafer pricing										
Shin-Etsu	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	Flat	N/A
SUMCO	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
GlobalWafers	N/A	N/A	N/A	N/A	N/A	UTR<70%	↓	Recovering	Tightening	↑
Siltronic	↓	↓	↓	↓	↓	↓	N/A	N/A	Sales drag	Price pressure
SK Siltron	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
NSIG	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Source: Company data, Nomura research

Another evidence is the monthly revenue of industry leader GlobalWafers. Its three-month moving average (3MMA) y-y growth rate has improved since March 2026, and is in a growth phase from Jul 2026.

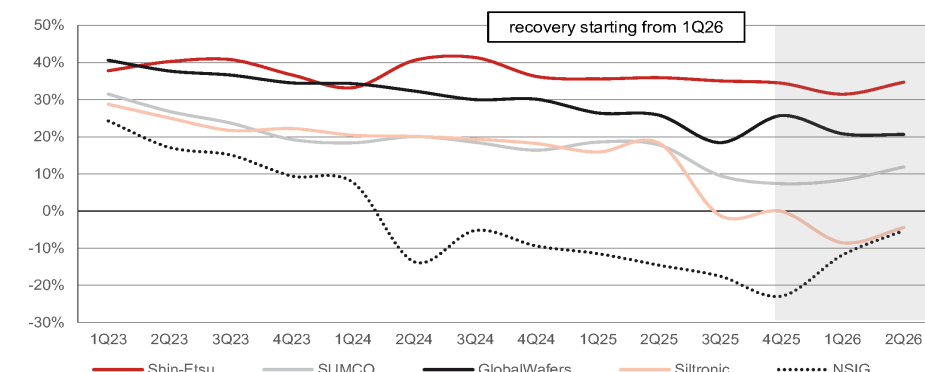
Fig. 81: Monthly revenue of GlobalWafers



Source: Company data, Nomura research

These underscore the view that the silicon wafer industry is recovering, in terms of both volume (strong downstream demand from semiconductor fabs) and pricing. And this will further translate into margin recovery.

Fig. 82: Gross margins of major silicon wafer vendors



Source: Company data, Nomura research

In summary, we expect silicon wafer market demand to be solid, especially for advanced-node 300mm (AI logic plus HBM), and 200mm wafer demand is expected to be firm in starting from 2H26F. We recommend revisit the sector, and focus on domestic leaders amid China's localization push. Therefore, we resume coverage on National Silicon Industry Group (NSIG; 688126 CH) with a Buy rating.

Non-prime wafers: additional opportunities for Chinese players

Prime wafers (or called **product wafers**), on which fabs manufacturing devices and integrated circuits, carry sellable die, and are sold to customers. **Non-prime wafers** (NPW; or non-product wafers, engineering wafers) are those wafers used for testing, monitoring, and physical or environmental simulation purpose, instead of carrying sold to customers.

Main categories of non-prime wafers, by purpose of use, include:

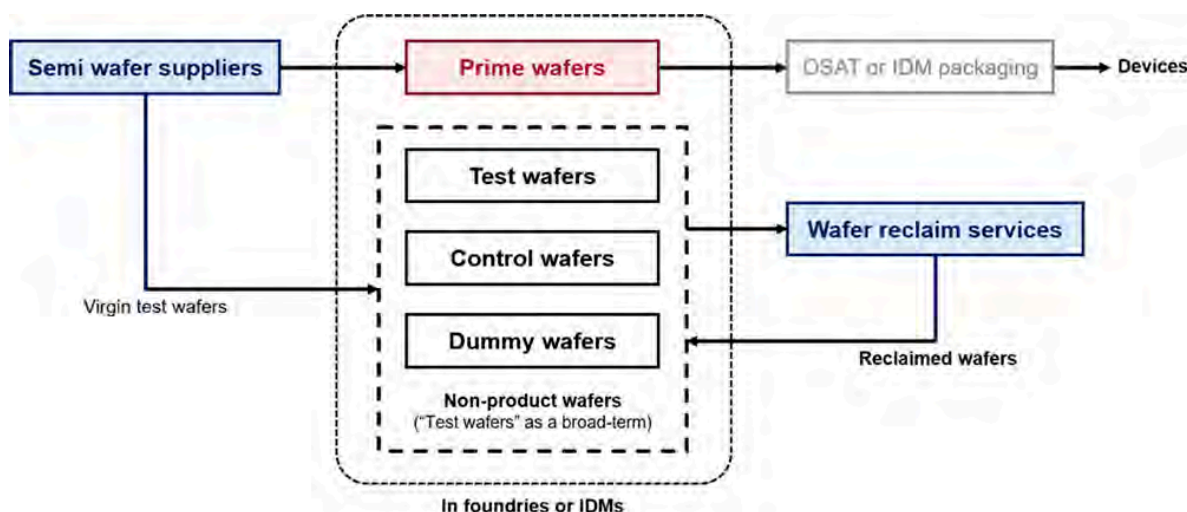
- **Test wafers**: carry engineered patterns for process development, tool qualification, chamber seasoning and engineering lots, and are the most spec-intensive and most expensive. The industry usually uses "test wafer" as a broad-term to refer to lump-sum of test/monitor/dummy wafers.
- **Monitor wafers (or called "control wafers")**: used for statistical process control: particle, film and short-loop electrical checks; and are the fab's early-warning system.
- **Dummy wafers (or called "mechanical wafers")**: used as furnace fillers, handling and robot-teaching wafers, CMP pad break-in. They absorb risks.

Non-prime wafers consist of two parts: virgin test wafers (purchased from silicon wafer suppliers), and reclaim wafers (used test wafers reclaimed for further use through wafer reclaim services).

- **Virgin test wafers**: refers to new non-prime wafers purchased directly from silicon wafer suppliers like NSIG, with lower price than prime wafers.
- **Reclaim wafers (or called "recycled wafers")**: refers to the lifecycle state of the wafer rather than purpose. Any used monitor or dummy wafer that has its chemical layers stripped away and surface re-polished to a mirror finish becomes a "reclaim wafer". They are re-introduced into the fab as lower-cost dummy or monitor wafers.

A wafer enters as virgin test grade; after each use it is chemically recycled until it misses the tightest spec, then downgraded to a monitor or dummy role; when its surface is spent it is reclaimed (polished, cleaned, re-certified) and re-enters one tier lower, retiring only when thickness or roughness fails. That hierarchy is the economics: a virgin 300mm test wafer costs about US\$80-120, against US\$10-20 for reclaim wafer. Each time of reclaiming removes well under 30µm per pass, so a wafer can be reclaimed several times.

Fig. 83: Test wafers and reclaim wafers lifecycle



Virgin test wafers are usually a way for silicon wafer vendors to acquire new customers. Before a fab purchases high-margin prime-grade wafers, it needs to qualify the suppliers manufacturing consistency. Suppliers offer batches of virgin test wafers as lower-cost engineering samples. Although virgin test wafers usually have very low margins (or sometime not profitable), they are key for wafer suppliers to enter into new production lines and acquire new customers.

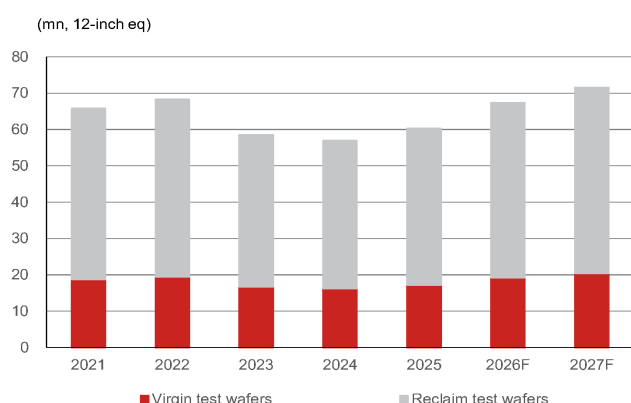
Reclaim wafers, on the other hand, are another area to consider. These wafers are reclaimed using reclaim services, and recycled by fabs. With the node migration and technology advancement, demand for reclaim wafers are also rising.

Gauging global reclaim wafers market: Japan and Taiwan take center stage

According to SEMI, worldwide semiconductor silicon wafer shipment was ~13.0mn square-inch (equivalent to ~114.7mn 12-inch eq wafers) in 2025, and is expected to increase by 12%/6% in 2026F/2027F. This data consists of prime wafers and virgin test wafers, excluding reclaim wafers. Usually virgin test wafers account for 10%-20% of total wafer shipment. Assuming 15%, virgin test wafer shipment in 2025 was ~17.2mn wafers (12-inch eq). Usually ~70% of non-product wafers in fabs are reclaim wafers, which indicate average reclaim cycle per wafer per year around 3.5 times.

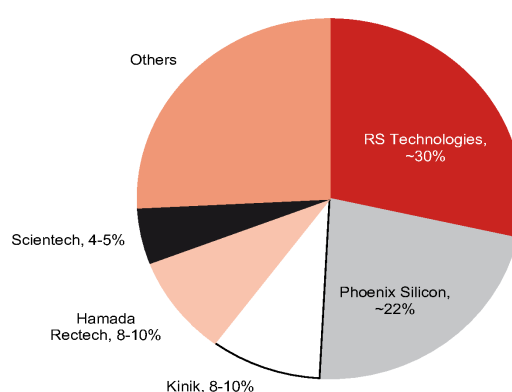
Market share was mainly taken by Japanese and Taiwan players. In terms of sales, by our estimates, Japanese player RS Technologies (3445 JP, Not rated) taking ~25% of market in 2025, followed by Taiwan players Phoenix Silicon (8028 TT, Not rated; ~20% market share), Kinik (1560 TT, Buy; 8-10% market share), Japanese player Hamada Rectech (unlisted; 8-10% market share), and Taiwan player Scientech (3583 TT, Not rated; 4-5% market share).

Fig. 84: Global non-prime wafers shipment



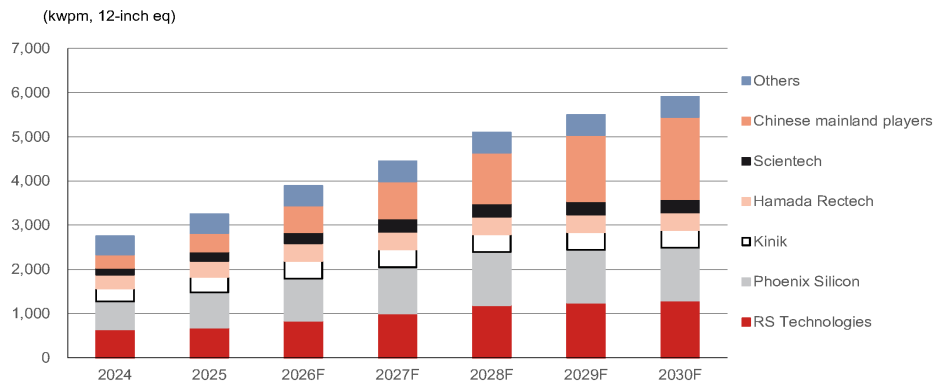
Source: SEMI, Nomura estimates

Fig. 85: Global reclaim wafer market share by sales (2025)



Source: Company data, Nomura estimates

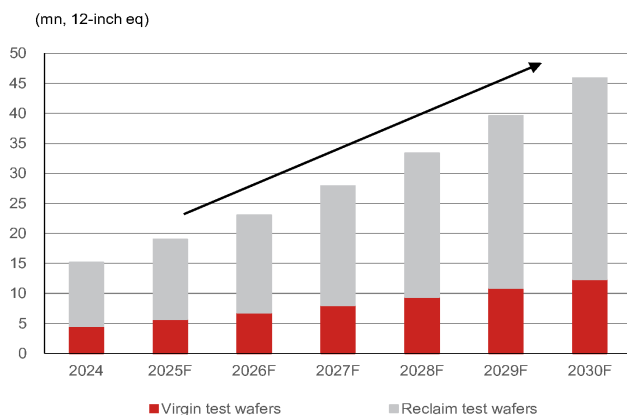
The industry capacity supply is also in the hands of the leading Japan and Taiwan players. By our estimates, global reclaim wafer capacity was ~3.4mn wafer per month in 2025, and expected to grow to ~3.8mn in 2026F, and then to ~4.1mn in 2027F, with RS Technologies, Phoenix Silicon, and Chinese players being the main addition contributors.

Fig. 86: Global reclaim wafer capacity expectations

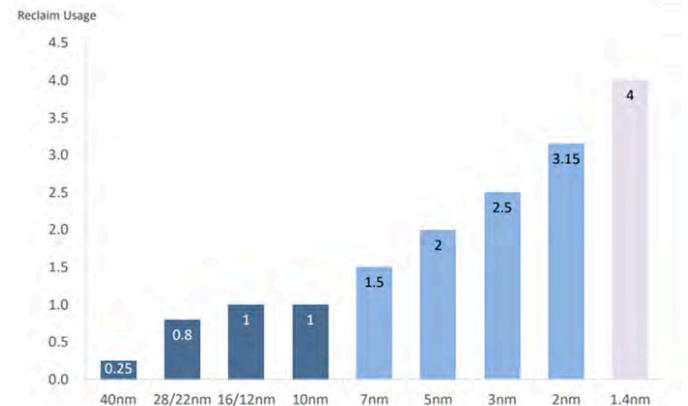
Source: Company data, Nomura estimates

China reclaim wafer market: ongoing fast localization

Based on our China fab capacity forecast, we estimate China test wafer demand was around 19.0mn 12-inch equivalent wafers in 2025F, of which ~70% was reclaim wafers, indicating demand for reclaim wafers to be ~13.3mn (or ~1.1mn wafer per month). Driven by aggressive advanced process and memory capacity expansion, which will require even more test and reclaim wafer, the test wafer demand is likely to increase at ~19% CAGR over 2025-2030F, in our view, with reclaim wafers growing faster than virgin test wafers

Fig. 87: China test wafers shipment estimates

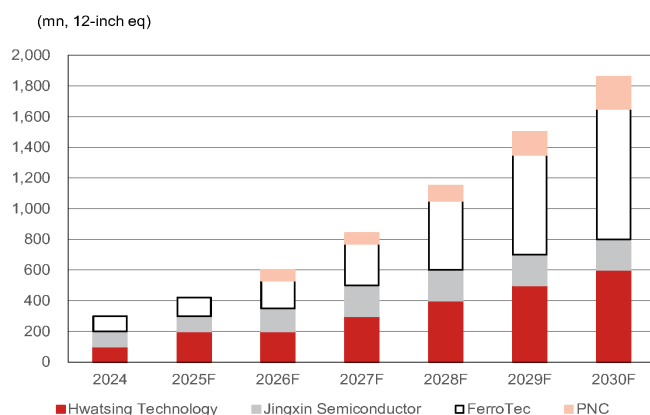
Source: Company data, Nomura estimates

Fig. 88: Reclaim usage ratio (per wafer output) increasing

Source: Phoenix Silicon

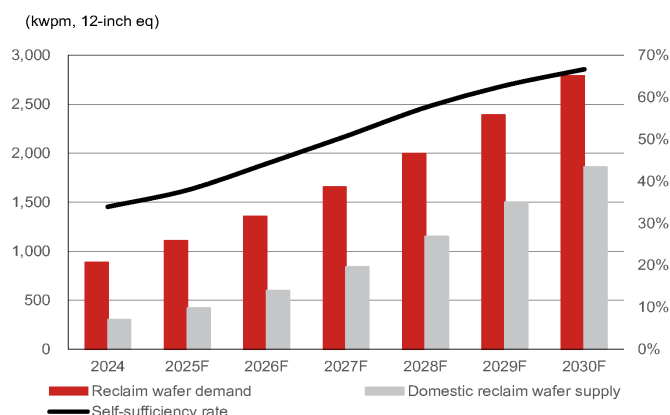
Before 2021 China had no effective domestic 12-inch reclaim wafer capability and capacity. Localization since then has been fast. We estimate that China's domestic reclaim wafer capacity was around ~450kwpm in 2025F, and is likely to increase to ~570kwpm in 2026F, and to record a ~33% CAGR through 2025-2030F. Hwatsing Technology (688120 CH, Not rated) is a prominent player in the field, supported by its own CMP technology, expanding capacity since its IPO in 2022. Jingxin Semiconductor (unlisted), in Hubei, and FerroTec Changjiang (unlisted), in Anhui, are also expanding capacity. With domestic expansion, we estimate the localization rate of reclaim wafers will increase from ~41% in 2025 to ~67% in 2030F.

Fig. 89: China domestic reclaim wafer capacity estimates



Source: Company data, Nomura estimates

Fig. 90: China reclaim wafer supply and demand



Source: Company data, Nomura estimates

We believe that the reclaim wafer industry is a market worth watching, especially in view of the current semiconductor uptrend, where demand and prices are trending up. We expect the localization rate of reclaim wafers to increase, mainly because: (1) fabs prefer suppliers that are located closer to them (to benefit from shorter lead times, lower shipping costs), which potentially presents market share gain opportunities for Chinese players; (2) reclaim wafer is more like a service industry instead of a heavy-asset production industry (like raw silicon wafer), where fabs use suppliers' reclaim service to recycle used test wafers, which potentially delivers higher margins, especially during downcycles, where silicon wafer suppliers usually suffer from negative GPM, yet reclaim wafer service suppliers generate over 30% GPM (for example, Kinik [1560 TT, Buy] has 32.5% GPM in 2025).

Piotech Inc. 688072.SS 688072 CH

EQUITY: TECHNOLOGY

A rising name in CVD, ALD, and 3D integration

Sales growing fast with increasing customer qualification; 3D integration the next focus; initiating at Buy

Initiating coverage of Piotech with Buy rating and target price of CNY913.00

We initiate coverage on Piotech with a Buy rating. Our target price of CNY913.00 is based on 20.0x 2027E EV/sales, at a premium to local peers given its faster sales growth, leading market share and technological edge in plasma-enhanced chemical vapor deposition (PECVD). We see Piotech as one of the most direct beneficiaries of China's semiconductor localization trend, and expect it to gain market share. Driven by active capacity expansion of domestic memory makers and foundries, a strong customer base, installed-base stickiness, and demand for 3D integration tools, we forecast it to record a ~41% revenue CAGR in 2025-28F, reaching ~CNY18.1bn in 2028F.; and to post a net profit CAGR of ~45% (with a recurring net profit CAGR of ~50%).

Domestic leader in deposition, rising star in 3D integration tools

Piotech is a dominant domestic supplier of chemical vapor deposition (CVD) thin-film deposition equipment in China, with strong commercialized PECVD and SACVD platforms. Its portfolio also includes atomic-layer deposition (ALD), high-density plasma chemical vapor deposition (HDPCVD), flowable CVD, advanced wafer-to-wafer and chip-to-wafer bonding, and complementary metrology. We estimate its domestic share in PECVD at over 35% in 2025F, with an overall share of around 2% in the China WFE market. It entered the 3D integration field in 2020 focusing mainly on hybrid bonding and fusion bonding, with revenue contribution starting from 2023. In addition, through the announced acquisition of Wuxi Shangji (unlisted) (*Jul-26*), Piotech is also extending into PVD and dry etch, taking the company from a thin-film pure-play to a multi-process equipment platform.

Key beneficiary of increasing localization; significant upside potential

We see four main drivers supporting Piotech: (1) equipment localization is the most prominent, as China's deposition localization is now 25-30%, with a large portion still with global leaders; (2) memory maker and foundry capacity expansion, as well as node migration, require more deposition steps and higher-end tools; (3) 3D integration demand is rising in the post-Moore era and non-EUV roadmap; and (4) other key moats include customer base and stickiness (major Chinese foundries, memory makers and IDMs), a large installed base and user stickiness, and solid relationships with component suppliers.

Key risks include less aggressive wafer fab capacity expansion, slower market share gain, intensified competition, and easing of equipment export control from US and Japan.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	6,519	0	9,203	0	12,990	0	18,104	
Reported net profit (mn)	927	0	2,142	0	2,044	0	2,840	
Normalised net profit (mn)	927	0	2,142	0	2,044	0	2,840	
FD normalised EPS	3.29		7.44		7.00		9.73	
FD norm. EPS growth (%)	33.4		126.6		-5.9		38.9	
FD normalised P/E (x)	194.8	—	86.0	—	91.4	—	65.8	
EV/EBITDA (x)	201.8	—	115.2	—	77.3	—	54.4	
Price/book (x)	27.3	—	13.8	—	12.1	—	10.3	
Dividend yield (%)	0.1	—	0.1	—	0.1	—	0.2	
ROE (%)	15.6		21.3		14.2		17.0	
Net debt/equity (%)	net cash		net cash		net cash		net cash	

Source: Company data, Nomura estimates

Rating Starts at **Buy**

Target price Starts at **CNY 913.00**

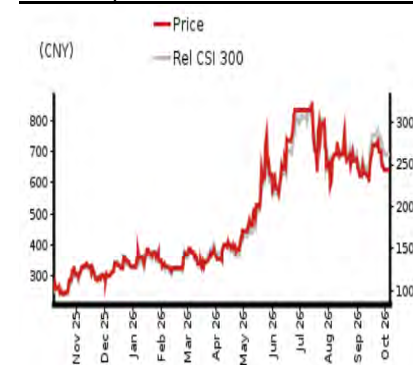
Closing price 30 September 2026 **CNY 640.00**

Implied upside **+42.7%**

Market Cap (USD mn) 27,747.7

ADT (USD mn) 728.1

Relative performance chart



Source: LSEG, Nomura

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Key data on Piotech Inc.

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-5.6	-23.1	146.0	M cap (USDmn)	27,747.7
Absolute (USD)	-5.4	-22.1	161.3	Free float (%)	52.0
Rel to CSI 300	0.2	-10.6	152.1	3-mth ADT (USDmn)	728.1

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	4,103	6,519	9,203	12,990	18,104
Cost of goods sold	-2,393	-4,241	-5,484	-7,689	-10,646
Gross profit	1,711	2,279	3,719	5,301	7,458
SG&A	-1,266	-1,523	-2,393	-3,286	-4,553
Employee share expense					
Operating profit	444	756	1,326	2,014	2,905
EBITDA	535	911	1,561	2,318	3,279
Depreciation	-81	-131	-199	-260	-322
Amortisation	-10	-24	-36	-44	-53
EBIT	444	756	1,326	2,014	2,905
Net interest expense	-65	-85	-35	-25	-10
Associates & JCEs	-7	-6	-10	-5	-4
Other income	307	211	986	271	271
Earnings before tax	679	876	2,267	2,255	3,161
Income tax	9	39	-155	-225	-316
Net profit after tax	687	915	2,112	2,029	2,845
Minority interests	1	12	30	15	-5
Other items					
Preferred dividends					
Normalised NPAT	688	927	2,142	2,044	2,840
Extraordinary items					
Reported NPAT	688	927	2,142	2,044	2,840
Dividends	-66	-75	-93	-214	-204
Transfer to reserves	622	852	2,049	1,830	2,636

Valuations and ratios

Reported P/E (x)	258.2	192.6	84.7	90.1	64.8
Normalised P/E (x)	258.2	192.6	84.7	90.1	64.8
FD normalised P/E (x)	260.0	194.8	86.0	91.4	65.8
Dividend yield (%)	0.0	0.1	0.1	0.1	0.2
Price/cashflow (x)	-	49.7	-	275.6	115.3
Price/book (x)	33.9	27.3	13.8	12.1	10.3
EV/EBITDA (x)	352.4	201.8	115.2	77.3	54.4
EV/EBIT (x)	426.1	243.5	135.7	89.0	61.4
Gross margin (%)	41.7	35.0	40.4	40.8	41.2
EBITDA margin (%)	13.0	14.0	17.0	17.8	18.1
EBIT margin (%)	10.8	11.6	14.4	15.5	16.0
Net margin (%)	16.8	14.2	23.3	15.7	15.7
Effective tax rate (%)	-1.3	-4.5	6.8	10.0	10.0
Dividend payout (%)	9.6	8.1	4.3	10.5	7.2
ROE (%)	13.9	15.6	21.3	14.2	17.0
ROA (pretax %)	20.9	5.5	7.5	8.7	10.0

Growth (%)

Revenue	51.7	58.9	41.2	41.1	39.4
EBITDA	20.7	70.1	71.3	48.6	41.5
Normalised EPS	-30.0	34.1	127.3	-5.9	38.9
Normalised FDEPS	-30.1	33.4	126.6	-5.9	38.9

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	535	911	1,561	2,318	3,279
Change in working capital	-1,196	3,812	-2,122	-1,427	-1,359
Other operating cashflow	378	-1,089	-119	-214	-301
Cashflow from operations	-283	3,633	-681	678	1,620
Capital expenditure	-686	-575	-860	-770	-680
Free cashflow	-969	3,058	-1,541	-92	940
Reduction in investments	-201	-757	841	174	166
Net acquisitions	0	0	10	5	4
Dec in other LT assets	166	42	-241	-13	49
Inc in other LT liabilities	0	101	93	57	62
Adjustments	-170	-139	2	-200	-278
CF after investing acts	-1,175	2,304	-836	-69	944
Cash dividends	-66	-75	-93	-214	-204
Equity issue	67	191	4,856	0	0
Debt issue	1,637	-608	0	0	0
Convertible debt issue					
Others	-280	428	-35	-25	-10
CF from financial acts	1,358	-65	4,729	-239	-214
Net cashflow	184	2,239	3,893	-308	730
Beginning cash	2,668	2,852	5,091	8,984	8,676
Ending cash	2,852	5,091	8,984	8,676	9,406
Ending net debt	61	-4,055	-7,948	-7,640	-8,370

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,852	5,091	8,984	8,676	9,406
Marketable securities	193	890	934	981	1,030
Accounts receivable	1,473	1,407	2,627	3,067	4,373
Inventories	7,216	7,826	10,806	15,232	19,187
Other current assets	953	1,066	1,336	1,494	1,673
Total current assets	12,687	16,279	24,687	29,449	35,669
LT investments	723	874	979	1,043	1,114
Fixed assets	893	1,691	2,209	2,731	3,131
Goodwill	0	0	0	0	0
Other intangible assets	176	185	231	339	482
Other LT assets	835	793	1,035	1,047	998
Total assets	15,314	19,824	29,141	34,609	41,395
Short-term debt	119	186	186	186	186
Accounts payable	1,387	1,730	2,057	2,847	3,943
Other current liabilities	5,325	9,450	11,472	14,277	17,264
Total current liabilities	6,831	11,366	13,715	17,311	21,393
Long-term debt	2,794	850	850	850	850
Convertible debt					
Other LT liabilities	391	492	586	642	705
Total liabilities	10,015	12,708	15,150	18,803	22,948
Minority interest	19	506	476	461	466
Preferred stock					
Common stock	280	282	291	291	291
Retained earnings	1,637	2,476	4,311	5,937	8,288
Proposed dividends					
Other equity and reserves	3,364	3,852	8,914	9,118	9,402
Total shareholders' equity	5,280	6,610	13,516	15,346	17,981
Total equity & liabilities	15,314	19,824	29,141	34,609	41,395

Liquidity (x)

Current ratio	1.86	1.43	1.80	1.70	1.67
Interest cover	6.8	8.9	37.9	80.6	290.5

Leverage

Net debt/EBITDA (x)	0.11	net cash	net cash	net cash	net cash
Net debt/equity (%)	1.2	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	2.48	3.32	7.56	7.11	9.87
Norm EPS (CNY)	2.48	3.32	7.56	7.11	9.87
FD norm EPS (CNY)	2.46	3.29	7.44	7.00	9.73
BVPS (CNY)	18.88	23.41	46.50	52.79	61.86
DPS (CNY)	0.27	0.33	0.74	0.70	0.98

Activity (days)

Days receivable	89.1	80.6	80.0	80.0	75.2
Days inventory	897.8	647.3	620.0	618.0	591.6
Days payable	81.5	134.1	126.0	116.4	116.7
Cash cycle	905.4	593.9	574.0	581.6	550.1

Source: Company data, Nomura estimates

Company profile

Piotech Inc (688072 CH) is China's dominant supplier of chemical-vapour-deposition (CVD) thin-film equipment for the front-end and a pioneer in hybrid bonding for 3D integration. The company was founded in 2010, listed on China A-share STAR Market in April 2022, and now commands ~20% of the addressable Chinese relevant market (CVD + ALD). Product families span PECVD, ALD, SACVD, HDPCVD and Flowable CVD, complemented since 2023 by wafer-to-wafer and chip-to-wafer hybrid / fusion bonding tools and in-line metrology. With M&A, product portfolio further extends into PVD.

Valuation Methodology

Our target price of CNY913.00 is based on 20.0x forward EV/sales multiple, and our revenue forecasts for 2027F. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for Piotech; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

ESG

Piotech published its fourth annual Environmental, Social and Governance report in April 2026, setting out a substantially deepened sustainability agenda alongside record results. On the environmental front, the company established a three-tier climate governance structure spanning the Board, an ESG Management Committee and an execution layer, and defined a quantified decarbonisation pathway targeting carbon peaking by 2030 and carbon neutrality by 2060. For the first time it disclosed Scope 3 emissions, reporting total market-based greenhouse gas emissions of 37,954 tCO₂e (Scope 1: 10,452; Scope 2: 22,154; Scope 3: 5,348). Carbon intensity declined 12.2% year-on-year to 5.82 tCO₂e per CNY1.0mn of revenue, while indirect energy intensity fell to 6.20 MWh per CNY1.0mn from 7.02. Operationally, Piotech procured 3,729 MWh of renewable electricity, raised green power to 20% of purchased electricity at its Shenyang campus, advanced distributed photovoltaic capacity at its Shanghai site, and saved 591,300 tonnes of nitrogen through energy-retrofit programmes. All major pollutants were discharged in full compliance with zero environmental penalties, and environmental investment rose more than five-fold to CNY11.0mn. On the social dimension, Piotech invested CNY859mn in R&D (13.18% of main-business revenue) with 726 R&D staff, or 42.8% of its 1,696 employees, taking cumulative patent applications to 2,140, of which 73.6% are invention patents and 707 have been granted, with no IP infringement incidents during the year. It maintains ISO 9001 and total quality management certification, keeps customer satisfaction above 90% and recorded no product recalls. Supply-chain oversight covered 272 suppliers across 20 provinces, with roughly 93% domestic sourcing, four suppliers delisted, and 46 ESG training sessions reaching 1,036 participants. Community engagement included 16 national major projects, two industry group standards led, collaboration with more than ten universities, and over CNY710,000 in rural revitalisation and charitable donations. Employee turnover improved to 10.6% from 12.2%, a restricted-stock incentive plan covered 1,055 employees (about 68.9%), training coverage reached 100%, and the company recorded zero work-related fatalities, zero lost-time injuries and zero occupational disease cases. In governance, a nine-member board with 33.3% independent and 22.2% female directors oversees audit, remuneration and nomination committees that are each 60% independent; 28 governance policies were adopted or revised; a "three lines of defence" risk framework operates with zero corruption, compliance or data-security incidents; ISO/IEC 27001:2022 certification was newly obtained; and the company retained its A-grade tax credit rating for an eighth consecutive year. These efforts have been recognised externally through an MSCI ESG rating of A, an "A" grade for SSE information disclosure for three consecutive years, and the Securities Star "ESG New Benchmark Enterprise Award" in July 2026.

Investment summary

Piotech Inc (688072 CH) is China's dominant supplier of CVD thin-film deposition equipment for the front-end process and a pioneer in bonding equipment for 3D integration. The company was founded in 2010, listed on the China A-share STAR Market in April 2022, and now takes up ~12% of the addressable Chinese relevant market (CVD + ALD). Its product families span PECVD, ALD, SACVD, HDPCVD and Flowable CVD, complemented since 2023 by wafer-to-wafer and chip-to-wafer hybrid bonding and fusion bonding tools. With the acquisition of Wuxi Shangji (unlisted), its product portfolio extends further into PVD.

We are positive on Piotech mainly due to the following:

- Piotech is one of China's key beneficiaries of equipment localization, especially in deposition. We estimate the total addressable deposition market in China at ~USD11.3bn in 2026F, and expect it to further increase to USD21.3bn in 2030F. The company holds a ~5% market share in China's deposition market, but within PECVD, its market share goes up to ~70%.
- **Node migration drives deposition intensity:** HAR dielectric stacks for 3D NAND beyond 200L+, ONO/PECVD stack for advanced logic, and high-k metal-gate stacks for 28nm and below all increase both the number of deposition steps and the share of advanced tools in the mix. Piotech's 2025 PECVD revenue mix was 40-50% advanced node (up from <25% in 2022).
- **Aggressive domestic memory capacity expansion:** The two major Chinese memory makers are actively expanding capacity and advancing their technology capabilities, where more equipment and higher-end tools are needed, especially for deposition.
- **3D integration opens a second growth engine:** Hybrid bonding tools (HBM stacking and CIS wafer-level packaging mainly) have a global TAM growing at a faster-than-overall-SPE CAGR through 2030E, according to management. Piotech entered hybrid bonding in 2023. The product reached 8-line qualification and 2025 revenue of ~CNY1.4bn, up ~42% y-y. Furthermore, it has been making efforts in the fusion bonding field, which further expands its growth potential.
- **Customer base and stickiness:** Piotech ships to almost all major Chinese foundries, memory makers and IDMs. YMTC (unlisted) and CXMY (688825 CH, Buy) are its two largest customers, and other important customers include SMIC (981 HK, Neutral), Hua Hong Grace (1347 HK, Neutral), HLMC (unlisted), Nexchip (688249 CH, Not rated), GTA Semiconductor (unlisted), etc.

As we discussed earlier, we expect China's WFE market size to increase 27% y-y to USD55.4bn in 2026F, and further to USD103.5bn in 2030F. Total WFE spending in China is expected at USD407.3bn during 2026-30F. During this strong momentum, Chinese vendors are bracing for stronger growth driven by domestic localization push, advancement of technological capabilities, and the extra equipment required due to no-EUV roadmap.

Financially, Piotech posted a revenue CAGR of ~56% in 2022-25. We estimate Piotech's revenue to record a ~41% CAGR in 2025-28F driven by stable growth in PECVD, fast-growing ALD and bonders. Net profit increased at a ~36% CAGR in 2022-25 as margin contracted due to new products ramping up (higher initial costs) and increased R&D due to new product development and technological advancement. We expect net profit to increase at a ~45% CAGR in 2025-28F, and excluding non-recurring items, we expect recurring net profit to increase at a ~50% CAGR in 2025-28F.

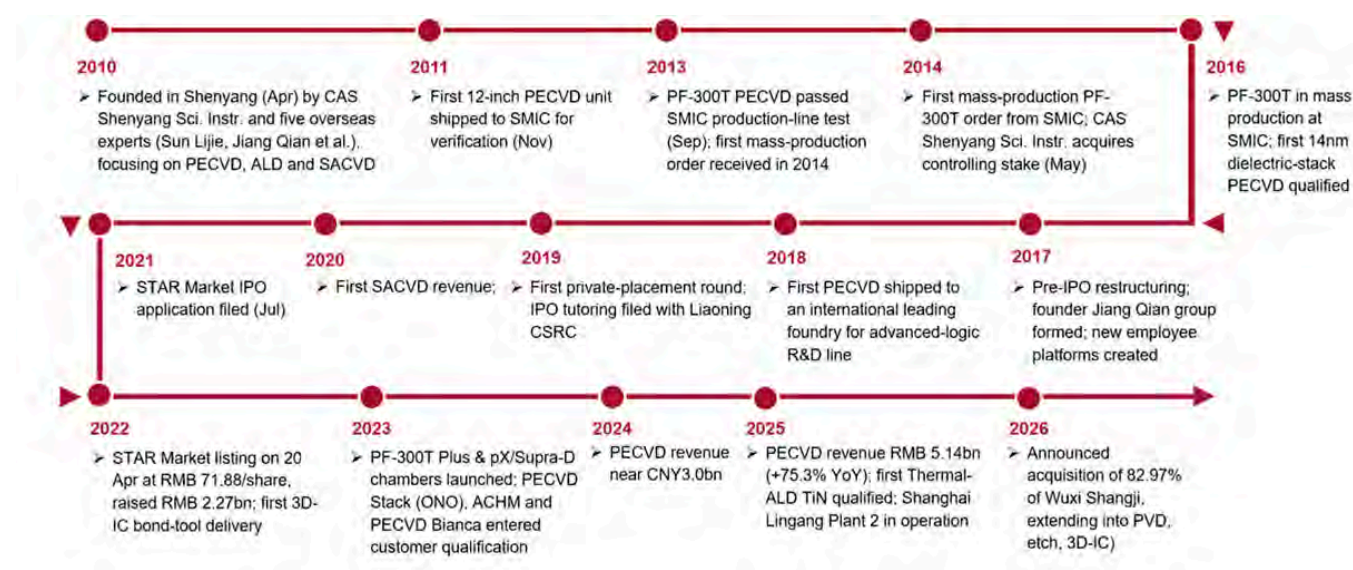
We initiate coverage on Piotech with a Buy rating. Our target price of CNY913.00 is based on 20.0x EV/sales on 2027F sales revenue forecast, with a premium over local peers given its faster sales growth, as well as dominant market share and technology leadership in PECVD. Key risks are primarily concerns over escalation of US sanctions (impacting domestic fab capacity expansion), a slowdown in fab capex spending, intensifying competition, and a slower-than-expected margin recovery.

Company overview: strong player in CVD, with high memory exposure

Company history and shareholding structure

Piotech Inc was founded in April 2010 in Shenyang as a domestic supplier of PECVD, ALD and SACVD equipment. Its first 12-inch PECVD unit was shipped to SMIC (981 HK, Neutral) for verification in 2011 and the product entered mass production in 2013-14 with the PF-300T platform. The company has subsequently added ALD (PF-300T Plus and the Supra-D / pX chamber families), HDPCVD and Flowable CVD, as well as the wafer-to-wafer and chip-to-wafer hybrid / fusion bonding products under the "3D IC" label since 2023. In 2025, the company shipped its 1,000th PECVD chamber and recorded PECVD revenue of CNY5.14bn (+75.3% y-y). On 10 July 2026, the company announced an agreement to acquire 82.97% of Wuxi Shangji (无锡尚积), a domestic PVD/etch vendor, completing the mainstream thin-film toolbox and adding a 3D-integration etch franchise.

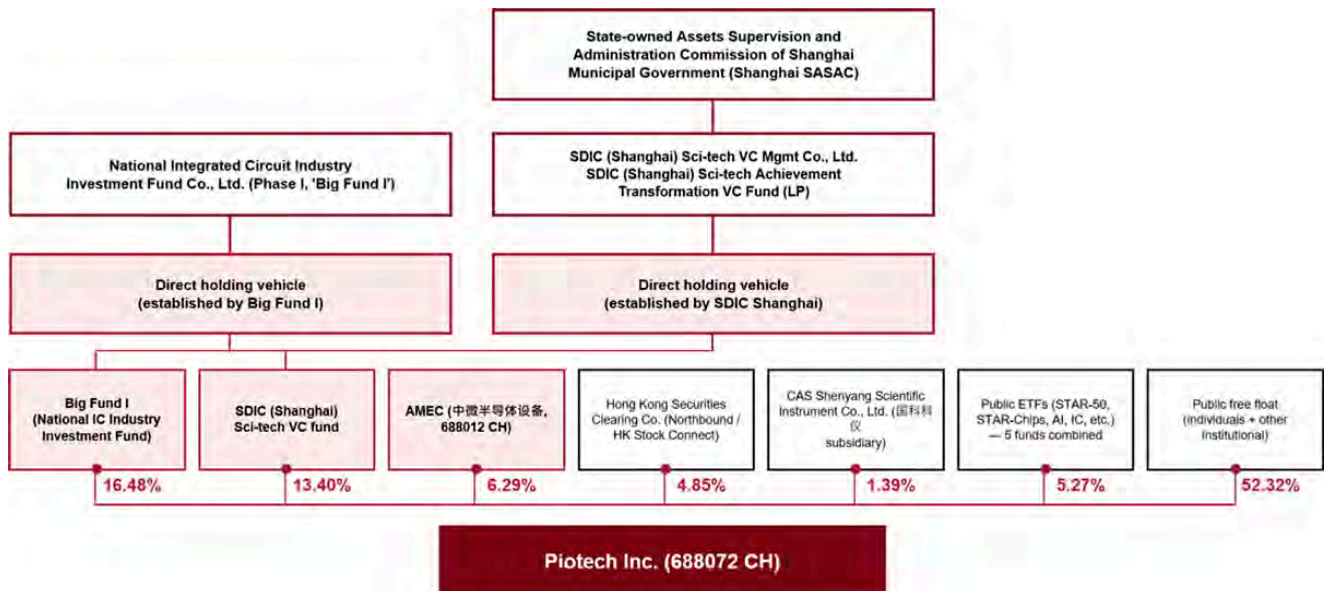
Fig. 91: Piotech corporate history



Source: Company data, Nomura research

Piotech has no controlling shareholder or ultimate controller. Its largest direct shareholder is the National IC Industry Investment Fund ("Big Fund" Phase I) at 16.48%, followed by the SDIC (Shanghai) sci-tech VC fund at 13.40% and AMEC (688012 CH, Buy) at 6.29%. Its founder, Jiang Qian, controls ~15% via direct shareholding and a concert-party group that includes 11 employee platforms.

Fig. 92: Piotech shareholding structure (as of Jul-26)



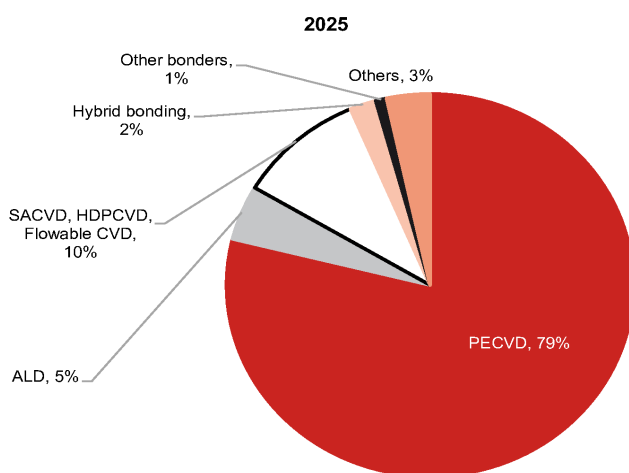
Source: Company data, Nomura research

Business segments and product portfolio

Piotech reports two major segments: **Deposition** (including PECVD, ALD, SACVD, HDPCVD, Flowable CVD) and **Wafer bonders** (wafer-to-wafer / chip-to-wafer, hybrid and fusion bonding tools). Deposition accounted for ~94% of its 2025 revenue (large portion PECVD), with wafer bonders at ~3% (mainly hybrid bonding).

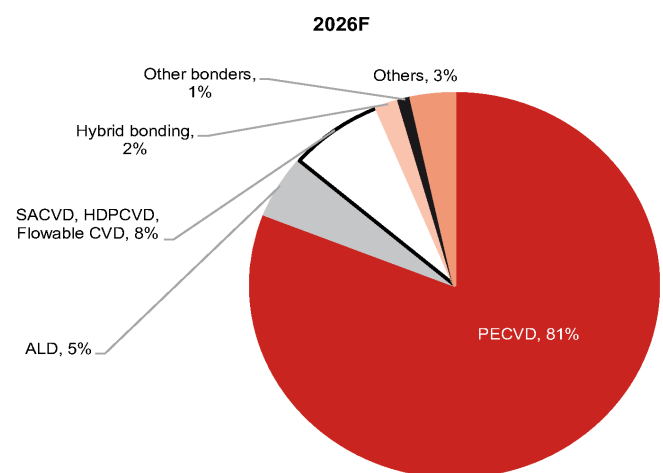
PECVD remains the central franchise, contributing ~79% of its 2025 revenue (CNY5.14bn, +75.3% y-y). ALD revenue was CNY0.3bn (+191.8% y-y), being the fastest-growing product line, driven mainly by PE-ALD SiO₂/Si₃N₄ scaling in advanced memory and the customer-qualification of Thermal-ALD TiN. Hybrid bonding revenue was CNY0.14bn (+41.9%).

Fig. 93: Piotech revenue breakdown (2025)



Source: Company data, Nomura research

Fig. 94: Piotech revenue breakdown (2026F)



Source: Company data, Nomura estimates

Piotech provides one of the most comprehensive PECVD product portfolios among Chinese players. Meanwhile, its ALD (PE-ALD and thermal ALD) and gap-fill CVD (including SACVD, HDPCVD, Flowable CVD) are also well recognized among customers.

- **PECVD**: seven product variants (PF-300T, PF-300T Plus, PF-300M, pX/Supra-D chambers, PECVD Stack / ONO stack, ACHM, PECVD Bianca). Covers 28nm and

below for logic; 1x/1ynm for DRAM; 64/128/232L for 3D NAND; 5nm dielectric stack in R&D.

- **ALD**: thermal-ALD and PE-ALD covering SiO₂, Si₃N₄, SiCO, TiN, HfO₂, Al₂O₃ and other high-k films; the only Chinese supplier with a high-volume PE-ALD installed base in advanced memory.
- **SACVD**: sub-atmospheric CVD for shallow-trench-isolation (STI) and inter-metal dielectric gap-fill. Piotech is the only commercialized Chinese SACVD vendor.
- **HDPCVD**: high-density-plasma CVD for inter-layer dielectric and pre-metal dielectric gap-fill; targeted at <28nm logic and advanced DRAM.
- **Flowable CVD**: for high-aspect-ratio STI and inter-metal-dielectric gap-fill beyond 10:1.
- **3D integration**: wafer-to-wafer hybrid bonding, wafer-to-wafer fusion bonding, chip-to-wafer hybrid bonding, chip-to-wafer fusion bonding and complementary metrology. Multi-vendor qualified at advanced memory and CIS.

Fig. 95: Piotech product offerings and key applications

Equipment Category	Sub-product / Platform	Wafer Size	Device / Application Types	Process Node	Key Applications / Notes
PECVD (Plasma-Enhanced CVD)	PF-300T	12" (also 8")	Logic; Memory; Power; Micro-OLED; Silicon photonics	28nm and below (mature & advanced)	The major PECVD platform; deposits SiO ₂ , SiN, TEOS, SiON, SiOC, FSG, BPSG, PSG and advanced films (LowK-I/II, ACHM, ADC-I/II, HTN, a-Si, Stack/ONO, OPN, SiB); 8"/12" compatible
	PF-300T Plus (pX / Supra-D chambers)	12"	Logic; Memory (advanced)	14nm and below; 5nm stack in R&D	Next-generation platform; PECVD Stack (ONO), ACHM and PECVD Bianca batch-qualified and in volume ramp at advanced nodes
	PF-300M (Supra-D)	12"	Logic; Memory	Advanced nodes	High-productivity PECVD variant for advanced logic / memory
	PECVD Bianca (PF-300T Bianca)	12"	Logic; Memory	14nm and below	Backside SiN / SiO ₂ deposition; corrects wafer warp and protects the wafer backside
	NF-300H	12"	Memory (3D NAND); 3D integration	Advanced nodes	Thick TEOS and ultra-thick TEOS dielectric films
	NF-300M Supra-H	12"	Memory (3D NAND)	Advanced nodes	Stack (ONO) dielectric stack deposition for advanced memory
	PF-150T / PF-200T	6" / 8"	Power (SiC / GaN)	N/A (power devices)	SiO ₂ , SiN, TEOS, SiON dielectric films for SiC/GaN power devices
	PF-300T Upsilon (UVCure)	12"	Logic; Memory	Advanced nodes	UV-cure post-treatment of PECVD films (HTN, LoK-II) to improve film stress / hardness; runs in tandem with PECVD
ALD (Atomic Layer Deposition)	PE-ALD: PF-300T Astra / NF-300H Astra	12"	Logic; Memory (advanced); Advanced packaging	Advanced nodes; high-k	High/low-temperature, high-quality SiO ₂ , SiN, SiCO films; largest domestic PE-ALD installed base in advanced memory
	Thermal-ALD: PF-300T Altair / TS-300 Altair	12"	Logic; Memory	Advanced nodes; high-k metal gate	Al ₂ O ₃ , AlN, TiN, TiON metal / metal-compound films; first TiN tool customer-qualified 2025
	VS-300T Astra-s	12"	Logic; Memory	Advanced nodes	Thermal-ALD variant for metal and metal-compound films
SACVD (Sub-Atmospheric CVD)	PF-300T SA	12" (also 8")	Logic; Memory	28nm and above	SATEOS, SABPSG gap-fill for aspect ratio < 7:1 (STI + inter-metal dielectric); the only commercialized domestic SACVD
	PF-300T SAF / PF-300T Plus PE SAF	12"	Memory (advanced)	Advanced nodes	Plasma-enhanced SAF dielectric films for advanced memory
HDPCVD (High-Density Plasma CVD)	PF-300T Hesper	12"	Logic; Memory	28nm and below	USG, FSG, PSG gap-fill for aspect ratio < 5:1 (inter-layer dielectric + pre-metal dielectric)
Flowable CVD	PF-300T Flora	12"	Logic; Memory	Advanced nodes	SiO ₂ flowable gap-fill for aspect ratio > 7:1; void-free STI / inter-metal-dielectric fill
3D Integration (Bonding & Metrology)	W2W hybrid bonding: Dione300 / Dione300 eX	12"	3D IC; Memory (HBM); CIS; Advanced logic	N/A (bonding)	Room-temperature multi-material wafer-to-wafer hybrid bonding; eX adds higher alignment and bonding accuracy plus throughput
	W2W fusion bonding: Dione300 F eX	12"	3D IC; Memory; Advanced logic	N/A (bonding)	Low-stress permanent fusion bonding (clean + hydrophilic activation + anneal); first revenue recognised in 2025
	C2W pre-treatment: Propus300	12"	HBM; 3D IC	N/A (bonding)	Surface activation and cleaning of wafers / diced dies before chip-to-wafer bonding
	C2W hybrid bonding: Pleione300	12"	HBM; 3D IC	N/A (bonding)	Sequential die pick-and-place with high-accuracy bonding to wafer; targets HBM and chip 3D-stacking
	Bonding alignment metrology: Crux300	12"	Hybrid bonding (W2W + C2W)	N/A (metrology)	IR-optics bonding-overlay (alignment accuracy) metrology after W2W / C2W hybrid bonding
	Bonding strength detection: Ascella300	12"	W2W hybrid bonding	N/A (metrology)	Bond-strength inspection after wafer-to-wafer hybrid bonding
	Permanent-bond laser debonding	12"	Vertical DRAM; Advanced logic	N/A (debonding)	Laser lift-off of permanently bonded wafers for layer transfer / backside thinning (vs temporary bonding)

Source: Company data, Nomura research

Customer base, R&D and technology roadmap

Piotech's customers include major Chinese memory makers, foundries, and IDMs. YMTC (unlisted) and CXMT (688825 CH, Buy) are its two largest customers, followed by SMIC (981 HK, Neutral), HuaHong Group (Hua Hong Grace [1347 HK, Neutral] and HLMC [unlisted]), Nexchip (688249 CH, Not rated), GTA Semiconductor (unlisted), CanSemi (unlisted), Silan (600460 CH, Neutral), etc. Reported customer concentration was significant, with the top-five customers accounting for ~79% of its 2025 revenue, while the largest customer accounted for ~53%.

The two Chinese memory makers account for over 67% of Piotech's customer base, due to the importance of thin-film deposition in memory making process as well as Piotech's

wide product coverage and strong capabilities. Logic foundries and IDMs accounted for another one-third, with key customers including SMIC, Hua Hong Grace / HLMC, Silan, CR Micro (688396 CH, Not rated), etc.

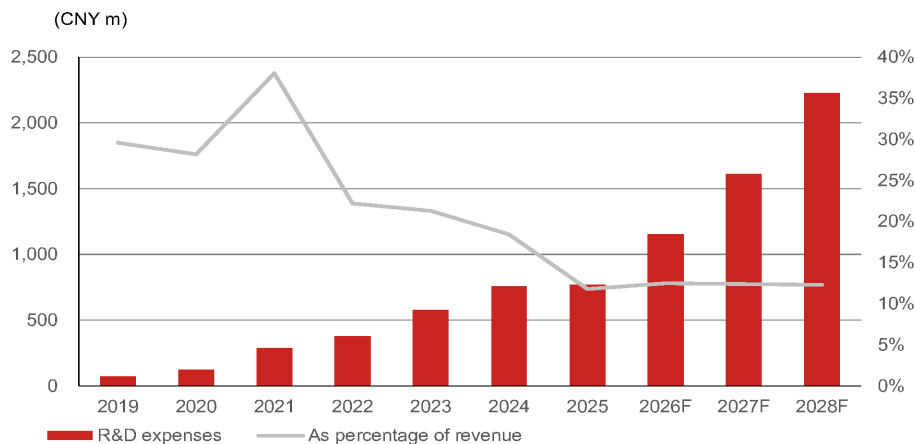
Fig. 96: Piotech's key customers

Tier	Customer	Type / Segment	Relationship	Key Details
Tier 1	YMTC (长江存储)	Memory (3D NAND)	Strategic memory anchor	Key PECVD / ALD supplier for 3D NAND stacks; installed-base share at YMTC reported to have risen from c.15% to c.30% over five years
	CXMT (长鑫存储)	Memory — DRAM	Strategic memory customer	PECVD / ALD / 3D-IC tools deployed in DRAM lines; PE-ALD SiO ₂ /SiN/SiCO scaling in advanced memory is a key 2025-26 growth driver
	SMIC (中芯国际)	Logic foundry (advanced & mature)	First-mover / anchor customer	Piotech's first 12" PECVD shipped to SMIC for verification in 2011 and entered mass production in 2013-14 (PF-300T); long-standing anchor across PECVD / ALD for advanced logic
Tier 2	Hua Hong Grace (华虹)	Specialty foundry (power analog, embedded, MCU)	Long-term partner	Major share of specialty-node deposition; covers Hua Hong Grace and HLMC lines
	HLMC (上海华力)	Advanced logic foundry (28/14nm)	Key logic customer	PECVD for advanced logic nodes (28/14nm)
	Nexchip (晶合集成)	Display-driver / specialty foundry	Established customer	Specialty and display-driver deposition tools
	GTA Semiconductor (积塔半导体)	Analog / power / automotive	Growing customer	Power & analog process deposition equipment
Tier 3	CR Micro (华润微)	Power IDM (MOSFET / IGBT)	Power-sector customer	Si power deposition; supports power-semiconductor capacity expansion
	Silan Microelectronics (士兰微)	Power IDM (IGBT / SiC)	Power customer	Power device deposition equipment
	BYD Semiconductor (比亚迪半导体)	Power (automotive IGBT / SiC)	Automotive power customer	SiC power deposition for automotive devices

Source: Company data, Nomura research

R&D expense in 2025 reached CNY770mn (+2% y-y), accounting for ~12% of revenue, and this ratio was a lot higher back before 2021 (30%/28%/38% in 2019/2020/2021), where many new products are introduced. The spending is related to the technology roadmap: extending PECVD product coverage and ALD capability; developing 3D IC hybrid-bonding and fusion bonding solutions for advanced packaging.

Fig. 97: Piotech R&D expense and as percentage of revenue



Source: Company data, Nomura estimates

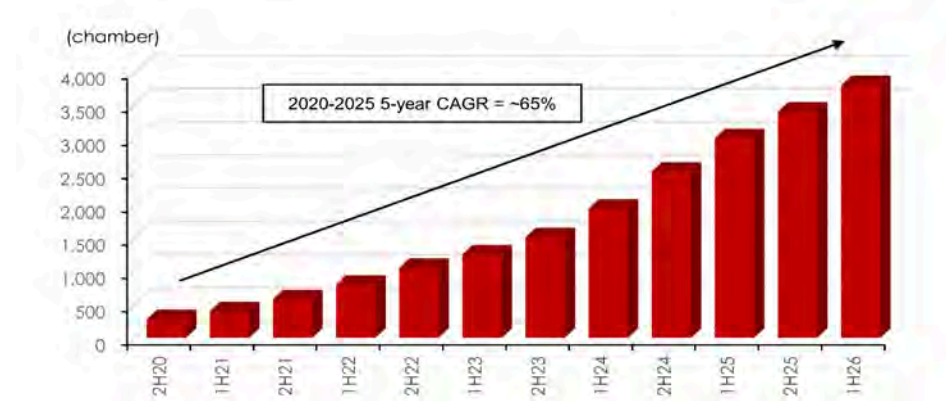
Competitive advantages and growth drivers

Though many other suppliers are now expanding product offerings into the PECVD field, or aiming to become platform suppliers, Piotech is still a supplier with one the most comprehensive PECVD tools coverage and leading capabilities to supply to both advanced and memory processed. In addition, its 3D integration bonding and complementary metrology is one of the fast-growing areas in the post-Moore era. This matters for two reasons: (1) thin-film intensity increases per wafer with node migration and memory process advancement, allowing Piotech to have recurring content-per-fab gain; and (2) a strong customer base and early entry barrier result in customer stickiness (high cost for fabs to change suppliers).

Technology capability: wide coverage in PECVD, dominant market share in China

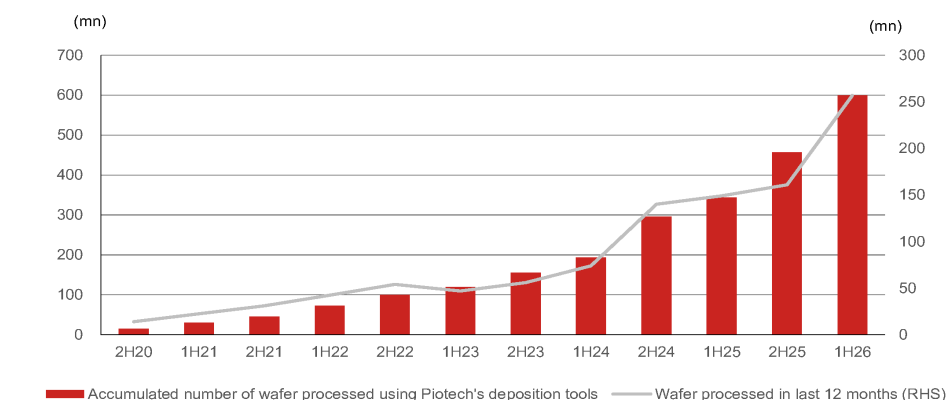
Piotech is one of the companies supplying to two large domestic memory makers (YMTC, CXMT), and advanced process lines in China (SMIC, HLMC). Total accumulated amount of wafer processed using Piotech's deposition equipment exceeded 600mn by end-1H26, with cumulative installed chambers of Piotech's equipment exceeding 3,800 (deployed in ~100 production lines).

Fig. 98: Piotech accumulated installed reaction chambers (all equipments)



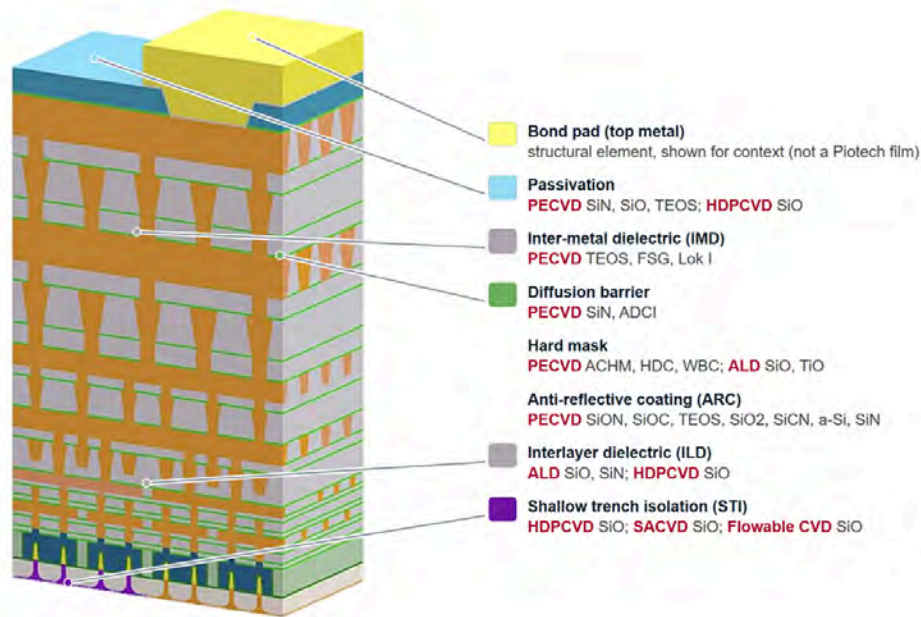
Source: Company data, Nomura research

Fig. 99: Accumulated number of wafers processed with Piotech deposition tools

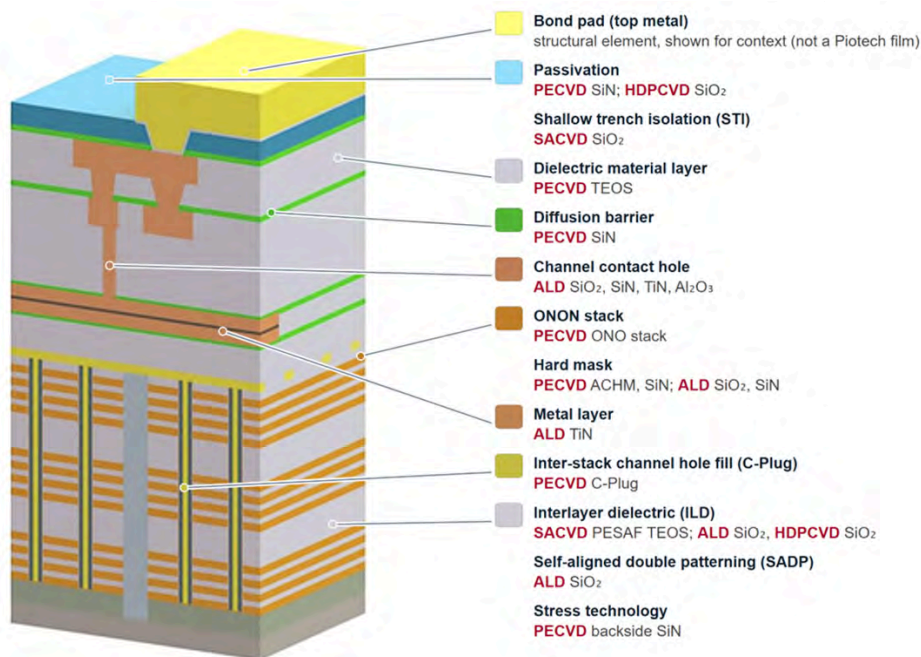


Source: Company data, Nomura research

PECVD is a kind of equipment that consists plenty of categories according to deposition materials, temperature, pressure, etc. During the IC manufacturing process, hundreds of layers of materials need to be placed onto the wafer, which will be left onto the wafer from then on. By our estimate, 200-300 different types of PECVD will be needed in the manufacturing process. Besides, PECVD equipment is not a kind of standardized product (on the contrary, lithography is a standardized tool), meaning the equipment varies in different fabs and production lines. This means customer qualification and penetration is one of the key barriers for new entrants.

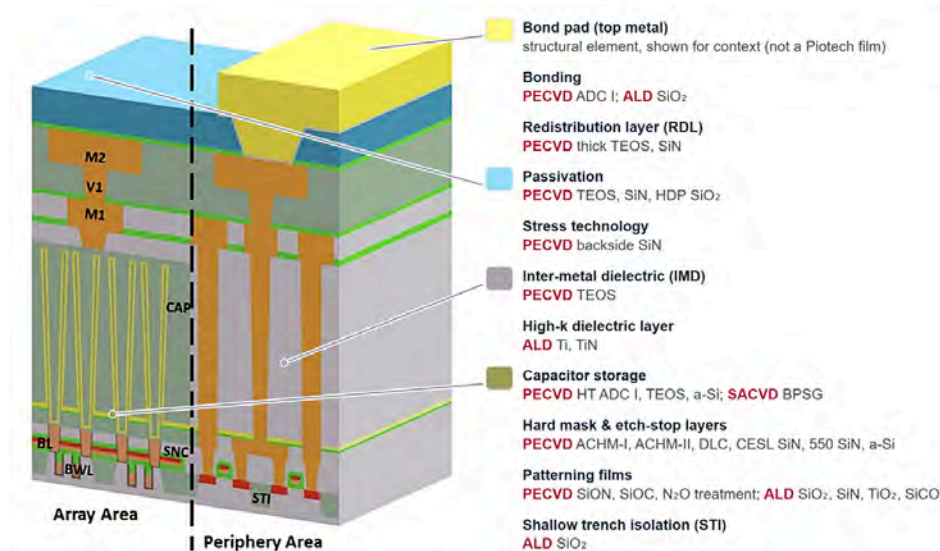
Fig. 100: Logic IC – CVD & ALD applications related to Piotech

Source: Piotech, Nomura research

Fig. 101: 3D NAND – CVD & ALD applications related to Piotech

Source: Piotech, Nomura research

Fig. 102: DRAM – CVD & ALD applications related to Piotech



Source: Piotech, Nomura research

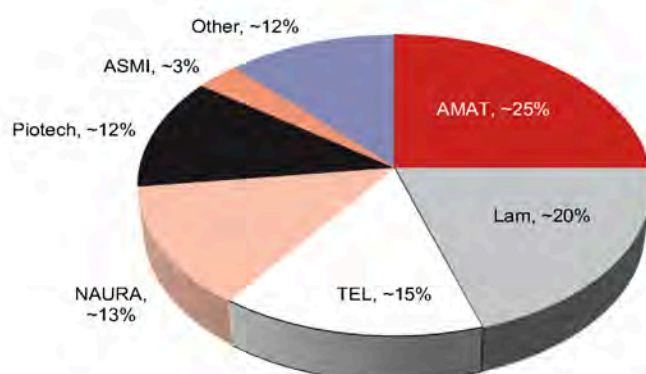
Piotech is the domestic strong player in PECVD, with a market share of around 12% in China's deposition market (according to our estimates). In CVD, its market share is even higher. Currently, Piotech has over 100 categories of PECVD equipment, covering half of all PECVD needed in the process, and its PECVD Stack (ONO), ACHM and PECVD Bianca products are now in customer qualification. These positions reflect years of accumulated process know-how that cannot be replicated easily, which we believe is a key moat in the industry where customer qualification cycles run 18-36 months.

Fig. 103: Piotech's deposition equipment coverage estimate

Process	Deposition as % of total equip. purchase amount	Piotech's equipment coverage
NAND	~30%	50%-60%
DRAM	~25%	50%-55%
Advanced logic	20%-22%	45%-50%
Overall blended	22%-25%	~50%

Source: Nomura estimates

Fig. 104: China deposition equipment market share estimate (2025)



Source: Nomura estimates

Technology strength, along with a dominant market share, forms an entry barrier and deep moat for Piotech, in our view. Usually for a wafer fab, equipment replacement is infrequent if no obsolescence and upgrades, because equipment qualification and line-up should take a lot of time and extra costs. So a first-mover advantage is important, in our

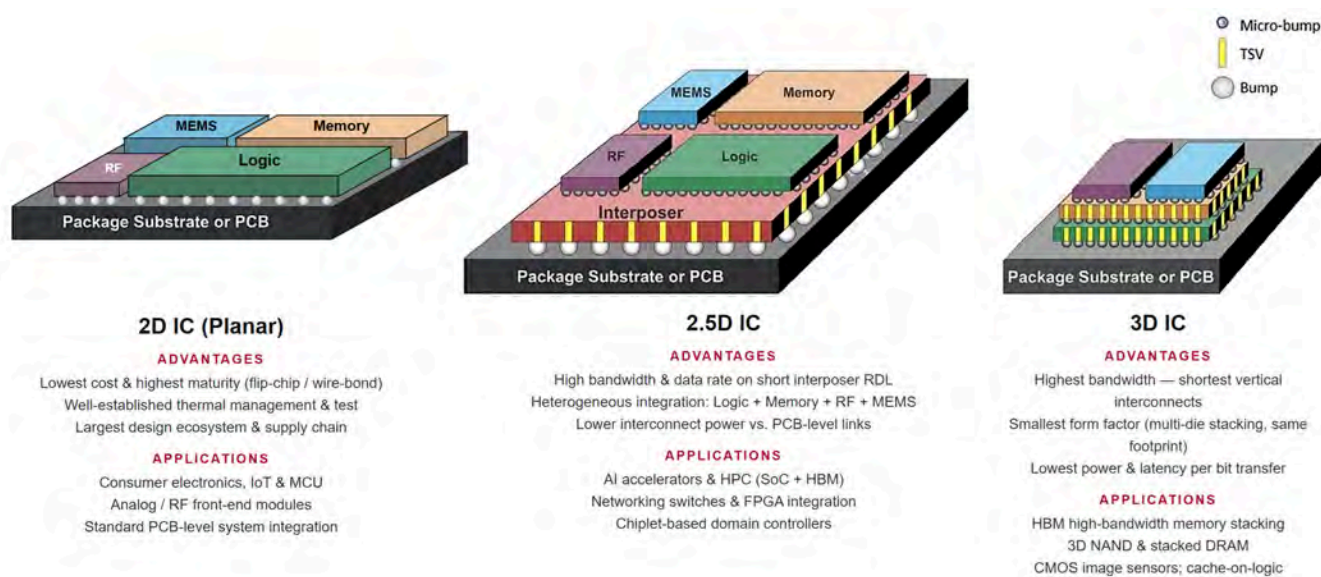
view. In addition, we believe a large installed base will bring more service & parts related revenue, which is a high-margin business for equipment vendors.

3D Integration rising, the post-Moore era driver

As two-dimensional scaling reaches its physical and economic limits, the IC industry's growth vector is shifting from shrinking transistors to stacking them. For Pitech, this shift converts into revenue opportunities for not only its new bonder products, but also deposition tools, in our view.

3D integration is key in the post-Moore era: For several decades, Moore's Law delivered predictable gains through geometric scaling: shrink the transistor, pack more of them onto a die, and performance follows. Below the 7nm node, each shrink carries escalating quantum-tunneling leakage, mask and lithography cost, and diminishing returns per transistor. The industry therefore is focusing more on 3D integration (stacking logic, memory and passives vertically and connecting them with dense through-silicon and hybrid-bond interconnects), in our view. It also lifts bandwidth and lowers delay and power without requiring the next lithography node.

Fig. 105: Packaging revolution: from 2D to 3D



Source: Siemens EDA, Nomura research

Huawei's "Tau Scaling Law" (τ定律), proposed gives this shift a precise formulation and a first product proof-point. Instead of geometric scaling, the Tau's Law targets temporal scaling: compressing the variable Tau (τ), the characteristic signal-propagation delay along a chip's critical path. The enabling technique is logic folding (re-architecting a circuit from a planar layout into vertically stacked tiers joined by micro-scale vertical interconnects, using 3D stacking with wafer-level hybrid bonding). Long horizontal wiring becomes short vertical jumps, cutting interconnect capacitance and dynamic power.

The first commercial validation arrived on 7 September 2026 with the Kirin 9050 Pro (in the HUAWEI Mate XT2). Versus the prior planar design, it delivers a ~55% rise in transistor density (from 155mn to ~238mn per mm²) while cutting power at iso-performance by ~66% for NPU, ~58% for GPU and ~41% for CPU performance cores. The bonding roadmap, according to Huawei: hybrid-bonding pitch of 1.5μm with 50mn vertical interconnects in Kirin in 2026, shrinking to 1μm / >100mn in Kirin in 2027E, and targeting 720nm / >200mn within three years and 480nm in the longer term.

- **For equipment,** keys are packaging, interconnecting, which requires bonding, front-end deposition, etch, CMP, metrology, instead of higher-end lithography (EUV), for which China has limited access.
- **As a consequence,** logic folding adds multi-layer active-wafer manufacturing and wafer-level hybrid bonding, lifting demand across deposition, etching, CMP, cleaning, metrology and test.

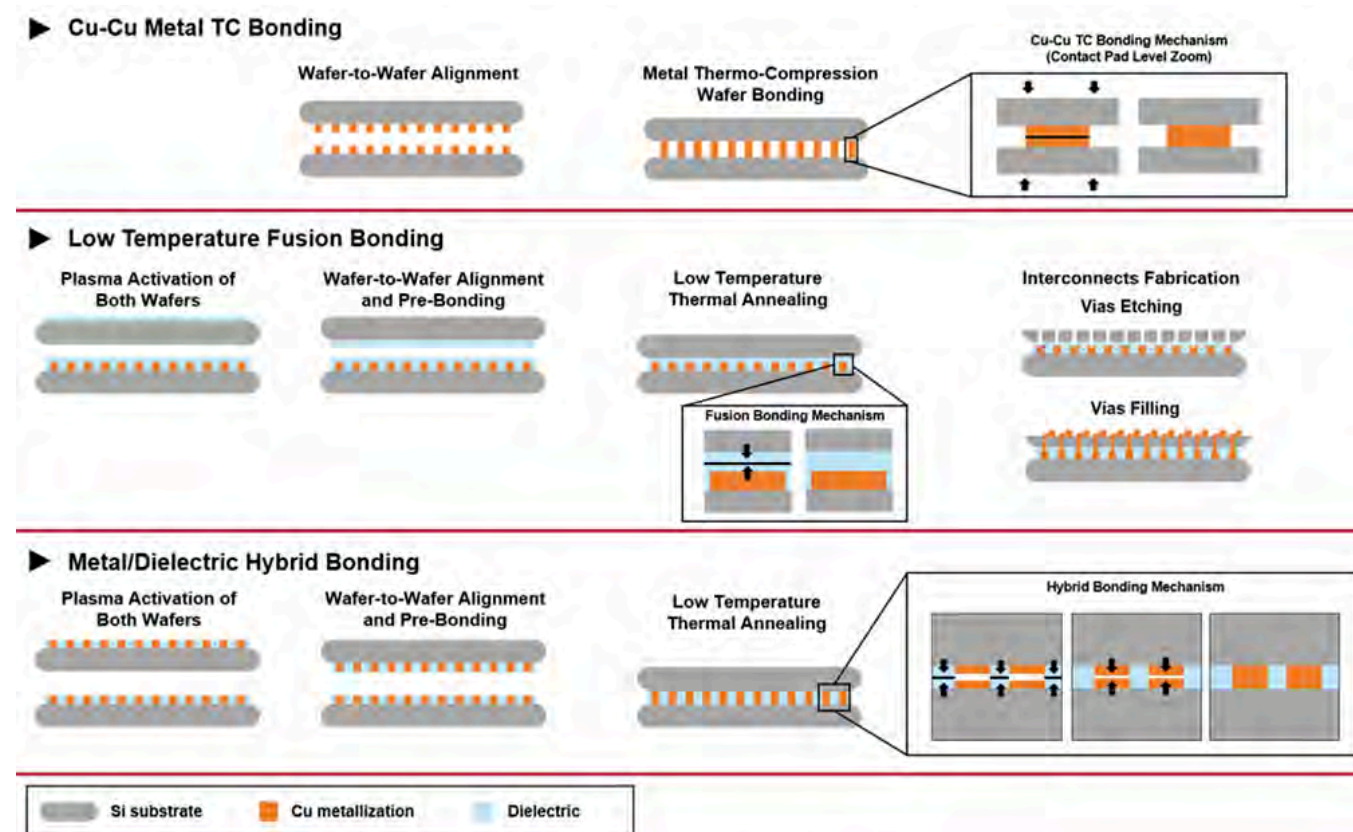
3D integration is a process chain, not a single step. A wafer bound for 3D stacking runs

through: TSV formation → bond-layer deposition → CMP planarization → plasma activation → alignment → bonding → backside thinning → metrology. The two important bonding technologies are **hybrid bonding** and **fusion bonding**, and Piotech has commercialized hybrid bonding with revenue contribution.

Hybrid bonding bonds the dielectric and the copper pads simultaneously in a single step. The wafers are first planarized by CMP to an ultra-flat finish; a room-temperature dielectric-to-dielectric bond is formed, then a low-temperature annealing expands the copper to close the recess and form a Cu-Cu electrical interconnect. By replacing copper micro-bumps, hybrid bonding pushes interconnect pitch from ~35μm toward sub-10μm and below 1μm. This is the very technology that is being used by HBM stacking [SK Hynix (000660 KS, Buy)], CIS [Sony's (6758 JP, Buy) first high-volume use], TSMC's (2330 TT, Buy) SoIC, Intel's (INTC US, Not rated) Foveros Direct, 3D NAND CMOS-under-array bonding, and Huawei's (unlisted) logic folding. Its difficulty lies in three interlocking demands: wafer-level flatness and copper profile control, sub-micron alignment, and particle-level cleanliness, and all of those need to be at low temperature and high throughput.

Fusion bonding (a.k.a. direct bonding) is the simpler, non-electrical sibling. Two ultra-smooth oxide surfaces are cleaned and hydrophilically activated, pre-bonded at room temperature, then annealed to form a permanent SiO₂-SiO₂ bond. It carries no metal and no electrical function, which makes it the workhorse for carrier-to-device permanent bonding, thin-wafer support and layer transfer (vertical DRAM, advanced logic). Its challenges are surface hydrophilicity and roughness control, low-stress bonding and void avoidance.

Fig. 106: 3D integration process flow



Source: IEEE, Nomura research

Piotech spans both of them (hybrid bonding and fusion bonding). On the hybrid-bonding side, it fields Dione300 (wafer-to-wafer, in volume with repeat orders), the gen-2 Dione300 eX (shipped for customer qualification), Pleione300 (chip-to-wafer, in validation) and Propus300 (chip-to-wafer pre-treatment). On the fusion side, it fields Dione300 F eX, already validated at an advanced-logic customer. Bonding accuracy has reached the 100nm level, and the portfolio is closed by the Crux300 alignment metrology, Ascella300 bond-strength detection and Lyra laser debonding tools.

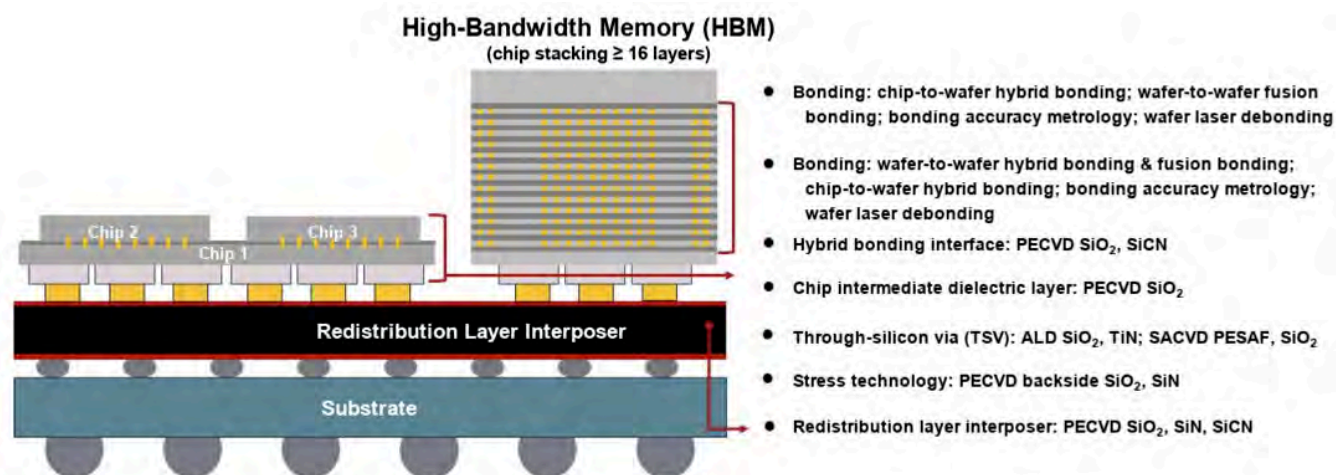
Fig. 107: Hybrid bonding vs Fusion bonding

Dimension	Hybrid Bonding	Fusion (Direct) Bonding
Principle	Bonds dielectric and copper pads simultaneously in a single step: a room-temperature dielectric-to-dielectric bond, then a low-temperature anneal that expands the Cu to close the recess and form a Cu-Cu electrical interconnect.	Permanent, non-conductive bonding of two ultra-smooth wafer surfaces (SiO ₂ /SiO ₂ , Si-O-Si). Clean + hydrophilic activation, room-temperature pre-bond, then high-temperature anneal to strengthen the interface.
Bond interface	Dielectric (SiCN / SiO ₂) + recessed copper pads	Oxide-to-oxide only (no metal)
Electrical connection	Yes, Cu-Cu interconnect; replaces copper micro-bumps and enables sub-10µm (down to <1µm) pitch	No, structural / mechanical bond only
Bonding mode	Wafer-to-wafer (W2W) and chip-to-wafer (C2W / die-to-wafer)	Wafer-to-wafer (W2W)
Typical applications	CIS (Sony, first HVM), HBM stacking (SK hynix next gen), TSMC SoIC, Intel Foveros Direct, 3D NAND CMOS bonding, Huawei logic folding (Kirin 9050 Pro)	Carrier / device wafer permanent bonding, thin-wafer support, layer transfer, vertical DRAM and advanced logic
Key technical challenges	CMP flatness (dielectric RMS <0.5nm; Cu recess ~5nm); sub-µm alignment (100nm-level); particle / cleanliness control; low-temperature (<350°C) anneal; Cu diffusion control	Surface hydrophilicity and roughness control; low-stress bonding; void / air-trap avoidance
Key upstream processes	PECVD (bond dielectric) → CMP → plasma activation → align → bond → anneal → backside grind → metrology	Clean → hydrophilic activation → pre-bond → high-temp anneal
Piotech product	Dione300 (W2W), Dione300 eX (gen-2 W2W), Pleione300 (C2W), Propus300 (C2W pre-treatment)	Dione300 F eX (low-stress W2W fusion bonding)
Piotech status (2025 / 1H26)	W2W in volume production with repeat orders; gen-2 eX shipped for customer qualification; C2W Pleione300 in customer validation	Passed advanced-logic customer validation; first revenue recognised in 2025

Source: Company data, Nomura research

3D integration is not just about bonder: Hybrid bonding is a deposition-intensive process, and Piotech's core franchise (thin-film deposition) is also heavily used in the bonding process. Before any wafer can be bonded, a dielectric layer is deposited: the TSV liner (SiO₂/SiN insulation plus Ti/Ta barrier) by CVD or ALD; the hybrid-bond dielectric (SiCN/SiO₂) by PECVD; and RDL passivation by PECVD. Each of these is a Piotech-addressable deposition step that precedes and feeds its bonders.

The compounding insight is that deposition step count scales roughly linearly with stacking levels. Every added tier re-runs the full dielectric-deposition → CMP → activation → bond → thinning → metrology cycle. Two structural tailwinds reinforce this. First, as TSV diameter shrinks toward ~1µm and aspect ratio toward 20:1, ALD displaces conventional CVD for the liner and Piotech's ALD is the largest domestic installed base. Second, Huawei's 1.5µm → 480nm pitch roadmap makes planarization and cleanliness the binding constraint, raising the value of precise deposition and CMP at every tier.

Fig. 108: Bonding and CVD in 3D integration

Source: Piotech, Nomura research

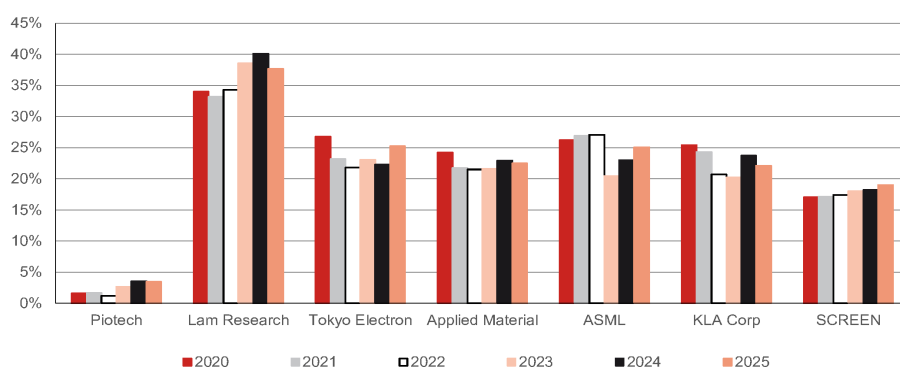
Installed-base stickiness and services

We believe this benefits especially leading players, with a large installed base and customer base. Once a tool is qualified into a fab and running in volume, switching costs are high, as re-qualification is expensive and process recipes are tightly coupled to the equipment.

In our view, Piotech's growing installed base therefore generates a recurring stream of spare parts, upgrades, and services. This compounding installed-base dynamic is the same one that has underpinned the decades-long dominance of Applied Materials (AMAT US, Not rated) and Lam Research (LRCX US, Not rated), and is now forming around Piotech, in our view.

With more installed base and customer adoption, we believe service revenue will grow accordingly. Currently, Piotech's revenue percentage is only around 2-4%, far below global peers. Lam Research, a global leader in etching and deposition, has the highest services & spare parts revenue percentage of 35-40% (source: company data). Considering Piotech is now expanding its market share and customer base in China, we expect its services & spare parts revenue to catch up quickly.

Fig. 109: Revenue from services and spare parts as a percentage of total



Source: Company data, Nomura research

Production site expansion supporting future demand

Piotech now has three main operating production sites: Shenyang Phase 1 (the old site and headquarters), Shanghai Lingang Phase 1, and Shanghai Lingang Phase 2 (production started in 3Q25). A new factory, Shenyang Phase 2, is under construction, with target production starting in early 2028F. With all four factories operating, total capacity would reach ~2,000 units per year, according to management.

Fig. 110: Piotech production sites and designed capacity

Production sites	Designed capacity (unit)	Status
Shenyang Phase 1	~300	In operation
Shanghai Lingang Phase 1	~80	In operation
Shanghai Lingang Phase 2	~400	In operation from 3Q25
Shenyang Phase 2	>1,000	In construction, target starting in early 2028F

Source: Company data, Nomura research

Enough production sites are a prerequisite of order delivery and sales growth. That being said, key component sourcing and talent acquisition are two other important aspects of delivery capacity. Piotech, in our view, has enjoyed good relationships with key component suppliers, especially those of difficult products such as electrostatic chucks, valves, pumps, and MFC. In addition, domestic suppliers of these components are being tested, which we believe could potentially further enhance Piotech's delivery capacity once qualified.

China's localization push: one of the most promising drivers

By our estimates, China is the world largest WFE market, but its self-sufficiency rate remains low, around 26-27% (and far lower in lithography and ion implanter). Export controls have converted localization from a cost decision into a strategic necessity, in our view. Domestic fabs are now actively sourcing and qualifying Chinese tools across every

front-end step. As a prominent player in domestic vendor in deposition, we believe Piotech will be a key beneficiary of this trend.

In localization, there are two layers to consider: (1) an increase in the semiconductor device localization rate would drive more domestic capacity expansion, which we expect would further translate into higher WFE TAM; and (2) in addition, an increase in the equipment localization rate would further reflect domestic equipment vendor market sales growth and market share gains.

We estimate that Piotech's market share in China was around 2.0% in 2025, and expect it to further increase to 2.4% in 2026F. By our estimates, (1) if Piotech achieves a 4% market share in 2030F, it would have a sales CAGR of ~34% during 2025-30F; (2) if Piotech achieves a 5% market share in 2030F, it would have a sales CAGR of ~41% in 2025-30F. In addition, if more capacity is added, upside would increase.

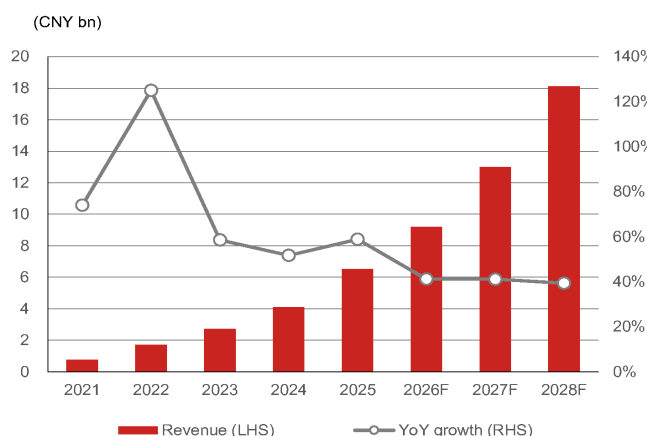
Financial analysis and outlook

Solid revenue momentum; PECVD remains major contributor

Piotech has seen rapid revenue growth since 2019, generating a CAGR of 72% during 2019-25. PECVD has been the major revenue contributor since the beginning, with its contribution being 99% in 2019, but falling to 79% in 2025, along with rapid growth in ALD and the ramping up of bonders. Bonding tools started their revenue contribution from 2023, and then grew quickly.

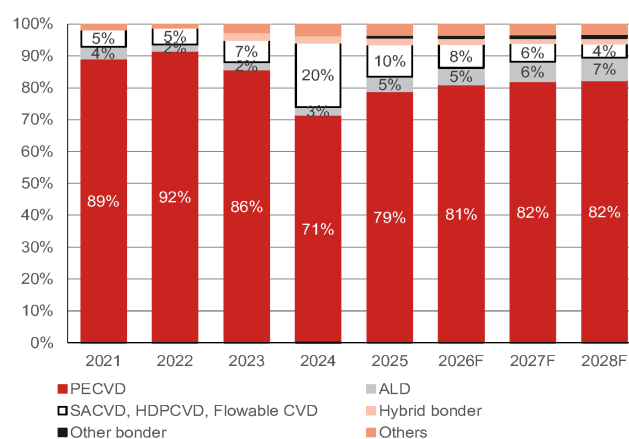
Based on the positive outlook driven by strong technological edges in CVD and growing demand for bonders, as well as the localization push, we forecast a revenue CAGR of **40.6% over 2025-28F**, outperforming China's WFE market. By segment, we forecast PECVD and ALD to record 43% and 62% CAGRs, respectively, in 2025-28F, driven by domestic memory and foundry capacity expansion as well as technology advancements, and given the importance of deposition in the roadmap, we think PECVD will remain a key revenue driver and contributor. We expect the company to record a 40% CAGR for bonders over 2025-28F, with hybrid bonding and other bonders (including fusion bonder, temporary bonder, laser debonder) witnessing CAGRs of ~30% and ~59%, respectively, given hybrid bonding is now in an early stage of volume production for most applications.

Fig. 111: Piotech revenue forecasts



Source: Company data, Nomura estimates

Fig. 112: Piotech revenue breakdown by segment

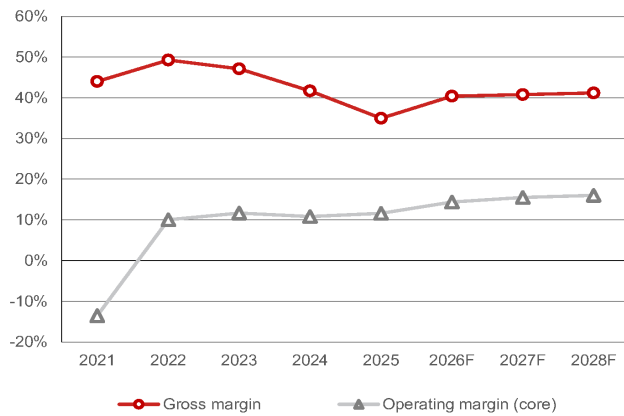


Source: Company data, Nomura estimates

Margins stabilizing, mix improvement to drive margin uptrend

Piotech's gross margin saw a downward trend during 2022-25 (it fell from 49% to 35%), mainly due to a product-mix shift toward ALD and 3D integration, which are still at the qualification stage, with low initial ASP and gross margins. The group gross margin has remained stable above 35% since 2022. With higher sales and a more stable market environment, we forecast the corporate gross margin to increase to 40.4% in 2026F, and to further increase to 41.2% in 2028F. Bonders usually have higher margins, mainly helped by hybrid bonding.

R&D expense has been the largest part of operating expenses, and also the main reason core OPM was negative back in 2021. Piotech's R&D expense ratio (as a percentage of revenue) has declined from 38% in 2021 to 12% in 2025, but the actual amount kept increasing at a CAGR of ~44% over the past five years. To maintain its technology strength and expanding market share, we expect R&D expenses to keep increasing, with the R&D expense ratio likely to be maintained at 12-13%. We estimate Piotech's core operating profit (gross profit less taxes & surcharges, S&M, G&A, R&D) margin to exceed 14% in 2026F, helped by a GPM recovery, and to further increase to 16% in 2028F.

Fig. 113: Piotech gross margins and core operating margins

Source: Company data, Nomura estimates

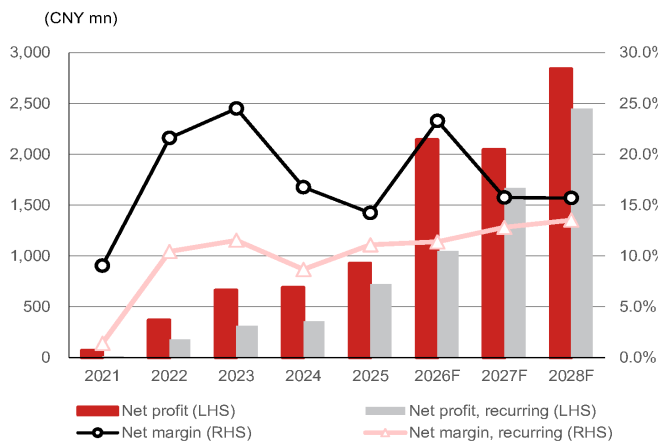
Fig. 114: Piotech gross margins by segment

Source: Company data, Nomura estimates

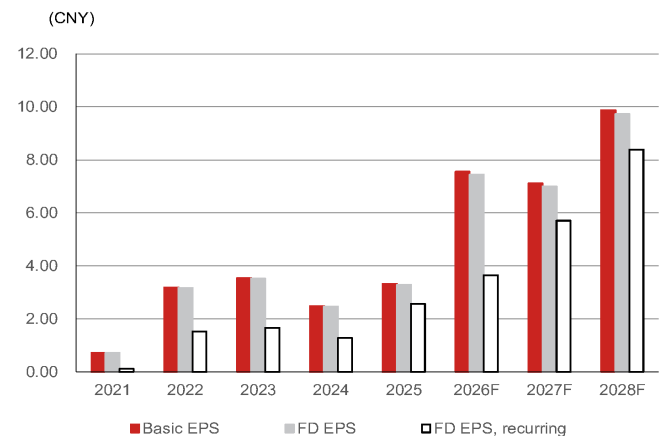
Net profit and EPS

Piotech's net profit attributable to shareholders (net profit, or "NP") was CNY663mn in 2023, CNY688mn in 2024, and CNY927mn in 2025, representing a 34.7% y-y growth in 2025. Net profit margin was 16.8% in 2024 and 14.2% in 2025. We expect net profit to be 23.3% in 2026F mainly due to sales growth, margin improvement, and a fair value gain resulting from the company's investment measured at FVTPL. Excluding these non-recurring items, we estimate its recurring net margin to be 11.4% in 2026F (vs 8.7%/11.1% in 2024/25). With sales growth and gross margin trending up, we forecast its recurring net margin to improve gradually, reaching 13.5% in 2028F.

Basic and diluted EPS of the company was CNY3.32 in 2025 (basic and diluted weighted average number of shares at 279mn and 282mn, respectively, dilution effect of around 1.2%).

Fig. 115: Piotech net profit and net margin

Source: Company data, Nomura estimates

Fig. 116: Piotech basic, diluted, and recurring diluted EPS

Source: Company data, Nomura estimates

Our forecast for 2026F is largely in line with the Bloomberg consensus. Our 2027F and 2028F revenue forecasts are lower than the consensus, as we stay relatively conservative, but we believe Piotech's sales growth will be significantly higher than industry growth, and we believe further upside potential exists. As for operating profit and net profit, our estimates are lower than the consensus as we believe the company's significantly high investment and fair value gains (CNY976mn in 1H26) are not recurrent. That being said, recurring net profit is seeing significant growth.

Fig. 117: Financial forecast comparison – Nomura versus consensus

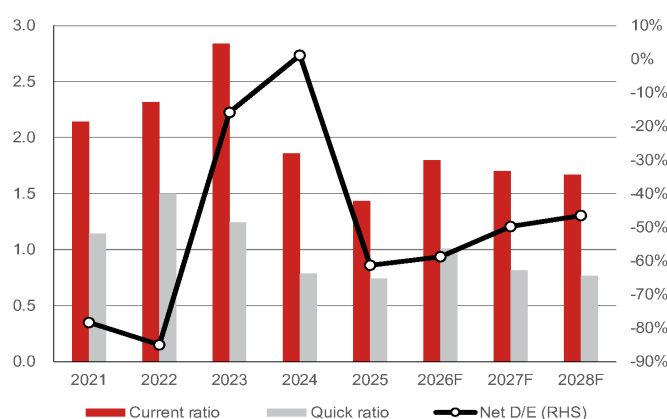
(CNY mn)	2026F	2027F	2028F
Revenue - Nomura est	9,203	12,990	18,104
Revenue - consensus	9,226	13,559	20,954
Revenue - diff	-0.2%	-4.2%	-13.6%
Gross margin - Nomura est	40.4%	40.8%	41.2%
Gross margin - consensus	39.9%	40.6%	41.0%
Gross margin - diff	0.5%	0.2%	0.2%
Operating profit (as reported) - Nomura est	2,266	2,254	3,161
Operating profit (as reported) - consensus	2,199	3,173	5,262
Operating profit (as reported) - diff	3.1%	-29.0%	-39.9%
Net profit - Nomura est	2,142	2,044	2,840
Net profit - consensus	2,117	3,019	5,109
Net profit - diff	1.2%	-32.3%	-44.4%
Net profit, recurring - Nomura est	1,048	1,665	2,450
Net profit, recurring - consensus	n.a.	n.a.	n.a.
Net profit, recurring - diff	n.a.	n.a.	n.a.

Source: Bloomberg Finance L.P., Nomura estimates

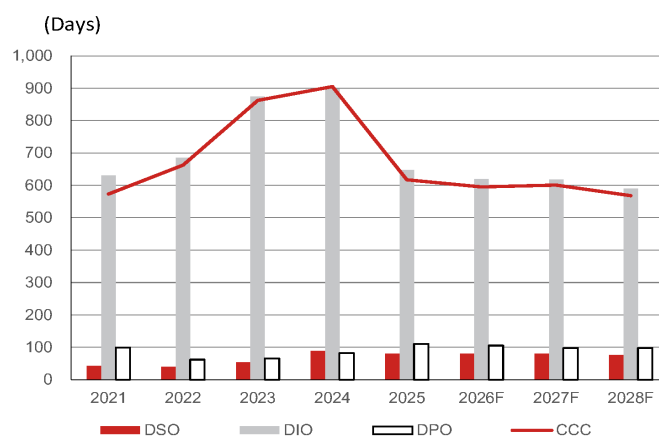
Balance sheet: financial position improving

Piotech's net debt to equity ratio has remained under 0%, except 2024, when a long-term debt was raised. In 2025, the net debt to equity ratio dropped to -61% with increased cash level increase and a decline in debt. We do not expect it to raise any further debt, and the net debt to equity ratio is likely to remain below -40%. As for liquidity, we find that the current ratio has been below 2.0 since 2024, while the quick ratio has been below 1.0. We attribute these to the company's high contract liabilities for pre-orders.

Inventory days (DIO) has been at a very high level (over 600 days), resulting in a positive and high cash conversion cycle (CCC). Although it is very common in the semiconductor equipment industry for the DIO to be usually high as takes a long time to manufacture and assemble the equipment before revenue can be recognized, while components and parts are stockpiled in advance, we think Piotech's level is still higher than peers, meaning the company's manufacturing and delivery cycle is longer than others. The bright side is that the DIO is seeing a decline.

Fig. 118: Piotech liquidity and solvency ratios

Source: Company data, Nomura estimates

Fig. 119: Piotech working capital days

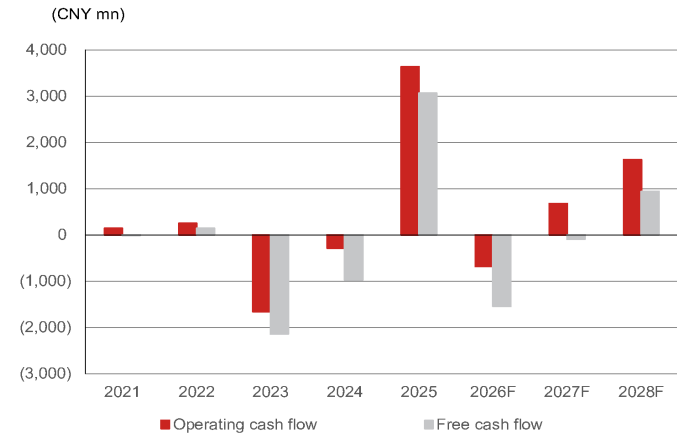
Source: Company data, Nomura estimates

Cash flow to improve with normalized working capital days and profit growth

Operating cash flow was positive back in 2021 and 2022, mainly due to a decrease in working capital days. 2023 saw negative operating cash flow due to significantly higher DSO and DIO. 2025 saw large positive operating cash flow helped by significantly lower DIO, as well as higher DPO. We expect operating cash flow to turn positive from 2027F helped by profit growth and normalized working capital days. The capex ratio has been largely declining since 2023, thanks to fast sales growth, outpacing the capex increase.

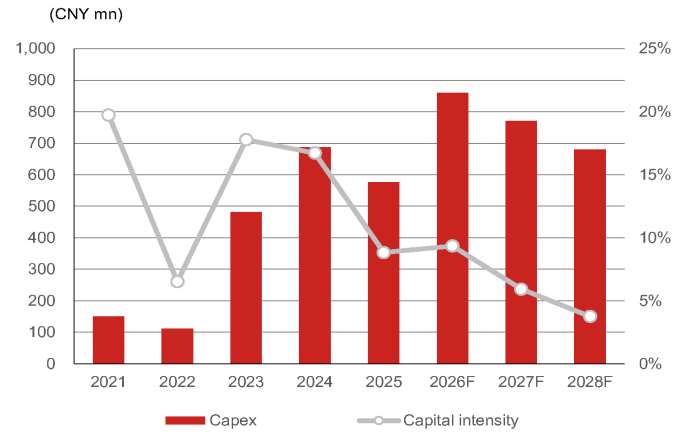
With market share gain as the primary goal, and the new Shenyang Phase 2 production site being constructed, we expect the company's capex to increase in 2026F, to support its equipment delivery.

Fig. 120: Piotech operating cash flow and free cash flow



Source: Company data, Nomura estimates

Fig. 121: Piotech capex and capital intensity



Source: Company data, Nomura estimates

Piotech valuation: premium to local peers, but justified by high sales growth

Being a manufacturing company, sales and profit drive valuation. P/E is normally used to value these kinds of companies. However, Chinese equipment vendors, including Piotech, are now in a fast expansion stage, in our view, with sales growth and market share gains being the key focus. Therefore, we think a sales-related valuation multiple should be more suitable for their valuation.

We choose **EV/sales** as our major valuation multiple to value Chinese SPE companies, mainly considering: (1) Chinese vendors are at mid-ramp, high-R&D phases whose profits are depressed by heavy investment and one-off items, so earnings multiples overstate their relative value; and (2) Chinese players are now at sales expansion and market share driven stages, where sales growth and market share gain are the main focus for them, especially with the localization story.

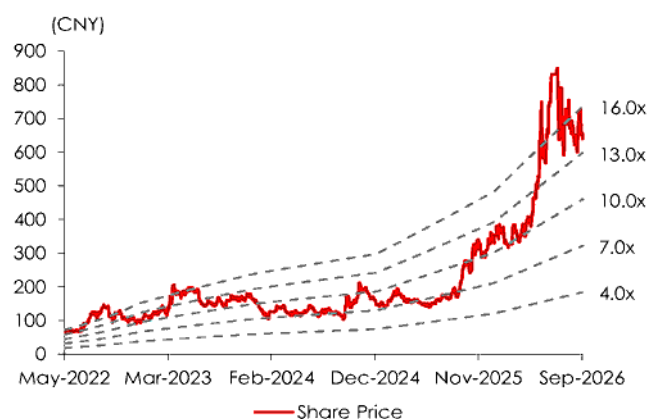
Historically, within the latest five-year period (2021-26), Piotech has largely traded at 6-20x forward EV/sale (average: 11.0x), with the highest valuation in May-June 2026, when the semiconductor megatrend was going on and Huawei's Tau Scaling Law kicked in.

Fig. 122: Piotech – EV/sales trend since IPO



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 123: Piotech – EV/sales band since IPO



Source: Bloomberg Finance L.P., Nomura estimates

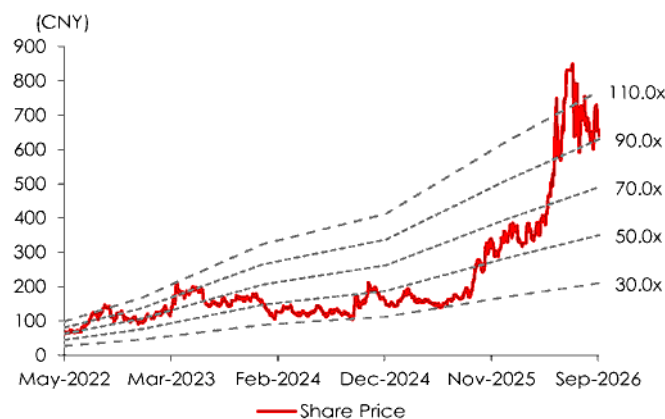
P/E multiple would be much more volatile than EV/sales, in our view. In the latest five-year period, (2021-26) Piotech's forward P/E was in the range of 30-145x with an average of 62x. Volatility was significant, with an average of -2SD near 10x. This is another reason we have chosen EV/sales as our main valuation method.

Fig. 124: Piotech – P/E trend since IPO



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 125: Piotech – P/E band since IPO



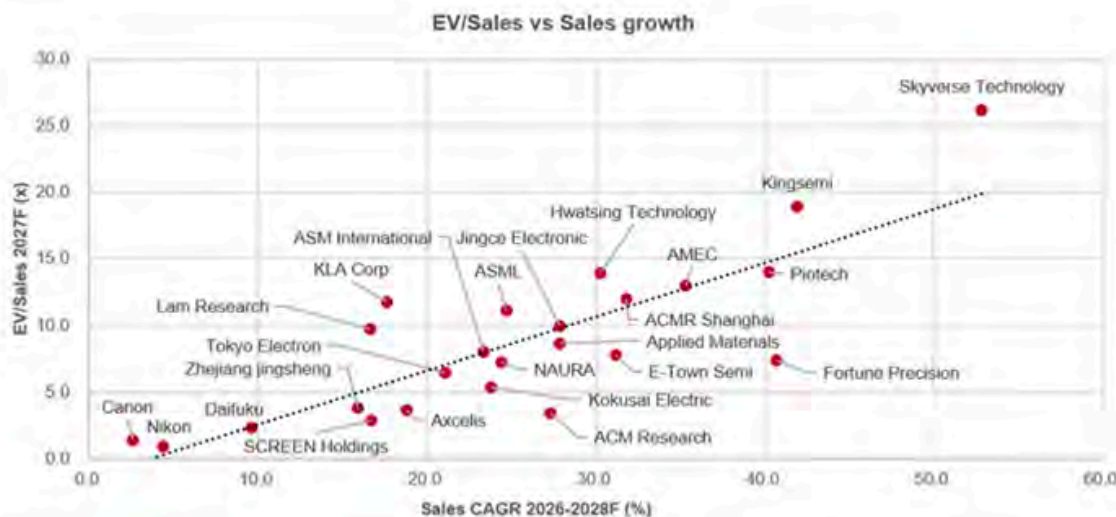
Source: Bloomberg Finance L.P., Nomura estimates

EV/sales is capital-structure neutral (EV includes net debt, so it is comparable across different leverage and tax regimes), and less affected by depreciation, amortization and

R&D capitalization policy. For cross-market, cross-lifecycle comparison of hardware companies, EV/sales is a clean proxy. But its limitation is equally clear: it says nothing about profitability, so it should always be read alongside margin and revenue growth, in our view.

China equipment vendors generally trade at higher valuations than global peers. On an EV/sales basis, global leaders trade at 2-10x 2027F EV/sales, with an average of 5.7x, while domestic players largely trade at 6-30x, with an average of 14.5x. We think the main reason for the premium are: (1) stronger sales and earnings growth especially in the China market given their market share gains; and (2) the localization story driving stronger sentiment.

Fig. 126: EV/sales vs revenue growth rate of global major equipment vendors



Source: Bloomberg Finance L.P., Nomura estimates

Piotech has been trading at a premium (20-50%) over local peers because of its faster growth in sales and strong capabilities in PECVD and strong customer base, in our view. We believe this valuation premium will continue to exist for the next few years, as we believe the positives remain. Therefore, we believe Piotech deserves a higher valuation, given that: (1) we expect the company's sales growth rate to be higher than the industry average; (2) the company has top-level PECVD and ALD equipment among domestic vendors, with sizeable domestic market shares, which forms a high entry barrier for new players; and (3) China's memory and advanced process fab capacity expansion needs more CVD products and 3D integration tools.

We initiate coverage of Piotech with a **Buy** rating. Our target price of **CNY913.00** is based on a target multiple of **20.0x forward EV/sales**, and our total revenue forecast of CNY13.0bn in 2027F.

Fig. 127: Piotech – Valuation and target price

Valuation table

Target EV/sales	20.0 x	We use 20.0x EV/sales as our target multiple, based on: (1) EV/sales relevance with sales CAGR and our forecast for revenue; (2) we forecast Piotech's sales revenue to outperform the industry growth; (3) Piotech's technology strength in PECVD and 3D integration; (4) high exposure to memory makers, which have faster capacity expansion pace
Valuation base	2027F	
Revenue in 2027F (CNY mn)	12,990	
Enterprise value (CNY mn)	259,409	
Net debt in 2027F (CNY mn)	(7,640)	
Minority in 2027F (CNY mn)	461	
Equity value (CNY mn)	266,589	
Wtd avg diluted shares in 2027F (mn)	292	
Target price (CNY)	913.00	

Source: Nomura estimates

Financial statements

Fig. 128: Piotech – Income statement forecasts

FYE 31 Dec (CNY m)	2023	2024	2025	2026F	2027F	2028F	1Q26	2Q26	3Q26F	4Q26F
Income Statement										
Revenue	2,705	4,103	6,519	9,203	12,990	18,104	1,112	1,800	3,126	3,164
COGS	(1,431)	(2,393)	(4,241)	(5,484)	(7,689)	(10,646)	(649)	(1,070)	(1,871)	(1,895)
Gross profit	1,274	1,711	2,279	3,719	5,301	7,458	464	731	1,255	1,269
Opex	(959)	(1,266)	(1,523)	(2,393)	(3,286)	(4,553)	(325)	(472)	(793)	(803)
Taxes and surcharges	(18)	(11)	(32)	(46)	(65)	(91)	(8)	(7)	(16)	(16)
S&M expense	(176)	(290)	(407)	(598)	(831)	(1,150)	(90)	(97)	(204)	(207)
Admin expense	(189)	(210)	(314)	(598)	(779)	(1,086)	(70)	(181)	(172)	(174)
R&D expense	(576)	(756)	(770)	(1,150)	(1,611)	(2,227)	(157)	(187)	(401)	(406)
Operating profit (core)	316	444	756	1,326	2,014	2,905	138	259	462	467
Finance cost	12	(65)	(85)	(35)	(25)	(10)	(10)	(7)	(9)	(9)
Investment income	4	9	56	50	45	45	15	7	14	14
Impairment loss	(25)	(50)	(204)	(185)	(185)	(185)	(30)	(20)	(68)	(68)
Other gains	422	341	353	1,110	405	406	476	559	38	38
Operating profit (as reported)	729	679	875	2,266	2,254	3,161	590	798	437	442
Non-operating items	(0)	(0)	0	1	1	1	0	0	0	0
Pretax income	729	679	876	2,267	2,255	3,161	590	798	437	442
Income tax	(65)	9	39	(155)	(225)	(316)	(27)	(39)	(44)	(44)
Minority interests	(1)	1	12	30	15	(5)	8	13	4	4
Net profit (attr. to SH)	663	688	927	2,142	2,044	2,840	571	772	397	402
Basic EPS (CNY)	3.54	2.48	3.32	7.56	7.11	9.87	2.03	2.74	1.39	1.41
Diluted EPS (CNY)	3.52	2.46	3.29	7.44	7.00	9.73	2.00	2.70	1.37	1.39
Recurring net profit (attr. to SH)	312	356	723	1,048	1,665	2,450	102	265	361	320
Recurring FD EPS (CNY)	1.66	1.27	2.56	3.64	5.70	8.39	0.36	0.93	1.25	1.10
YoY Growth (%)										
Revenue	58.6	51.7	58.9	41.2	41.1	39.4	57.0	44.6	38.0	37.6
Gross profit	51.7	34.2	33.2	63.2	42.5	40.7	229.0	51.1	60.9	45.2
Operating profit (core)	84.7	40.7	70.2	75.4	51.9	44.2	N/A	43.8	20.2	41.8
Net profit (attr. to SH)	79.8	3.9	34.7	131.2	(4.6)	38.9	N/A	220.1	(14.0)	8.6
Diluted EPS	11.2	(30.1)	33.4	126.6	(5.9)	38.9	N/A	215.0	(16.1)	5.6
Recurring net profit (attr. to SH)	75.2	14.1	103.1	45.0	58.8	47.1	N/A	21.4	(14.0)	20.8
Recurring FD EPS	8.4	(23.2)	101.2	42.1	56.5	47.1	N/A	19.5	(16.1)	17.5
Margins (%)										
Gross margin	47.1	41.7	35.0	40.4	40.8	41.2	41.7	40.6	40.1	40.1
Opex	35.4	30.9	23.4	26.0	25.3	25.2	29.2	26.2	25.4	25.4
Operating margin (core)	11.7	10.8	11.6	14.4	15.5	16.0	12.4	14.4	14.8	14.8
Pretax margin	26.9	16.5	13.4	24.6	17.4	17.5	53.0	44.3	14.0	14.0
Net margin	24.5	16.8	14.2	23.3	15.7	15.7	51.3	42.9	12.7	12.7
Recurring net margin	11.5	8.7	11.1	11.4	12.8	13.5	9.2	14.7	11.5	10.1
Segment revenue										
Deposition	2,570	3,863	6,103	8,630	12,205	17,006	1,000	1,665	2,959	3,005
YoY Growth (%)	52.5	50.3	58.0	41.4	41.4	39.3	53.8	42.1	39.6	39.1
Percentage of total (%)	95	94	94	94	94	94	90	92	95	95
Wafer bonders	64	96	193	260	357	528	33	56	90	81
YoY Growth (%)	N/A	48.8	101.6	34.8	37.1	48.1	101.3	77.2	17.0	19.2
Percentage of total (%)	2	2	3	3	3	3	3	3	3	3
Segment gross margin (%)										
Deposition	46.8	40.9	33.9	39.5	39.9	40.4	40.1	39.6	39.4	39.4
Wafer bonders	46.7	41.1	37.3	41.6	41.4	41.1	42.3	40.0	41.9	41.9

Source: Company data, Nomura estimates

Fig. 129: Piotech – balance sheet forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Cash and cash equivalent	2,668	2,852	5,091	8,984	8,676	9,406
Restricted cash	8	151	209	251	301	361
Financial assets - ST	29	193	890	934	981	1,030
Notes receivable	-	12	9	10	11	12
Account receivable	530	1,473	1,407	2,627	3,067	4,373
Prepayment	192	108	16	75	83	91
Other receivables	8	12	4	7	8	8
Inventory	4,556	7,216	7,826	10,806	15,232	19,187
Contract assets	6	8	7	7	7	7
Other current assets	460	662	822	986	1,085	1,193
Current assets	8,457	12,687	16,279	24,687	29,449	35,669
Financial assets - LT	261	474	574	688	757	833
Equity method investment	228	249	300	290	285	281
PP&E - net	613	893	1,691	2,209	2,731	3,131
Construction in progress	117	729	413	533	497	429
Right-of-use assets	6	16	14	14	13	13
Intangible assets	92	176	185	231	339	482
Development costs	-	-	77	165	195	190
L/T Accrued expenses	6	29	37	37	35	35
Deferred tax asset	11	48	168	201	221	244
Other non-current assets	179	13	84	85	86	88
Total non-current assets	1,512	2,627	3,544	4,454	5,160	5,726
Total assets	9,969	15,314	19,824	29,141	34,609	41,395
S/T Borrowing	70	119	186	186	186	186
Notes payables	85	858	1,326	1,591	1,750	1,925
Account payables	986	1,387	1,730	2,057	2,847	3,943
Contract liabilities	1,382	2,983	4,852	6,495	9,052	11,768
Non-current liabilities within 1 year	67	735	2,003	2,003	2,003	2,003
Other current liabilities	393	749	1,270	1,383	1,472	1,568
Total current liabilities	2,982	6,831	11,366	13,715	17,311	21,393
L/T Borrowing	1,871	2,794	850	850	850	850
Lease liabilities	2	8	7	7	8	8
Deferred income	401	354	418	501	551	607
Deferred tax liabilities	6	28	42	50	55	60
Other non-current liabilities	116	-	26	27	28	30
Total non-current liabilities	2,396	3,185	1,342	1,435	1,492	1,555
Total liabilities	5,378	10,015	12,708	15,150	18,803	22,948
Share capital	188	280	282	291	291	291
Capital reserve	3,313	3,482	3,958	8,806	8,806	8,806
Treasury stock	-	(197)	(197)	(197)	(197)	(197)
Statutory reserves	79	79	91	306	510	794
Retained earnings	1,014	1,637	2,476	4,311	5,937	8,288
Other capital adjustments	(0)	(0)	(0)	(0)	(0)	(0)
Equity attributable to Company	4,594	5,280	6,610	13,516	15,346	17,981
Minority interests	(2)	19	506	476	461	466
Total equity	4,592	5,299	7,115	13,991	15,806	18,447
Total equity and liabilities	9,969	15,314	19,824	29,141	34,609	41,395

Source: Company data, Nomura estimates

Fig. 130: Piotech – statement of cash flow forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Profit before taxation	729	679	876	2,267	2,255	3,161
Provision for impairment loss	25	50	204	-	-	-
D&A expenses	52	91	155	235	304	375
Depreciation of PP&E	44	76	124	193	255	317
Depreciation of Right-of-use assets	2	5	7	6	6	5
Amortization of Intangible assets	5	7	10	16	22	32
Amortization of L/T Accrued expenses	2	3	14	20	22	20
Fair value change gains	(94)	(204)	(55)	(960)	(250)	(250)
Finance cost	49	96	89	35	25	10
Investment income (excl. JV/asso.)	(4)	(9)	(56)	(50)	(45)	(45)
Share of JV and associate	2	7	6	10	5	4
Deferred tax asset - decrease	(10)	(37)	(120)	(34)	(20)	(22)
Deferred tax liabilities - increase	6	22	14	8	5	5
Inventory - decrease	(2,425)	(2,737)	(981)	(2,981)	(4,425)	(3,956)
Account receivables - decrease	(559)	(1,248)	(65)	(1,221)	(441)	(1,307)
Account payables - increase	457	2,789	3,315	327	791	1,096
Tax paid	(70)	(6)	(67)	(155)	(225)	(316)
Others	186	226	318	1,837	2,700	2,865
Net cash flows from operating activities	(1,657)	(283)	3,633	(681)	678	1,620
Capex - total	(481)	(686)	(575)	(860)	(770)	(680)
investments related - net	(356)	(201)	(757)	841	174	166
Acquisition & invest in JV/asso. - net	-	-	-	10	5	4
Disposal of assets	0	0	0	-	-	-
Others	1	(5)	4	(146)	(156)	(167)
Net cash flows from Investing activities	(836)	(892)	(1,329)	(155)	(747)	(676)
Share issuance	71	67	191	4,856	-	-
Capital injection of MI	0	1	498	-	-	-
Debt raised (repaid)	1,333	1,637	(608)	-	-	-
Interest paid	(30)	(72)	(158)	-	-	-
Dividend paid	(33)	(66)	(75)	(93)	(214)	(204)
Others	(2)	(206)	88	(35)	(25)	(10)
Net cash flows from financing activities	1,339	1,361	(64)	4,729	(239)	(214)
Net cash flows	(1,154)	187	2,240	3,893	(308)	730
Effect of FX	(3)	(3)	(1)	-	-	-
Cash and cash equivalents - beg	3,825	2,668	2,852	5,091	8,984	8,676
Cash and cash equivalents - end	2,668	2,852	5,091	8,984	8,676	9,406
Free cash flow (FCF)	(2,138)	(969)	3,058	(1,541)	(92)	940

Source: Company data, Nomura estimates

Key risks

Slowdown in Chinese fab capex, particularly for memory makers (YMTC, CXMT) and advanced logic (SMIC, HLMC), could impact the order and sales outlooks of Chinese equipment vendors.

Customer concentration: Piotech's top five customers account for over 70% of its total revenue, with the two memory makers being its two largest clients. A slowdown in capex at these large customers could have a significant impact on Piotech's outlook.

Component shortage and constraint: Though the overall component localization rate is over 50%, critical and high-end equipment components are still mainly supplied by overseas suppliers (based in Japan, Europe, and the US). Failure to acquire enough component supplies (from overseas suppliers, or domestic alternatives) could impact delivery of equipment, and hence impact sales.

Intensified competition: NAURA's (002371 CH, Buy) broader platform [after the acquisition of Kingsemi (688037 CH, Not rated)], AMEC's (688012 CH, Buy) growing CVD/ALD share, ACM Research's (ACMR US, Buy) new PECVD pipeline, and Hwatsing's (688120 CH, Not rated) PECVD/ALD pipeline, would intensify the competition in the PECVD area. But PECVD is the kind of equipment with hundreds of SKUs and are closely-bonded with fabs, which provides Piotech with first-mover and customer-relation advantages.

Acquisition integration risk on Wuxi Shangji: Closing conditions (audit, regulatory approval), goodwill impairment risk if synergies fail to materialize, and customer overlap that may trigger antitrust review are all worth monitoring.

Escalation in US sanctions: US export controls on critical high-end tools may potentially impact Chinese fabs' capacity expansion pace, and hence impact the order and sales outlook of equipment suppliers.

Technology strength and R&D: Leading-edge deposition demands high performance in uniformity and precision, which requires a large amount of R&D to maintain strength and moats. Failure to do so could potentially cause market share loss and margin contraction.

Advanced Micro-Fabrication Equipment China

688012.SS 688012.CH

EQUITY: TECHNOLOGY

Etching pioneer expanding towards a platform

Sales growth momentum continues; platform strategy expanding TAM; resume coverage at Buy

Resume coverage on AMEC with a Buy rating and target price of CNY480.00

We resume coverage of Advanced Micro-Fabrication Equipment China Inc (AMEC) with a Buy rating. Our target price of CNY480.00 is based on a 20.0x forward EV/Sales multiple and our 2027F revenue forecast of CNY22.7bn. We think AMEC deserves a higher valuation with a premium over local peers given its higher-than-industry sales growth rate and strength in etcher with world-class products. We see AMEC as one of the most direct beneficiaries of China's semiconductor localization trend, with market share gains ahead. Driven by active capacity expansion of domestic memory makers and foundries, a strong customer base, installed-base stickiness, and a new market entry, we forecast a ~34% revenue CAGR over 2025-28F, reaching ~CNY30.1bn in 2028F, and a ~26% net profit CAGR in 2025-28F (~35% excluding non-recurring items).

Strong player in etching tools gaining market share; new products expanding TAM

AMEC is the domestic dominant player in etch, with rising presence in deposition (LPCVD, ALD). Currently, it holds around 4% market share in China's WFE market (our estimate), with higher market shares in specific areas such as etching (27-29%, CCP higher than ICP). In addition, AMEC is actively expanding product categories, expanding etching application coverage and deposition tool categories, such as PECVD and Epi. By internal R&D, it is taking efforts to enter the PVD, track (coating/developing), and electron beam metrology markets. By M&A and investment, it entered into the CMP and optical inspection fields. We estimate these new markets will increase AMEC's addressable market by ~82% in 2026F.

Customer base; installed-base stickiness the key moat; key beneficiary of localization rate increasing

AMEC's customers include major domestic memory makers, foundries, and IDMs, including YMTC, CXMT, SMIC, and HuaHong Group. We view its strong customer base, installed-base stickiness and related service & parts revenue potential as key moats. Aggressive capacity expansion and technology advancement of the two memory makers are increasing equipment demand, especially for etching and deposition. In addition, AMEC has been doing well in advanced process nodes, with its CCP etcher capable of up to 3nm. We estimate the equipment localization rate in China is now 26-27%, and we see more upside in the years to come, considering domestic equipment purchases at some new fabs is already exceeding 40%, and AMEC is a key beneficiary of this trend, in our view. Key risks include less aggressive wafer fab capacity expansion in China, slower market share gain, intensified competition, and easing of equipment export control from the US and Japan.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	12,385	0	16,412	0	22,728	0	30,052
Reported net profit (mn)	2,111	0	3,963	0	3,162	0	4,211
Normalised net profit (mn)	2,111	0	3,963	0	3,162	0	4,211
FD normalised EPS	3.36		4.92		3.30		4.40
FD norm. EPS growth (%)	29.3		46.3		-32.8		33.2
FD normalised P/E (x)	94.8	-	64.8	-	96.4	-	72.4
EV/EBITDA (x)	173.2	-	123.3	-	82.5	-	60.9
Price/book (x)	8.8	-	11.5	-	10.4	-	9.2
Dividend yield (%)	0.1	-	0.2	-	0.1	-	0.1
ROE (%)	10.0		16.1		11.4		13.5
Net debt/equity (%)	net cash		net cash		net cash		net cash

Source: Company data, Nomura estimates

Rating From Suspended **Buy**

Target price From N/A **CNY 480.00**

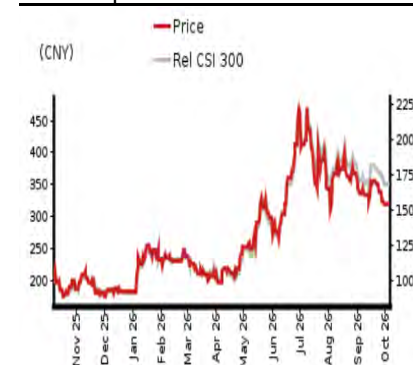
Closing price 30 September 2026 **CNY 318.55**

Implied upside **+50.7%**

Market Cap (USD mn) 45,509.8

ADT (USD mn) 1,314.5

Relative performance chart



Source: LSEG, Nomura

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Key data on Advanced Micro-Fabrication Equipment China

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-12.0	-32.0	58.7	M cap (USDmn)	45,509.8
Absolute (USD)	-11.8	-31.2	68.6	Free float (%)	65.8
Rel to CSI 300	-6.2	-19.5	64.8	3-mth ADT (USDmn)	1,314.5

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	9,065	12,385	16,412	22,728	30,052
Cost of goods sold	-5,343	-7,534	-9,869	-13,495	-17,688
Gross profit	3,722	4,850	6,543	9,233	12,365
SG&A	-2,409	-3,520	-4,710	-6,289	-8,234
Employee share expense					
Operating profit	1,313	1,330	1,833	2,944	4,130
EBITDA	1,573	1,680	2,315	3,549	4,844
Depreciation	-123	-160	-189	-239	-292
Amortisation	-138	-190	-293	-365	-422
EBIT	1,313	1,330	1,833	2,944	4,130
Net interest expense	87	48	-40	-20	-5
Associates & JCEs	23	52	110	80	70
Other income	287	760	2,217	487	467
Earnings before tax	1,709	2,190	4,120	3,491	4,662
Income tax	-95	-126	-202	-349	-466
Net profit after tax	1,614	2,064	3,918	3,142	4,196
Minority interests	1	47	45	20	15
Other items					
Preferred dividends					
Normalised NPAT	1,616	2,111	3,963	3,162	4,211
Extraordinary items					
Reported NPAT	1,616	2,111	3,963	3,162	4,211
Dividends	-187	-219	-396	-316	-421
Transfer to reserves	1,428	1,892	3,567	2,846	3,790

Valuations and ratios

Reported P/E (x)	122.1	93.8	64.7	96.3	72.3
Normalised P/E (x)	122.1	93.8	64.7	96.3	72.3
FD normalised P/E (x)	122.5	94.8	64.8	96.4	72.4
Dividend yield (%)	0.1	0.1	0.2	0.1	0.1
Price/cashflow (x)	135.7	87.2	108.8	141.2	131.5
Price/book (x)	10.0	8.8	11.5	10.4	9.2
EV/EBITDA (x)	188.1	173.2	123.3	82.5	60.9
EV/EBIT (x)	224.8	217.0	153.9	99.0	71.3
Gross margin (%)	41.1	39.2	39.9	40.6	41.1
EBITDA margin (%)	17.4	13.6	14.1	15.6	16.1
EBIT margin (%)	14.5	10.7	11.2	13.0	13.7
Net margin (%)	17.8	17.0	24.1	13.9	14.0
Effective tax rate (%)	5.5	5.7	4.9	10.0	10.0
Dividend payout (%)	11.6	10.4	10.0	10.0	10.0
ROE (%)	8.6	10.0	16.1	11.4	13.5
ROA (pretax %)	10.2	6.2	7.4	9.7	11.4

Growth (%)

Revenue	44.7	36.6	32.5	38.5	32.2
EBITDA	-5.0	6.8	37.8	53.3	36.5
Normalised EPS	-9.7	30.2	44.9	-32.8	33.2
Normalised FDEPS	-9.9	29.3	46.3	-32.8	33.2

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,573	1,680	2,315	3,549	4,844
Change in working capital	-5,783	-166	-967	-1,247	-2,298
Other operating cashflow	5,668	781	1,012	-143	-229
Cashflow from operations	1,458	2,295	2,360	2,158	2,317
Capital expenditure	-895	-855	-1,320	-1,250	-1,140
Free cashflow	563	1,440	1,040	908	1,177
Reduction in investments	2,382	-253	506	-308	-471
Net acquisitions	0	0	0	0	0
Dec in other LT assets	-128	-912	6	125	93
Inc in other LT liabilities	2	58	17	19	21
Adjustments	-714	-143	-500	-625	-600
CF after investing acts	2,105	191	1,069	118	219
Cash dividends	-186	-187	-219	-396	-316
Equity issue	259	395	0	0	0
Debt issue	249	-9	0	0	0
Convertible debt issue					
Others	-310	-48	-40	-20	-5
CF from financial acts	12	151	-259	-416	-321
Net cashflow	2,117	342	810	-298	-102
Beginning cash	3,538	5,655	5,997	6,807	6,509
Ending cash	5,655	5,997	6,807	6,509	6,407
Ending net debt	-4,934	-5,267	-6,077	-5,779	-5,677

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	5,655	5,997	6,807	6,509	6,407
Marketable securities	834	792	871	958	1,054
Accounts receivable	1,352	1,987	2,330	3,523	4,051
Inventories	7,039	7,170	9,323	12,121	15,501
Other current assets	3,021	2,989	3,013	3,038	3,064
Total current assets	17,901	18,934	22,344	26,150	30,078
LT investments	2,644	3,622	4,166	4,768	5,463
Fixed assets	2,716	2,829	3,659	4,610	5,468
Goodwill	0	0	0	0	0
Other intangible assets	693	1,286	1,777	2,078	2,226
Other LT assets	2,263	3,175	3,169	3,044	2,951
Total assets	26,218	29,846	35,116	40,649	46,186
Short-term debt	0	0	0	0	0
Accounts payable	1,680	1,856	2,102	3,311	3,784
Other current liabilities	3,954	4,346	5,653	7,214	8,377
Total current liabilities	5,634	6,202	7,756	10,525	12,161
Long-term debt	722	730	730	730	730
Convertible debt	0	0	0	0	0
Other LT liabilities	126	185	202	221	242
Total liabilities	6,482	7,117	8,688	11,476	13,133
Minority interest	-1	34	-11	-31	-46
Preferred stock					
Common stock	622	626	626	626	626
Retained earnings	4,999	6,922	10,349	12,798	16,272
Proposed dividends					
Other equity and reserves	14,115	15,147	15,464	15,780	16,201
Total shareholders' equity	19,737	22,695	26,438	29,204	33,099
Total equity & liabilities	26,218	29,846	35,116	40,649	46,186

Liquidity (x)

Current ratio	3.18	3.05	2.88	2.48	2.47
Interest cover	-	-	45.8	147.2	826.1

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	2.61	3.40	4.92	3.31	4.41
Norm EPS (CNY)	2.61	3.40	4.92	3.31	4.41
FD norm EPS (CNY)	2.60	3.36	4.92	3.30	4.40
BVPS (CNY)	31.71	36.24	27.60	30.49	34.56
DPS (CNY)	0.30	0.35	0.63	0.33	0.44

Activity (days)

Days receivable	50.7	49.2	48.0	47.0	46.1
Days inventory	385.9	344.2	305.0	290.0	285.8
Days payable	67.5	85.7	73.2	73.2	73.4
Cash cycle	369.1	307.7	279.8	263.8	258.5

Source: Company data, Nomura estimates

Company profile

Advanced Micro-Fabrication Equipment Inc. China (AMEC, 688012 CH) was founded in Shanghai in 2004 by Dr. Gerald Yin and a team of veteran engineers from Applied Materials and Lam Research, headquartered in Shanghai, focusing on plasma etch technology solutions. AMEC was listed on the China A-share STAR Market in 2019, with ticker of 688012 CH. From a single CCP (capacitively-coupled plasma) etch platform, AMEC has built a complete portfolio covering CCP and ICP (inductively-coupled plasma) etch, MOCVD, LPCVD & ALD deposition, and epitaxy, serving integrated circuits (IC), LED, advanced packaging, MEMS and power devices. It is also actively expanding coverage into new equipment types including PECVD, PVD, CMP, process control, and track.

Valuation Methodology

Our target price of CNY480.00 is based on 20.0x EV/Sales multiple, and our 2027F revenue forecasts. We believe AMEC will continue to have higher valuation than domestic peers given its strength in etching, higher-than-market sales growth, and continuing market share increase. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for AMEC; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

ESG

AMEC's ESG targets carbon neutrality for its Scope 1 and Scope 2 emissions by 2035. Renewable electricity reached 42.32% of total power consumption in 2025, market-based Scope 1+2 emissions were about 34,400 tCO₂e, and emissions intensity has fallen for four consecutive years to 2.78 tCO₂e per CNY million of revenue (from 4.71 in 2023); the company also discloses Scope 3 emissions. Its Lingang industrial base earned Shanghai 'Green Factory' and 'Smart Factory' designations, and AMEC achieved its first group-wide ISO 50001 energy-management certification, alongside facility upgrades: LED lighting retrofits, cooling-tower replacement and MOCVD baking-cycle optimization, saving roughly 0.7 GWh of electricity per year. Uniquely among Chinese equipment peers, AMEC links ESG to product design: its industry-first dual-reactor etch platform saves around 30% of consumables, its dual-chamber thin-film tools cut material use by about 25% and footprint by 20%, and its MOCVD systems, by enabling LED lighting and display production, are estimated to save over three trillion kWh of electricity globally in 2025; the company also filed dedicated low-carbon patents. Governance-wise, AMEC operates a three-tier ESG structure (board ESG committee, ESG leading group, ESG working groups) and cascades ESG targets through MBO objectives down to individual employees, tied directly to annual bonuses. A nine-member board includes three independent directors and one female director; PwC serves as auditor; no bribery or unfair-competition litigation occurred; and the company reported zero information-security or data-leak incidents while winning a China Patent Silver Award. On the social side, AMEC hired 641 new employees in 2025 (including 167 graduates, 156 of them master's or PhD holders, drawn from over 50,000 applicants), granted 10 million restricted shares to employees with all staff eligible for equity plans, and R&D personnel account for 52.24% of its global workforce. The company recorded zero major safety accidents and 100% occupational-health examination coverage, enhanced benefits (higher housing-fund contributions and new spouse medical coverage), hired three employees with disabilities, and won a 2025 DEI employer award. Community programs include cumulative giving of CNY7.43 million to support 650 impoverished elderly households in Shanghai and over CNY2.9 million for pediatric care, including a pediatric liver-transplant initiative that has aided 23 children. External recognition spans the Forbes China ESG 50 list, the SEMI Sustainability Excellence Contribution Award and Wind's ESG Best-Practice Top 100.

Investment summary

Advanced Micro-Fabrication Equipment China, or **AMEC**, is China's dominant player in etching equipment and a rising player in deposition. AMEC was founded in 2004 by Dr. Gerald Yin (an alumnus of Applied Materials and Lam Research+) and listed on the China A-share STAR-board in 2019. AMEC has world-class etching equipment across CCP and ICP etching, with equipment running at advanced process production lines at leading overseas foundry and memory makers. We resume coverage of AMEC with a **Buy rating** and a target price of **CNY480.00**, implying ~51% upside, as we believe that market share gains and an increasing total addressable market (TAM) ahead will lead to sales growth and a re-rating.

Why we are positive on AMEC

- **World-class etching equipment.** Etch is AMEC's key moat, in our view. Its CCP dielectric etchers have achieved volume production at 3nm-and-above logic and 200+ layer 3D NAND production lines, being deployed in the most advanced lines of global leaders, including TSMC.
- **Thin-film deposition is a fast-emerging second engine.** LPCVD/ALD thin-film revenue surged 224% y-y in 2025. AMEC is also making efforts to expand deposition tools coverage into PECVD, PVD, and Epi, raising its addressable market.
- **Platform strategy progressing well.** Apart from deposition, AMEC is also expanding products into a wide range of categories by both internal R&D and M&A, including: (1) CMP equipment with the acquisition of Hangzhou SIZONE, (2) optical inspection tools through investment in Shanghai RISC, (3) electron beam metrology tool CD-SEM via internal R&D, and (4) track tools via internal R&D. These also lift its TAM. By our estimates, the above-mentioned new market entry could increase AMEC's TAM by ~82%.
- **Aggressive domestic memory capacity expansion.** The two major Chinese memory makers are actively expanding capacity and advancing their technology capabilities, where more equipment and higher-end equipment is needed, especially for etching and deposition (largest percent of fab capex for memory process).
- **Others key moats for AMEC** include a strong customer base (covering most of China's major fabs, memory makers, and integrated device manufacturers [IDMs]), technology advancement (increasing advanced process and memory process tools contribution), installed-base stickiness (high cost of changing equipment at customer, related services & parts revenue potential).

As we discussed earlier, we expect China's wafer fab equipment (WFE) market size to increase 27% to USD55.4b in 2026F, and further to USD103.5b in 2030F. The total WFE spending in China is expected to total USD407.3bn during 2026-30F. During this strong momentum, Chinese vendors are bracing for stronger growth driven by the government's domestic localization push, technology capabilities advancement, and extra equipment required due to the no-EUV (extreme ultraviolet) roadmap.

Financially, AMEC had a revenue CAGR of ~38% over 2022-25. By our forecasts, AMEC's revenue is expected to grow at a 34% CAGR over 2025-2028F, driven by stable growing etching, fast-growing LPCVD (Low Pressure Chemical Vapor Deposition) and ALD (Atomic Layer Deposition), as well as recovering MOCVD (Metal-Organic Chemical Vapor Deposition). Net profit increased at a ~26% CAGR, as margin contracted a bit due to some sales discount and promotion efforts, as well as increased R&D due to new product development and technology advancements. We expect margin to stabilize with a slight uptrend in coming years, and net profit to increase at a 26% CAGR over 2025-28F. Excluding non-recurring items such as investment gains and fair value gains, we expect recurring net profit to grow at a CAGR of 35%.

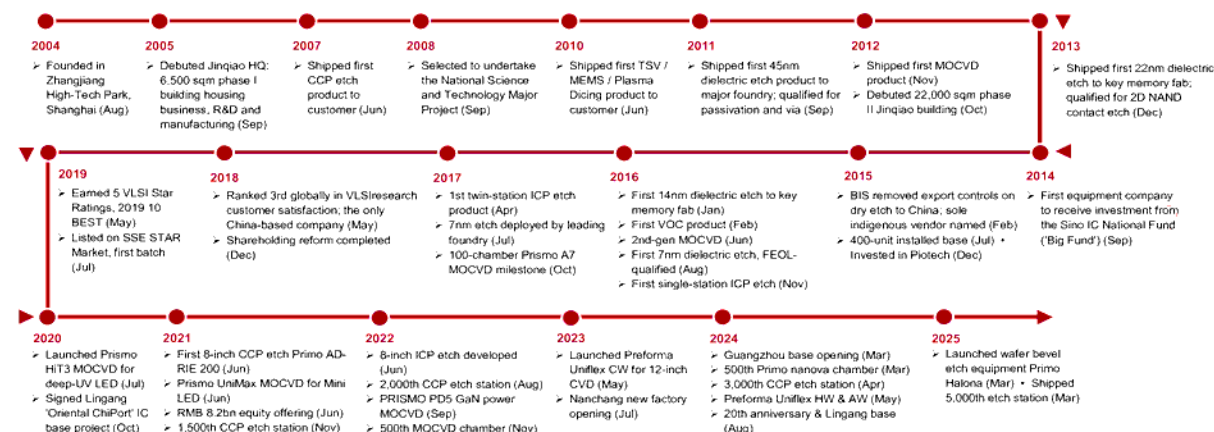
We resume coverage of AMEC with a **Buy rating**. Our target price of **CNY480.00** is based on **20.0x EV/Sales** on our 2027F sales revenue forecast, with a premium over local peers given its dominant position with world-class products. Key risks are primarily concerns about US sanctions escalation (impacting domestic fab capacity expansion), a slowdown in fab capex, intensifying competition, and a slower-than-expected margin recovery.

Company overview: China's pioneer in etching solutions with world-class products

Company history and shareholding structure

Advanced Micro-Fabrication Equipment Inc. China (AMEC, 688012 CH) was founded in Shanghai in 2004 by Dr. Gerald Yin and a team of veteran engineers from Applied Materials and Lam Research, headquartered in Shanghai, focusing on plasma etch technology solutions. AMEC was listed on the China A-share STAR Market in 2019. From a single CCP (capacitively-coupled plasma) etch platform, AMEC has built a complete portfolio covering CCP and ICP (inductively-coupled plasma) etch, MOCVD, LPCVD and ALD deposition, and epitaxy, serving integrated circuits (IC), LED, advanced packaging, MEMS and power devices.

Fig. 131: AMEC – company history

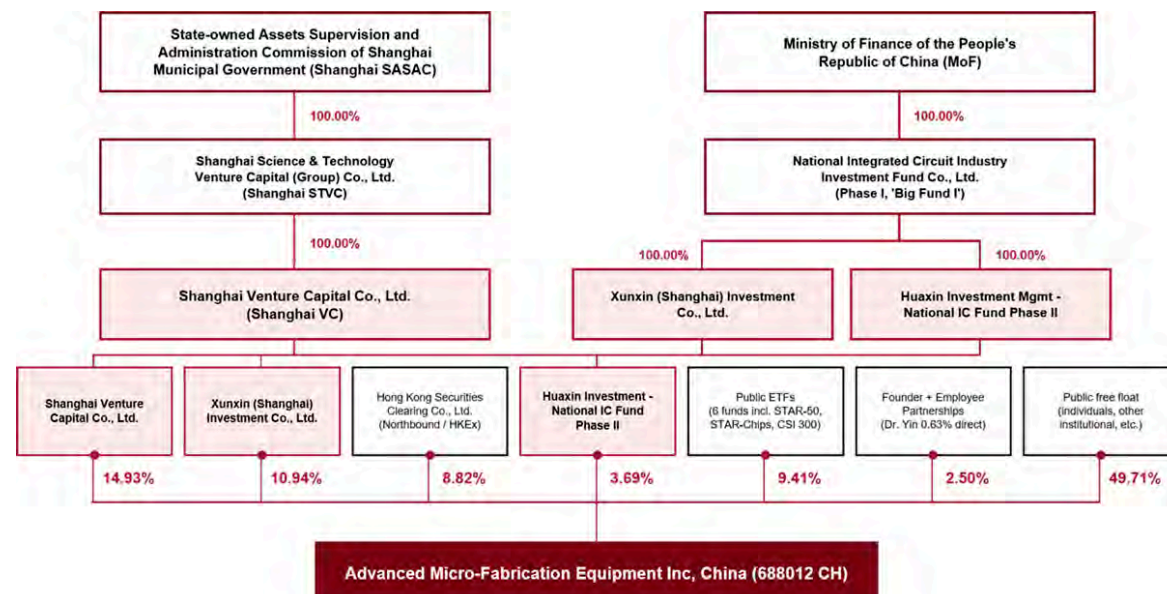


Source: Company data, Nomura research

AMEC's shareholding structure is a diversified mix of state-backed funds, institutional funds, and decentralized corporate control. There is no single absolute majority owner. The company operates under an internationalized, professional management-led structure established by founder Dr. Gerald Yin (Yin Zhiyao). The largest shareholder is Shanghai Venture Capital, which is state-owned local investment arm. Other important shareholders include Hong Kong Securities Clearing, Xunxin Shanghai Investment (a national-level semiconductor policy vehicle), and National IC Fund II.

Fig. 132: AMEC – shareholding structure (as of 31 Dec 2025)

AMEC has no controlling shareholder and no ultimate controller; (3) Founder Dr. Gerald Yin holds 0.63% directly and has additional indirect economic interest via the Jiaying partnerships.



Source: Company data, Nomura research

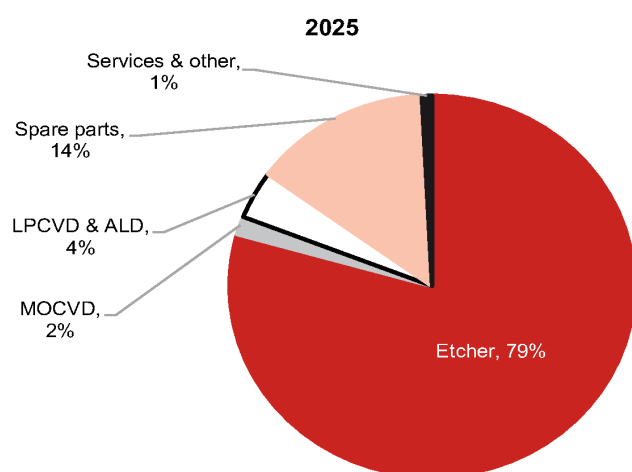
Business segments and product offerings

AMEC's business entirely lies in the semiconductor equipment industry. In 2025, 85% of its revenue was from sales of equipment, and 15% from spare parts and services. Within equipment, etcher is the cornerstone, with revenue contribution of nearly 80% in 2025. The cumulative etcher installed base exceeded 6,800 chambers in production across 170+ customer lines worldwide by end-2025. The total installed base of AMEC (etcher, MOCVD, LPCVD, ALD) exceeded 7,800 stations by end-2025, and exceeded 8,800 by end-2Q26.

MOCVD equipment used to account for a meaningful portion of AMEC's revenue (nearly 40% contribution in 2019), but with the display and LED industry turning weak, this segment also saw revenue decline and contribution shrink over the past few years. MOCVD revenue contribution was down to 2% in 2025.

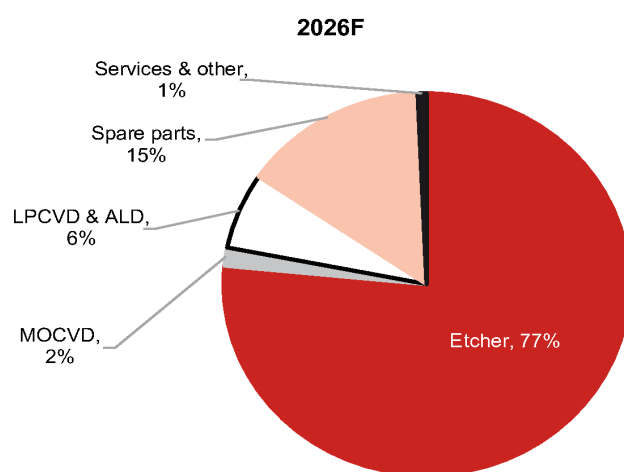
Deposition, including CVD (mainly LPCVD) and ALD, has been expanding quickly. LPCVD and ALD revenue contribution was 2% in 2024, and segment revenue grew >200% y-y in 2025, contributing 4% of total revenue. With more new products shipped and qualification completed, we expect this segment to contribute more in the near future.

Fig. 133: AMEC – revenue split by segment (2025)



Source: Company data, Nomura research

Fig. 134: AMEC – revenue split by segment (2026F)



Source: Company data, Nomura estimates

The company's etching equipment has been widely used by leading domestic and foreign customers, covering mature processes and advance processes up to 3nm, as well as advanced packaging.

CCP etching products. For logic IC, AMEC's CCP etching equipment has achieved volume shipment in chip production lines of 3nm and above in the leading global foundry. In terms of memory, its CCP etching equipment is widely used in 3D NAND production lines and also DRAM lines.

ICP etching products. The company's ICP etching equipment covers logic processes and memory.

Fig. 135: AMEC's etching equipment products summary (shaded cells are new products)

Equipment Category	Sub-product / Platform	Wafer Size	Applications	Process	Remarks
CCP Etch (high-energy plasma)	Primo D-RIE®	12" (also 8"/6")	Logic; Memory	65nm → mature	First-generation CCP dielectric etch; first CCP product shipped 2007
	Primo AD-RIE®	12" (8": AD-RIE 200)	Logic; Memory	45nm → 3nm and beyond	2nd-gen CCP dielectric; 45nm first shipped 2011; 8" version shipped 2021
	Primo SSC AD-RIE®	12"	Logic; Memory (2D NAND)	22nm → 3nm and beyond	Six single-station chambers on one platform; 22nm shipped 2013 for critical contact etch
	Primo HD-RIE®	12"	Memory (3D NAND); Logic	Advanced nodes	Mid-to-high aspect-ratio dielectric etch; launched 2015; six single-station chambers
	Primo Twin-Star® (twin-station)	12"	Logic; Memory	5nm and below	Industry-first twin-station CCP; ~30% lower consumables; picometre-level chamber matching
	Primo iDEA® (etch + strip)	12"	Logic; Memory	Advanced nodes	Twin-station D-RIE/AD-RIE modules + remote-plasma stripper (DsA) on one platform
	Ultra-high aspect-ratio etch (60:1)	12"	Memory (3D NAND, DRAM)	Advanced nodes	60:1 HAR in stable high-volume memory production; one of very few domestic suppliers
	Primo Halona™ (wafer bevel etch)	12"	Logic; Memory	Advanced nodes	First wafer edge/bevel etch tool; launched Mar 2025; entered customer line qualification
	Metal etch	12"	Logic; Memory	Advanced nodes	Newly developed metal etch tool; entered customer line qualification in 2025
ICP Etch (low-energy plasma)	Primo nanova® (single-station)	12"	Logic; DRAM; 3D NAND	1X nm and beyond	Up to 6 etch chambers + 2 optional strip chambers; low-capacitive-coupling 3D coil; 500th chamber shipped Mar 2024
	Primo Twin-Star® (twin-station ICP)	12"	Logic; Memory	1X nm and beyond	First twin-station ICP (2017); repeatability and matching at picometre control level
	8-inch ICP etch	8"	Power; Analog; CIS	Mature nodes	8" ICP etch product developed 2022; extends coverage beyond 12" fabs

Source: Company data, Nomura research

MOCVD was used mainly for LED and display in past years, and has been impacted by industry headwinds over the past several years. We expect the recent expansion into compound semiconductor Epi MOCVD to drive the segment back onto a growth path starting from 2026F.

LPCVD products include CVD-W (tungsten CVD, for contact-hole and W-line fill) and HAR W CVD (high-aspect-ratio tungsten fill, for wordline). **ALD** products include ALD W (tungsten fill in HAR structure) and ALD TiN/TiAl (metal gate, barrier). Furthermore, AMEC is also deploying in **PVD and Epi** equipment.

Fig. 136: AMEC deposition equipment products (MOCVD, LPCVD, ALD, PVD, Epi) summary (shaded cells are new products)

Equipment Category	Sub-product / Platform	Wafer Size	Applications	Process	Remarks
LPCVD / CVD (Thin Film)	Preforma Uniflex™ CW (CVD W)	12"	Logic; DRAM; 3D NAND	Advanced nodes	Tungsten CVD; up to five twin-station chambers (2 wafers each); contact-hole and W-line fill
	Preforma Uniflex™ HW (HAR W)	12"	Memory (3D NAND)	Advanced nodes	Extreme-high-aspect-ratio tungsten fill; launched May 2024; volume sales to top domestic memory maker
	Preforma Uniflex™ AW	12"	Logic; Memory	Advanced nodes	Launched May 2024; broadens the thin-fill deposition portfolio
	PECVD (VHF decoupled source)	12"	Logic; Memory	Advanced nodes	VHF decoupled reactive-ion plasma source; 16-station configuration; +80–100% throughput vs. standard tools
ALD (Atomic Layer Deposition)	ALD W (ALDW)	12"	Memory (3D NAND, DRAM)	Advanced nodes	Volume sales to top domestic memory maker; conformal tungsten for HAR structures
	ALD TiN / TiAl	12"	Logic; Memory	Advanced nodes	Metal-gate and barrier films; delivered for advanced logic and memory line qualification
PVD / EPI (Thin Film)	CuBS PVD (ultra-multi-chamber)	12"	Logic; Advanced packaging	Advanced nodes	Sharply lower BS resistivity; +50–100% throughput; delivered to domestic advanced-logic R&D line
	SPTi (PVD Ti)	12"	Logic; Memory	Advanced nodes	Metal film deposition; recognised by multiple customers; metal-film chambers shipped >300 cumulatively
	Si/SiGe EPI	12"	Logic (advanced); Memory	Advanced nodes	Developed in under two years; unique design and excellent uniformity; endorsed by leading customers
MOCVD	Prismo A7®	4"/6" (LED)	LED (GaN-based); Display	N/A (compound epi)	2nd-gen MOCVD; 100th chamber milestone 2017; >90% share of global GaN LED MOCVD market
	Prismo HiT3®	4"/6"	Deep-UV LED	N/A (compound epi)	Proprietary tool for high-quality AlN and high-Al-composition growth; launched 2020
	Prismo UniMax®	4"/6"	Mini LED; Advanced display	N/A (compound epi)	High-volume Mini-LED production for advanced display; launched 2021
	Prismo PD5®	6"	Power (GaN)	N/A (compound epi)	GaN power-device production; launched 2022; 500th MOCVD chamber shipped 2022
	Micro-LED MOCVD (4 new models)	6"/8"	Micro LED (blue-green, red-yellow)	N/A (compound epi)	Blue-green and red-yellow Micro-LED MOCVD launched 2025; organometallic source efficiency +10%
	SiC / GaN power MOCVD	6"	Power (SiC, GaN)	N/A (compound epi)	New power-device MOCVD launched 2025; broadens beyond LED into power electronics

Source: Company data, Nomura research

Apart from the above-mentioned types, AMEC also has **TSV** (for advanced packaging), **process control** (CD-SEM, an e-beam metrology tool), and **CMP** equipment (via acquisition of Hangzhou SIZONE).

By expanding its product offerings, AMEC has been progressing its platform strategy, targeting to cover over 60% of front-end WFE types and over 70% of back-end advanced packing equipment types in five years, according to management.

Customer base, R&D and technology roadmap

The largest customer of AMEC, YMTC (unlisted), accounted for ~40% of the company's revenue in 2025, and its top-5 customers together accounted for ~75%. The two domestic memory makers (YMTC, CXMT [688825 CH, Buy]) are the company's largest strategic customers, with domestic logic and mature fabs rising. Furthermore, AMEC is TSMC's etching supplier (for CCP), with its supply share ranked No.3 (behind Tokyo Electron and Lam Research). Its etching equipment has entered into TSMC's 3nm-and-above production lines in various locations.

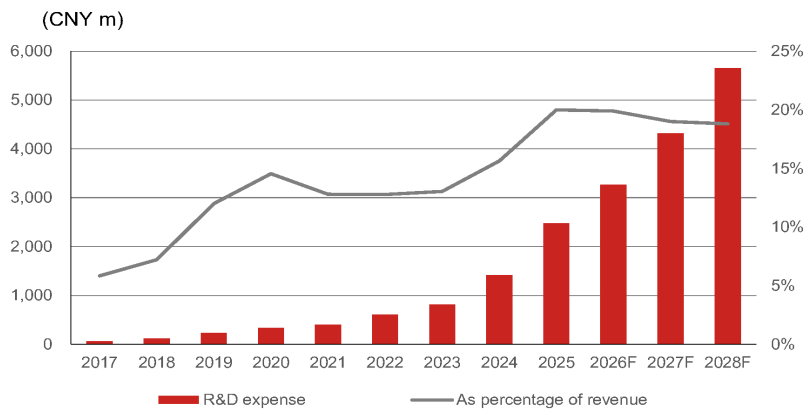
Fig. 137: AMEC's key customers

Tier	Customer	Type / Segment	Relationship	Key Details
Tier 1	YMTC (长江存储)	Memory — 3D NAND (232L / 3xxL)	Strategic anchor customer	Largest single customer; around 35-40% share of YMTC 3D NAND etch procurement; 60:1 ultra-high-aspect-ratio etch in volume production on its lines;
	CXMT (长鑫存储)	Memory — DRAM & HBM	Strategic memory customer	One of the main TSV-etch suppliers for HBM (HBM2e/3 ramp); 2026 IPO to fund expansion to 350K wpm by end-2026 and 500K wpm by 2028
	SMIC (中芯国际)	Logic foundry (advanced & mature)	Core logic customer; 10+ yrs	Key logic customer; revenue contribution high-single digit
	Hua Hong Semiconductor (华虹半导体)	Specialty foundry (power, embedded, MCU)	Long-term customer	New equipment purchaser (Hua Hong Wuxi); multi-node etch and thin-film tools across the group's expansion
	TSMC (台积电)	Advanced logic foundry (up to 3nm)	Key domestic tool vendor qualified	CCP dielectric etch qualified for 5nm, being the only Chinese equipment maker in TSMC's 5nm line; a further 10-tool 5nm order placed Jun 2025, fully delivered by Q1 2026; 3nm back-end etching supplying
Tier 2	HLMC (华力微)	Advanced logic foundry (28/14nm)	Key logic customer	Etch and deposition tools for advanced logic production lines
	CR Micro (华润微)	Power IDM (MOSFET / IGBT)	Power-sector customer	Power and analog process equipment across its fabs
	Yandong Micro (燕东微)	Specialty / power foundry	Established customer	Specialty and power process tools
	Silan Microelectronics (士兰微)	Power IDM (IGBT / MOSFET / SiC)	Power customer	Power-device etch and deposition equipment
	Sanan Optoelectronics (三安光电)	Compound semi (LED / SiC / GaN)	MOCVD anchor customer	Core MOCVD customer for GaN-based LED; also SiC/GaN power-device MOCVD and compound etch
	Starpower (斯达半导)	Power (IGBT / SiC) — auto & industrial	Power customers	Power-device MOCVD and etch equipment for automotive and industrial IGBT/SiC
Tier 3	SK Hynix (Dalian) (SK海力士大连)	Memory - 3D NAND (China fab)	3D NAND	The second largest supplier for etching in China sites
	Samsung Electronics (三星电子)	Display & OED; Memory / logic	MOCVD customer; Etch qualification / early orders	One of Samsung's suppliers in MOCVD (for display and LED segment); testing AMEC etch tools and placing new etch orders
	Epistar / Seoul Semiconductor (晶元光电 / 首尔半导体)	LED (overseas)	Overseas MOCVD customers	MOCVD customers outside mainland China; AMEC holds >80% of the global GaN LED MOCVD market
	HC SemiTek / Zhaochi (华灿光电 / 兆驰股份)	LED / compound semi	Domestic MOCVD customers	MOCVD and compound etch equipment for LED chip production, including Micro-LED
	JCET / TFME (OSAT) (长电科技 / 通富微电)	Advanced packaging (CoWoS-type, Chiplet)	Emerging packaging customers	TSV and advanced-packaging etch for domestic CoWoS-type capacity build-out

Source: Company data, Nomura research

R&D is the foundation of the company. R&D expense in 2025 reached CNY2.5bn (+75% y-y), accounting for ~20% of revenue, among the highest R&D intensities in the global equipment industry. This spending is related to AMEC's platform strategy, where new product types are continuing to enter the market.

Fig. 138: AMEC – R&D expense and as percentage of revenue



Source: Company data, Nomura estimates

Competitive advantages and growth drivers

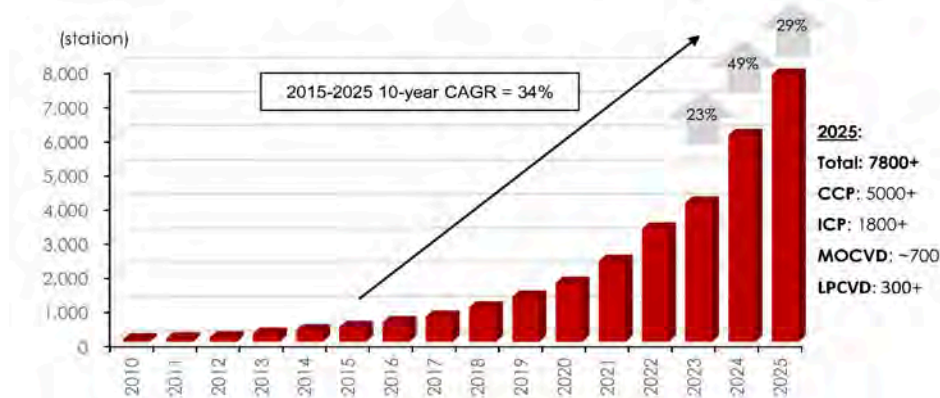
AMEC a dominant supplier for etching equipment in China with world-class products. In addition, AMEC is now expanding towards a platform-type equipment provider, which we believe will not only enlarge its total addressable market, but also help penetrate into more customers.

Technology strength: etcher in advanced production lines; dominant market share in China

AMEC is one of the companies whose etcher run in 3/5nm advanced logic lines and 200+ layer 3D NAND volume production lines. Its CCP dielectric etchers have been qualified at TSMC, SK Hynix, and some other global leaders.

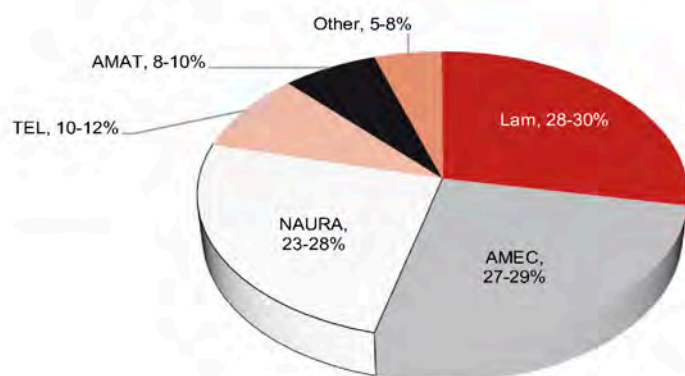
- **Domestic 3D NAND:** one of the key suppliers in terms of etching, with high supply share, supporting 200+ layer 3D NAND. YMTC's new built production lines have equipment localization rate over 50% (including lithography portion), etching along would be higher. AMEC's etcher has penetrated into core and difficult steps such as high-aspect-ratio (HAR) etch, channel hole and slit etch.
- **Domestic DRAM:** high supply share in CXMT. Equipment localization rate in CXMT new build fabs lower than YMTC but also higher than 50%, which means etching along would be higher. AMEC's etchers are supporting dielectric and silicon etch steps.
- **Domestic foundry:** one of SMIC's main suppliers for etchers. Advanced logic foundry fabs usually have lower equipment localization rate, relying more on global leaders.
- **Overseas foundry:** the earliest China equipment vendors qualified for TSMC's advanced process lines. AMEC's equipments are now supporting up to 3nm in TSMC's fabs across various locations, being TSMC's third-largest supplier in terms of etcher (behind Tokyo Electron and Lam Research).
- **Overseas memory:** AMEC is one of the key suppliers that supports SK Hynix's fabs in China, with supply share ranked at No.2 in terms of etcher.

Fig. 139: AMEC – accumulative installed base (in reaction station)



Source: Company data, Nomura research

Backed by its strong etching technology capability, AMEC was the largest domestic supplier for etcher. By our estimates, AMEC ranked No.2 in China's etching equipment market, with a market share of 27-29% in 2025.

Fig. 140: China etching equipment market share estimate (2025)

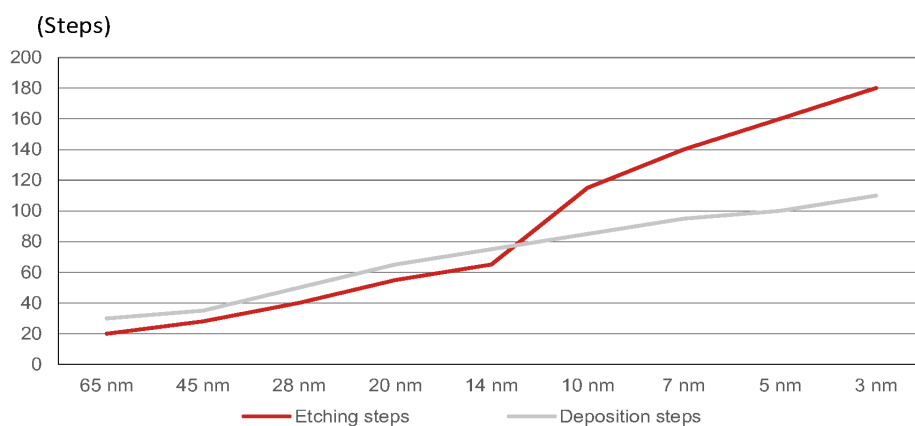
Source: Nomura estimates

The strength in technology capability, along with dominant market share, forms a high entry barrier and deep moat for AMEC. Usually for a wafer fab, equipment replacement is infrequent if no obsolescence and upgrades, because equipment qualification and line-up would take a lot of time and extra costs. So first mover advantage is important. In addition, large installed base will bring more service & parts related revenue, which is a high margin business for equipment vendors.

Technology advancement and node migration increase equipment demand

By our estimates, etching and deposition is expected to grow at a faster pace than lithography, as China has no availability on EUV lithography system. Multi-pattern in advanced nodes would require more etching and deposition steps, which increases the TAM of etching and deposition equipment at a faster pace.

The step-count penalty (more steps needed) of multi-pattern is large. For example, a 7nm-class IC requires roughly 140 etch steps, versus about 40 at 28nm, equivalent to a ~3.5x inflation. On a per-fab basis, a 12-inch advanced line consumes roughly 60 etching tools per 10k wpm, versus ~25 for a mature node line, equivalent to a 2.4x increase. Coupled with etching, more deposition steps are also required.

Fig. 141: Step count estimates of etching, deposition, cleaning by process node

Source: SEMI, TEL, Nomura research

Fig. 142: Equipment demand by process and platform

Equipment Type		Mature Logic (90nm)	Advanced Logic (14nm FinFET)	DRAM (1x/1y)	3D NAND (128L+)
Lithography (Scanner)	6-8	6-8	3-5		
10Track (Coater/Developer)		8-12	5-7		
Etch	50-80		20-30		
CVD / ALD	35-55		20-30		
PVD (Sputtering)	15-30		15-25		
Electroplating / ECP (Cu)	2-4	2-4	2-4		
Heat treatment	30-45		15-25		
Ion Implanter	10-14	7-12	4-6		8-15
Cleaning	20-35		15-20		
2-5 Stripping / Ashing	12-18		6-12		
3-2 CMP (Chemical Mechanical Polishing)	15-25		8-12		
Metrology & Inspection	50-50		15-25		

Source: Nomura research;

Note: numbers varies across different fabs, products and platforms, rough estimates

Multi-station design a key edge

Dual-station design is one of AMEC's signature innovation and design features. Many of AMEC's equipment have multi-chamber design, and each chamber consists of multiple stations (usually 1 to 4). For example:

- Primo D-RIE: AMEC's first dielectric CCP etcher product, equipped with modularized dual-station chamber design, supporting up to 3 chambers (6 stations in total).
- Primo AD-RIE: based on D-RIE, also supporting up to 3 chambers with dual-station (up to 6 stations in total).
- Primo Twin-Star: AMEC's ICP etcher product, supporting up to 3 chambers with dual-station (up to 6 stations in total), plus 2 optional stripping chambers.
- Preforma Uniflex AW: 12-inch ALD deposition for tungsten, supporting up to 5 chambers with dual-station (up to 10 stations in total).
- Preforma Uniflex CW: 12-inch CVD deposition for tungsten, supporting up to 5 chambers with dual-station (up to 10 stations in total).
- Prefima Unicore AM: 12-inch ALD deposition for Molybdenum (announced in Sep 2026), quad-station design.
- Performo QuaStar ON: new PECVD equipment for ONON deposition of SiO₂ and Si₃N₄ (announced in Sep 2026), supporting up to 4 chambers with quad-station (up to 16 stations in total).

The advantages and edges of multi-station design are meaningful: (1) high footprint efficiency, which means equipment takes up less area in the fab but can process more wafers, increasing station-count by 30-50% in the same area of cleanroom; (2) reducing cost of ownership – stations sharing some components (such as robotic arm, vacuum pump, control valve) in one chamber, BOM cost of one piece of equipment is lowered, which gives AMEC cost and pricing advantage; (3) less power and consumables usage (gas, wet materials), reducing operating expenses and manufacturing cost for customers; (4) high production efficiency, or WPH (wafer per hour); (5) high uniformity and high matching performance, meaning the process consistency is high between two stations.

On the contrary, Lam Research's main products feature a single-wafer independent chamber, where one unit supports 4-8 chambers with a single-station, which has lower processing efficiency than multi-station design, but allows extremely high level of process control and single wafer processing quality. Tokyo Electron's main products are focusing on high chamber density, usually equipped with more chambers (6 to 12) with a single-station, plus a high-efficiency robotic arm for inter-chamber transport, allowing higher wafer throughput and high processing quality.

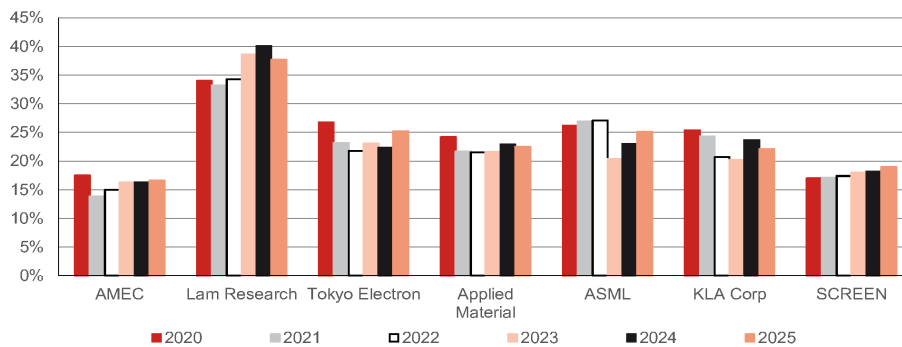
Installed-base stickiness and services

This especially benefits the leading players, with large installed bases and customer bases. Once a tool is qualified into a fab and running in volume, switching costs are high, as requalification is expensive and process recipes are tightly coupled to the equipment.

AMEC's growing installed base therefore generates a recurring stream of spare parts, upgrades and services. This compounding installed-base dynamic is the same one that has underpinned the decades-long dominance of Applied Materials and Lam Research, and is now forming around AMEC, in our view.

With a large installed base and customer adoption, we expect service revenue will grow accordingly. Currently, AMEC's revenue percentage is only around 15-18%, far below those of global peers. Lam Research, the global leader in etching and deposition, has the highest services and spare parts revenue percentage in the industry at 35-40% (company data). Considering AMEC is now expanding its market share and customer base in China, we expect services and spare parts revenue to catch up quickly.

Fig. 143: Revenue from services and spare parts percentage of total



Source: Company data, Nomura research

Platform strategy expanding equipment coverage and TAM

AMEC has been expanding beyond etching tools and MOCVD, through acquisitions and internal product development. Its first LPCVD (for tungsten) was shipped in 2H21, and first ALD was shipped in 2025. The revenue contribution of LPCVD and ALD has risen to 4% in 2025 (from 2% in 2024). We expect this segment to have a higher growth rate than etching and the corporate average, as more qualifications are completed. AMEC has been actively expanding its coverage in etching and deposition applications. According to management, among all ~108 CCP etching applications (including mature logic, advanced logic, NAND, and DRAM), AMEC has already covered ~58 in volume production, with ~20 qualified and ~25 in qualification. Among all ~192 ICP etching applications, AMEC has already covered ~49 in volume production, with ~76 qualified and ~65% in qualification.

Fig. 144: AMEC's etching application coverage

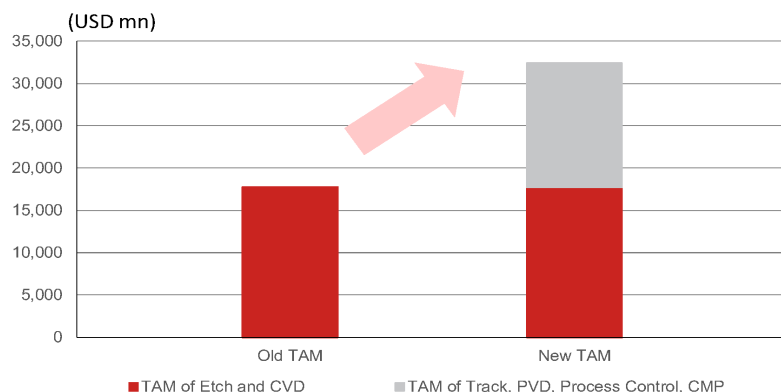
Etching type	Process	Application count	AMEC covered in VP	AMEC qualified	AMEC in qualification	To be developed	Coverage (in VP and qualified)
CCP	Mature logic	12	7	5	0	0	100%
	Advanced logic	47	15	10	21	1	53%
	3D NAND	32	28	1	0	3	91%
	DRAM	17	8	4	4	1	71%
	Total	108	58	20	25	5	72%
ICP	Mature logic	17	6	9	1	1	88%
	Advanced logic	76	14	52	10	0	87%
	3D NAND	35	16	0	19	0	46%
	DRAM	64	13	15	35	1	44%
	Total	192	49	76	65	2	65%

Source: Company data, Nomura research

The company has also launched its PECVD products in September 2026, being qualified in domestic chipmakers. PVD tools (for Cu seed layer) is also being tested by some customers. Track (coating and developing) is also under AMEC's roadmap, with development to start in the near future, according to management. In terms of process control, AMEC currently has an electron beam metrology tool, CD-SEM, in its main entity, and is also expanding into optical inspection through its investment in Shanghai RISC (上海睿励). Furthermore, it entered into the CMP equipment field with the acquisition of

Hangzhou SIZONE (杭州众硅), with the M&A completed in 1H26. In our view, the PVD, track, process control, and CMP additions could increase AMEC's addressable market by roughly 82% in 2026F.

Fig. 145: AMEC semiconductor equipment China TAM estimate (2026F)

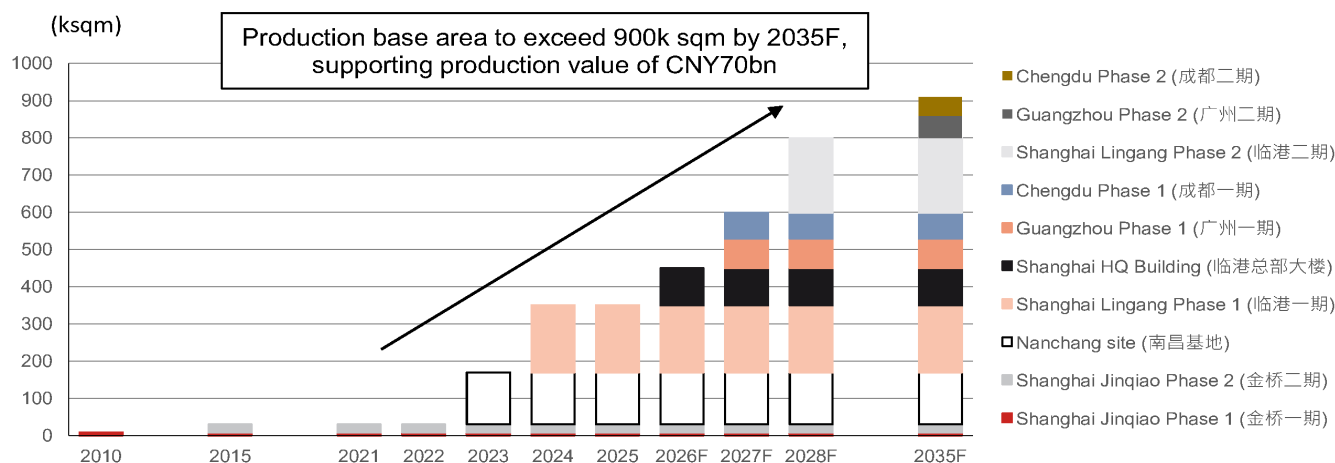


Source: Nomura estimates

Production site expansion for future potential

Starting with Shanghai Jinqiao, AMEC had two major production and R&D bases in Jinqiao, with total area of only ~30ksqm. In 2021, AMEC completed a share placement and raised a total of CNY8.0bn for production site expansion (Nanchang site and Shanghai Lingang site Phase 1, Shanghai Headquarters Building). After these three sites, AMEC's total working area ~450ksqm, around 15x compared with earlier. Furthermore, several new production bases are now being constructed and expected to be put into use in the near future, including two in Guangzhou, two in Chengdu, and Shanghai Lingang Phase 2. Total working area would exceed 900k once all sites are fully ramped up (expected by 2035F), and could support production value of CNY70bn, according to management.

Fig. 146: AMEC – production site area to exceed 900k sqm by 2035F



Source: Company data, Nomura estimates

Enough production site is the premise of order delivery and sales growth. That being said, key component sourcing and talent acquisition are other two important aspects of delivery capacity. AMEC has been in good relationship with key component suppliers, especially those difficult ones like electrostatic chuck, valve, pump, MFC. In addition, domestic suppliers of these components are being tested, which we believe could potentially further enhance its delivery capacity once qualified components could be sourced domestically.

China's localization push – the most promising driver

China is the world's largest WFE market, but its self-sufficiency rate remains low, around 26-27% (and far lower in lithography and ion implanter). Export controls have converted localization from a cost decision into a strategic necessity. Domestic fabs are now actively sourcing and qualifying Chinese tools across every front-end step. As a dominant domestic vendor in etching and deposition, AMEC is one key beneficiary in this trend.

In terms of localization, there are two layers to consider: (1) a higher semiconductor device localization rate would drive more domestic capacity expansion, which would further translate into higher WFE TAM; (2) in addition, a higher equipment localization rate would further reflect domestic equipment vendor market sales growth and market share gain.

AMEC's market share in China, by our estimate, was around 4% in 2025, and we expect it to further increase to 4.3% in 2026F. By our estimates, (1) if AMEC achieves a 5% market share in 2030F, it would have a sales CAGR of ~24% during 2025-30F; (2) if AMEC achieves a 10% market share in 2030F, it would have a sales CAGR of ~42% in 2025-30F. In addition, with more capacity to be added, the upside would be more.

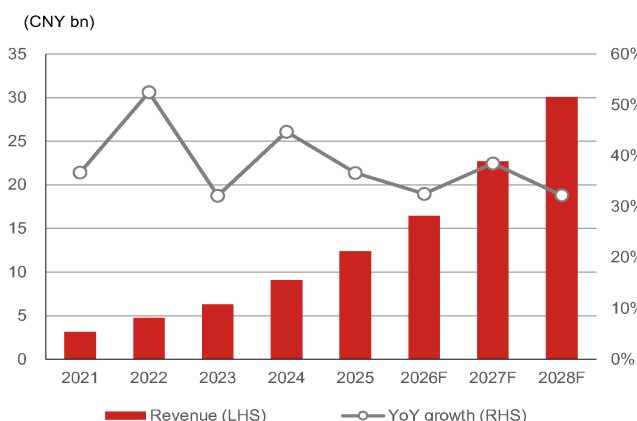
Financial analysis and outlook

Solid momentum in revenues; new segment quickly growing

AMEC's revenue has achieved solid growth since 2016, generating a CAGR of ~40% in 2016-25. The company's revenue comes mainly from: (1) semiconductor process equipment (85% of total revenue in 2025, including etcher, MOCVD, LPCVD & ALD); (2) spare parts (14% of total revenue in 2025), and (3) services (1% of total revenue). Etching equipment sales has been strong thanks to the company's strong technology capabilities, strong customer base, and continuing fab capacity expansion in China. We expect this momentum to continue as domestic fabs and memory makers are expected to continue to expand capacity, which requires more equipment. MOCVD, on the other hand, was hurt by a weak LED and display market in the past few years. But demand for LED and display has stabilized, and the company's new MOCVD for compound semiconductor used in power devices and optical chips will also expand its market reach. Therefore, we forecast this segment to return to growth in 2026F. LPCVD & ALD are the fast growing segments, but the relative contribution remains low.

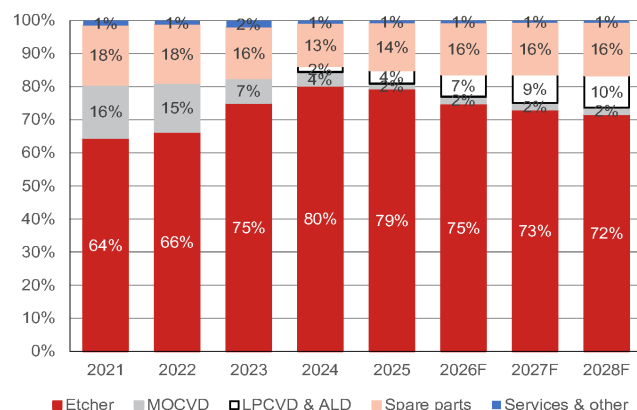
By our forecasts, we expect total revenue to record a CAGR of 34% in 2025-28F, with LPCVD & ALD being the fastest growth one (79% CAGR; low base, more products offering, market share gain), followed by MOCVD (45% CAGR; low base, more products offering), and etching (30% CAGR, stable growth).

Fig. 147: AMEC – revenue forecasts



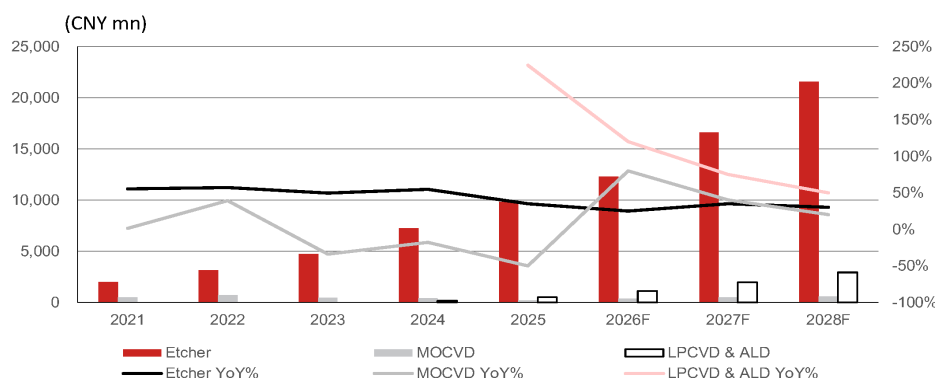
Source: Company data, Nomura estimates

Fig. 148: AMEC – revenue breakdown by segment



Source: Company, Nomura estimates

Fig. 149: AMEC – equipment revenue and relevant growth rate



Source: Company data, Nomura estimates

Margins stable across segments

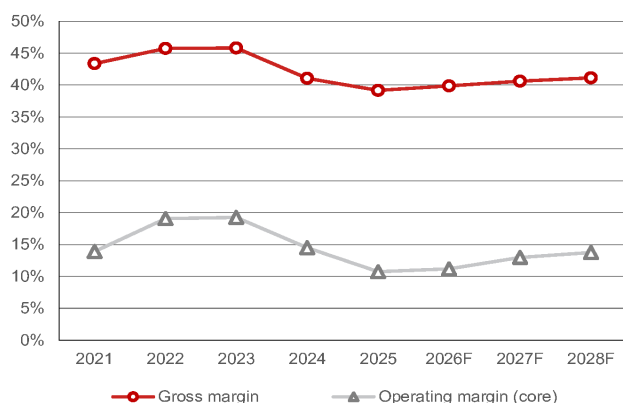
AMEC's profit margins had experienced a few years of growth from 2019 to 2023, thanks to margin expansion in both etching and MOCVD. The gross margin had two years of decline in 2024 and 2025, mainly due to some sales discounts to some key customers, and some promotion efforts in order to gain market share. Services have the highest

gross margin, ranging from 50-60%. Within equipment, LPCVD & ALD have the highest gross margin because they are relatively new products used mainly for higher-end applications. MOCVD has the lowest gross margin.

By our estimates, AMEC's gross margin is expected to improve steadily in our forecast period, helped by stable margins across segments. Introduction of new products may also help increase margins, in our view.

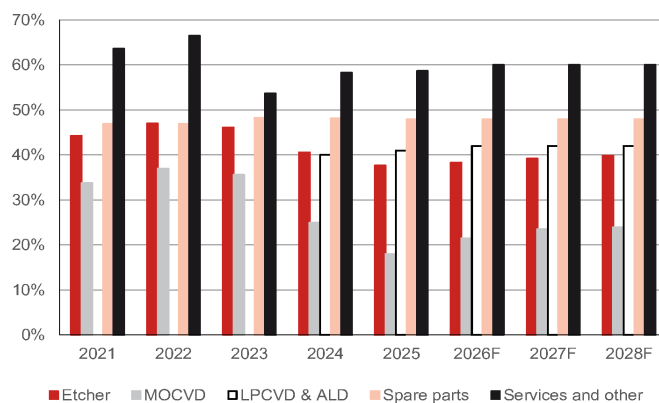
R&D expense has been the largest part of the operating expenses. AMEC's R&D expense ratio (as percentage of revenue) has been increasing (13% in 2023, 16% in 2024, 20% in 2025), mainly due to new product development, equipment upgrade and iteration. To maintain technology strength and keep its expanding market share, we expect the R&D expense ratio to be maintained at around 18-20% level in 2026-28F, in our view. As for the core operating profit margin (core operating profit defined as gross profit less taxes & surcharges, S&M, G&A, R&D) dipped in 2025 due to lower GPM and higher R&D ratio, partially offset by lower S&M and G&A ratio.

Fig. 150: AMEC – gross margin and core operating margin



Source: Company data, Nomura estimates

Fig. 151: AMEC – gross margins by segment



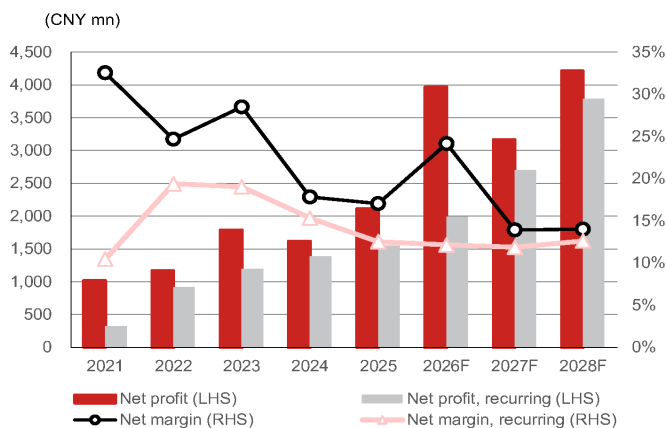
Source: Company data, Nomura estimates

Net profit and EPS

AMEC's net profit has been stable, largely in line with GPM and core OPM. We expect net profit to surge 88% y-y in 2026F mainly due to a large investment gain of CNY1.0bn (stock sales) and fair value gain of CNY992mn (financial assets accounted using FVTPL). If we look at recurring net profit, the growth rate in 2026F is likely to increase by 29%. In our forecast period, we expect the company's recurring net profit margin to stabilize at ~12% level, with recurring net profit recording a CAGR of 35% in 2025-28F.

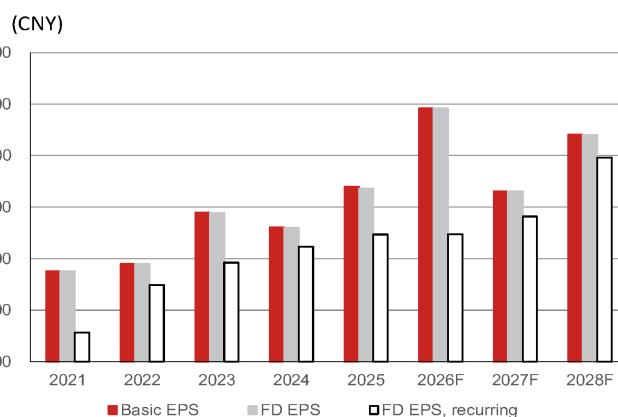
Basic and diluted EPS of the company was CNY3.40 and CNY3.36 in 2025 (basic and diluted weighted average shares of 621mn and 628mn, diluted effect around ~1%).

Fig. 152: AMEC – net profit and net margin



Source: Company data, Nomura estimates

Fig. 153: AMEC – basic, diluted, and recurring diluted EPS



Source: Company data, Nomura estimates

While our revenue forecasts for 2026F/ 2027F are slightly below the Bloomberg consensus, our 2028F forecast is quite lower, as we stay relatively conservative; however, we forecast sales growth to significantly exceed industry growth, and anticipate further upside potential. Our operating profit/ net profit estimates are lower than the consensus, as we believe that the significantly high investment and fair value gains (~CNY2.0bn in 1H26) are not recurring. That being said, we expect recurring net profit to grow significantly.

Fig. 154: Financial forecasts – Nomura versus consensus

Consensus forecast comparison			
<i>(CNY mn)</i>	2026F	2027F	2028F
Revenue - Nomura est	16,412	22,728	30,052
Revenue - consensus	16,969	23,654	31,980
Revenue - diff	-3.3%	-3.9%	-6.0%
Gross margin - Nomura est	39.9%	40.6%	41.1%
Gross margin - consensus	40.2%	40.8%	41.2%
Gross margin - diff	-0.3%	-0.2%	-0.1%
Operating profit (as reported) - Nomura est	4,108	3,479	4,650
Operating profit (as reported) - consensus	3,559	5,128	6,804
Operating profit (as reported) - diff	15.4%	-32.2%	-31.7%
Net profit - Nomura est	3,963	3,162	4,211
Net profit - consensus	4,274	5,163	7,214
Net profit - diff	-7.3%	-38.8%	-41.6%
Net profit, recurring - Nomura est	1,994	2,697	3,789
Net profit, recurring - consensus	n.a.	n.a.	n.a.
Net profit, recurring - diff	n.a.	n.a.	n.a.

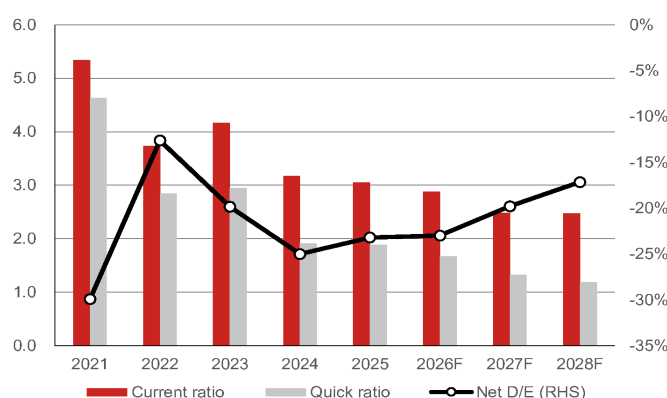
Source: Bloomberg Finance L.P., Nomura estimates

Balance sheet: high quality financial position

AMEC's net debt-to-equity ratio has been kept under 0%, at a net cash position. We do not expect any further debt to be raised, and believe the net debt-to-equity ratio will be maintained below 0%, ranging from -20% to -25%. As for liquidity, we find that the current ratio was above 3.0 and quick ratio was above 1.5, which are both in a healthy range, despite high contract liabilities resulting from pre-orders.

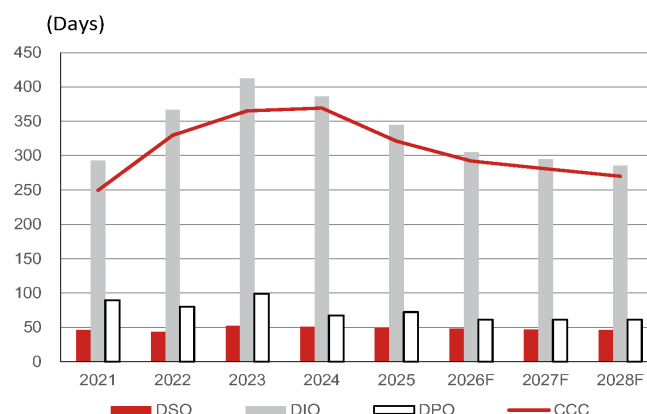
Working capital has been stable, but inventory days (DIO) has been at a high level (over 300 days), resulting in positive and high cash conversion cycle (CCC). This is very common in the semiconductor equipment industry, where equipment takes a long time to manufacture and assemble before revenue can be recognized, while components and parts need to be stockpiled in advance.

Fig. 155: AMEC – liquidity and solvency ratios



Source: Company data, Nomura estimates

Fig. 156: AMEC – working capital ratios



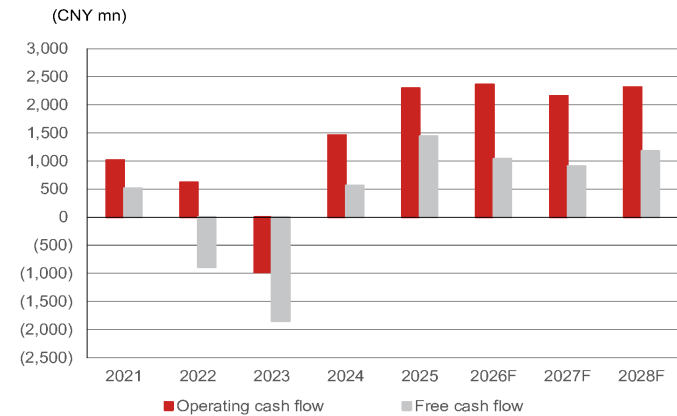
Source: Company data, Nomura estimates

Cash flow: positive

Operating cash flow was negative back in 2023, mainly due to an increase in working capital days and contract liability. We expect the company to maintain positive operating cash flow going forward. The capex ratio has been declining since 2022, thanks to fast

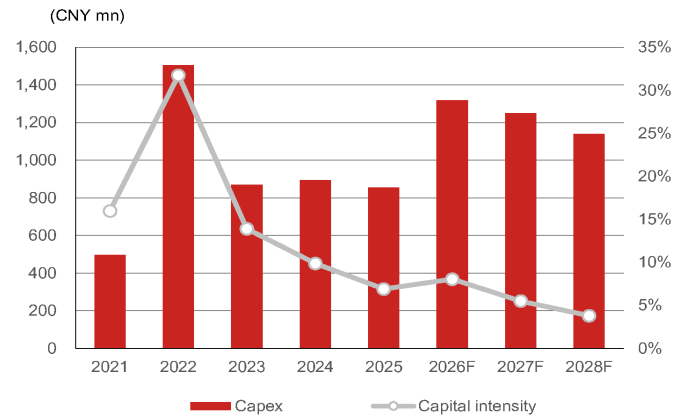
sales growth, which is outpacing capex increase. With market share gain as the primary goal, we expect the company’s capex to increase in 2026F for those new production sites construction, and stay at a high level in the next three years. But with sales growth rate being strong, capital intensity is expected to continue going down.

Fig. 157: AMEC – operating cash flow and free cash flow



Source: Company data, Nomura estimates

Fig. 158: AMEC – capex and capital intensity



Source: Company data, Nomura estimates

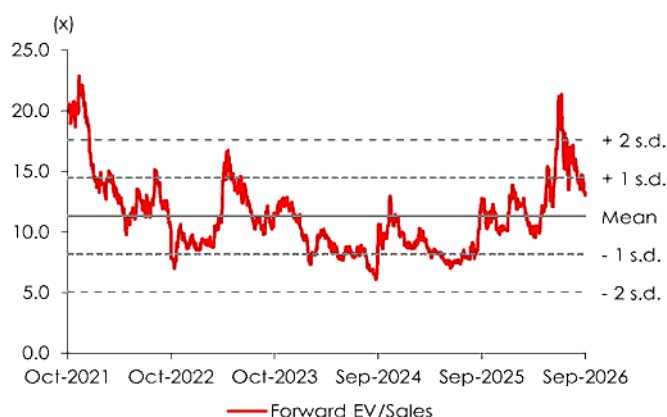
Valuation of AMEC: premium to local peers, but still upside to go

Being a manufacturing company, sales and profit are the ones driving valuation. P/E is normally used for these kinds of companies. However, Chinese equipment vendors, including AMEC, are now in a fast expansion stage, with sales growth and market share gain being the key focus. Therefore, we think sales-related valuation multiple should be more suitable for their valuation.

We choose **EV/sales** as our major valuation multiple to value Chinese SPE companies, mainly considering: (1) Chinese vendors are at mid-ramp, high-R&D phases whose profits are depressed by heavy investment and one-off items, so earnings multiples overstate their relative value; (2) Chinese players are now at sales expansion and market share driven stages, where sales growth and market share gain are the main focus for them, especially with the localization story.

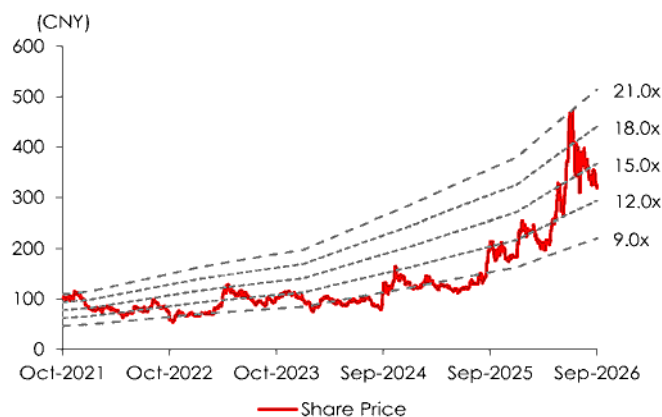
Historically, within the last 5-year period (2021-26), AMEC has largely traded at 6-23x forward EV/sales (average 11.4x), with the highest valuation in 2021, where the chipset shortage story dominate the China A-share market, and almost all semiconductor-related companies traded at their peak level. After de-rating, in the recent 3-year period (2023-26), AMEC has largely traded at 6-20x forward EV/sales, with average of 10.3x.

Fig. 159: AMEC – 5-year EV/sales trend



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 160: AMEC – 5-year EV/sales bands



Source: Bloomberg Finance L.P., Nomura estimates

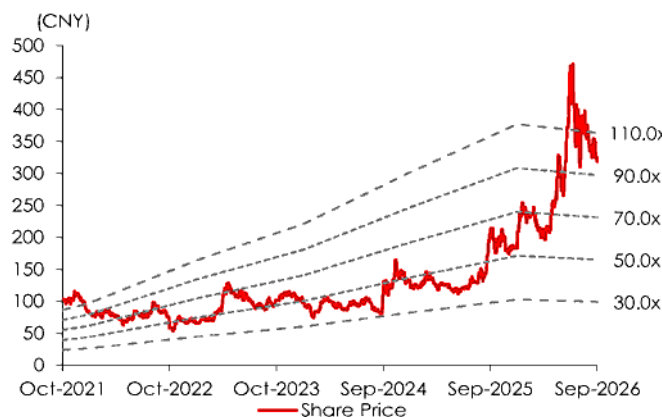
P/E multiple would be much more volatile than EV/sales. In the last 5-year period, AMEC's forward P/E was in the range of 30-145x with average of 62x. Volatility was significant, with average minus 2SD near 10x. This is also another reason why we chose EV/sales as our main valuation method.

Fig. 161: AMEC – 5-year P/E trend



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 162: AMEC – 5-year P/E bands

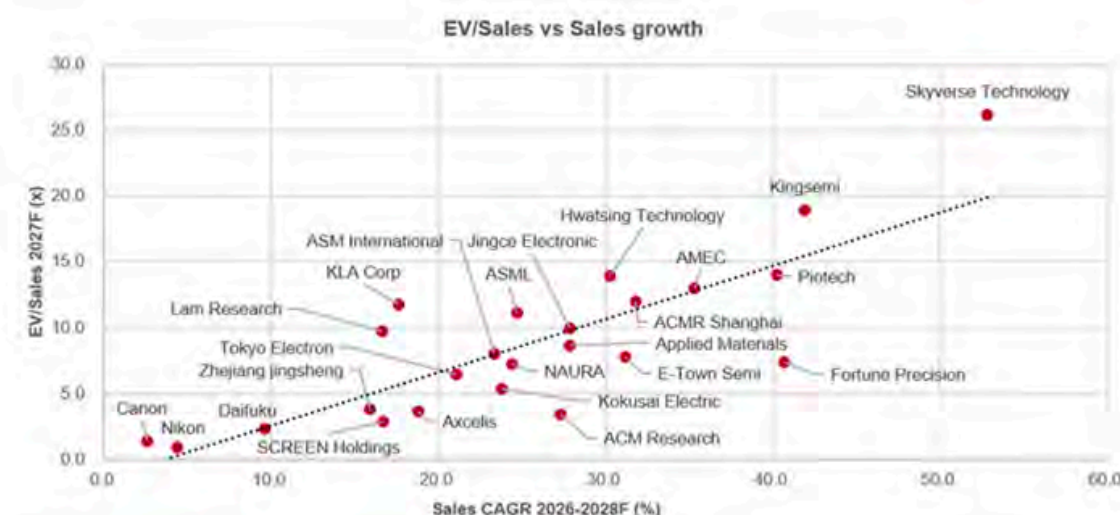


Source: Bloomberg Finance L.P., Nomura estimates

EV/sales is capital-structure neutral (EV includes net debt, so it is comparable across different leverage and tax regimes), and less affected by depreciation, amortization and R&D capitalization policy. For cross-market, cross-lifecycle comparison of hardware companies, EV/sales is a clean proxy. But limitation is equally clear: it says nothing about profitability, so it should always be read alongside margin and revenue growth.

China equipment vendors generally trade at a higher valuation than global peers. On EV/sales basis, global leaders trade at 2-10x 2027F EV/sales with an average of 5.7x, while domestic players largely trade at 6-30x with an average of 14.5x. We think the main reason for the premium is: (1) stronger sales and earnings growth especially in China market given their market share gains; and (2) localization story driving stronger sentiment.

Fig. 163: EV/sales vs revenue growth rate of global major equipment vendors



Source: Bloomberg Finance L.P., Nomura estimates

AMEC has been trading at a premium (30-50%) to local peers because of its strong technology capabilities (world-class etcher that could be supplied to TSMC's advanced process lines), strong customer base, and fast revenue growth. We believe this valuation premium will continue to exist in the following years as the positives remain. Therefore, we believe AMEC deserves a higher valuation given that: (1) the company's sales growth rate is expected to be higher than the industry; (2) the company has the world-class etching equipment that is supplied to global leading chipmakers, which forms a high entry barrier for other players; and (3) new products and new market entry further expand its total TAM.

We resume coverage on AMEC with a **Buy** rating. Our target price of **CNY480.00** is based on a target multiple of **20.0x forward EV/sales**, and our forecast of CNY22.7bn 2027F total revenue.

Fig. 164: AMEC – Valuation and target price

Valuation table

Target EV/sales	20.0 x	We use 20.0x EV/sales as our target multiple, based on: (1) EV/sales relevance with sales CAGR and our forecast for revenue; (2) we forecast AMEC's sales revenue to outperform the industry growth; (3) AMEC's technology strength in etching; (4) high exposure to memory makers, which have faster capacity expansion pace
Valuation base	2027F	
Revenue in 2027F (CNY mn)	22,728	
Enterprise value (CNY mn)	453,421	
Nett debt in 2027F (CNY mn)	(5,779)	
Minority in 2027F (CNY mn)	(31)	
Equity value (CNY mn)	459,231	
Wtd avg diluted shares in 2027F (mn)	957	
Target price (CNY)	480.00	

Source: Nomura estimates

Financial statements

Fig. 165: AMEC – income statement forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F	1Q26	2Q26	3Q26F	4Q26F
Income Statement										
Revenue	6,264	9,065	12,385	16,412	22,728	30,052	2,915	3,776	4,054	5,667
COGS	(3,393)	(5,343)	(7,534)	(9,869)	(13,495)	(17,688)	(1,752)	(2,280)	(2,419)	(3,418)
Gross profit	2,870	3,722	4,850	6,543	9,233	12,365	1,163	1,496	1,635	2,249
Opex	(1,664)	(2,409)	(3,520)	(4,710)	(6,289)	(8,234)	(773)	(1,096)	(1,185)	(1,657)
Taxes and surcharges	(12)	(31)	(68)	(98)	(136)	(180)	(15)	(23)	(25)	(35)
S&M expense	(492)	(479)	(499)	(673)	(914)	(1,202)	(132)	(126)	(173)	(242)
Admin expense	(344)	(482)	(478)	(673)	(920)	(1,202)	(100)	(162)	(171)	(239)
R&D expense	(817)	(1,418)	(2,475)	(3,266)	(4,318)	(5,650)	(524)	(785)	(816)	(1,141)
Operating profit (core)	1,206	1,313	1,330	1,833	2,944	4,130	390	400	450	592
Finance cost	87	87	48	(40)	(20)	(5)	(10)	(8)	(11)	(11)
Investment income (excl. share of JV/asso.)	787	65	459	1,020	300	250	471	531	9	9
Share of JV and associate	(1)	23	52	110	80	70	28	55	13	13
Other gains	(100)	216	301	1,185	175	205	97	917	86	86
Operating profit (as reported)	1,980	1,704	2,191	4,108	3,479	4,650	976	1,895	547	689
Non-operating items	30	5	(1)	12	12	12	0	6	3	3
Pretax income	2,010	1,709	2,190	4,120	3,491	4,662	977	1,902	549	692
Income tax	(226)	(95)	(126)	(202)	(349)	(466)	(58)	(23)	(55)	(66)
Minority interests	2	1	47	45	20	15	12	16	10	7
Net profit (attr. to SH)	1,786	1,616	2,111	3,963	3,162	4,211	930	1,895	505	633
Basic EPS (RMB)	2.89	2.61	3.40	4.92	3.31	4.41	1.48	2.79	0.53	0.66
Diluted EPS (RMB)	2.88	2.60	3.36	4.92	3.30	4.40	1.48	2.79	0.53	0.66
Recurring net profit (attr. To SH)	1,191	1,388	1,550	1,994	2,697	3,789	478	645	398	473
Recurring FD EPS (CNY)	1.92	2.23	2.47	2.47	2.82	3.96	0.76	0.95	0.41	0.49
YoY Growth (%)										
Revenue	32.1	44.7	36.6	32.5	38.5	32.2	34.1	35.5	30.7	31.1
Gross profit	32.4	29.7	30.3	34.9	41.1	33.9	28.8	39.3	39.1	32.4
Operating profit (core)	33.6	8.8	1.3	37.8	60.6	40.3	66.4	101.9	84.4	(9.4)
Net income (attr. to SH)	52.7	(9.5)	30.7	87.7	(20.2)	33.2	197.2	382.3	(0.1)	(29.7)
Diluted EPS	52.0	(9.9)	29.3	46.3	(32.8)	33.2	197.8	349.1	(33.6)	(54.9)
Recurring net profit (attr. To SH)	29.6	16.5	11.6	28.6	35.3	40.5	60.1	168.2	14.3	(28.6)
Recurring FD EPS	29.0	16.1	10.4	0.3	14.0	40.5	60.4	149.8	(24.0)	(54.3)
Margins (%)										
Gross margin	45.8	41.1	39.2	39.9	40.6	41.1	39.9	39.6	40.3	39.7
Opex	26.6	26.6	28.4	28.7	27.7	27.4	26.5	29.0	29.2	29.2
Operating margin (core)	19.3	14.5	10.7	11.2	13.0	13.7	13.4	10.6	11.1	10.5
Pretax margin	32.1	18.9	17.7	25.1	15.4	15.5	33.5	50.4	13.6	12.2
Net margin	28.5	17.8	17.0	24.1	13.9	14.0	31.9	50.2	12.4	11.2
Recurring net margin	19.0	15.3	12.5	12.1	11.9	12.6	16.4	17.1	9.8	8.3
Segment revenue										
Dedicated equipment	5,166	7,812	10,527	13,743	19,016	25,063	2,412	3,173	3,280	4,879
Etcher	4,703	7,277	9,832	12,290	16,592	21,569	2,253	2,776	2,784	4,477
MOCVD	462	379	189	340	477	572	37	71	84	148
LPCVD & ALD	-	156	506	1,113	1,948	2,922	123	325	412	253
Spare parts	971	1,164	1,757	2,548	3,567	4,816	503	603	773	669
Services	127	90	100	120	144	173	0	0	1	119
YoY Growth (%)										
Dedicated equipment	34.3	51.2	34.8	30.6	38.4	31.8	34.3	38.7	27.7	25.9
Etcher	49.4	54.7	35.1	25.0	35.0	30.0	35.0	31.4	20.0	20.0
MOCVD	(34.0)	(18.0)	(50.1)	80.0	40.0	20.0	(35.0)	54.2	90.0	255.1
LPCVD & ALD	N/A	N/A	224.4	120.0	75.0	50.0	75.0	152.1	102.0	146.0
Spare parts	16.3	19.8	51.0	45.0	40.0	35.0	33.1	20.8	45.0	92.7
Services	120.8	(29.4)	12.0	20.0	20.0	20.0	20.0	20.0	20.0	20.0
Segment gross margin (%)										
Dedicated equipment	45.2	39.8	37.5	38.2	39.1	39.7	38.2	38.0	38.5	38.0
Spare parts	48.3	48.2	48.0	48.0	48.0	48.0	48.0	48.0	48.0	48.0
Services	53.7	58.3	58.7	60.0	60.0	60.0	54.4	57.9	60.0	60.0

Source: Company data, Nomura estimates

Fig. 166: AMEC – balance sheet forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Cash and cash equivalent	3,538	5,655	5,997	6,807	6,509	6,407
Restricted cash	3,552	2,106	1,954	1,954	1,954	1,954
Financial assets - ST	1,869	834	792	871	958	1,054
Notes receivable	48	93	60	62	64	66
Account receivable	1,165	1,352	1,987	2,330	3,523	4,051
Prepayment	112	54	60	63	66	69
Other receivables	10	11	90	93	97	101
Inventory	4,260	7,039	7,170	9,323	12,121	15,501
Contract assets	37	28	16	16	16	16
Other current assets	495	728	809	825	841	858
Current assets	15,087	17,901	18,934	22,344	26,150	30,078
Financial assets - LT	1,203	1,769	2,172	2,606	3,128	3,753
Equity method investment	1,020	870	1,445	1,555	1,635	1,705
PP&E - net	1,988	2,716	2,829	3,659	4,610	5,468
Construction in progress	849	652	863	1,080	1,067	1,015
Right-of-use assets	26	16	10	12	13	13
Intangible assets	687	693	1,286	1,777	2,078	2,226
Development costs	506	1,248	1,535	1,261	1,097	998
Goodwill	-	-	-	-	-	-
L/T Accrued expenses	5	6	4	9	13	16
Deferred tax asset	102	180	335	335	335	335
Other non-current assets	53	167	433	477	526	580
Total non-current assets	6,438	8,317	10,912	12,771	14,500	16,108
Total assets	21,526	26,218	29,846	35,116	40,649	46,186
S/T Borrowing	-	-	-	-	-	-
Notes payables	-	-	-	-	-	-
Account payables	1,305	1,680	1,856	2,102	3,311	3,784
Contract liabilities	772	2,586	3,044	4,091	5,409	6,221
Employee benefits payables	288	391	453	667	858	1,155
Tax payables	196	209	102	107	112	118
Other payables	469	580	527	569	615	664
Non-current liabilities within 1 year	510	36	19	19	19	19
Other current liabilities	84	152	200	200	200	200
Total current liabilities	3,624	5,634	6,202	7,756	10,525	12,161
L/T Borrowing	-	722	730	730	730	730
Bonds payable	-	-	-	-	-	-
Lease liabilities	17	11	5	5	5	5
Deferred income	21	96	170	187	205	226
Other non-current liabilities	41	20	10	10	10	10
Total non-current liabilities	79	848	915	932	951	972
Total liabilities	3,702	6,482	7,117	8,688	11,476	13,133
Share capital	619	622	626	626	626	626
Capital reserve	13,317	14,102	15,042	15,042	15,042	15,042
Treasury stock	-	(301)	(216)	(216)	(216)	(216)
Other comprehensive income	9	2	7	7	7	7
Statutory reserves	310	311	313	630	946	1,367
Retained earnings	3,571	4,999	6,922	10,349	12,798	16,272
Other capital adjustments	-	-	-	-	-	-
Equity attributable to Company	17,826	19,737	22,695	26,438	29,204	33,099
Minority interests	(3)	(1)	34	(11)	(31)	(46)
Total equity	17,823	19,736	22,729	26,428	29,173	33,053
Total equity and liabilities	21,526	26,218	29,846	35,116	40,649	46,186

Source: Company data, Nomura estimates

Fig. 167: AMEC – statement of cash flow forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Profit before taxation	2,010	1,709	2,190	4,120	3,491	4,662
Provision for impairment loss (+)	21	139	123	-	-	-
D&A expenses	175	260	350	482	605	714
Depreciation of PP&E	62	112	153	183	232	284
Depreciation of Right-of-use assets	13	11	7	6	7	7
Amortization of Intangible assets	99	136	188	288	359	416
Amortization of L/T Accrued expenses	1	2	2	5	7	6
Finance cost	(71)	(32)	19	40	20	5
Investment income	(787)	(65)	(459)	(1,020)	(300)	(250)
Share of JV and associate	1	(23)	(52)	(110)	(80)	(70)
Inventory - decrease	(870)	(2,897)	(209)	(2,153)	(2,797)	(3,380)
Account receivables - decrease	(911)	(417)	(706)	(343)	(1,194)	(528)
Account payables - increase	(809)	(2,469)	671	246	1,209	473
Contract liabilities	(1,424)	1,815	457	1,047	1,318	811
Tax paid	(292)	(165)	(185)	(202)	(349)	(466)
Others	1,979	3,603	98	253	236	346
Net cash flows from operating activities	(977)	1,458	2,295	2,360	2,158	2,317
Capex - total	(870)	(895)	(855)	(1,320)	(1,250)	(1,140)
investments related, net	3,062	2,382	(253)	506	(308)	(471)
Acquisition, net	-	-	-	-	-	-
Disposal of assets	4	3	8	-	-	-
Others	(368)	(844)	(1,005)	(477)	(482)	(487)
Net cash flows from Investing activities	1,827	646	(2,105)	(1,291)	(2,040)	(2,098)
Share issuance	372	259	395	-	-	-
Capital injection of MI	-	3	8	-	-	-
Debt raised (repaid), net	-	249	(9)	-	-	-
Interest paid	(14)	(15)	(18)	-	-	-
Dividend paid	(124)	(186)	(187)	(219)	(396)	(316)
Others	(12)	(311)	(7)	(40)	(20)	(5)
Net cash flows from financing activities	223	(2)	182	(259)	(416)	(321)
Net cash flows	1,073	2,103	372	810	(298)	(102)
Effect of FX	12	14	(31)	-	-	-
Cash and cash equivalents - beg	2,453	3,538	5,655	5,997	6,807	6,509
Cash and cash equivalents - end	3,538	5,655	5,997	6,807	6,509	6,407
Free cash flow (FCF)	(1,847)	563	1,440	1,040	908	1,177

Source: Company data, Nomura estimates

Key risks

Customer concentration: AMEC's top 5 customers accounted for ~75% of 2025 revenue, with the largest single customer at ~40%. Core domestic customers include YMTC, CXMT, SMIC, HuaHong Group. Overseas customer include TSMC, SK Hynix. Revenue is thus tied to small number of fabs capex schedules.

Slowdown in Chinese fab capex, particularly memory makers (YMTC, CXMT) and advanced logic (SMIC, HLMC) would impact order and sales outlook of Chinese equipment vendors.

Component shortage and constraints: Though the overall component localization rate is over 50%, but critical and high-end equipment components are still mainly supplied by overseas suppliers (Japan, Europe, US). Failure to acquire enough component supplies (overseas suppliers, or domestic alternatives) will impact delivery of equipment, and hence impact sales.

Intensified competition: NAURA's broader platform (after acquisition of Kingsemi), Piotech's expertise in PECVD/ALD, ACM Research's new PECVD pipeline, and Hwatsing's PECVD/ALD pipeline, would intensify the competition in the CVD area.

US sanctions escalation: US export controls on critical high-end tools may potentially impact Chinese fabs capacity expansion pace, and hence impact order and sales outlook of equipment suppliers. In addition, the US may also restrict overseas customers from acquiring equipment from AMEC, hurting AMEC's overseas revenue.

Technology strength and R&D: Leading-edge deposition demands high performance in uniformity and precision, which requires huge amount of R&D to maintain strength and keep the moats. Failure to do so will potentially cause market share loss and margin contraction.

Cleaning pioneer expanding footprint

Prominent market share in cleaning and electroplating; expanding business in furnace, track, PECVD

Resuming coverage of ACM Research with a Buy rating and a target price of USD118.00

We resume coverage of ACM Research (ACMR) with a Buy rating. Our target price of USD118.00 is based on 6.0x forward EV/sales and our 2027F sales revenue forecast. We believe the stock is now trading at a discount to local peers and deserves a higher valuation because: (1) ACMR has been trading at a discount relative to its A-share listed subsidiary ACM Shanghai (688082 CH, Not rated); (2) its faster-than-industry sales growth; (3) strong cleaning and electro-chemical plating (ECP) equipment capabilities among domestic vendors; and (4) China's memory and advanced process fab capacity expansion, as well as rising demand for advanced packaging. Over 2025-28F, we forecast a revenue CAGR of ~28%, with ACMR delivering revenue of ~USD1.88bn in 2028F, and a net profit CAGR of ~42%. **Key risks** include concerns about an escalation of US sanctions (impacting domestic fab capacity expansion), a slowdown in fab capex, intensifying competition, and slower-than-expected new product ramp-up.

Specialties expanding from cleaning and ECP to more areas

Currently, ACMR is the No.1 domestic supplier of wafer-cleaning equipment in China (~30% market share in China, by our estimate) and global No.4 in cleaning (~8% share, according to Gartner); it is also the No.2 global supplier of electro-chemical plating (ECP) equipment (~10% share, according to Gartner). In addition, ACMR is also expanding footprint as a wafer fab equipment (WFE) platform company with product offering expanding into furnace, track (coat/develop) and plasma-enhanced chemical vapor deposition (PECVD) tools. Its 1H26 new orders grew 105% y-y, with memory customers representing more than 50% of the backlog.

Localization, process complexity, advanced packaging, platform transition key positives

We estimate the China WFE market will grow by ~27% y-y to USD55.4bn in 2026F, and to USD103.5bn in 2030F. We expect YMTC (unlisted) and CXMT (688825 CH, Buy) to continue to expand and ramp up fab capacity, creating potentially visible upside. With node migration and memory process advancement, cleaning steps increase. Historically, cleaning has taken up ~7% of fab capex, but management sees this ratio drifting toward ~10% at advanced nodes. In addition, the ECP segment is now rapidly growing. It specifically benefits from advanced packaging development and 3D integration, which requires more electroplating. Apart from expertise in cleaning and ECP, ACMR also has deployment in furnace, track, and PECVD tools. We expect track and PECVD to start contributing revenue from 2027E. The company targets long-term revenue of >USD4.0bn (China USD2.5bn, overseas USD1.5bn), with market share increase across product categories.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (USD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	901	0	1,161	0	1,490	0	1,883
Reported net profit (mn)	94	0	167	0	205	0	271
Normalised net profit (mn)	94	0	167	0	205	0	271
FD normalised EPS	1.40		2.32		2.78		3.69
FD norm. EPS growth (%)	-10.7		65.8		20.0		32.5
FD normalised P/E (x)	57.9	–	34.9	–	29.1	–	22.0
EV/EBITDA (x)	172.8	–	100.1	–	74.8	–	57.5
Price/book (x)	3.6	–	3.0	–	2.7	–	2.4
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	7.9		10.0		10.3		12.2
Net debt/equity (%)	net cash		net cash		net cash		net cash

Source: Company data, Nomura estimates

Rating From Suspended	Buy
Target price From N/A	USD 118.00
Closing price 30 September 2026	USD 80.92
Implied upside	+45.8%
Market Cap (USD mn)	5,636.0
ADT (USD mn)	89.9

Relative performance chart



Source: LSEG, Nomura

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Key data on ACM Research

Performance

(%)	1M	3M	12M		
Absolute (USD)	11.1	-36.2	106.8	M cap (USDmn)	5,636.0
Absolute (USD)	11.1	-36.2	106.8	Free float (%)	52.0
Rel to NASDAQ COMPOSITE	9.3	-38.7	88.3	3-mth ADT (USDmn)	89.9

Income statement (USDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	782	901	1,161	1,490	1,883
Cost of goods sold	-391	-501	-631	-792	-984
Gross profit	392	400	531	698	899
SG&A	-241	-291	-358	-457	-572
Employee share expense					
Operating profit	151	109	172	241	326
EBITDA	161	126	196	272	363
Depreciation	-7	-14	-21	-28	-33
Amortisation	-3	-2	-3	-3	-3
EBIT	151	109	172	241	326
Net interest expense	6	8	17	17	17
Associates & JCEs	0	10	40	45	50
Other income	9	8	50	30	25
Earnings before tax	166	135	279	333	418
Income tax	-35	-13	-42	-53	-67
Net profit after tax	131	122	237	280	351
Minority interests	-28	-28	-70	-75	-80
Other items					
Preferred dividends					
Normalised NPAT	104	94	167	205	271
Extraordinary items					
Reported NPAT	104	94	167	205	271
Dividends	0	0	0	0	0
Transfer to reserves	104	94	167	205	271

Valuations and ratios

Reported P/E (x)	48.6	55.2	33.0	27.5	20.8
Normalised P/E (x)	48.6	55.2	33.0	27.5	20.8
FD normalised P/E (x)	51.7	57.9	34.9	29.1	22.0
Dividend yield (%)	—	—	—	—	—
Price/cashflow (x)	35.2	—	—	160.1	53.3
Price/book (x)	5.6	3.6	3.0	2.7	2.4
EV/EBITDA (x)	145.5	172.8	100.1	74.8	57.5
EV/EBIT (x)	155.1	196.4	111.2	82.9	63.1
Gross margin (%)	50.1	44.4	45.7	46.8	47.7
EBITDA margin (%)	20.6	14.0	16.9	18.3	19.3
EBIT margin (%)	19.3	12.1	14.8	16.2	17.3
Net margin (%)	13.2	10.4	14.4	13.7	14.4
Effective tax rate (%)	21.1	9.8	15.0	16.0	16.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	12.4	7.9	10.0	10.3	12.2
ROA (pretax %)	35.7	6.7	8.9	9.9	11.4

Growth (%)

Revenue	40.2	15.2	28.9	28.3	26.3
EBITDA	54.9	-21.9	55.7	39.1	33.3
Normalised EPS	29.6	-12.0	67.3	20.0	32.5
Normalised FDEPS	31.2	-10.7	65.8	20.0	32.5

Source: Company data, Nomura estimates

Cashflow statement (USDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	161	126	196	272	363
Change in working capital	-110	-510	-253	-195	-198
Other operating cashflow	102	374	-20	-40	-53
Cashflow from operations	152	-10	-78	37	112
Capital expenditure	-86	-58	-149	-114	-84
Free cashflow	67	-68	-227	-77	28
Reduction in investments	-18	2	8	45	39
Net acquisitions	0	0	0	0	0
Dec in other LT assets	29	11	-10	-11	-12
Inc in other LT liabilities	3	4	5	3	3
Adjustments	59	-349	-37	-18	-19
CF after investing acts	140	-401	-261	-58	40
Cash dividends	0	0	0	0	0
Equity issue	0	0	0	0	0
Debt issue	88	99	0	0	0
Convertible debt issue					
Others	-1	656	249	1	2
CF from financial acts	88	755	249	1	2
Net cashflow	228	355	-12	-57	41
Beginning cash	183	411	766	754	697
Ending cash	411	766	754	697	738
Ending net debt	-228	-478	-466	-409	-450

Balance sheet (USDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	411	766	754	697	738
Marketable securities	19	36	107	113	118
Accounts receivable	387	504	609	779	872
Inventories	598	703	853	949	1,127
Other current assets	68	428	492	517	544
Total current assets	1,483	2,437	2,815	3,055	3,399
LT investments	37	66	106	151	201
Fixed assets	269	315	439	521	567
Goodwill					
Other intangible assets	3	3	4	5	6
Other LT assets	63	52	62	73	85
Total assets	1,856	2,872	3,427	3,805	4,259
Short-term debt	77	109	109	109	109
Accounts payable	139	215	251	313	377
Other current liabilities	425	421	451	485	520
Total current liabilities	641	746	812	907	1,007
Long-term debt	106	179	179	179	179
Convertible debt					
Other LT liabilities	13	17	22	25	28
Total liabilities	760	942	1,013	1,111	1,214
Minority interest	191	466	536	611	691
Preferred stock					
Common stock	0	0	0	0	0
Retained earnings	260	350	501	685	930
Proposed dividends					
Other equity and reserves	645	1,114	1,377	1,397	1,425
Total shareholders' equity	905	1,464	1,878	2,083	2,354
Total equity & liabilities	1,856	2,872	3,427	3,805	4,259

Liquidity (x)

Current ratio	2.31	3.27	3.47	3.37	3.38
Interest cover	—	—	—	—	—

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (USD)	1.67	1.47	2.45	2.94	3.90
Norm EPS (USD)	1.67	1.47	2.45	2.94	3.90
FD norm EPS (USD)	1.56	1.40	2.32	2.78	3.69
BVPS (USD)	14.33	22.28	26.97	29.91	33.80
DPS (USD)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	156.4	180.5	175.0	170.0	160.4
Days inventory	534.3	473.5	450.0	415.0	386.1
Days payable	131.4	129.2	135.0	130.0	128.4
Cash cycle	559.3	524.9	490.0	455.0	418.1

Source: Company data, Nomura estimates

Company profile

ACM Research (ACMR US) is a Delaware holding company that directly holds its Chinese operating subsidiary ACM Research (Shanghai), Inc. Its a global supplier of semiconductor wafer fab equipment used in IC manufacturing, covering cleaning, electroplating, advanced packaging, furnace, and also expanding into new areas like track and PECVD. Because ACM Shanghai is the source of essentially all of ACMR's revenue, ACMR's U.S. GAAP financials consolidate 100% of the subsidiary and deduct a ~27% minority interest to reach attributable net income. Ownership has been diluted repeatedly: from ~91.7% pre-IPO (2021), to ~82.5% after the November-2021 STAR IPO, to 73.12% after the September-2025 RMB 4.5bn private placement.

Valuation Methodology

Our target price of USD118.00 is based on 6.0x forward EV/Sales multiple, and our 2027F revenue forecasts. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is the Nasdaq.

Risks that may impede the achievement of the target price

Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for ACM Research; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

ESG

ACM Research frames ESG around its proprietary, lower-chemical process technologies, which are themselves environmental products. Its flagship Ultra C Tahoe hybrid cleaning platform combines batch and single-wafer SPM cleaning in one tool and cuts sulfuric-acid consumption by up to 75% versus single-wafer SPM, saving customers up to ~US\$500k per year in acid alone while lowering hazardous waste. Its SAPS cleaner cuts ammonia use ~99.9% (~50 tCO₂e per tool per year). In 2025 ACM Shanghai established a board-level ESG committee and completed GHG inventories across all sites; it filed its inaugural CDP Climate disclosure in 2024, holds ISO 14001 / ISO 9001, and targets a 75% pure-water purification rate by 2030. Circular-economy efforts recovered 2,800 kg of plastic and 1,200 kg of wooden crates in 2024, and 2025 environmental CAPEX rose ~245% YoY to RMB 4.53m with 100% compliant waste treatment. Third-party analyses cite a Scope 1 & 2 cut of 30% by 2030 (vs a 2022 base) and a 2050 net-zero ambition, though these are not yet formalized in the company's own reporting. 2025 R&D reached RMB 1.25bn (18.5% of revenue), with 1,228 R&D staff (49.4% of headcount) and 447 patent filings; an ESOP covered 562 employees. The workforce totals 2,485 with 94.5% training coverage, though female representation (15.0%) is below the 16% 2030 goal and 15 minor-injury incidents in 2025 exceeded target, partly tied to a new campus ramp. Community spend was RMB 0.26m in donations and RMB 0.25m in rural-revitalization. The board is majority-independent with an independent Lead Director, standing audit / compensation / nominating committees, a Code of Business Conduct, whistleblower channels, and anti-hedging / anti-pledging policies; the board oversees enterprise risk.

Investment summary

ACM Research (ACMR), founded in Silicon Valley in the US in 1998 by David Wang, is a prominent supplier in the field of wafer fab equipment, focusing on cleaning tools and electroplating tools, with product coverage expanding into other fields such as furnaces, tracks, and PECVD. ACM Research has moved its operating focus back to Shanghai, with its subsidiary ACM Research (Shanghai) (ACMSH) currently contributing the major operation, research and development, and technology know-how for ACMR.

Currently, ACMR is the No.1 domestic supplier of wafer-cleaning equipment in China (~30% market share in China, by our estimate) and global No.4 in cleaning (~8% share, according to Gartner); it is also the No.2 global supplier of electro-chemical plating (ECP) equipment (~10% share, according to Gartner). In addition, ACMR is also expanding its footprint as a WFE platform company, with product offerings expanding into furnace, track (coat/develop) and PECVD tools. The company's 1H26 new orders grew 105% y-y, with memory customers representing more than 50% of the backlog.

Major positives for ACM Research:

- **Process complexity is structurally raising cleaning intensity.** With node migration and memory process advancement, not only do etching and deposition steps increase, but also cleaning steps. HBM-class devices require 600 to 1,200 cleaning steps per wafer (vs 200 to 400 for planar DRAM/logic); 3D NAND layer scaling lifts cleaning process runs from 7 (32L) to 20 (128L); and GAA/backside-power architectures add wet steps at each node. Historically, cleaning has taken up ~7% of fab capex, but management sees this ratio drifting toward ~10% at advanced nodes.
- **ECP quickly growing.** The 2,000th ECP chamber shipped in 2Q26 (500th in 2022; 1,500th in 2025). Revenue from the "ECP, furnace, other" line grew 168% y-y in 2Q26 to ~44% of revenue. This segment specifically benefits from advanced packaging development and 3D integration, which requires more electroplating processes. China's HBM/advanced-packaging build-out suggests improved order potential for ACMR.
- **Aggressive capacity expansion and technology advancement from China's memory makers.** We estimate the China WFE market will grow by ~27% to USD55.4bn in 2026F, and to USD103.5bn in 2030F. We expect YMTC and CXMT to continue to expand and ramp up fab capacity, which potentially creating visible upside for China's WFE vendors. The localization rate is still low, at around 40-50% in cleaning tools. We expect the localization rate to keep increasing, as domestic vendors' supply share has already been over 50% in some newly built fabs.
- **A platform transition.** Apart from expertise in cleaning and ECP, ACMR also has deployment in advanced packaging, furnace, track, and PECVD tools. Advanced packaging contributed ~5% of revenue in 2025. According to the company, track and PECVD are expected to start contributing revenue from 2027E. The company targets long-term revenue of >USD4.0bn (China USD2.5bn, overseas USD1.5bn), with market share increase across product categories.

Financially, we forecast ACM Research to clock a ~28% revenue CAGR over 2025-28F, driven mainly by the fast-growing "ECP, furnace and other" category. We expect net profit to record a ~42% CAGR over 2025-28F, with margin recovery likely to be driven by product-mix changes (ECP has higher margins). On a non-GAAP basis, we expect the company to post a net profit CAGR of ~39% over 2025-28F.

From another angle, ACMR consolidates ~73.1% of its Chinese subsidiary ACMSH (688082 CH, A-share market cap ~CNY130bn, around USD19bn, as of 25 Sep 2026), but trades at a market capitalization that covers only ~38% of the value of ACMSH's market cap, implying a holding company discount of ~62%.

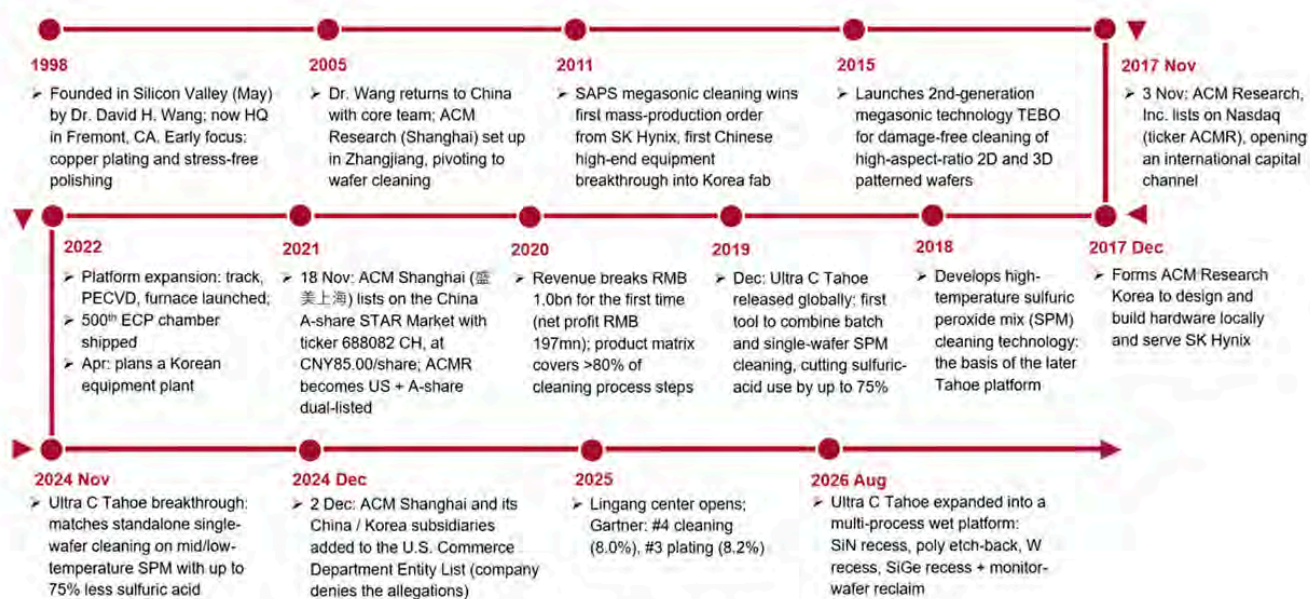
We resume coverage of ACM Research with a **Buy rating**. Our target price of **USD118.00** is based on a target multiple of 6.0x forward EV/sales, and our total 2027F revenue of USD1.5bn. We believe ACM Research is now trading at a discount to its local peers and deserves a higher valuation given: (1) ACMR is trading at a discount relative to its A-share listed subsidiary ACM Shanghai; (2) we expect the company's sales growth rate to be higher than that of the industry average; (3) ACMR has top-level cleaning and

ECP equipment among domestic vendors, with prominent domestic market shares; (4) China's memory and advanced process fab capacity expansion, as well as the rising demand for advanced packaging, suggest greater need for cleaning and ECP tools.

Company overview: Cleaning Pioneer from Silicon Valley

ACM Research, Inc. (ACMR) was founded in January 1998 by David H. Wang in Fremont, California, with an original technology of stress-free copper polishing (SFP) aimed at replacing chemical-mechanical planarization (CMP). The company pivoted to single-wafer cleaning in 2007, established ACM Research (Shanghai) (ACMSH) in 2005 under Shanghai's "S&T to Revitalize the City" program, and moved substantially all operations to China. Two original wet-process innovations, namely SAPS (space-alternated phase-shift megasonic cleaning, developed ~2009) and TEBO (timely energized bubble oscillation, validated on 3D NAND structures from 2015), won ACMR its first major customer, SK Hynix (000660 KS, Buy; ramping up from around 2011-13), and later penetrated into key Chinese customers, including YMTC (unlisted), SMIC (981 HK, Neutral) and HLMC (unlisted).

Fig. 168: ACM Research corporate history

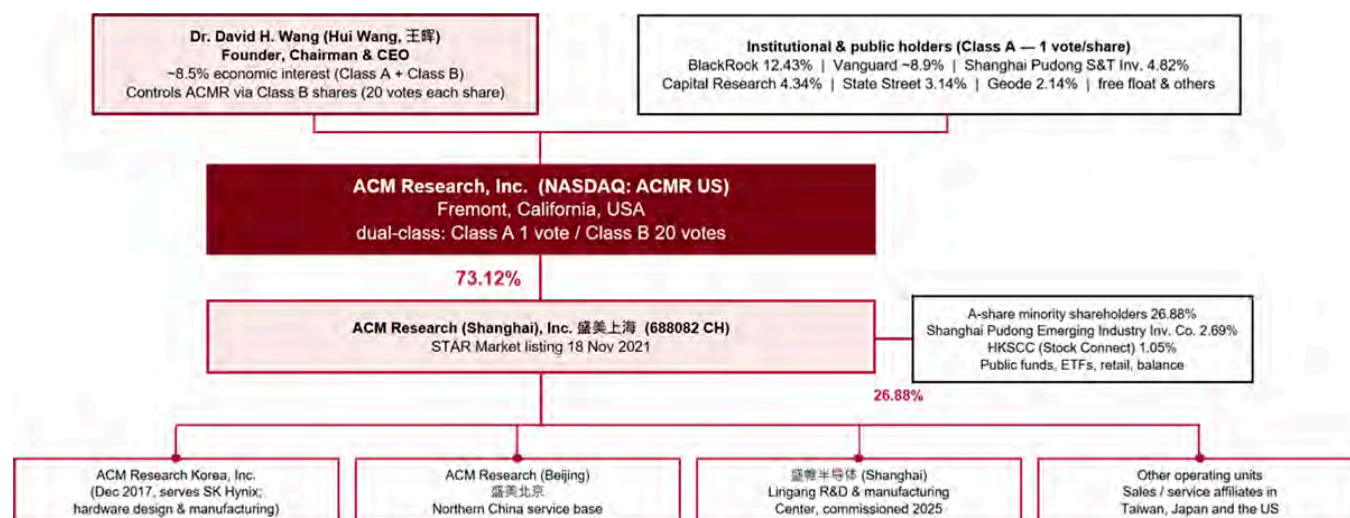


Source: Company data, Nomura research

ACMR is a Delaware-registered holding company that directly holds its Chinese operating subsidiary ACMSH. As of 30 June 2026, ACMR held around 73.12% of ACMSH, with the balance held by Pudong New Area emerging-industry investment (2.69%) and widely dispersed funds/ETF/HK-connect holders. Because ACMSH is the source of essentially all of ACMR's revenue, ACMR's US GAAP financials consolidate 100% of the subsidiary and deduct a ~27% minority interest to reach attributable net income.

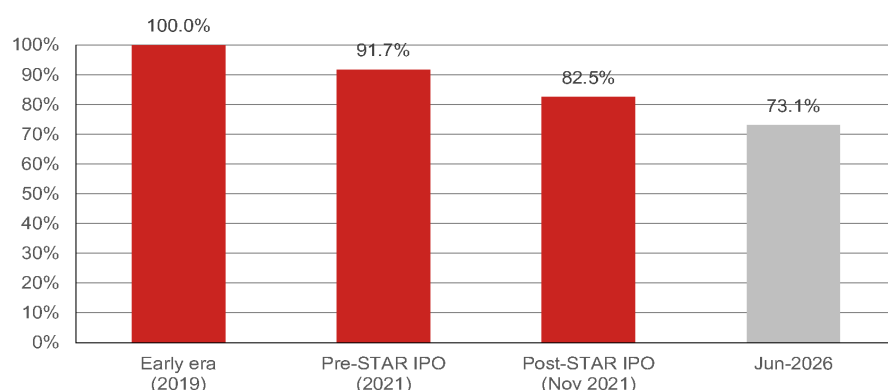
Ownership has been diluted repeatedly: from ~91.7% pre-IPO (2021), to ~82.5% after the November 2021 STAR IPO, to ~73.12% after the September 2025 CNY4.5bn private placement, a recurring-dilution pattern that is one driver of the persistent discount of the parent's equity to the value of its stake.

Fig. 169: ACM Research shareholding structure (as of Jun 2026)



Source: Company data, Nomura research

Fig. 170: ACM Research shareholding dilution on ACMSH

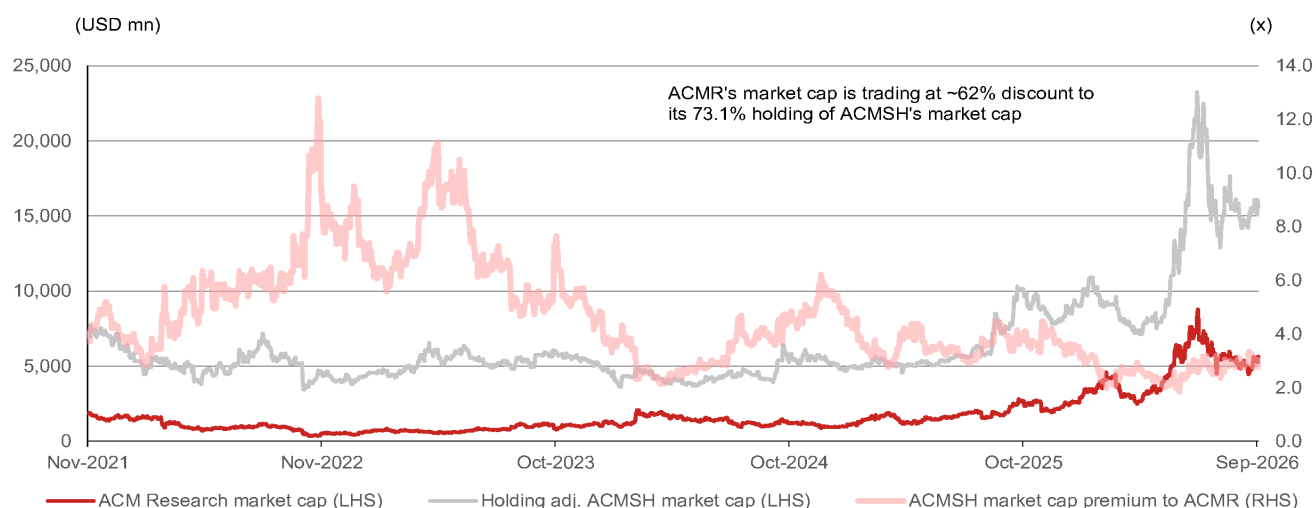


Source: Company data, Nomura research

The parent/subsidiary value gap is quite significant. ACM Shanghai's A-share market cap was ~USD130bn, of which ACMR's 73.1% stake is worth ~CNY95bn, equivalent to ~USD14bn. ACMR's own market cap of ~USD5.4bn therefore covers only ~38% of its stake, implying a holding company discount of ~62%. Historically, the gap has been narrowing, from ~70% (2025), to ~65% (early 2026), and to ~61%, which indicates ACMR's outperformance vs ACMSH.

We attribute the holding company discount to: (1) no dividends or buybacks at ACMR level, so US holders cannot directly harvest ACMSH value; (2) dual-class share structure (Class B equivalent to 20 votes); (3) CNY to USD conversion friction and China regulatory risk; and (4) constant shareholding dilution.

Fig. 171: ACMR market cap vs ACMSH market cap (holding adjusted) since ACMSH IPO

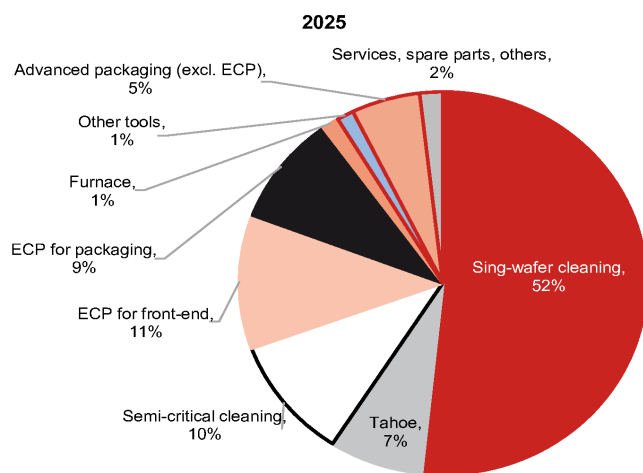


Source: Bloomberg Finance L.P., Nomura research

Business segments and product portfolio

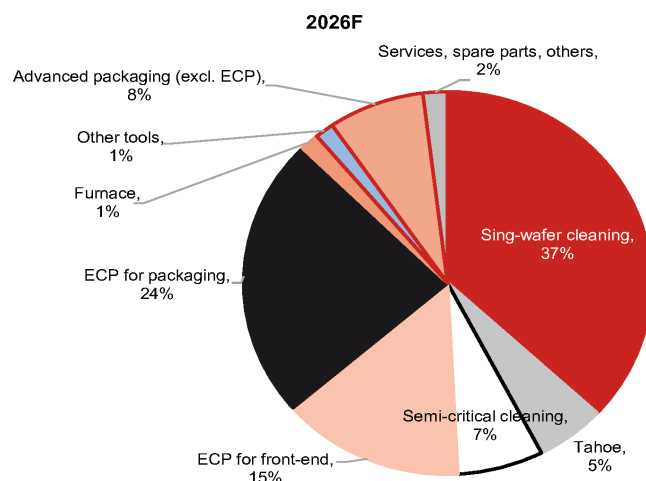
ACM Research reports revenue in three major segments: (1) cleaning equipment (single-wafer, Tahoe and semi-critical), (2) electro-chemical plating (ECP), furnace and other, (3) advanced packaging (excluding ECP) and services and spares. Revenue from the ECP and furnace segment has been growing at a faster pace than cleaning since 2024 (growth rates of 46% and 32% in 2024 and 2025, respectively), with advanced packaging catching up in 2025 (growth rate of 45%). Though cleaning has been underperforming other segments, and 1H26 saw sales decline, management attributed the decline to customer acceptance timing, and expects recovery from 2H26E.

Fig. 172: ACM Research revenue split estimate (2025F)



Source: Company data, Nomura estimates

Fig. 173: ACM Research revenue split estimate (2026F)



Source: Company data, Nomura estimates

Fig. 174: ACM Research product offerings and key applications

Product Line / Category	Key Technology / Differentiation	Application	Competitive Position / Market Share	Status (Mass Production / Qualification / R&D)
Single-Wafer Cleaning SAPS & TEBO (Ultra C)	SAPS (space-alternated phase-shift) megasonic removes standing-wave non-uniformity on warped wafers; TEBO (timely energized bubble oscillation) enables damage-free megasonic cleaning of 3D / patterned structures (FinFET, GAA, 3D NAND). Covers >95% of all cleaning process steps.	Front-end wafer cleaning for advanced logic (FinFET/GAA), DRAM and 3D NAND; cleaning intensity rises with node/HBM complexity (600-1,200 steps per HBM wafer).	Global No.4 in cleaning, ~8% market share; No.1 among Chinese domestic vendors	Mass production , volume shipments to multiple domestic and overseas customers since SK Hynix 50nm era; TEBO validated on 3D NAND (2015), first installed at HLMC (2017).
Hot Single-Wafer SPM Cleaning (High-Temp Sulfuric)	High-temperature sulfuric-acid / hydrogen-peroxide single-wafer strip-and-clean replacing batch tools; leading performance of <15 particles at 15nm particle size; proprietary nozzle prevents acid-mist/splash (SPCC 2026).	Photoresist strip / metal-contamination clean for GAA logic, DRAM and HBM; SPM is ~1/3 of the total cleaning market where ACMR yet had near-zero revenue as of 2025.	Performance leadership; the key 2026–2027 cleaning growth potentials	Volume ramp : shipped 1H26, >20 units expected 2026E, shipments roughly doubling in 2027E.
Tahoe Hybrid Cleaning (Single-Wafer + Batch)	One tool integrates batch SPM with single-wafer megasonic finish; cuts H2SO4 consumption by up to 75%; average single-digit particle counts at 26nm; platform extended to wet-etch and monitor-wafer reclaim.	Cost- and chemical-efficient cleaning for logic and memory fabs.	Qualified at top logic & memory customers	Mass production qualified , repeat orders from leading logic and memory customers.
Semi-Critical Cleaning Scrubber & Edge Wet-Etch	Semi-critical cleaning series, scrubbers, backside/solvent cleaning and edge wet-etch; 18-	Semi-critical and backside process steps across fab lines.	Part of the broadest wet-process portfolio among	Mass production
ECP Electroplating Front-End Copper Interconnect (Ultra ECP)	Multi-anode electrochemical plating for front-end Cu damascene interconnect; fills the domestic gap in China.	Front-end copper interconnect for logic and memory; larger dies and more interconnect layers lift plating steps.	Global No.2 in ECP, ~10% market share	Mass production , 2,000th cumulative ECP chamber shipped 2Q26 (500th in 2022, 1,500th in 2025)
ECP Electroplating Advanced Packaging (WLP / TSV / 3D)	Multi-anode electrochemical plating for front-end Cu damascene interconnect; fills the domestic gap in China.	Wafer-level packaging, TSV metalization, 3D stacking / HBM,	CoWoS large-pillar plating solutions accepted by	Mass production and scaling
PLP Panel-Level Plating (Horizontal ECP)	Horizontal panel plating architecture with proprietary uniformity; 310×310mm and 510×515mm panel formats.	Panel-level packaging (PLP) for AI/HPC large packages	Industry leadership , among only a few vendors able to deliver multi-region / multi-customer PLP solutions.	Early orders , 510×515mm production order from existing China customer (to deliver 1H27E); 310×310mm evaluation order from a new Asian panel leader (to deliver 4Q26E)
Furnace (Ultra Furnace)	LPCVD, atmospheric oxidation and ALD vertical furnaces; ultra-high-temperature capability >1,250°C; PEALD in early validation.	Deposition, oxidation and anneal steps in China wafer fabs	New entrant	Ramping , LPCVD/oxidation in production at multiple China fabs, ALD furnaces in customer evaluation
PECVD (Ultra Pmax)	Proprietary SiCN chamber with 3-wafer rotary architecture (1 chamber / 3 chucks); world's first SiCN deposition tool of its kind.	Back-end IC films and advanced-packaging wafer-level bonding.	New entrant	Qualification
Track, Coater / Developer (Ultra LITH)	KrF track with 54 precision temperature-controlled hot plates, >300 WPH throughput; ArF immersion track in development.	Lithography coat / develop for KrF (ArF roadmap)	New entrant	Customer evaluation , full-flow production qualification targeted by end-2026E; ArF in R&D.
Stress-Free Polishing (SFP, Ultra SFP)	Founder-origin (1998) electrochemical stress-free copper removal, which is a CMP alternative; rated international-leading	Copper polishing for interconnect applications.	Niche product line	In production , copper-polishing tools continue to ship
Advanced Packaging Wet Tools & PLP Vacuum Cleaning	WLP wet-process tools (coat/develop/etch/strip/scrub) for OSATs; vacuum negative-pressure panel-level cleaning (510×515mm).	OSAT advanced packaging and panel-level packaging; China + Singapore + North America deployments.	Advanced packaging (ex-ECP) growing quickly	Mass production

Source: Company data, Nomura research

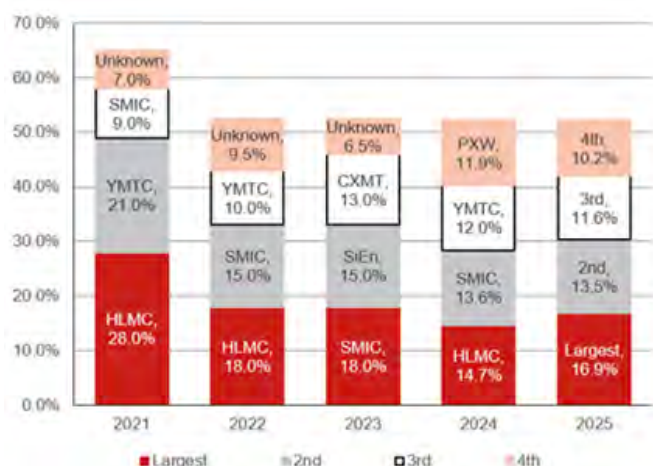
Customer base, R&D and technology roadmap

The customer base includes major mainland China wafer fabs, memory makers, IDMs, and OSATs. Most of the revenue came from foundry and logic customers, with revenue contribution of 63%/71%/59% in 2023/2024/2025. Memory makers accounted for 24%/22%/27% of the revenue in 2023/2024/2025; packaging and wafer processing accounted for 13%/7%/14%.

Important front-end customers include HLMC (unlisted; 15% revenue contribution in 2024), SMIC (981 HK, Neutral; 14% in 2024), YMTC (unlisted; 12% in 2024), Shenzhen Pengxinwei (unlisted; 12% in 2024), and others including SK Hynix (000660 KS, Buy), CXMT (688825 CH, Buy) and Silan Micro (600460 CH, Neutral). Back-end customers include SJ Semiconductor (688820 CH, Not rated), JCET (688584 CH, Buy), Tongfu Micro (002156 CH, Buy), Wafer Works (6182 TT, Not rated), and ZINGSEMI (unlisted).

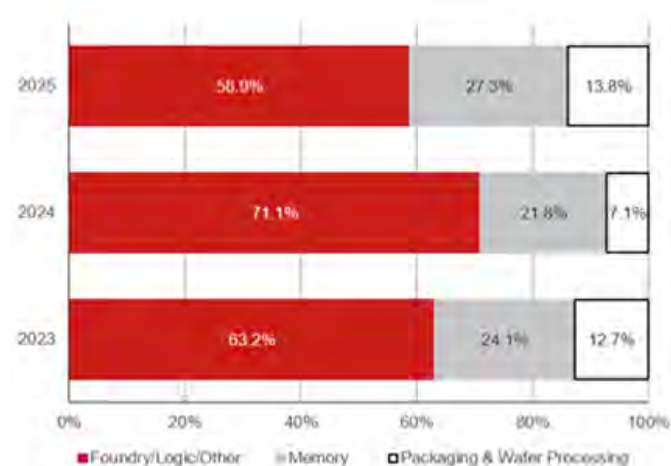
From a geographical perspective, much of its revenue still comes from mainland China, with 97.0%/99.2%/99.6% contribution in 2023/2024/2025.

Fig. 175: ACM Research revenue by customer



Source: Company data, Nomura research

Fig. 176: ACM Research revenue by customer type

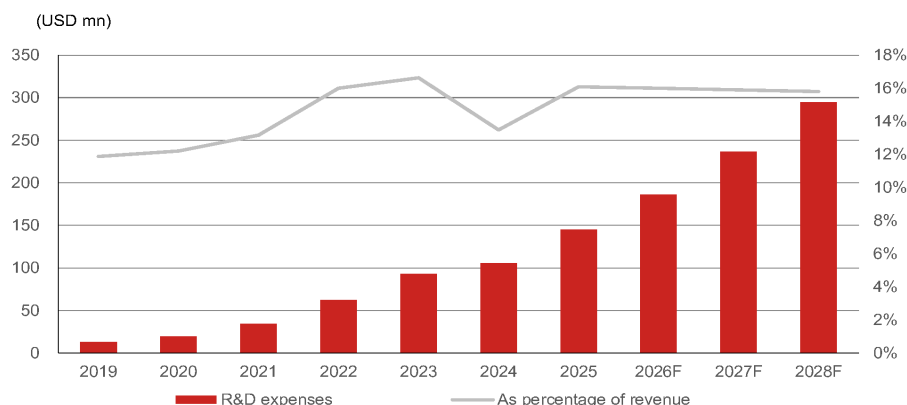


Source: Company data, Nomura research

R&D spending is key for semiconductor production equipment companies such as ACM Research. Its R&D expenses are rising faster than revenue as the company funds the track, PECVD, PLP (panel-level packaging) and furnace product push. Consolidated R&D expense reached USD145mn in 2025, representing 16.1% of revenue and +37.5% y-y (2024: USD105mn, 13.4%).

Resource commitment is visible in headcount and IP: ACMSH has 1,297 R&D staff, roughly 50% of ACM Shanghai's ~2,596 employees; 2,633 patents filed with 646 granted, of which 229 were granted in 1H26. Pipeline timing positions 2027 as the first meaningful revenue year for the new platforms: KrF Track full-flow qualification during 2026, PECVD production-readiness by end-2026, and furnace atomic-layer deposition (ALD) / Low-pressure chemical vapor deposition (LPCVD) ramping up at multiple China fabs.

Fig. 177: ACM Research R&D expense as a percentage of revenue



Source: Company data, Nomura estimates

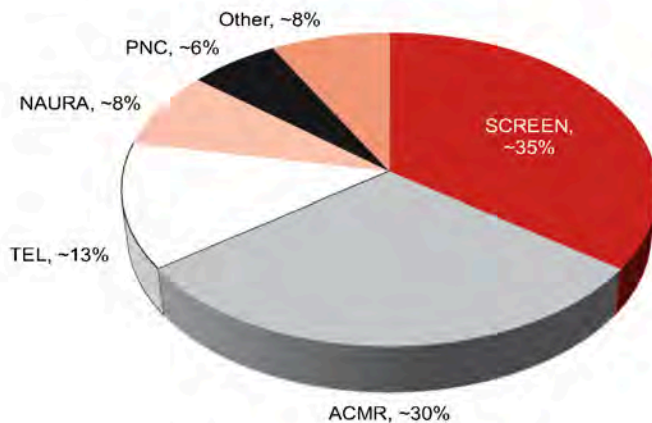
Competitive advantages and growth drivers

As a strong player in cleaning equipment and ECP tools, ACM Research is seeing opportunities not only from cleaning strength and market share expansion in China, but also from expanded addressable market by new products, and rising demand and importance of advanced packaging.

Technology innovation and differentiation in cleaning

Currently, ACM Research holds the second-largest market share in China's WFE cleaning market (~30% market share in 2025, by our estimate). Globally, ACM Research held an ~8% market share in 2025, ranking the fourth, according to Gartner.

Fig. 178: China cleaning equipment used in WFE market share estimate (2025F)



Source: Nomura estimates

The company's differentiation is on original wet-process innovation rather than catch-up imitation. **SAPS** (space-alternated phase-shift megasonic) eliminates standing-wave cleaning non-uniformity on warped wafers; **TEBO** (timely energized bubble oscillation) enables damage-free megasonic cleaning of 3D/patterned structures (FinFET, GAA, 3D NAND). **Hot single-wafer SPM** delivers leading performance of <15 particles at 15nm particle size; **Tahoe's** single-wafer/batch hybrid cuts H_2SO_4 consumption ~75%, saving costs for fabs and protecting environment. With comprehensive product coverage, the cleaning platform covers >95% of all cleaning process steps.

Single-wafer cleaning side, ACM Research has its proprietary SAPS and TEBO technologies, instead of catching up with SCREEN and TEL roadmaps.

- **SAPS** technology employs alternating phases of megasonic waves to deliver megasonic energy to clean wafer surfaces in a highly uniform manner on a microscopic level. This enables it to remove random defects across an entire wafer much more efficiently than conventional jet spray processes. Moreover, according to the company, users of SAPS equipment have already expanded their application of ACM Research tools, adding cleaning to more processing steps to increase yields and reduce chemical usage.
- **TEBO** technology provides efficient, damage-free cleaning for both conventional 2D and 3D patterned wafers at advanced process nodes. It enables precise, multi-parameter control of bubble cavitation during megasonic cleaning by using a sequence of rapid pressure changes to force bubbles to oscillate in specific sizes and shapes. And because these bubbles oscillate instead of imploding or collapsing, TEBO technology avoids the pattern damage caused by the transient cavitation that is seen in traditional megasonic cleaning. ACM Research has already demonstrated TEBO's damage-free cleaning capabilities on patterned wafers as small as 1xnm (16nm to 19nm), and the technology looks promising for even smaller process nodes. TEBO technology is designed for efficient, damage-free cleaning of patterned chips with 3D structures such as FinFET, DRAM, 3D NAND and 3D cross point memory, and even devices with very high aspect ratios.

Fig. 179: Single-wafer cleaning technology comparison

Company	Technology & Platform	Physical Mechanism (Principle)	Core Advantages & Applicable Scope	Limitations / Trade-offs	Market Position
ACM Research	SAPS (Space Alternated Phase Shift) (Ultra C SAPS V / SAPS VI 18-chamber)	A megasonic transducer is placed at a controlled gap from the wafer; the megasonic wave is delivered in ALTERNATING PHASES into that gap, so standing-wave nodes and antinodes are swept across the surface. Every point on the wafer therefore accumulates the same acoustic energy, and radical generation in the dilute chemistry is boosted by the megasonic field.	Uniform , full-wafer random-defect removal on both flat/blanket and patterned surfaces (deep via, deep trench); Higher particle-removal efficiency than conventional jet spray and conventional megasonic, and relatively MORE effective as nodes shrink. Modular chambers allow chemistry and megasonic combinations to be configured per step. Capability : handles 150/200/300mm plus non-standard substrates (compound semi, quartz, sapphire, glass). Scope : 28nm and above in volume; logic, DRAM, 3D NAND, power, compound and silicon substrates.	Megasonic energy still has to be bounded to avoid pattern damage on fragile ultra-low-k or very high-aspect-ratio structures (this is exactly what TEBO was built to solve). On a pure-SAPS step the chemical/acid consumption profile is similar to peers, the acid problem is addressed by Tahoe, not by SAPS.	Volume workhorse. The technology that broke ACM into SK hynix (introduced 2009, first mass-production order 2011)
ACM Research	TEBO (Timely Energized Bubble Oscillation) (Ultra C TEBO)	The megasonic field is sequenced so cavitation bubbles are generated, oscillated and collapsed in a controlled, TIMELY manner. Multi-parameter control keeps bubble oscillation stable rather than violently imploding, so the mechanical force stays BELOW the pattern-collapse threshold while still supplying the momentum needed to lift particles.	Solves the industry's decade-old problem of megasonic-induced damage on sub-50nm features. Demonstrated damage-free cleaning at feature sizes as small as 1xnm (16-19nm) and on 3D structures with aspect ratios up to 60:1. Purpose-built for FinFET, DRAM, 3D NAND and 3D cross-point . Passed 18-19nm DRAM process evaluation in 2025. Scope : 1xnm and below, high-aspect-ratio 3D logic and memory.	Took six years to develop and international majors attempted it for a decade without success, so qualification cycles are long and the ecosystem has no second source. Throughput and cost-of-ownership must be balanced against simpler jet-spray steps where damage is not the binding constraint.	Assessed as internationally leading by the National IC Innovation Centre and the Shanghai IC R&D Centre. This is ACM's core technology moat and the reason it can compete beyond mature nodes.
SCREEN Semiconductor Solutions	SU-3000 / SU-3200 / SU-3300 series; nano-spray and two-fluid (dual-fluid) nozzles	High-speed rotating single-wafer spin platform. Chemicals are delivered through nano-spray nozzles; selected modules use two-fluid (gas + liquid) atomisation, where the impingement momentum of nano-droplets removes particles. Five swappable process modules (backside scrub, FEOL aqueous, BEOL solvent, bevel edge etch, vapour etch) can be combined on one platform.	Widest installed base and recipe library in the industry; up to 24 chambers and c.800 wafers per hour; meets 10nm / 7nm parameters; Strong on BEOL polymer removal and Cu-interconnect bevel; HF and chemical recycling systems cut consumption. Scope : 7nm and above, essentially all front-end steps plus much of the back-end.	Rotation-based droplet momentum is intrinsically less able to clean deep, high-aspect-ratio 3D features without damage. Highest tool cost in the market, and China service/support is increasingly constrained by export controls.	Global No.1. c.27-37% of single-wafer cleaning market share
Tokyo Electron	CELLESTA platform; spin-spray / nano-spray cleaning	Single-wafer spin cleaning with nano-spray chemical delivery, combined with hybrid chemistries — ozone-based (O3/DIW) plus dilute sulfuric-acid-peroxide (DSP) — and AI-driven predictive maintenance. Leverages TEL's wafer-handling and coater/developer heritage for tight module integration.	Broadest process coverage and high throughput : turnkey 300mm modules that sit seamlessly alongside TEL's track and etch tools; hybrid O3 + DSP chemistry reduces chemical load while reaching very high metal-removal rates on 3nm-class wafers. Scope : 14nm / 7nm and above; advanced logic and foundry.	Premium pricing. Rotation-based momentum has the same high-aspect-ratio limitation as SCREEN. Conventional single-wafer SPM carries a heavy sulfuric-acid load, which is precisely the cost and ESG pain point ACM's Tahoe attacks.	Global No.2. c.21-22% share.

Source: Company data, Nomura research

Tahoe cleaning tools are a type of hybrid wafer cleaning tools with significant cost and environmental benefits. Today's conventional single-wafer cleaners perform well at advanced nodes, but consume significant amounts of sulphuric acid and hydrogen peroxide, and the majority of them are wasted and cannot be recycled, as only a fraction of the acid reacts with the wafer surface. The excessive acid usage results in unnecessary cost, greater safety requirements, and more waste treatment for modern fab operations. ACM Research claims that its Ultra-C Tahoe incorporates innovative and patented technology to deliver high cleaning performance, but uses 25% or less sulphuric acid. This offers environmental and economic benefits. This new product is another example of ACM Research's focus on differentiated and patent protected product offerings.

Fig. 180: ACM Research Tahoe vs batch and single-wafer cleaning technologies

Dimension	Batch / Wet-bench SPM	Single-wafer SPM	ACM Ultra C Tahoe	Why it matters
Tool architecture	A cassette of 25-50 wafers is immersed in a chemical tank, then quick-dump-rinsed (QDR).	One wafer at a time in a closed chamber; chemistry dispensed by scanning arms.	Patented HYBRID architecture: a batch module (25 tanks, upgraded from 13) and single-wafer chambers (9, upgraded from 8) integrated in ONE tool. The wafer is transferred from tank to chamber while still WET.	Tahoe captures the low chemical cost of batch and the cleanliness of single-wafer in a single footprint. These are the two things fabs previously had to choose between.
Sulfuric acid consumption	Lowest per wafer, because the bath is re-circulated, but cleanliness is insufficient for advanced nodes.	Highest: each wafer receives fresh acid.	Up to 75% LESS than single-wafer SPM. At 2,000 wafers/day Tahoe uses under 200 liters/day, versus more than 1,600 litres/day of additional acid for a single-wafer tool.	The single largest operating-cost and ESG lever in SPM. ACM estimates acid alone saves up to US\$0.5m per tool per year, plus further savings on spent-acid treatment.
Spent-acid discharge	Low volume, but the re-circulating bath degrades and becomes a contamination source.	Highest; a large and rising waste-treatment burden as environmental rules tighten.	At least 80% less sulfuric-acid waste than single-wafer SPM	Spent-acid treatment is one of the largest fab-level ESG cost lines. Regulation is tightening, which favours Tahoe.
Throughput	High, a full tank per cycle.	High with many chambers (a 12-chamber SPM tool runs about 200 wph).	More than 200 wafers per hour from the 25-tank + 9-chamber configuration, which is comparable to a 12-chamber SPM system.	No throughput penalty versus the incumbent single-wafer SPM tool, so the acid saving is effectively free.
Cross-contamination risk	HIGHEST, wafers share a common bath and particles re-deposit between wafers. This is what disqualified batch tools at 28nm and below.	Lowest, fresh chemistry and a closed chamber for every wafer.	Low: the wafer never dries between modules, and the single-wafer module can be fitted with up to 4 arms, each delivering up to 3 process chemistries. Low cross-contamination is flagged as one of Tahoe's two headline advantages.	This is the specific failure mode that historically killed batch SPM at advanced nodes. Tahoe's hybrid design attacks it directly.
Applicable process window	45nm and above / mature nodes only.	All nodes, including advanced, but mainly used in advanced	Qualified at 65nm and 55nm and scaling down. Explicitly targets the mid/low-temperature SPM segment	Enlarging TAM.
CapEx and footprint	Lowest cost.	Highest cost and largest footprint.	Mid: one tool replaces separate batch and single-wafer tools. Tahoe has historically been ACM's highest-ASP product (about twice a batch tool)	Higher ASP is margin-accretive and differentiates ACM from price-led domestic competitors
Customer traction	Installed base legacy; being retired at advanced nodes.	Incumbent standard at advanced nodes.	Multiple large Chinese fabs have the upgraded tool in production; further logic and memory customers were evaluating it and additional units were expected to ship from end-2024. Qualified across logic, DRAM and 3D NAND.	Key to expanding coverage

Source: Company data, Nomura research

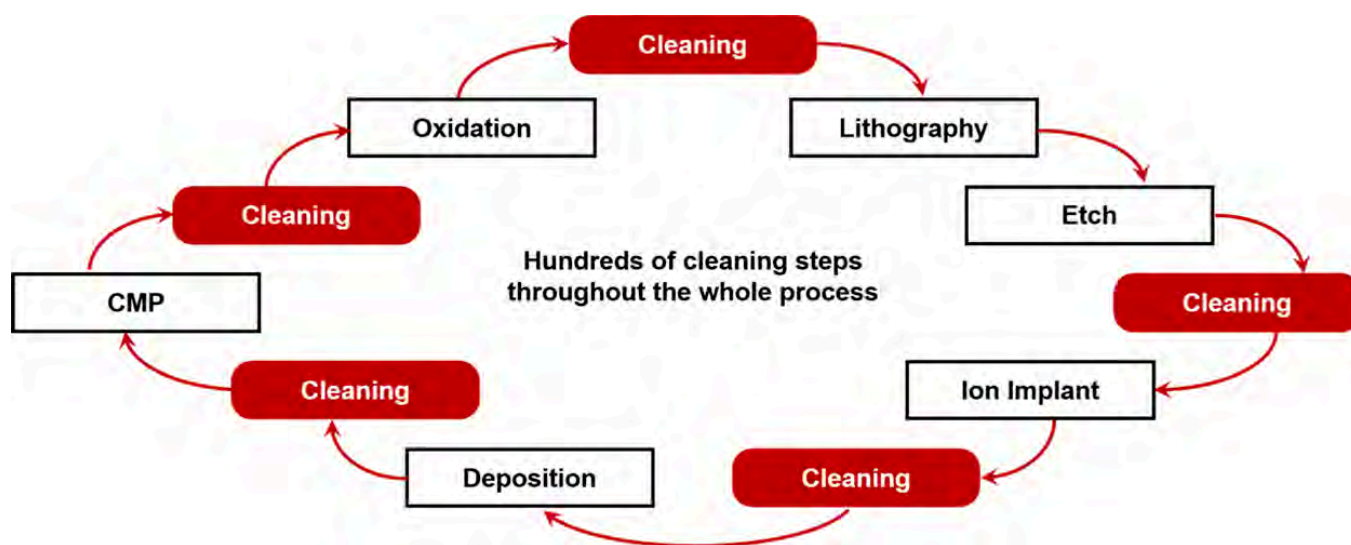
The moats are reinforced by two structural barriers. First one is IP: 2,633 patent applications with 646 granted (229 new filings in 1H26), covering SAPS/TEBO/Tahoe architectures. Second, qualification cycles: equipment is qualified at process-of-record level with long customer cycles; leading-node wet materials enter development ~5 years before mass production, locking in suppliers and raising switching costs at every node.

Process advancement and node migration cleaning demand

By our estimates, cleaning is expected to grow among the fastest pace, even faster than lithography, as China has no availability on EUV lithography equipment. Multi-pattern in advanced nodes would require more etching and deposition steps, and most etching and deposition steps will followed by cleaning, which increases the TAM of cleaning equipment at faster pace.

Fig. 181: Cleaning steps throughout the whole process

Hundreds of cleaning steps throughout the whole IC manufacture process

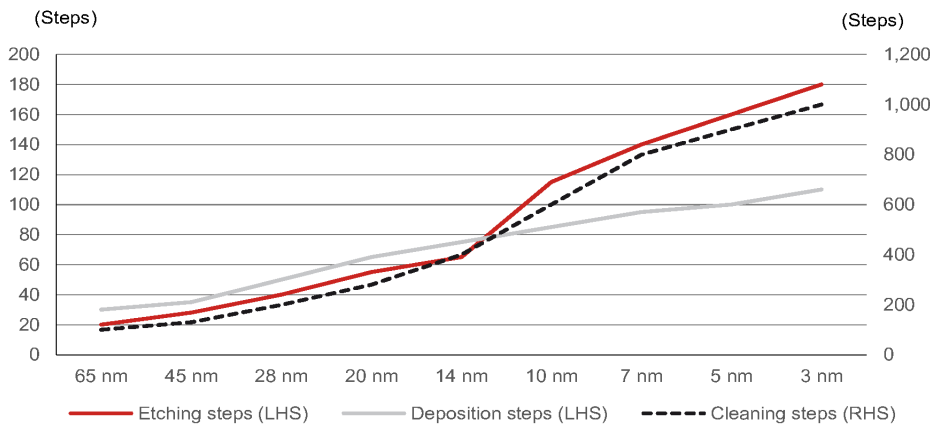


Source: ACM Research, Nomura research

The step-count penalty (more steps needed) of multi-patterning is large. For example, a

7nm-class IC requires roughly 800 cleaning steps, versus about 200 at 28nm, equivalent to a ~4x inflation. On a per-fab basis, a 12-inch advanced line consumes roughly 20-35 cleaning tools per 10k wpm, versus 15-20 for a mature-node line.

Fig. 182: Step count estimates of cleaning, etching and deposition by process nodes

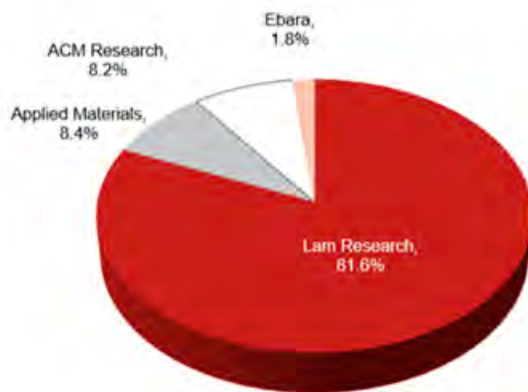


Source: SEMI, TEL, The Industry Cleaning Association of China, Nomura research

Advanced packaging pulls ECP tools

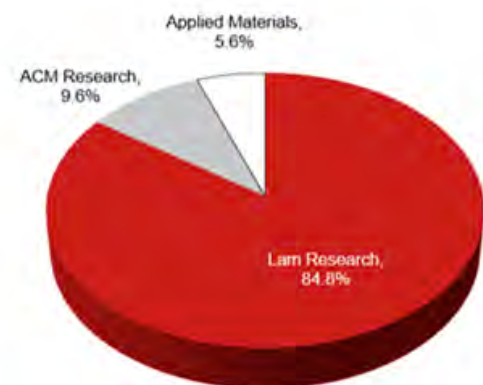
As one of the major suppliers of electroplating tools (ECP or ECD) globally, ACMR should also benefit from advanced packaging build-out, in our view; ACM's ECP franchise converts packaging capacity into orders. Currently, ACMR is the second-largest supplier of ECP tools globally, with a market share of ~10% in 2025, according to Gartner. The majority of the market is still controlled by the market leader Lam Research (LRCX US, Not rated).

Fig. 183: Global market share of electroplating tools (2024)



Source: Gartner, Nomura research

Fig. 184: Global market share of electroplating tools (2025)



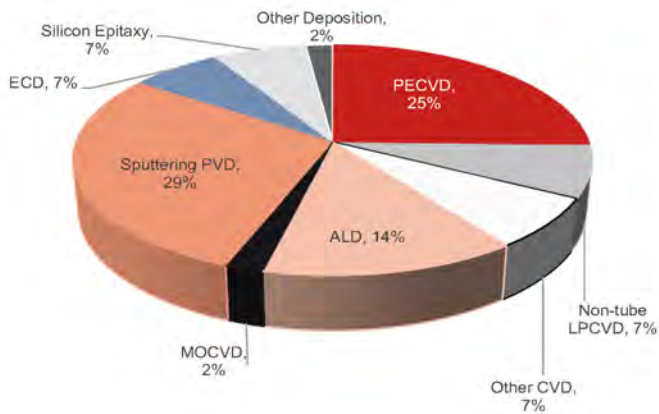
Source: Nomura research

Aluminum for several decades was used as the dominant IC interconnection material, given its easy-to-deposit feature, easy-to-etch, and low cost. But below the 130nm node, aluminum interconnects hit a wall: rising resistance-capacitance (RC) delay, and electromigration that limited current density. Therefore, copper became mainstream. But copper cannot be patterned by conventional dry etching at production throughput. The industry's answer was the damascene (and later dual-damascene) scheme: etch the dielectric first, then fill the resulting trenches and vias with copper electroplating, and polish the excess away.

That fill step is electrochemical deposition. The sequence for a modern copper interconnect layer is: dielectric deposition and patterning → conformal barrier (TaN/Ta) and copper seed layer by PVD or ALD → ECP copper fill → anneal to grow grains and lower resistivity → CMP to remove the overburden → cap/dielectric deposition.

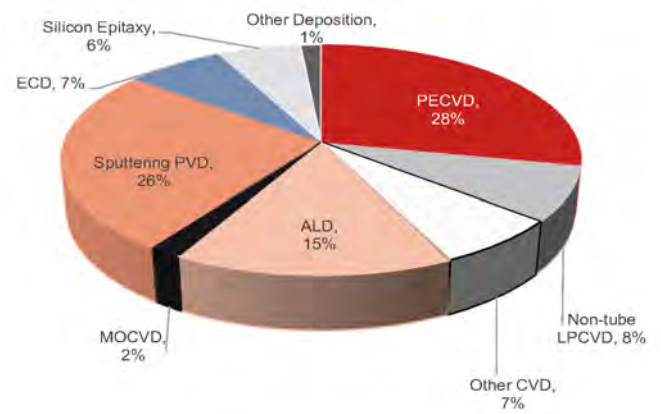
Electroplating has not been a major capex contributor in front-end manufacturing process. According to Gartner, ECD (same as ECP) accounted for 7% of deposition revenue in 2024 and 2025, which indicates it accounted for ~2% of total fab spending.

Fig. 185: Global deposition revenue mix by type (2024)



Source: Gartner, Nomura research

Fig. 186: Global deposition revenue mix by type (2025)

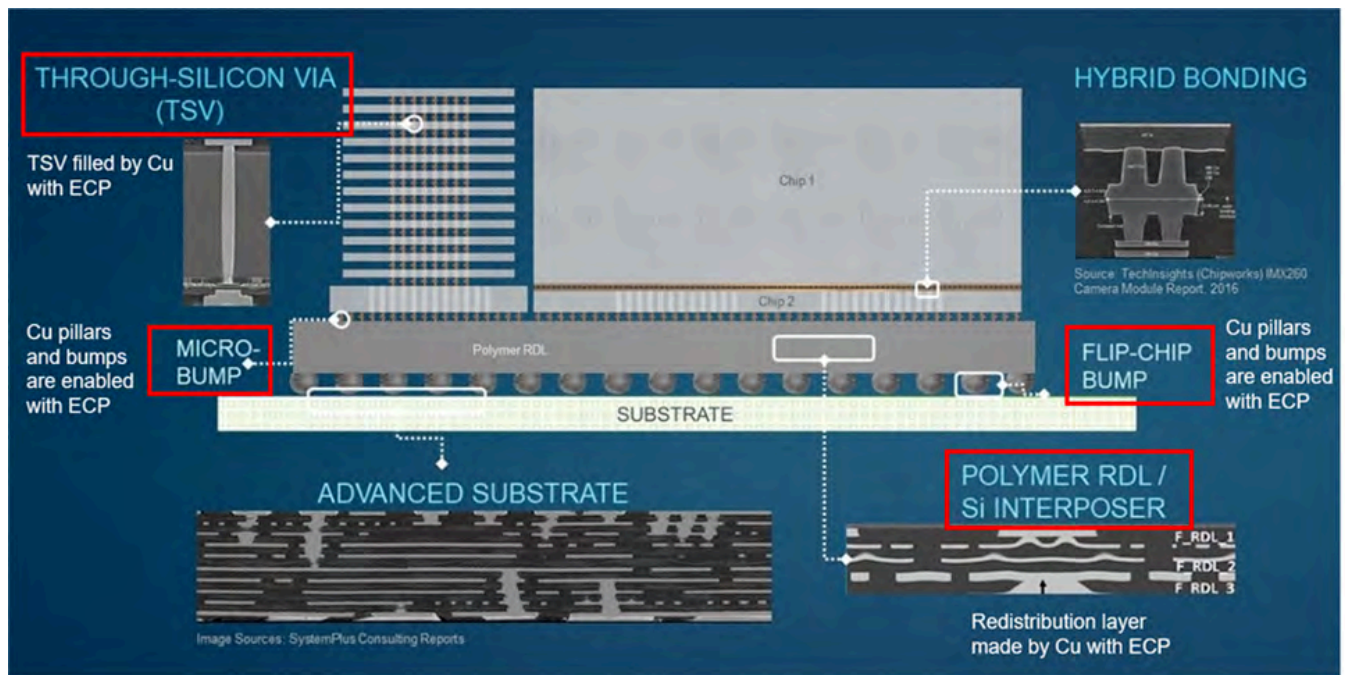


Source: Gartner, Nomura research

That being said, the importance of ECP cannot be underestimated by the share. ECP is the major method for copper metallization, so essentially nearly all of copper wiring, interconnection, pillars, RDL and via fill passes are enabled by electroplating; other alternative processes are not practical due cost and limitation. This is also a reason why ECP's importance is quickly increasing in advanced packaging, where interconnection, RDL, and TSV are among the key focus areas.

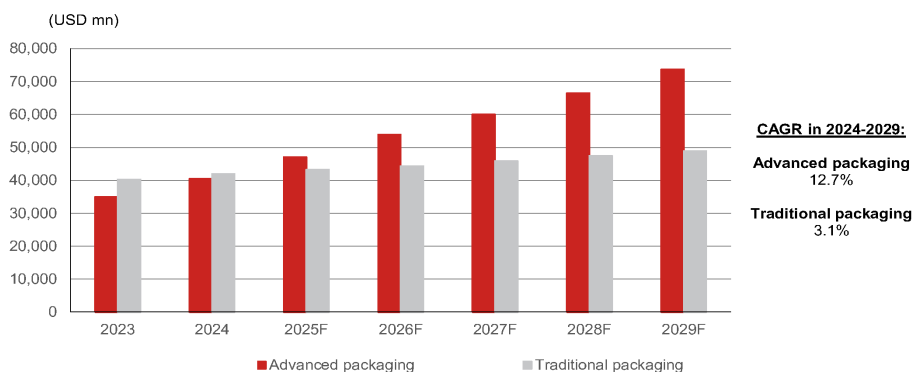
In the advanced packaging field, there are three metal structures, each built by plating:

- **Bumps and copper pillars:** the copper pillars and solder caps that connect a flipped die to a substrate or to another die, and the micro-bumps that connect stacked memory dies. ECP is the standard route because it deposits thick, low-resistance metal fast and with good uniformity across a 300mm wafer.
- **Through-silicon vias (TSV):** vertical connections through a die or an interposer, enabling 3D stacking and high-bandwidth memory. TSV fill is the hardest plating problem in the back end: large features (>10:1 aspect ratio, tens of microns deep) filled void-free in a single, slow, tightly controlled deposition.
- **Redistribution layers (RDL):** the metal traces that fan a die's I/O out beyond its own footprint and reroute it to where the package needs it. RDL is the backbone of fan-out wafer-level and fan-out panel-level packaging.

Fig. 187: ECP is widely used in advanced packaging, an example in 2.5/3D heterogeneous integration

Source: Applied Materials, Nomura research

As copper pillar and bumping are required by almost all packaging formats, we estimate **they will account for ~50%** or more of ECP value in advanced packaging. TSV usually takes a long time to fill, and increasing HBM capacity will also increase demand for ECP, so we estimate **TSV to take up ~30%** of ECP value in advanced packaging. **RDL and fan-out takes up the rest ~20%**. But it is worth highlighting that RDL is increasingly important nowadays, and PLP will also increase the demand.

Fig. 188: Advanced packaging is likely to record a 12.7% CAGR

Source: Gartner, Nomura research

Gartner expects advanced packaging to record a ~13% CAGR over 2025-29E, but we expect the growth rate could be higher, primarily driven by:

- **AI/HPC and HBM.** A 2.5D package (CoWoS-class) puts logic and HBM on a silicon interposer criss-crossed with multiple RDL layers; an HBM stack adds TSV plating for every DRAM die plus micro-bumps between them. As stacks move from 8-high to 12-high to 16-high and interposers get larger and denser, the plating step count per package rises broadly in line with layer count and die count.
- **RDL proliferation.** RDL line/space is pushing toward 2μm/2μm and below, and advanced fan-out designs now use four or more RDL layers. Each layer is a deposit-and-pattern cycle: seed, plate, strip, etch, so the number of ECP passes scales with the number of routing layers, not only with the number of dies.
- **Panel-level packaging (FOPLP/PLP).** Moving from a 300mm round wafer to a 510×

515mm (and eventually 600×600mm) rectangular panel lifts substrate area utilization, and continues to be the industry's focus. Being one of the growing areas in fan-out packaging, RDL needs would also increase with the penetration of PLP.

- **Glass substrates and TGV.** Glass is emerging as the interposer substrate for the largest AI packages. Its trough glass vias (TGV) must be filled with copper pillar, nickel, tin-silver and gold plating.

Fig. 189: ECP intensity estimates in advanced packaging

Platform	RDL layers	Bump / pillar pitch	TSV aspect ratio	TSV count per die	ECP relative intensity (as % of FCBGA)	What drives the plating load
FC-BGA / FCBGA (substrate flip-chip)	0	130-150µm	N/A	0	100%	Baseline: copper pillar + solder cap plating
FC-CSP / WLCSP	1	80-130µm	N/A	0	105%	Similar to FC-BGA but tighter pitch and thinner wafer handling
FOWLP / InFO (fan-out wafer-level)	2-4	40-80µm	N/A	0	150%	Each RDL layer adds a seed + plate + strip + etch cycle; bumps add a final pillar pass
2.5D CoWoS-class (silicon interposer)	3-5	40-55µm	10:1	Interposer consists of plenty	230%	Interposer RDL plus TSV fill plus micro-bumps on both faces; largest step count today
HBM stack (8-Hi)	0	25-40µm µ-bump	10:1 to 15:1	over 1,000	260%	TSV per DRAM die + micro-bumps per interface; slow, long fill dominates cycle time
HBM stack (12-Hi → 16-Hi)	0	20-30µm µ-bump	15:1 to 20:1	over 1,500	340-420%	Plating load scales roughly with die count in the stack; higher aspect ratio increases plating time and hence intensity
3D stacked logic (hybrid bonding)	2-4	<10µm bond pad	5:1 to 10:1	moderate	>200%	Hybrid bonding does NOT remove plating: RDL, vias, pads and Cu recess are all plated first
FOPLP / panel-level (510×515mm)	2-4	40-80µm	N/A	0	>150% (per panel)	Same step count as FOWLP but over ~3.5x the substrate area of a 300mm wafer; throughput, not steps, is the gain; edge uniformity is the challenge
Glass substrate / TGV	2-4	40-80µm	5:1 to 10:1 (blind via)	TGV high density	>200%	Blind-via fill plus Cu/Ni/SnAg/Au plating; larger panels and different adhesion chemistry

Source: Nomura estimates

ACM Research Ultra ECP family now covers the front end, wafer-level packaging, 3D stacking, compound semiconductors, electrochemical de-plating and, most recently, panel-level packaging (Ultra ECP ap-p horizontal electroplating tool, which ACMR delivered to a leading China advanced packaging customer, for 510x515mm panel; it delivered another one to an Asian leading panel-level packaging customer, for 310x310mm panel).

We believe ECP is a fast-growing engine for ACMR, and ACMR is also enjoying competitive advantages in the field, including:

- **A proprietary horizontal plating architecture.** Most of the industry plates vertically, immersing wafers in baths. ACM plates horizontally, with a synchronously rotating chuck and a rotating electric field. The claimed benefits are better film uniformity and no cross-contamination between different chemistry baths, which is an inherent failure mode of vertical tank designs. The same architecture is what allows the tool to be scaled from a 300mm wafer to a 510×515mm panel.
- **Multi-anode local plating control.** Millisecond switching between independently controlled anodes lets the tool shape the current distribution across the wafer. This is what enables void-free fill on ultra-thin seed layers, and it is a control capability that can be transferred across products.
- **Wet-process franchise leverage.** Plating does not sell in isolation. It sits between cleaning, bevel etch, CMP/SFP and track steps. ACMR's SAPS/TEBO/Tahoe cleaning franchise, stress-free polish, new KrF track give it an adjacent-selection advantage with the same OSAT and fab buyers.
- **First-mover position in panel-level plating.** FOPLP is one segment that is still in development, yet with a significant penetration rate, because the substrate format changes and wafer-derived tools do not simply scale. ACMR's patented horizontal approach and its first commercial panel tool give it a genuine early position in a market that is being reset.

Expanding product coverage enlarges TAM; long-term target USD4bn+ revenue

Beyond the expertise in cleaning and ECP tools, ACM Research is also expanding its product portfolio into other fields, including furnace (LPCVD, ALD, oxidation), anneal,

PECVD, and track (coating and developing) products. Management expects to expand the SAM (serviceable addressable market) to ~USD22bn (cleaning + ECP + furnace + advanced packaging + track + PECVD). New product qualification milestones are expected to be concentrated in late-2026, including hot Sulfuric Peroxide Mixture (SPM) in volume ramp-up (expect >20 units 2026E); PECVD qualification with revenue expected in 2027E; KrF track full-flow qualification during 2026 with revenue contribution expected in 2027E, and ArF in development; furnace LPCVD/ALD ramping up at multiple China fabs; and PLP ECP evaluation orders converting through 4Q26-1H27.

Fig. 190: ACM Research long-term target SAM and revenue

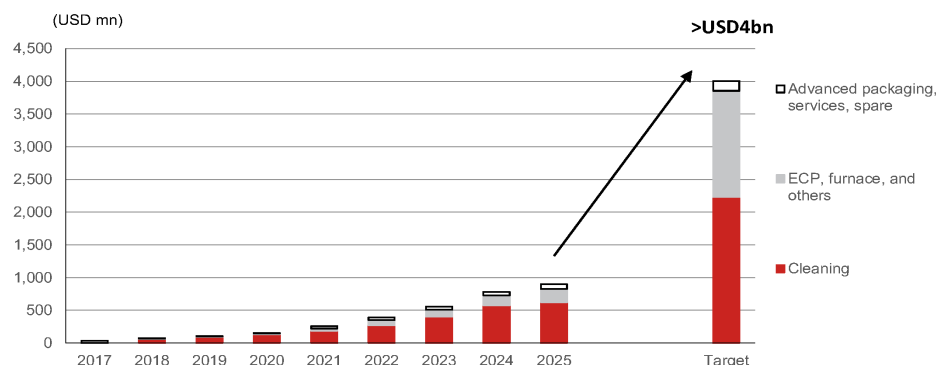
Equipment Category	SAM Global (USD bn)	SAM China (USD bn)	SAM Overseas (USD bn)	Target share Global	Target share China	Target share Overseas	L/T revenue target (USD mn)	L/T revenue target - China (USD mn)	L/T revenue target Overseas (USD mn)
Cleaning	7.4	2.6	4.8	30%	60%	15%	2,233	1,540	693
ECP	1.8	0.6	1.1	30%	60%	51%	533	368	165
Furnace	1.7	0.6	1.1	11%	15%	10%	194	88	106
PECVD	6.2	2.2	4.0	10%	15%	8%	613	314	299
Track	3.5	1.2	2.2	8%	10%	8%	283	115	168
Advanced packaging (ex. ECP)	1.5	0.5	1.0	10%	20%	5%	150	100	50
SAM/revenue subtotal	22.0	7.7	14.2	18%	33%	10%	4,006	2,525	1,481

Source: Company data, Nomura research

Fig. 191: ACM Research's expanding SAM



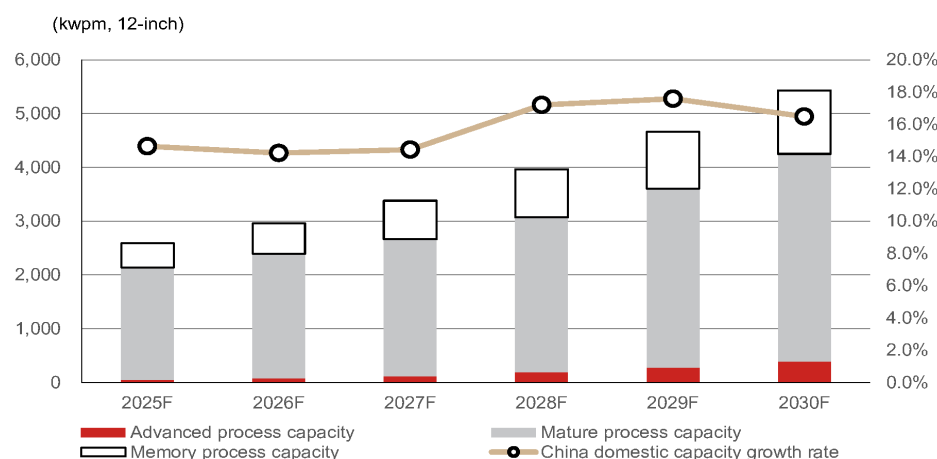
Source: Company data, Nomura research

Fig. 192: ACM Research expects long-term target to be over USD4bn

Source: Company data, Nomura research

We expect aggressive capacity expansion and high fab capex in the years ahead

Our forecasts indicate China's total semiconductor capacity is expected to continue to expand in the next five years, with a CAGR of 16% over 2025-30F. The advanced process could grow at the fastest pace with a CAGR of 48% over 2025-2030F, followed by the memory process at 21%, and the mature process at 13%. The rapid expansion will likely translate into fab capex, and ultimately into wafer fab market revenue.

Fig. 193: China's semiconductor manufacturing capacity forecasts

Source: Nomura estimates

HLMC (unlisted) and SMIC (981 HK, Neutral), two of ACMR's largest customers, are both actively expanding their capacity in the advanced process to fulfill the sizable and surging domestic demand. The two major Chinese memory makers, YMTC and CXMT, also among ACMR's top customers, are also aggressively expanding capacity and advance technology capabilities. These key customers have deep supply-chain bundling with ACMR, and hence represent one of the main drivers of ACMR's growth.

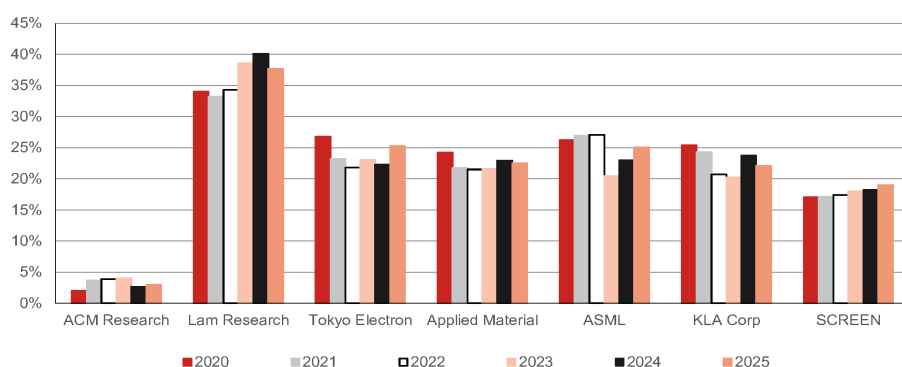
Installed-base stickiness and services

This benefits especially leading players, with significant installed base and customer base. Once a tool is qualified into a fab and running in volume, switching costs are high, as requalification is expensive and process recipes are tightly coupled to the equipment. ACMR's growing installed base therefore generates a recurring stream of spare parts, upgrades, and services. This compounding installed-base dynamic is the same one that has underpinned the decades-long dominance of Applied Materials (AMAT US, Not rated) and Lam Research (LRCX US, Not rated), and is now forming around ACM Research.

With more installed base and customer adoption, service revenues are likely to grow accordingly. Currently, ACMR's revenue percentage is only around 3-4%, far below global peers. Lam Research, a leading global player in etching and deposition, has the highest services & spare parts revenue percentage of 35-40% (company data). Considering

ACMR is now expanding market share and customer base in China, services and spare parts revenues are expected to catch up gradually, in our view.

Fig. 194: Revenue from services and spare parts as a percentage of total



Source: Company data, Nomura research

China's localization push: the most important driver

China is the world's largest WFE market, but its self-sufficiency rate remains low, around 26-27% (and far lower in lithography and ion implanter). Export controls have converted localization from a cost decision into a strategic necessity. Domestic fabs are now actively sourcing and qualifying Chinese tools across every front-end step. As a prominent domestic vendor in cleaning and electroplating, ACMR is a key beneficiary of this trend, in our view.

In terms of localization, there are two layers to consider: (1) an increase in semiconductor device localization rate should drive more domestic capacity expansion, which would further translate into higher WFE TAM; and (2) on top of that, an equipment localization rate increase would further reflect domestic equipment vendor market sales growth and market share gain.

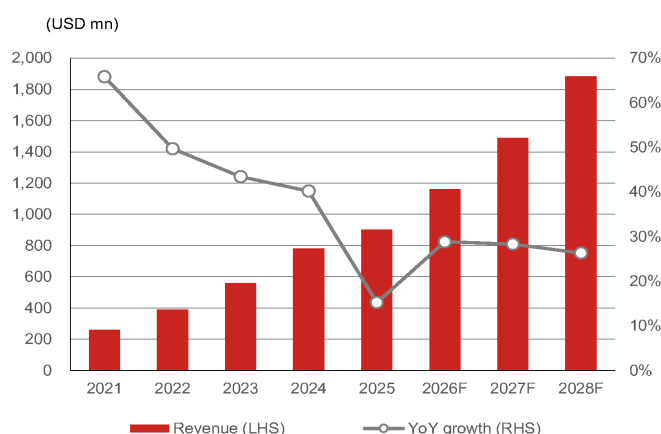
ACMR's market share in China, by our estimate, was around 2.0% in 2025, and we expect this to further increase to 2.1% in 2026F. By our estimates, (1) if ACMR achieves a 4% market share in 2030F, it would have a sales CAGR of ~36% during 2025-30F; (2) if ACMR achieves a 5% market share in 2030F, it would have a sales CAGR of ~42% over 2025-30F. In addition, with more capacity being added, the upside potential should be higher.

Financial analysis and outlook

ACM Research has been in a rapid growth phase since 2017, generating a CAGR of 49% over 2017-25. Cleaning has been the major revenue contributor since the company's inception, with its contribution being over 70% before 2025. The ECP, furnace and other segment has quickly caught up in recent years, with its revenue contribution rising to 22% in 2025, and further to 41% in 1H26.

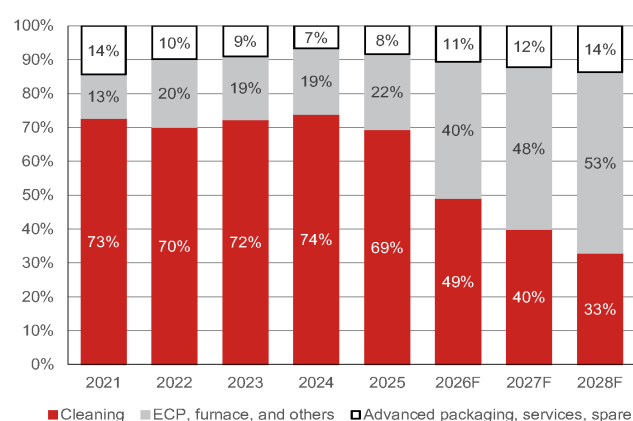
Based on our positive outlook driven by its technology strength in cleaning and ECP and growing demand for advanced packaging, as well as localization push, we expect a revenue CAGR of 27.8% over 2025-28F, likely outperforming China's WFE market. By segment, we forecast the ECP, furnace and others segment to record a 71% CAGR over 2025-28F, and the advanced packaging segment to post a 50% CAGR over 2025-28F. These are driven by domestic memory and foundry capacity expansion as well as technology advancement, new product ramping up, and advanced packaging demand. Given the rising importance of ECP in advanced packaging, and our expectation that new products will contribute revenue from 2027F, we believe the ECP segment's contribution will surpass that of cleaning from 2027F, making it the key revenue driver and contributor.

Fig. 195: ACM Research revenue forecasts



Source: Company data, Nomura estimates

Fig. 196: ACM Research revenue breakdown by segment

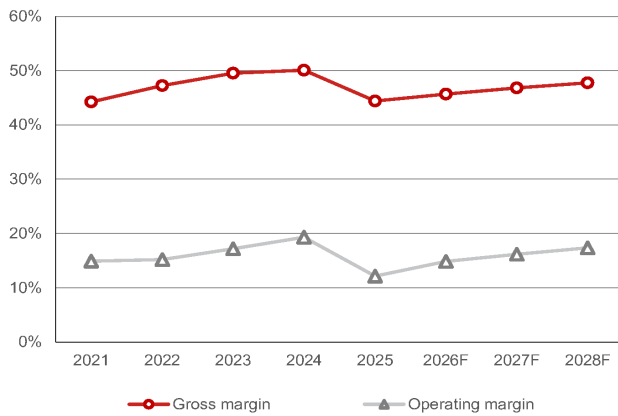


Source: Company data, Nomura estimates

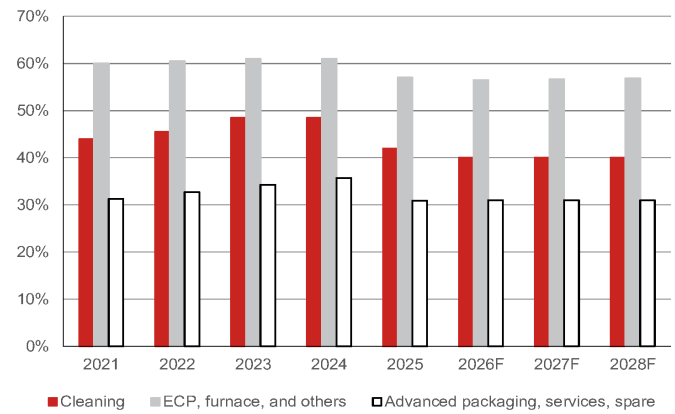
Margins stabilizing; mix improvement to drive margin uptrend

ACM Research's gross margin had been improving until 2024, and moved downward in 2025 (from 50% in 2024 to 44% in 2025), mainly due to (1) cleaning sales slowing down, (2) new products including back-end ECP, furnace, wet process in advanced packaging revenue recognition, whose margins are generally lower at the beginning stage, and (3) an inventory impairment of USD15.5mn (vs USD2.8mn in 2024, impacted GPM by ~1.5pp). Group gross margin has remained above 45% since 2017 (except for 2025). With sales increase and a more stable market environment, we forecast corporate gross margin to increase to 45.7% in 2026F, and then keep increasing to 47.7% in 2028F. The ECP segment usually enjoys the highest margin of around 55-60%, followed by the cleaning segment.

R&D expense has been the largest component of the company's operating expenses. ACM Research's R&D expense ratio (as a percentage of revenue) rose from 13.5% in 2024 to 16.1% in 2025, which we believe was due to new products. To maintain technology strength and keep expanding market share, we expect R&D expense to continue to increase, with the R&D expense ratio sustaining around 16%. We expect ACM Research's operating profit margin to return to over 17% level in 2028F, aided by GPM recovery and sales increase.

Fig. 197: ACM Research gross margins and operating margins

Source: Company data, Nomura estimates

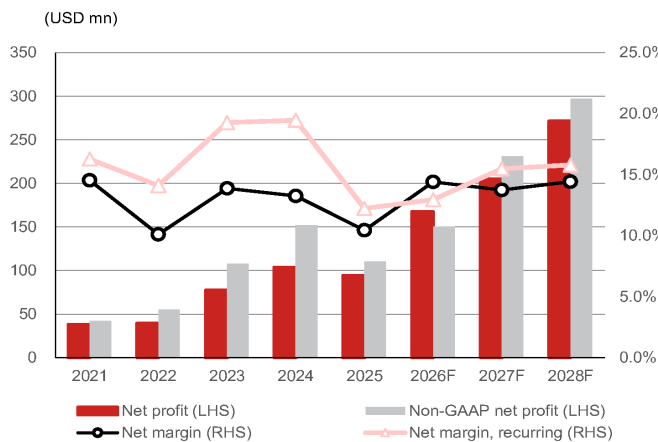
Fig. 198: ACM Research gross margin by segment

Source: Company data, Nomura estimates

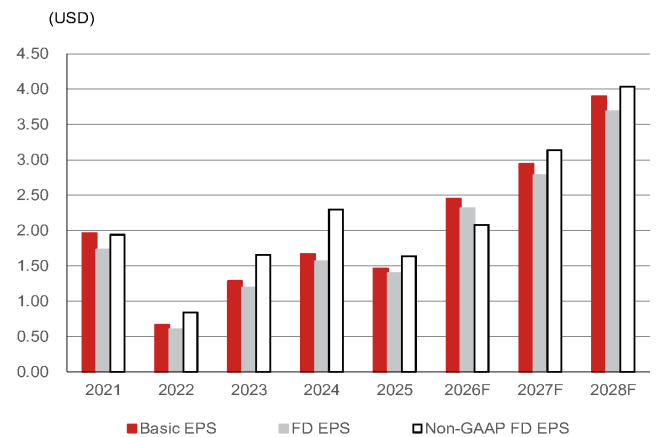
Net profit and EPS

ACM Research's net profit attributable to shareholders (net profit, or NP) was USD94mn in 2025, representing a 9% decline from 2024 (USD104mn), due to the aforementioned GPM and OPM contraction. Net profit margin was 13.2% in 2024 and 10.4% in 2025. We expect its net profit margin to be back to 14.4% in 2026F mainly due to sales growth, and margin improvement. On a non-GAAP basis, we expect non-GAAP net margin to be 12.9% in 2026F (vs 19.5%/12.2% in 2024/2025). With sales growth and gross margin trending up, we forecast its non-GAAP net margin to improve gradually, reaching 15.8% in 2028F.

Basic and diluted EPS of the company was USD1.47 and USD1.40 in 2025 (basic and diluted weighted average share number of 64mn and 67mn, dilution effect around ~5%).

Fig. 199: ACM Research net profit and net margin

Source: Company data, Nomura estimates

Fig. 200: ACM Research basic EPS and diluted EPS

Source: Company data, Nomura estimates

Our forecasts for revenue are largely in line with Bloomberg consensus estimates, and our forecast for net income in 2026F is lower than consensus, as we expect more R&D expenses as ACMR continues to launch and qualify new products. That being said, both net income and non-GAAP net income have been seeing significant growth.

Fig. 201: Financial forecast – Nomura versus consensus

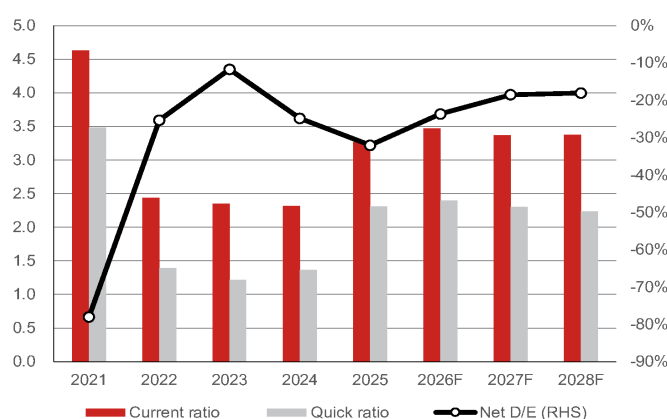
(USD mn)	2026F	2027F	2028F
Revenue - Nomura est	1,161	1,490	1,883
Revenue - consensus	1,171	1,515	1,892
Revenue - diff	-0.8%	-1.6%	-0.5%
Gross margin - Nomura est	45.7%	46.8%	47.7%
Gross margin - consensus	45.6%	46.0%	46.1%
Gross margin - diff	0.0%	0.8%	1.6%
Operating profit - Nomura est	172	241	326
Operating profit - consensus	190	264	353
Operating profit - diff	-9.1%	-8.8%	-7.6%
Net income - Nomura est	167	205	271
Net income - consensus	184	207	281
Net income - diff	-8.9%	-0.9%	-3.4%
Net income, non-GAAP - Nomura est	150	231	297
Net income, non-GAAP - consensus	151	212	278
Net income, non-GAAP - diff	-0.6%	8.9%	7.2%

Source: Bloomberg Finance L.P., Nomura estimates

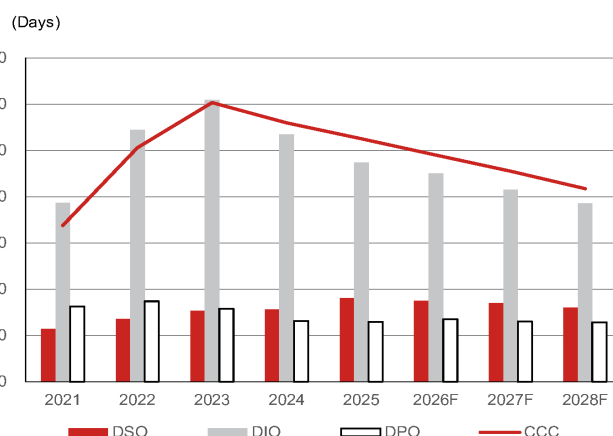
Balance sheet: healthy financial position

ACM Research's net debt-to-equity ratio has remained under 0% over the past five years, but saw a significant increase in 2022 due to a decrease in cash resulting from an investment in the Lingang production base. We expect no further debt raise by the company, and the net debt-to-equity ratio to remain below -20% over 2026-28F. In terms of liquidity, historically, the current ratio for ACMR has been above 2.0, while the quick ratio has been above 1.0 – this suggests stable liquidity and stable current financial position.

Inventory days (DIO) has been at a very high level (over 400 days), resulting in a positive and high cash conversion cycle (CCC). It is fairly normal in the semiconductor equipment industry that DIO is usually very high because equipment takes a long time to manufacture and assemble before revenue can be recognized, necessitating an advance stockpile of components and parts. The DIO has been declining since 2023, meaning normalized inventory delivery and increase in orders.

Fig. 202: ACM Research liquidity and solvency ratios

Source: Company data, Nomura estimates

Fig. 203: ACM Research working capital days

Source: Company data, Nomura estimates

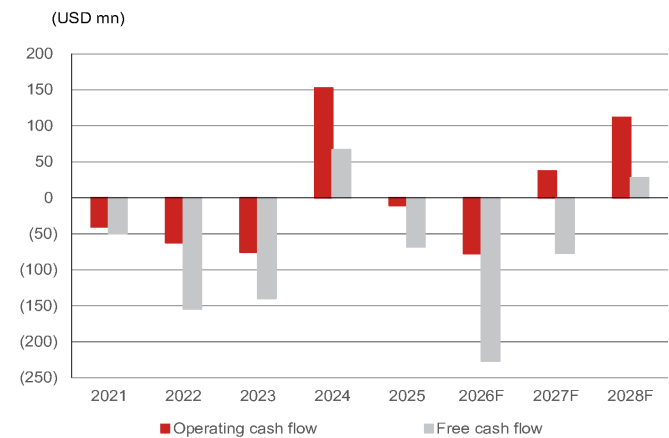
Cash flow to improve with normalized working capital days and profit growth

Operating cash flow was mostly negative over the past five years except for 2024, when an advance from a customer surged due to pre-orders. We expect operating cash flow to turn positive from 2027F helped by profit growth and normalized working capital days.

The capex ratio peaked in 2022 due to the PP&E investment in the Shanghai Lingang factory. We expect 2026F to experience increased capex and capital intensity mainly due to a building purchase in Shanghai in 1H26 (1H26 capex +172% y-y, capital intensity

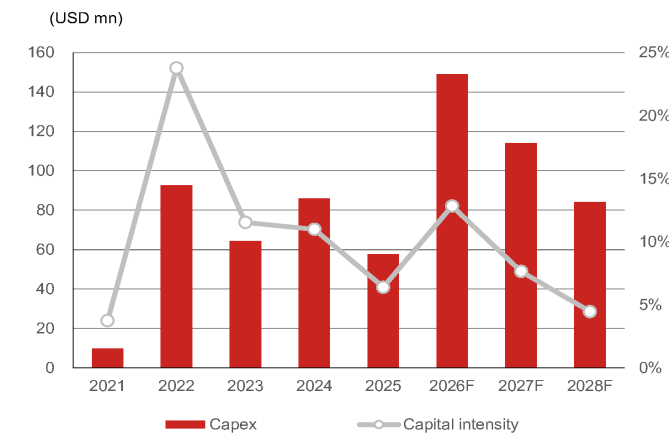
17%). With market share gain as the primary goal, we expect the company's capital intensity to be ~8% in 2027F, and then come down to ~5% in 2028F.

Fig. 204: ACM Research operating and free cash flow



Source: Company data, Nomura estimates

Fig. 205: ACM Research capex and capital intensity



Source: Company data, Nomura estimates

Valuation of ACM Research: at a discount to peers; deserves a re-rating

Being a manufacturing company, sales and profit are the ones driving ACMR's valuation. P/E is normally used for these kinds of companies. However, China equipment vendors, including ACM Research, are now in a fast expansion stage, with sales growth and market share gain being the key focus areas. Therefore, we think a sales-related valuation multiple should be more suitable for their valuation.

We choose EV/sales as our major valuation multiple to value Chinese SPE companies, mainly considering: (1) Chinese vendors are at mid-ramp, high-R&D phases whose profits are depressed by heavy investment and one-off items, so earnings multiples overstate their relative value; and (2) Chinese players are now at sales expansion and market share driven stages, where sales growth and market share gains are the main focus for them, especially with the localization story.

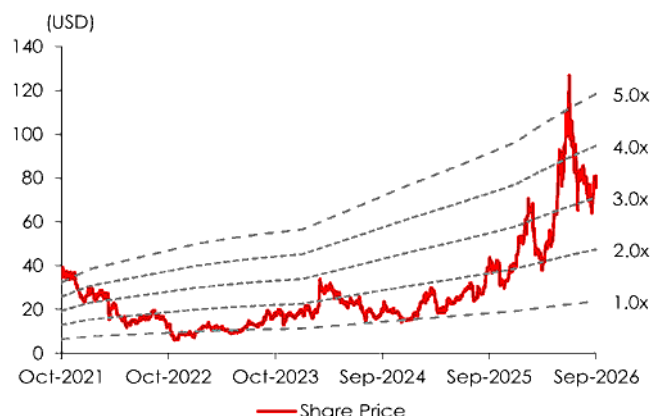
Historically, over the past five-year period, ACM Research largely traded at 0.3-7.6x forward EV/sales (average 2.1x), with the valuation being the highest in 2021, when the chipset shortage story dominated the China A-share market, and most semiconductor-related companies traded at peak levels. After de-rating, over the recent three-year period, ACM Research largely traded at 1-6x forward EV/sales, with the average multiple of 2.0x being at a discount to domestic peers.

Fig. 206: ACM Research 5-year-forward EV/sales trend



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 207: ACM Research 5-year-forward EV/sales band



Source: Bloomberg Finance L.P., Nomura estimates

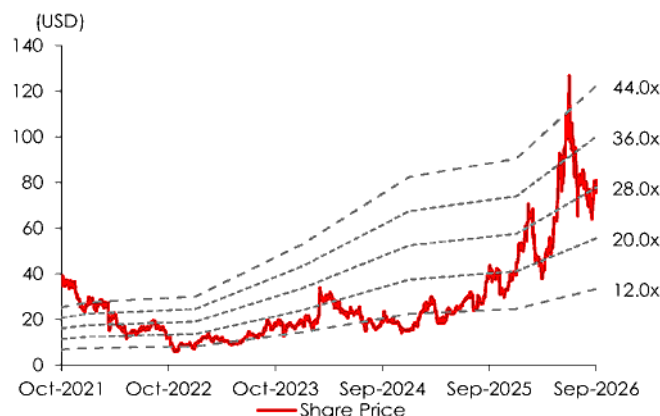
P/E multiples tend to be more volatile than EV/sales. During the past five years, ACM Research's forward P/E was in the 8-68x range, with the average multiple being 21x. Volatility was significant, with the average being -2SD below 0. This is another reason we have chosen EV/sales as our main valuation method.

Fig. 208: ACM Research 5-year-forward P/E trend



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 209: ACM Research 5-year-forward P/E band

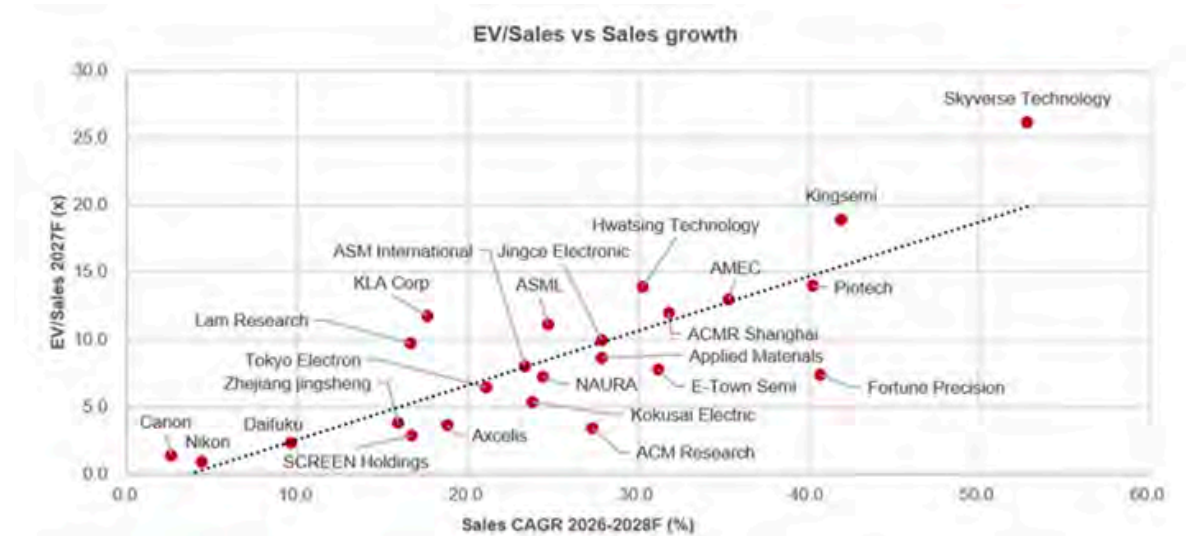


Source: Bloomberg Finance L.P., Nomura estimates

EV/sales is a capital-structure neutral measure (EV includes net debt, so it is comparable across different leverage and tax regimes), and is less affected by depreciation, amortization and R&D capitalization policy. For cross-market, cross-lifecycle comparison of hardware companies, EV/sales is a clean proxy, in our view. But its limitation is equally clear: it says nothing about profitability, so it should always be read alongside margin and revenue growth.

China equipment vendors generally trade at higher valuations than global peers. On an EV/sales basis, leading global equipment vendors trade at 2-10x 2027F EV/sales with an average of 5.7x, while domestic players largely trade at 6-30x with an average of 14.5x. We think the main reason for the premium is: (1) stronger sales and earnings growth, especially in the China market, given their market share gains; (2) the localization story driving stronger sentiment.

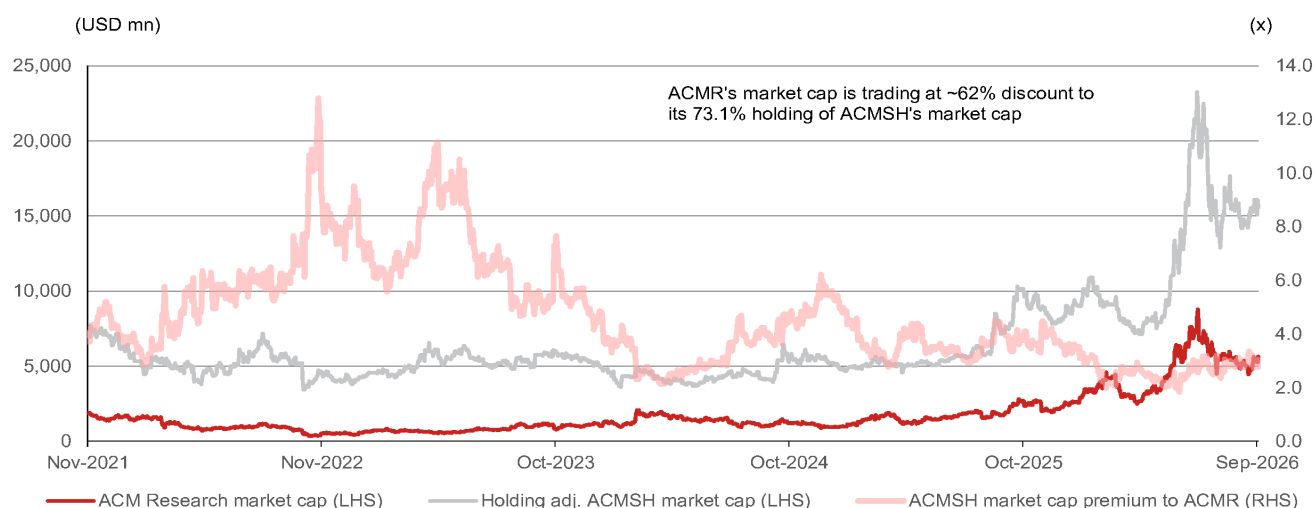
Fig. 210: EV/sales vs revenue growth rate of global major equipment vendors



Source: Bloomberg Finance L.P., Nomura estimates

However, ACM Research has been trading at a discount (30-50%) to local peers because of its US NASDAQ listing. We believe ACM Research deserves a higher valuation given that (1) we expect the company's sales growth rate to be higher than the industry average; (2) the company has the top-level cleaning and ECP equipment among domestic vendors, with prominent domestic market shares; and (3) China's memory and advanced process fab capacity expansion, as well as rising demand for advanced packaging, which needs more cleaning and ECP tools.

In addition, compared with its subsidiary, ACM Shanghai (ACMSH, 688082 CH), ACMR has traded at a valuation discount. ACM Shanghai's A-share market cap was ~USD130bn, of which ACMR's 73.1% stake is worth ~CNY95bn, equivalent to ~USD14bn. ACMR's own market cap of ~USD5.4bn therefore covers only ~38% of its stake, implying holding company discount of ~62%.

Fig. 211: ACM Research market cap vs ACMSH market cap (holding adjusted) since ACMSH IPO

Note: ACMSH market cap premium to ACMR defined as ACMSH market cap (holding adjusted) divided by ACMR market cap
 Source: Bloomberg Finance L.P., Nomura research

We resume coverage of ACM Research with a **Buy rating**. Our target price of **USD118.00** is based on a target multiple of 6.0x forward EV/sales, and our forecast of USD1.5bn 2027F total revenue.

Fig. 212: ACM Research – Valuation and target price**Valuation table**

Target EV/sales	6.0 x	We use 6.0x EV/sales as our target multiple, based on: (1) ACMR is trading at NASDAQ, which results in a valuation discount to peers and its Shanghai subsidiary; (2) EV/sales relevance with sales CAGR and our forecast for revenue; (3) valuation gap between ACMR and its Shanghai subsidiary is narrowing, creating re-rating opportunity for ACMR; (4) we forecast ACMR's sales revenue to outperform the industry growth;
Valuation base	2027F	
Revenue in 2027F (USD mn)	1,490	
Enterprise value (USD mn)	8,890	
Nett debt in 2027F (USD mn)	(409)	
Minority in 2027F (USD mn)	611	
Equity value (USD mn)	8,688	
Wtd avg diluted shares in 2027F (mn)	74	
Target price (USD)	118.00	

Source: Nomura estimates

Financial statements

Fig. 213: ACM Research – Income statement forecasts

FYE 31 Dec (USD mn)	2023	2024	2025	2026F	2027F	2028F	1Q26	2Q26	3Q26F	4Q26F
Income Statement										
Revenue	558	782	901	1,161	1,490	1,883	231	293	323	314
COGS	(282)	(391)	(501)	(631)	(792)	(984)	(124)	(158)	(176)	(173)
Gross profit	276	392	400	531	698	899	107	135	147	141
Opex	(180)	(241)	(291)	(358)	(457)	(572)	(71)	(85)	(102)	(101)
S&M expense	(47)	(65)	(77)	(99)	(126)	(158)	(21)	(24)	(27)	(27)
R&D expense	(93)	(105)	(145)	(186)	(237)	(297)	(37)	(42)	(53)	(54)
Admin expense	(41)	(70)	(69)	(74)	(94)	(117)	(14)	(19)	(21)	(20)
Other op expenses	-	-	-	-	-	-	-	-	-	-
Operating profit	96	151	109	172	241	326	36	50	46	41
Interest income	8	10	15	25	25	25	5	7	7	7
Interest expense	(3)	(4)	(7)	(8)	(8)	(8)	(2)	(2)	(2)	(2)
Investment income	6	3	18	80	50	45	(1)	70	6	6
Equity method investment income	10	0	10	40	45	50	2	21	9	9
Other expenses, net	(2)	6	(10)	(30)	(20)	(20)	(9)	(10)	(5)	(5)
Pretax income	116	166	135	279	333	418	30	136	59	54
Income tax	(19)	(35)	(13)	(42)	(53)	(67)	(4)	(13)	(9)	(16)
Minority interests	(20)	(28)	(28)	(70)	(75)	(80)	(9)	(33)	(14)	(14)
Net profit (attr. to SH)	77	104	94	167	205	271	17	89	36	25
Basic EPS (CNY)	1.29	1.67	1.47	2.45	2.94	3.90	0.26	1.31	0.52	0.35
Diluted EPS (CNY)	1.19	1.56	1.40	2.32	2.78	3.69	0.25	1.24	0.49	0.33
Non-GAAP net profit (attr. to SH)	107	152	110	150	231	297	24	45	47	35
Non-GAAP FD EPS (CNY)	1.66	2.30	1.64	2.08	3.13	4.04	0.35	0.62	0.63	0.47
YoY Growth (%)										
Revenue	43.4	40.2	15.2	28.9	28.3	26.3	34.2	36.0	20.1	28.5
Gross profit	50.4	41.8	2.2	32.6	31.5	28.8	29.9	28.9	30.2	41.4
Operating profit (core)	62.3	57.6	(27.5)	57.4	40.0	35.4	40.3	56.9	57.6	76.8
Net profit (attr. to SH)	97.0	34.0	(9.2)	77.9	22.4	32.5	(15.1)	199.0	1.4	206.3
Diluted EPS	98.4	31.2	(10.7)	65.8	20.0	32.5	(18.5)	180.8	(5.8)	180.0
Non-GAAP net profit (attr. to SH)	95.9	41.7	(27.6)	36.4	53.5	28.9	(22.2)	19.3	88.0	107.5
Non-GAAP FD EPS	97.3	38.8	(28.8)	27.1	50.6	28.9	(25.3)	12.0	74.6	89.6
Margins (%)										
Gross margin	49.5	50.1	44.4	45.7	46.8	47.7	46.4	46.0	45.6	45.0
Opex	32.3	30.8	32.2	30.9	30.7	30.4	30.7	29.0	31.5	32.0
Operating margin (core)	17.2	19.3	12.1	14.8	16.2	17.3	15.6	17.0	14.1	13.0
Pretax margin	20.8	21.3	15.0	24.0	22.3	22.2	13.0	46.3	18.3	17.3
Net margin	13.9	13.2	10.4	14.4	13.7	14.4	7.5	30.4	11.3	7.8
Non-GAAP net margin	19.3	19.5	12.2	12.9	15.5	15.8	10.5	15.2	14.4	11.1
Segment revenue										
Cleaning	404	579	626	571	596	621	122	133	160	156
YoY Growth (%)	48.0	43.3	8.1	(8.7)	4.4	4.1	(5.5)	(14.2)	(12.0)	(2.3)
Percentage of total (%)	72	74	69	49	40	33	53	45	49	50
ECP, furnace, and others	103	151	200	467	712	1,005	84	129	129	125
YoY Growth (%)	33.4	46.2	32.1	134.0	52.4	41.1	204.9	167.7	115.0	95.8
Percentage of total (%)	19	19	22	40	48	53	36	44	40	40
Advanced packaging, services, spare	51	52	76	123	182	258	25	31	35	33
YoY Growth (%)	31.5	3.3	45.3	62.5	48.0	41.3	62.0	153.3	25.0	58.8
Percentage of total (%)	9	7	8	11	12	14	11	11	11	10

Source: Company data, Nomura estimates

Fig. 214: ACM Research – Balance sheet forecasts

FYE 31 Dec (CNY m)	2023	2024	2025	2026F	2027F	2028F
Cash and cash equivalent	182	407	757	732	674	713
Restricted cash	1	4	9	21	23	25
S/T time deposits	81	17	367	403	423	445
S/T investments	21	19	36	107	113	118
Account receivable, net	283	387	504	609	779	872
Other receivables	40	42	49	70	74	77
Inventory, net	545	598	703	853	949	1,127
Prepaid expenses and other current	22	9	13	18	20	22
Current assets	1,176	1,483	2,437	2,815	3,055	3,399
PP&E - net	202	269	315	439	521	567
Right-of-use assets	8	14	18	23	28	33
Intangible assets	3	3	3	4	5	6
L/T investments	28	37	66	106	151	201
Other L/T assets	74	49	34	39	45	52
Total non-current assets	315	372	436	611	750	860
Total assets	1,491	1,856	2,872	3,427	3,805	4,259
S/T Borrowing	31	33	74	74	74	74
Current portion of L/T borrowings	7	44	35	35	35	35
Account payables	142	139	215	251	313	377
Advanced from customers	181	244	188	197	207	217
Deferred revenue	4	9	17	18	19	20
Other payables and accrued expenses	103	122	150	165	182	200
Other current liabilities	33	51	66	70	76	83
Total current liabilities	501	641	746	812	907	1,007
L/T Borrowing	54	106	179	179	179	179
Bonds payable	-	-	-	-	-	-
L/T Lease liabilities	4	4	5	8	9	11
Other non-current liabilities	6	9	12	14	16	17
Total non-current liabilities	64	119	196	201	204	207
Total liabilities	565	760	942	1,013	1,111	1,214
Common stock - Class A	0	0	0	0	0	0
Common stock - Class B	0	0	0	0	0	0
Additional paid-in capital	630	677	1,116	1,362	1,362	1,362
Retained earnings	157	260	350	501	685	930
Statutory surplus reserves	30	31	34	51	71	99
Other capital adjustments	(49)	(63)	(36)	(36)	(36)	(36)
Equity attributable to ACMR	767	905	1,464	1,878	2,083	2,354
Minority interests	159	191	466	536	611	691
Total equity	926	1,096	1,931	2,414	2,694	3,045
Total equity and liabilities	1,491	1,856	2,872	3,427	3,805	4,259

Source: Company data, Nomura estimates

Fig. 215: ACM Research – Cash flow statement forecasts

FYE 31 Dec (USD mn)	2023	2024	2025	2026F	2027F	2028F
Net income	97	131	122	237	280	351
D&A expenses	8	10	16	24	31	37
Depreciation	7	7	14	21	28	33
Amortization	1	3	2	3	3	3
Equity method investment income (-)	(10)	(0)	(10)	(40)	(45)	(50)
Investment gains (-)	(6)	(3)	(18)	(80)	(50)	(45)
Inventory provision	3	14	15	20	20	20
Deferred income taxes	(14)	5	(14)	(4)	(5)	(6)
Share-based compensation	27	50	34	35	35	35
Account receivables - decrease	(109)	(123)	(116)	(105)	(169)	(93)
Inventory - decrease	(164)	(64)	(108)	(150)	(96)	(178)
Account payables - increase	42	1	68	36	62	64
Advances from customers - increase	30	67	(61)	9	10	10
Others	20	65	62	(59)	(35)	(33)
Net cash flows from operating activities	(75)	152	(10)	(78)	37	112
Capex - total	(64)	(86)	(58)	(149)	(114)	(84)
Purchase of PP&E	(62)	(82)	(56)	(145)	(110)	(80)
Purchase of Intangible assets	(2)	(3)	(1)	(4)	(4)	(4)
investments related - net	4	(18)	2	8	45	39
Time deposits related	30	67	(61)	(37)	(20)	(21)
Others	24	25	(273)	(6)	(6)	(6)
Net cash flows from Investing activities	(7)	(12)	(390)	(183)	(96)	(72)
Share issuance	-	-	-	-	-	-
Debt raised (repaid)	16	88	99	-	-	-
Sales (repurchase) of ACMSH shares	-	-	(7)	110	-	-
Proceeds from exercise of stock options	6	11	35	50	50	50
Dividend paid, ACMR	-	-	-	-	-	-
Repurchase	-	-	-	-	-	-
Others	(4)	(7)	616	89	(49)	(48)
Net cash flows from financing activities	19	92	742	249	1	2
Effect of FX	(2)	(5)	13	-	-	-
Net cash flows	(65)	228	355	(12)	(57)	41
Cash, equivalents, restricted cash - beg	248	183	411	766	754	697
Cash, equivalents, restricted cash - end	183	411	766	754	697	738
Free cash flow (FCF)	(140)	67	(68)	(227)	(77)	28

Source: Company data, Nomura estimates

Key risks

China concentration. Over 99% of 2025 revenue is from China. Export-control escalation is a double-edged knife: it accelerates domestic localization (demand-positive) but can constrain component/tool supply (supply-negative), particularly for advanced logic nodes.

Cleaning softness and the intensity. Cleaning revenue fell ~10% y-y in 1H26 after the 2025 SPM batch issues. A recovery depends on SPM repeat orders and 2H26 acceptance timing. Cleaning market competition may heat up, which could potentially hurt ASP and margin.

China WFE market growth and memory capex timing. Most of the revenue is currently coming from Chinese fabs and memory makers' capacity expansion. If Chinese memory makers' capex or Chinese foundry capex pauses rather than steps up, a memory backlog will become a liability for most equipment suppliers. Furthermore, stricter sanctions from the US may further slow down the pace of capacity expansion in China, which could negatively impact the sales outlooks of equipment vendors.

Restrictions from US control could impact overseas expansion. Despite lower than 1% revenue contribution from overseas, markets outside China are still included in the long-term target, with a target overseas market share of 10%. But if US restricts foundries or IDMs from doing business with Chinese players, it could impact the company's overseas expansion plan.

Technology strength and R&D. Leading-edge deposition demands high performance in uniformity and precision, which requires a significant amount of R&D expenditure to maintain strength and keep the moats. Failure to do so could potentially cause market share loss and margin contraction.

New-platform execution. Track, PECVD and PLP remain in qualification. Target SAM and long-term revenue will highly depend on the new product execution and qualification.

Hold discount and dilution. Ownership of ACMSH has been diluted from 100% (2019) to 73.12% (2026), an H-share issuance plan of ACMSH (~10-15% of expanded capital) would dilute it further.

EQUITY: TECHNOLOGY

China's semiconductor equipment platform player

High sales growth certainty with market share gain; expanding product offerings; resume coverage with Buy

Resuming coverage on NAURA with Buy rating and target price of CNY900.00.

We resume coverage of NAURA with a Buy rating. Our target price of CNY900.00 is based on a 10.5x forward EV/Sales multiple and 2027F revenue forecast of CNY61.7bn. Our multiple is close to 1SD above its 5-year average as we think it deserves a higher valuation given its higher-than-industry sales growth. We see NAURA as the most direct beneficiary of China's semiconductor localization trend, with market share gains ahead. Driven by a strong customer base, install-base stickiness, and new market entry, we forecast a ~25% revenue CAGR in 2025-2028F, reaching ~CNY76.6bn in 2028F, and a net profit CAGR of ~33% in 2025-2028F helped by sales growth and margin improvement (more advanced tools, new products). Key risks include less aggressive wafer fab capacity expansion in China, slower market share gain, intensified competition, and easing of equipment export control from the US, Japan, and the Netherlands.

A dominant company gaining market share; product offerings expanding

NAURA covers etch, deposition (PVD, CVD, ALD, epi, ECP), heat treatment, cleaning, ion implantation, track, and bonding equipment – it has the most comprehensive product offerings in China. Currently, it has ~11-12% market share in the China WFE market (we estimate), with a higher market share in PVD (>40%), etching (No.1 in ICP), heat treatment (>45%) and stripping (~30%). It is also actively expanding product categories, entering into ion implantation market, hybrid bonding market, and track (coating/developing, by acquiring Kingsemi [688037 CH, Not rated]). We estimate these new markets to lift NAURA's addressable market by ~13% in 2026F.

Strong customer base; technology advancement and install-base stickiness the key moats; key beneficiary of localization rate increasing

NAURA's customers include major domestic foundries, memory makers, and IDMs such as SMIC (981 HK, Neutral), YMTC (unlisted), CXMT (688825 CH, Buy), Hua Hong Grace (1347 HK, Neutral), HLMC (unlisted), etc. We view its strong customer base, install-base stickiness and related service & parts revenue potentials as key moats. NAURA has also done well in advanced process nodes. Most of its products can be deployed in production lines up to 28nm, and some products have become baseline tools in leading domestic 14nm lines, according to management. We believe sales from advanced processes (including advanced logic 14nm & below, and memory) accounted for 60-70% of sales from integrated circuits in 2025F vs below 50% in 2024. We believe equipment localization rate in China is now 26-27%, and we see more upside as domestic equipment purchases at some new fabs already exceeded 40%, and NAURA is a key beneficiary, in our view.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	39,353	0	49,524	0	61,657	0	76,644	
Reported net profit (mn)	5,522	0	7,509	0	10,448	0	13,768	
Normalised net profit (mn)	5,522	0	7,509	0	10,448	0	13,768	
FD normalised EPS	7.64		10.36		14.41		18.99	
FD norm. EPS growth (%)	-2.4		35.6		39.1		31.8	
FD normalised P/E (x)	80.6	–	59.5	–	42.7	–	32.4	
EV/EBITDA (x)	68.0	–	48.9	–	34.2	–	25.4	
Price/book (x)	11.8	–	10.0	–	8.2	–	6.7	
Dividend yield (%)	0.1	–	0.2	–	0.2	–	0.3	
ROE (%)	16.1		18.2		21.1		22.7	
Net debt/equity (%)	net cash		net cash		net cash		net cash	

Source: Company data, Nomura estimates

Rating From Suspended **Buy**

Target price From N/A **CNY 900.00**

Closing price 30 September 2026 **CNY 615.97**

Implied upside **+46.1%**

Market Cap (USD mn) 66,672.0

ADT (USD mn) 1,115.5

Relative performance chart



Source: LSEG, Nomura

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Key data on NAURA Technology

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-12.0	-30.4	36.2	M cap (USDmn)	66,672.0
Absolute (USD)	-11.8	-29.5	44.6	Free float (%)	49.0
Rel to CSI 300	-6.2	-17.9	42.3	3-mth ADT (USDmn)	1,115.5

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	30,075	39,353	49,524	61,657	76,644
Cost of goods sold	-17,162	-23,571	-29,293	-35,167	-43,220
Gross profit	12,913	15,782	20,231	26,490	33,425
SG&A	-7,143	-10,742	-13,198	-15,969	-19,084
Employee share expense					
Operating profit	5,770	5,040	7,033	10,521	14,340
EBITDA	6,841	6,607	9,122	12,952	17,087
Depreciation	-379	-505	-558	-600	-642
Amortisation	-692	-1,062	-1,532	-1,831	-2,105
EBIT	5,770	5,040	7,033	10,521	14,340
Net interest expense	-63	-229	-200	-180	-165
Associates & JCEs	2	-1	36	0	0
Other income	824	1,034	1,181	1,102	1,012
Earnings before tax	6,533	5,845	8,050	11,443	15,187
Income tax	-819	-436	-741	-1,144	-1,519
Net profit after tax	5,714	5,409	7,309	10,298	13,668
Minority interests	-92	113	200	150	100
Other items					
Preferred dividends					
Normalised NPAT	5,622	5,522	7,509	10,448	13,768
Extraordinary items					
Reported NPAT	5,622	5,522	7,509	10,448	13,768
Dividends	-567	-552	-751	-1,045	-1,377
Transfer to reserves	5,055	4,970	6,758	9,404	12,392

Valuations and ratios

Reported P/E (x)	78.6	80.6	59.4	42.7	32.4
Normalised P/E (x)	78.6	80.6	59.4	42.7	32.4
FD normalised P/E (x)	78.7	80.6	59.5	42.7	32.4
Dividend yield (%)	0.2	0.1	0.2	0.2	0.3
Price/cashflow (x)	285.1	208.7	76.0	41.0	31.3
Price/book (x)	10.6	11.8	10.0	8.2	6.7
EV/EBITDA (x)	64.3	68.0	48.9	34.2	25.4
EV/EBIT (x)	76.2	89.2	63.4	42.1	30.3
Gross margin (%)	42.9	40.1	40.9	43.0	43.6
EBITDA margin (%)	22.7	16.8	18.4	21.0	22.3
EBIT margin (%)	19.2	12.8	14.2	17.1	18.7
Net margin (%)	18.7	14.0	15.2	16.9	18.0
Effective tax rate (%)	12.5	7.5	9.2	10.0	10.0
Dividend payout (%)	10.1	10.0	10.0	10.0	10.0
ROE (%)	20.3	16.1	18.2	21.1	22.7
ROA (pretax %)	12.1	8.0	9.0	12.0	14.5

Growth (%)

Revenue	34.2	30.9	25.8	24.5	24.3
EBITDA	146.1	-3.4	38.1	42.0	31.9
Normalised EPS	93.9	-2.4	35.6	39.1	31.8
Normalised FDEPS	94.4	-2.4	35.6	39.1	31.8

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	6,841	6,607	9,122	12,952	17,087
Change in working capital	-4,952	-8,501	-10,389	-7,025	-17,910
Other operating cashflow	-337	4,027	7,144	4,952	15,078
Cashflow from operations	1,552	2,133	5,877	10,879	14,254
Capital expenditure	-2,082	-2,262	-2,300	-2,420	-2,550
Free cashflow	-530	-128	3,577	8,459	11,704
Reduction in investments	-166	-495	-52	-38	-40
Net acquisitions	-6	-2,017	0	0	0
Dec in other LT assets	-977	-716	140	-186	-441
Inc in other LT liabilities	0	645	303	318	333
Adjustments	984	915	-2,406	-2,122	-1,922
CF after investing acts	-696	-1,795	1,562	6,430	9,635
Cash dividends	-414	-567	-552	-751	-1,045
Equity issue	438	473	0	0	0
Debt issue	133	7,156	-2,531	-2,502	-2,482
Convertible debt issue					
Others	577	-469	-193	-173	-158
CF from financial acts	734	6,593	-3,276	-3,426	-3,684
Net cashflow	38	4,798	-1,714	3,004	5,951
Beginning cash	12,347	12,385	17,183	15,469	18,473
Ending cash	12,385	17,183	15,469	18,473	24,424
Ending net debt	-8,345	-3,891	-4,708	-10,214	-18,647

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	12,385	17,183	15,469	18,473	24,424
Marketable securities	0	42	46	51	56
Accounts receivable	6,236	8,217	9,422	10,849	12,249
Inventories	23,635	28,627	35,576	39,576	49,232
Other current assets	4,414	5,252	5,956	6,743	7,698
Total current assets	46,669	59,321	66,469	75,692	93,659
LT investments	332	986	1,054	1,087	1,122
Fixed assets	6,314	7,568	8,283	8,864	9,365
Goodwill	38	2,386	2,386	2,386	2,386
Other intangible assets	4,710	10,520	12,181	13,457	14,417
Other LT assets	8,302	9,019	8,878	9,065	9,506
Total assets	66,366	89,801	99,251	110,553	130,455
Short-term debt	94	319	223	156	109
Accounts payable	10,276	11,803	14,039	15,637	22,491
Other current liabilities	13,435	14,058	16,744	19,084	21,657
Total current liabilities	23,805	26,180	31,006	34,878	44,258
Long-term debt	3,946	12,973	10,538	8,103	5,668
Convertible debt					
Other LT liabilities	6,075	6,720	7,023	7,340	7,674
Total liabilities	33,826	45,873	48,567	50,321	57,599
Minority interest	1,458	6,202	6,002	5,852	5,752
Preferred stock					
Common stock	534	725	725	725	725
Retained earnings	13,895	18,802	25,608	35,097	47,545
Proposed dividends					
Other equity and reserves	16,653	18,200	18,350	18,559	18,834
Total shareholders' equity	31,082	37,726	44,683	54,380	67,104
Total equity & liabilities	66,366	89,801	99,251	110,553	130,455

Liquidity (x)

Current ratio	1.96	2.27	2.14	2.17	2.12
Interest cover	92.0	22.0	35.2	58.4	86.9

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	7.83	7.64	10.37	14.42	19.01
Norm EPS (CNY)	7.83	7.64	10.37	14.42	19.01
FD norm EPS (CNY)	7.83	7.64	10.36	14.41	18.99
BVPS (CNY)	58.25	52.06	61.66	75.05	92.61
DPS (CNY)	1.06	0.76	1.04	1.44	1.90

Activity (days)

Days receivable	60.7	67.0	65.0	60.0	55.2
Days inventory	432.0	404.6	400.0	390.0	376.0
Days payable	109.5	171.0	161.0	154.0	161.4
Cash cycle	383.3	300.7	304.0	296.0	269.7

Source: Company data, Nomura estimates

Company profile

NAURA Technology Group (NAURA, 002371 CH), founded in 2001, is the strong domestic supplier of semiconductor process equipment in China with the most comprehensive product offerings covering almost all front-end fab equipment types except for lithography and process control. Products include equipment for etching (CCP, ICP), deposition (PVD, CVD, ALD, Epi), heat treatment (oxidation, diffusion, RTP), cleaning, plus fast-expanding footprint in ion implantation, coating/developing, and bonding tools.

Valuation Methodology

Our target price of CNY900.00 is based on 10.5x forward EV/Sales multiple, and our 2027F revenue forecasts. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for NAURA; (3) substitution from overseas customers; (4) easing of equipment export control from US, Japan, Netherlands.

ESG

NAURA publishes annual ESG report, preparing in line with the Shenzhen Stock Exchange's sustainability disclosure guidelines as well as GRI Standards, ISO 26000 and CASS-ESG 6.0. Governance is anchored by a board-level ESG steering structure: the board, chaired by the chairman, serves as the highest ESG decision-making body, supported by an ESG steering committee, an executive committee and a dedicated ESG office. On the environmental front, NAURA's greenhouse-gas intensity fell 14.3% year over year to 3.84 tCO₂e per CNY million of revenue (Scope 1 and 2 emissions of roughly 172,000 tCO₂e), helped by 58.2 GWh of purchased green electricity and a 7.5 MW rooftop solar array generating about 8.4 GWh annually. Eleven subsidiaries now hold ISO 50001 energy-management certification, 24 hold ISO 14001, hazardous-waste compliant disposal reached 100%, and the company recorded zero environmental penalties, with its microelectronics subsidiary certified as a national-level green factory. Socially, NAURA's 21,101 employees (about 24.5% female) benefit from its fifth equity-incentive plan covering 2,293 people, 23 subsidiaries are ISO 45001-certified with zero workplace fatalities, and cumulative rural-revitalization investment of CNY15.13 million has benefited more than 45,000 people, complemented by NAURA scholarships at Tsinghua, Beihang and Xidian universities. Notably, ESG is embedded in the products: green-design principles reduce the energy and consumables consumption of NAURA's tools across their life cycle, which a meaningful lever given semiconductor equipment's outsized share of fab energy use.

Investment summary

NAURA Technology Group (NAURA), founded in 2021, is a dominant domestic supplier of semiconductor process equipment (SPE) in China with the most comprehensive product offerings covering almost all front-end fab equipment types except for lithography and process control. Products include equipment for etching (CCP, ICP), deposition (PVD/CVD/ALD), heat-treatment (oxidation/diffusion, RTP), cleaning equipment, plus a fast-expanding footprint in ion implantation and coating/developing (track, through investment in KingSemi) and bonding tools. We resume coverage of NAURA with a **Buy** rating and a 12-month target price of **CNY900.00**.

The positives sit on four major basis, in our view.

- NAURA is the largest beneficiary of China's semiconductor-equipment localization drive, in our view. We estimate that China's WFE self-sufficiency rate is around 26-27% now, and NAURA holds ~12% of the domestic market, with market share gains potential. SMIC (981 HK, Neutral), Hua Hong (1347 HK, Neutral), YMTC (unlisted), CXMT (688825 CH, Buy) and others are actively expanding capacity amid China's strong semiconductor demand, especially for advanced nodes and memory process. In addition, new build lines generally have a higher domestic equipment percentage as chipmakers are actively increasing their equipment localization rate.
- The company is advancing the technology value chain, moving its etch and deposition tools from 28nm/14nm mass production toward 7nm and below, and adding higher-ASP products (high-k ALD, 90:1 high-aspect-ratio etch, HBM-related hybrid bonding) that deepen its content per fab.
- New market entry is expanding its TAM. The KingSemi (688037 CH, Not rated) acquisition and the 2025 entry into Ion Implantation and bonding widen the addressable market, transforming NAURA from a four-category vendor into a platform covering wide range of equipment types.
- Strong customer base (covering China's most major fabs, memory makers, IDMs), technology advancement (higher sales percentage from advanced process), install-base stickiness (high cost of changing equipment at customer, related services & parts revenue potentials) are key moats for NAURA, in our view.

We estimate China's WFE market size will increase 27% to USD55.4b in 2026F and further to USD103.5bn in 2030F. The total WFE spending in China is expected to total USD407.3bn during 2026-2030F. During this period of strong momentum, we believe Chinese vendors are bracing for stronger growth driven by the domestic localization push, technology capabilities advancement, and the extra equipment required due to China's no-EUV roadmap.

Financially, NAURA grew revenue from CNY14.7bn in 2022 to CNY39.4bn in 2025, representing a three-year CAGR of 39%. Net profit, however, was flat in 2025 (CNY5.5bn, -1.8% y-y) as the company stepped up R&D, headcount and product-validation spending, and consolidated KingSemi. We view 2025-2026F as a deliberate margin trough rather than a structural worsening. As validated tools convert into volume production and the mix shifts toward IC equipment, we forecast net profit growth to re-accelerate to an ~36% CAGR during 2025-28F.

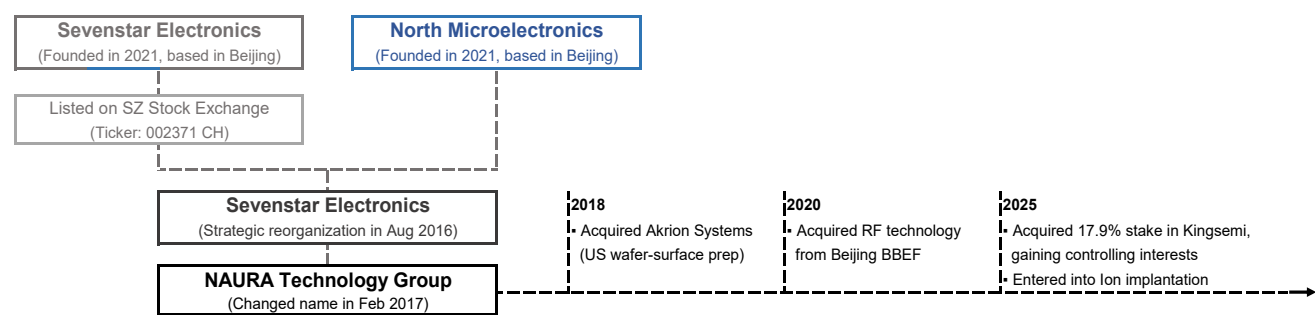
We resume coverage of NAURA with a **Buy** rating. Our target price of **CNY900** is based on **10.5x EV/Sales** on 2027F sales revenue forecast, largely in line with NAURA's historical forward EV/Sales band. We believe the premium over global equipment peers is justifiable given its faster growth and market share gains in China. Key risks are primarily concerns over US sanctions escalation, a slowdown in domestic capex spending, intensifying competition, and slower-than-expected margin recovery.

Company overview: China’s semiconductor equipment platform player

Company history and shareholding structure

NAURA was founded in 2001 as Sevenstar Electronics (七星华创), a maker of semiconductor equipment and precision electronic components, and listed on the Shenzhen Stock Exchange in 2010 under ticker 002371. In August 2016, Sevenstar completed a strategic share-issuance reorganisation with Beijing North Microelectronics (北方微电子), a specialist in etching, PVD and CVD tools, and the combined entity was renamed NAURA Technology Group in February 2017. The merger fused Sevenstar’s furnaces, cleaning and deposition lines with North Micro’s etch and deposition expertise, creating the platform we see today. Subsequent inorganic moves sharpened the portfolio: the 2018 acquisition of Aktron Systems (a US wafer-surface-preparation firm) strengthened cleaning, the 2020 acquisition of RF technology from Beijing BBEF added RF capability, and in 2025 NAURA took a 17.9% stake in Kingsemi (芯源微; 688037 CH, Not rated), becoming its largest shareholder and adding coating/developing (i.e. Track) and bonding tools.

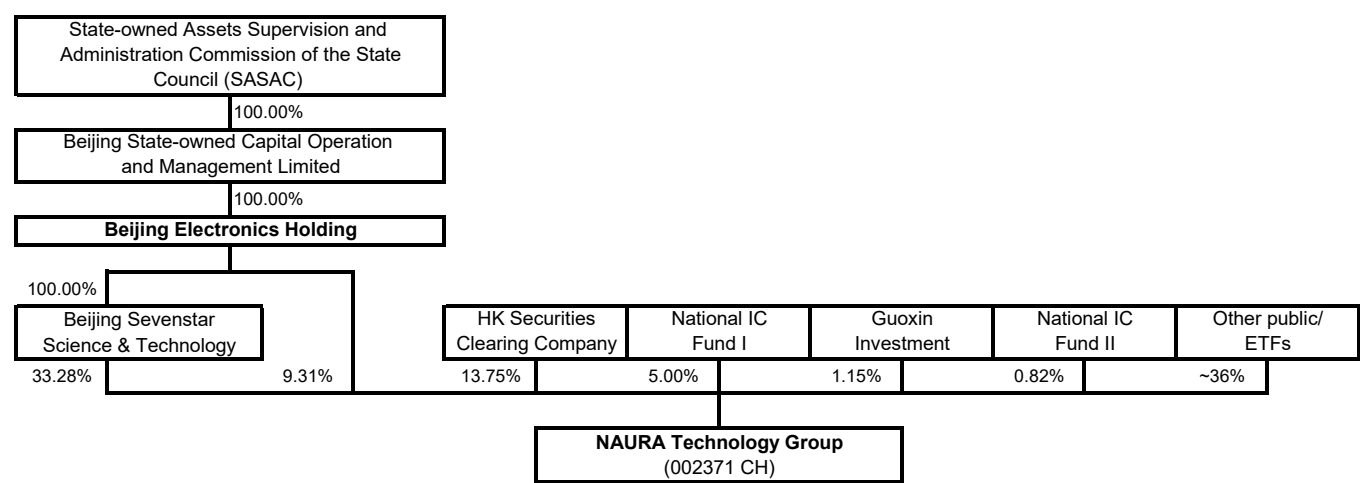
Fig. 216: NAURA – corporate history



Source: Company data, Nomura research

Controlling shareholder is anchored in the state: Beijing Electronics Holding Co., Ltd. is the controlling entity, holding ~43% in aggregate directly and through Beijing Sevenstar Science & Technology; the National Integrated Circuit Industry Investment Fund (the "Big Fund") is the second-largest shareholder. This state ownership is a strategic asset — it aligns NAURA squarely with national policy on semiconductor self-sufficiency and provides patient capital for a business whose R&D cycles are long and capital-intensive.

Fig. 217: NAURA – shareholding structure (as of 31 Dec 2025)



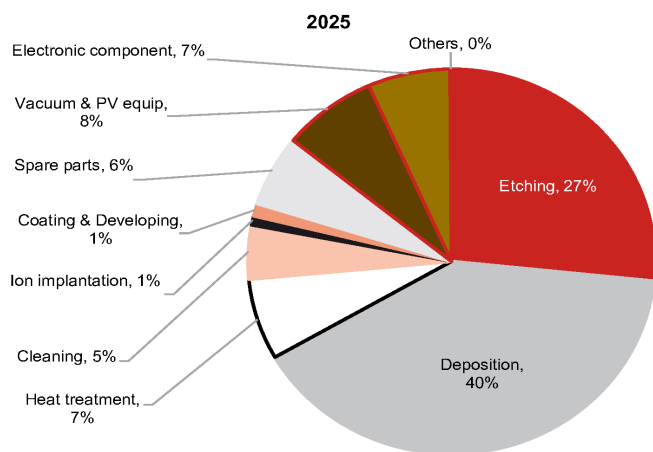
Source: Company data, Nomura research

Business segments and product portfolio

NAURA has two main segments. 1) Electronic Process Equipment (including semiconductor equipment, photovoltaic (PV) equipment, vacuum equipment and lithium-battery equipment) which contributed 93% of 2025 revenue (+33% y-y. 2) The other

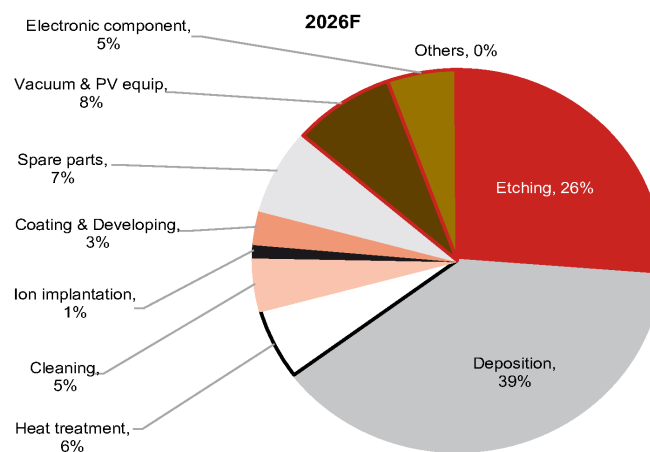
segment is Electronic Components (precision resistors, tantalum capacitors, quartz crystal devices, microwave modules) which contributed the remaining 7% (+23% y-y). The semiconductor-equipment business, within the Electronic Process Equipment segment, is the major growth engine for the company, in our view. By our estimates, deposition and etching were the largest two products with revenue contribution of 27% and 40% in 2025, respectively. Heat treatment and cleaning accounted for 7% and 5% of total revenue in 2025. Contributions from ion implantation and coating/developing are also increasing quickly.

Fig. 218: NAURA – revenue split (2025)



Source: Company data, Nomura estimates

Fig. 219: NAURA – revenue split (2026F)



Source: Company data, Nomura estimates

NAURA's semiconductor equipment portfolio is the most comprehensive in China. Its four core categories are:

- **Etching:** ICP and CCP etchers covering silicon, metal and dielectric etch, including high-aspect-ratio (HAR) capability for 3D NAND and deep-silicon etch for power devices.
- **Deposition:** PVD (the domestic leader, with >60% domestic share, according to Gartner), LPCVD/APCVD/PECVD/HDPCVD and ALD, including a newly developed high-k ALD for advanced logic gates.
- **Heat treatment:** vertical furnaces, oxidation/diffusion and rapid-thermal-anneal equipment (>60% share at leading 28nm lines).
- **Cleaning:** single-wafer and bench wet-cleaning platforms.

On top of these, 2025 marked two important portfolio extensions for the company: NAURA formally entered the Ion Implantation market in March 2025 (the Sirius MC 313 series), and the Kingsemi acquisition added coating/developing (track) and wafer-bonding equipment. Track tools and ion implanters were among the last large front-end categories that heavily relied on imports, so these moves have materially widened NAURA's addressable market.

Fig. 220: NAURA has the most comprehensive product matrix among Chinese players

		NAURA	AMEC	ACM Research	Piotech	Hwatsing	E-Town Semi	SiCarrier	KingSemi	SMEE	Kingstone	PNC	Skyverse	Jingce	RSIC
Heat treatment	Oxidation/diffusion	√		√				√							
	RTP	√					√	√							
Lithography										√					
Track		√		√					√						
Etching	CCP	√	√					√							
	ICP	√	√				√	√							
Ion Implantation		√				√					√				
Deposition	PVD	√						√							
	CVD	√	√	√	√			√							
	ALD	√	√		√			√							
	MOCVD		√												
	ECD	√		√											
CMP						√									
Cleaning		√		√		√			√			√			
Stripping		√					√		√						
Process control								√					√	√	√

Source: Company data, Nomura research

Fig. 221: NAURA – product offerings and key applications

Equipment Category	Sub-product / Platform	Wafer Size	Device / Application Types	Process Node	Key Applications / Notes
Etch Equipment	ICP Etch (Silicon Etch)	12" (also 6"/8")	Logic; Memory (DRAM / 3D NAND); Power devices	90–40nm STI & gate; advanced FinFET / STI / Gate	Silicon etch; 2,000+ chambers shipped; mainstream baseline tool
	CCP Etch (Dielectric Etch)	12"	Logic; Memory	Advanced nodes testing	Dielectric etch; dual-frequency coupled CCP; 12" bevel / edge etch for yield
	Metal Etch	12"	Logic; Memory	28nm–14nm	Al / Cu metal etch; mainstream customer-preferred tool
	Deep-Si / TSV Etch (High Aspect Ratio)	12"	Advanced packaging (3D IC, Chiplet); CIS; MEMS	N/A (structural)	High-aspect-ratio TSV etch; supports Chiplet process
	Ion Beam Etch (IBE)	6"/8"	Compound semiconductor; emerging / R&D	N/A	Specialty ion-beam etch
Thin Film Deposition	PVD (Physical Vapor Deposition)	12"	Logic; Memory; Advanced packaging	28nm–14nm	Cu / Al / Ti / hard-mask / Silicide / Metal Gate; 1,000th tools delivered
	CVD (PECVD / LPCVD)	12"	Logic; Memory	28nm–14nm	Dielectric & hard-mask; 12" advanced LPCVD poly-Si furnace
	ALD (Atomic Layer Deposition)	12"	Logic; Memory (3D NAND, DRAM)	28nm and below; 5nm-adapt	High-k / metal gate & advanced-node conformal films
	EPI (Epitaxy)	6"/8"/12"	Power (SiC, GaN-on-Si); RF; Logic	N/A (substrate / epi)	SiC epi, GaN epi, Si epi; 20+ products, ~1,000 chambers shipped
	Electroplating (ECP)	12"	Advanced packaging (bump / TSV / RDL); Logic Cu	N/A	Ausip T830 Cu plating; fills domestic blank
	MOCVD	6"/8"	LED; Power	N/A	Compound semiconductor epitaxy
Thermal Processing / Furnace	Vertical Furnace	12" (also 8")	Logic; Memory; Power	28nm and above	Mid/high-temp oxidation & anneal, low-temp alloy, LPCVD, batch ALD; 500+ units shipped
	Horizontal Furnace	6"/8"	PV (PERC / TOPCon / HJT); Power	N/A	Oxidation/diffusion, PECVD, LPCVD; 20+ processes
	RTP (Rapid Thermal Processing)	12"	Logic; Memory	Advanced nodes	Spike anneal / rapid thermal processing
Wet Clean	Batch (Bench) Clean	12"/8"	Logic; Memory; Power	28nm and above	RCA, Gate, phosphoric acid, recycle
	Single-wafer Clean	12"	Logic (back-end); Memory	Advanced nodes	Al / Cu full process; >60% penetration in domestic back-end
Ion Implant	Vertical Implanter (Sirius MC 313)	12"	Logic; Memory	28nm and above	First domestic 12" vertical implanter; breaks Axcelis monopoly
Coater/Developer (Track)	Track (via Kingsemi)	12"/8"	Logic; Memory; Advanced packaging	28nm and above	Kingsemi; completing etch–film–clean–track loop
Bonding	Hybrid Bonding (Qomola HPD30)	12"	Advanced packaging (Chiplet, HBM); 3D IC	N/A	Hybrid bonding; fills domestic blank

Source: Company data, Nomura research

Customer base, R&D & technology roadmap

NAURA's customers include many big names in China's semiconductor industry, including SMIC (981 HK, Neutral) and HuaHong Group (including Hua Hong Grace [1347 HK, Neutral] and HLMC (unlisted)) (foundry), YMTC (unlisted) and CXMT (688825 CH, Buy) (memory), CR Micro (688396 CH, Not rated) (power), Sanan Optoelectronics (600703 CH, Rating suspended) (compound/LED), and LONGi (601012 CH, Neutral) (PV). The reported customer concentration is moderate, with the top-five customers accounting for ~39% of 2025 revenue, but we believe this number is under-estimated because NAURA reports its top-five customers at company level (instead of group level), meaning that a large foundry customer with different subsidiaries and fabs will be reported as separate customers.

By our estimates, memory makers account for 30-35% of NAURA's customer base, with YMTC and CXMT being the key ones. Logic foundries account for another 30-35%, with key customers being SMIC, HuaHong Group (including Hua Hong Grace and HLMC), and

Nexchip (688249 CH, Not rated). Power and IDM contributes around 15-20% (GTA [unlisted], Silan [600460 CH, Neutral], Sanan, CR Micro, SiEn [unlisted]), and others include photovoltaic (LONGi), display and LED (BOE [000725 CH, Buy], Sanan).

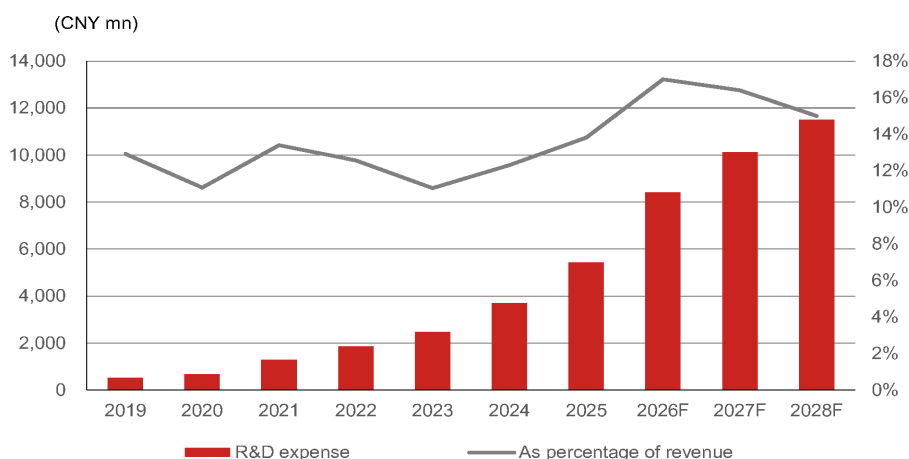
Fig. 222: NAURA key customers

Tier	Customer	Type / Segment	Relationship	Key Details
Tier 1	SMIC (中芯国际)	Logic foundry (advanced & mature)	#1 strategic customer; >10 yrs	>60% of SMIC's domestic-equipment procurement for new fabs; 28nm etch >60% line share, deposition and heat >30% share; 14nm in baseline production
	YMTC (长江存储)	Memory — NAND flash	Strategic anchor customer	~35% of YMTC 3D NAND tool procurement; CNY12.0bn multi-tool order covering 8 equipment types; custom etch/deposition lifted yield >5%
	CXMT (长鑫存储)	Memory — DRAM	Strategic memory customer	DRAM capacity expansion; ICP etch >50% line share; key supplier across etch, deposition, furnace, cleaning
Tier 2	Hua Hong Grace (华虹宏力)	Specialty foundry (power analog, embedded, MCU)	Long-term partner	Major share in Hua Hong expansion
	XMC (武汉新芯)	Specialty / NOR Flash / CIS	Established supplier	Coverage in NOR / CIS specialty fabs
	HLMC (上海华力)	Advanced logic foundry (28/14nm)	Key logic customer	Equipment for advanced logic nodes
	GTA Semiconductor (积塔半导体)	Analog / power / automotive	Growing customer	Shanghai Lingang capacity expansion beneficiary; Power & analog process equipment
	CR Micro (华润微)	Power IDM (MOSFET / IGBT)	Power customer	Si power equipment; >50% domestic share in SiC/GaN power tools
	SiEn (青岛芯恩)	Power and analog	Established customer	Power and analog
	Nexchip (晶合集成)	Mature logic (DDIC, CIS)	Established customer	Phase 4 expansion purchase beneficiary
	Beijing Yandong Micro (燕东微)	Specialty / power	Established customer	Specialty & power process tools
Tier 3	Sanan Optoelectronics (三安光电)	Compound semi (SiC / GaN / LED)	Compound-sector leader	SiC / GaN epi & etch; >50% domestic share in SiC/GaN power equipment
	Silan Microelectronics (士兰微)	Power IDM (IGBT / MOSFET / SiC)	Power customer	Power device equipment
	HC SemiTek (华灿光电)	LED / compound semi	Compound customer	LED chip process equipment (ICP etch, PECVD)
	BOE (京东方)	Display (OLED / LCD)	Display customer	OLED etch / PVD / clean equipment
	LONGi (隆基绿能)	Photovoltaic	Key PV and vacuum customer	Non-semiconductor

Source: Company data, Nomura research

R&D is the foundation of the company. R&D expense in 2025 reached CNY5.4bn (+47% y-y), accounting for ~14% of total revenue, among the highest R&D intensities in the global equipment industry. This spending is related to its technology roadmap: extending etch and deposition from 14nm mass production toward 7nm and below, pushing HAR etch from 60:1 toward 90:1 or even 100:1 for higher-layer 3D NAND, industrializing high-k ALD, and developing HBM-related hybrid-bonding solutions for advanced packaging.

Fig. 223: NAURA R&D expense and as percentage of revenue



Source: Company data, Nomura estimates

Competitive advantages and growth drivers

As the largest semiconductor supplier in China with the most comprehensive product offerings, NAURA has several important competitive edges.

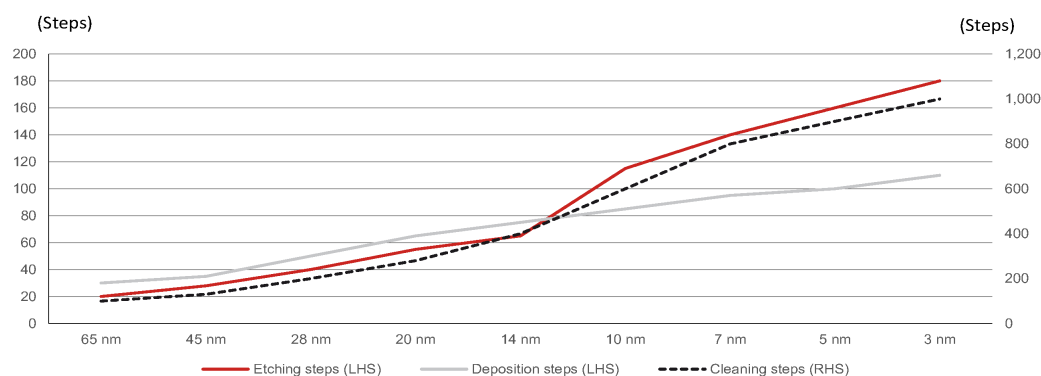
Although many other suppliers are now expanding product offerings aiming to become platform suppliers, most of them are still having specialties. AMEC specializes in CCP dielectric etch and MOCVD, Piotech in PECVD/ALD, Hwatsing in CMP, ACM Research in cleaning, and E-Town in stripping and RTP. NAURA spans etch, deposition, heat treatment, cleaning, and now implant, track, and bonding. We believe this matters for two reasons: (1) fabs increasingly prefer to qualify a single vendor across multiple process steps to reduce integration risk and qualification cost; and (2) broad product coverage gives NAURA ability to benefit from growth across different product types.

Technology advancement and node migration increase equipment demand

By our estimates, etching and deposition should grow at a faster pace than lithography's, as China has no availability of EUV lithography equipment. Multi-pattern in advanced nodes would require more etching and deposition steps, which rapidly increases the TAM of etching and deposition equipment. Furthermore, more etching and deposition steps generally mean more cleaning steps are needed.

The step-count penalty (more steps needed) of multi-patterning is large. For example, a 7nm-class IC requires roughly **140 etch steps**, versus about **40** at 28 nm — a ~3.5x inflation. On a per-fab basis, a 12-inch advanced line consumes roughly **60 etching tools per 10k wpm**, versus **~25 for a mature-node line** — a 2.4x increase. Coupled with etching, more deposition steps and cleaning steps are also required.

Fig. 224: Step count estimates of etching, deposition, cleaning by process nodes



Source: SEMI, TEL, The Industry Cleaning Association of China, Nomura research

Fig. 225: Equipment demand by process and platform

Equipment Type	Mature Logic (90nm)	Advanced Logic (14nm FinFET)	DRAM (1x/1y)	3D NAND (128L+)
Lithography (Scanner)	3–5	6–8	6–8	6–8
Track (Coater/Developer)	5–7	8–12	8–10	8–10
Etch	20–30	50–80	40–80	55–90
CVD / ALD	20–30	35–55	45–60	85–135
PVD (Sputtering)	15–25	15–30	15–30	10–15
Electroplating / ECP (Cu)	2–4	2–4	2–4	2–4
Heat treatment	15–25	30–45	25–35	35–50
Ion Planter	4–6	7–12	10–14	8–15
Cleaning	15–20	20–35	20–35	30–50
Stripping / Ashing	6–12	12–18	12–18	12–18
CMP (Chemical Mechanical Polish)	8–12	15–25	15–25	15–25
Metrology & Inspection	15–25	30–50	30–50	30–50

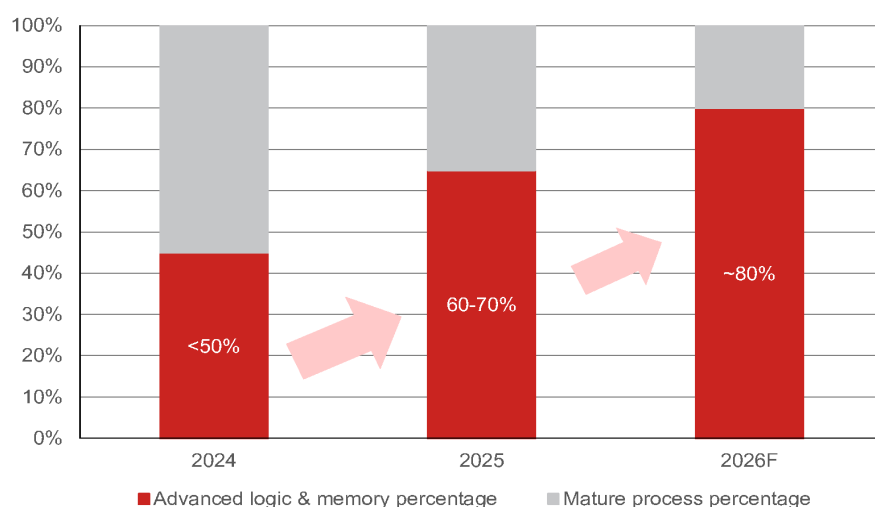
Note: numbers varies across different fabs, products and platforms, roughly estimates above Source: Nomura estimates

Technology strength in certain categories

In PVD, NAURA is a domestic leader with >60% domestic share (according to Gartner) and 1,000+ cumulative chambers – its 14nm TiN hard-mask PVD is in volume production, according to management. In heat treatment equipment, it holds a >60% share at leading 28nm lines. In etch, its ICP platform is now in 14nm mass production with 7nm in customer qualification. These positions reflect years of accumulated process know-how that cannot be replicated quickly, which is a key moat in the industry where customer qualification cycles run 18–36 months.

NAURA has been progressing well in advanced process nodes. Most of its products can be deployed in production lines up to 28nm, and some products have become baseline tools in leading domestic 14nm lines, such as PVD, CVD, metal etch, furnace, and cleaning. By our estimates, in 2025, sales from advanced logic (14nm & below) and memory accounted for 60-70% of total sales from integrated circuits. This ratio was below 50% in 2024.

Fig. 226: NAURA sales from advanced process as percentage of IC



Source: Company data, Nomura estimates

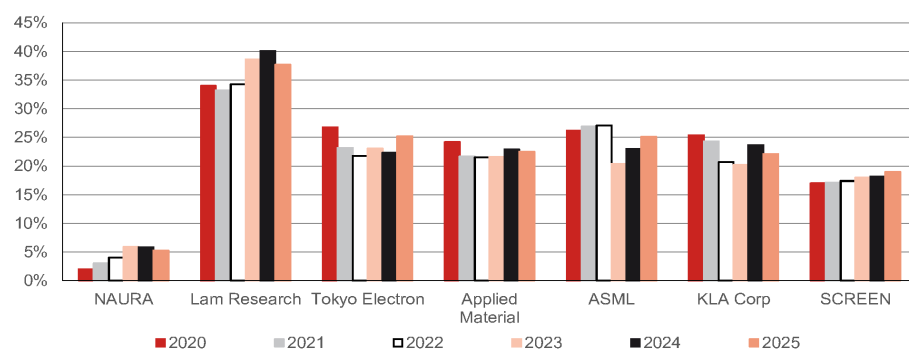
This is also one of the most important earnings drivers. Advanced tools usually come with higher prices. With more expensive products sold, mix and ASP would improve. NAURA's etch and deposition tools are progressing from 28nm/14nm mass production toward 7nm and below. The high-aspect-ratio etch is advancing from 60:1 toward 90:1 to 100:1 to serve 300+ layer 3D NAND. High-k ALD is being industrialized for advanced logic gates, and HBM-related hybrid-bonding solutions target the fastest-growing equipment sub-market in advanced packaging. These advancement increases both tool ASP and the number of etch/deposition steps per wafer, and thus increases NAURA's content per fab.

Installed-base stickiness and services

This benefits especially leading players with large install base and customer base. Once a tool is qualified into a fab and running in volume, switching costs are high, as re-qualification is expensive and process recipes are tightly linked to the equipment. NAURA's growing installed base therefore generates a recurring stream of spare parts, upgrades and services. This compounding installed-base dynamic has underpinned the decades-long dominance of Applied Materials (AMAT US, Not rated) and Lam Research (LRCX US, Not rated), and it is now forming around NAURA, in our view.

With more install base and customer adoption, service revenue will grow accordingly. Currently, we estimate NAURA's revenue percentage from services and spare parts is only around 5-6%, far below that of global peers. Lam Research, a global leader in etching and deposition in terms of revenue, has the highest services & spare parts revenue percentage of 35-40% (company data). Considering NAURA is now expanding market share and customer base in China, we expect its services & spare parts revenue to catch up quickly.

Fig. 227: Revenue from services and spare parts percentage of total

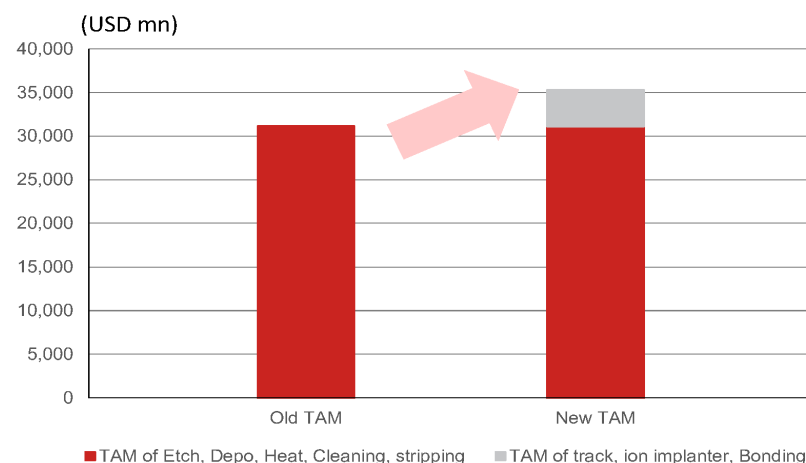


Source: Company data, Nomura research

Further platform expansion: Kingsemi acquisition, ion implantation, and bonding equipment

Having already established itself as a platform-type supplier in China, NAURA took two additional strategic moves in 2025 that significantly expanded its addressable market. The Kingsemi acquisition adds photoresist coating/developing (i.e., track, a key category in which China has been almost entirely import-dependent) as well as bonding equipment. NAURA announced its entry into ion implantation (Sirius MC 313) in March 2025, targeting a market still >90% controlled by Applied Materials (AMAT US, Not rated) and Axcelis (ACLS US, Not rated). Apart from temporary bonder and debonder acquired from Kingsemi, NAURA has announced its entry into the hybrid bonding market (12-inch W2W and D2W hybrid bonder). The equipment categories mentioned above offer high localization potential, and align with NAURA's existing fab customer base for cross-selling. We estimate that adding track, implanter, and bonder capabilities could expand NAURA's addressable market by around 13% in 2026F.

Fig. 228: NAURA – semiconductor equipment China TAM estimate (2026F)



Source: Nomura estimates

China's localization push: the strongest growth catalyst

China is the world's largest wafer fab equipment (WFE) market, yet its self-sufficiency rate remains low, at around 26-27% (significantly lower in lithography and ion implantation equipment). Export controls have transformed localization from an economic consideration into a strategic imperative. Domestic fabs are now actively sourcing and qualifying Chinese equipment across all front-end processes. As a dominant domestic vendor, we believe NAURA stands to benefit significantly from this trend.

The localisation opportunity has two layers: (1) increasing semiconductor device localization drives domestic capacity expansion, which in turn expands the total addressable WFE market; (2) rising equipment localization rates would further amplify sales growth of the domestic equipment vendor market and drive market share gains.

We estimate NAURA's market share in China was around 11-12% in 2025, and expect it to increase further by above 13% in 2026F. Based on our projections: (1) if NAURA achieves 15% market share in 2030F, it would deliver a sales CAGR of ~22% during 2025-2030F; (2) if NAURA manages to reach 20% market share, it would achieve a sales CAGR of ~29% over the same period. Additionally, further capacity additions would provide incremental upside to these scenarios.

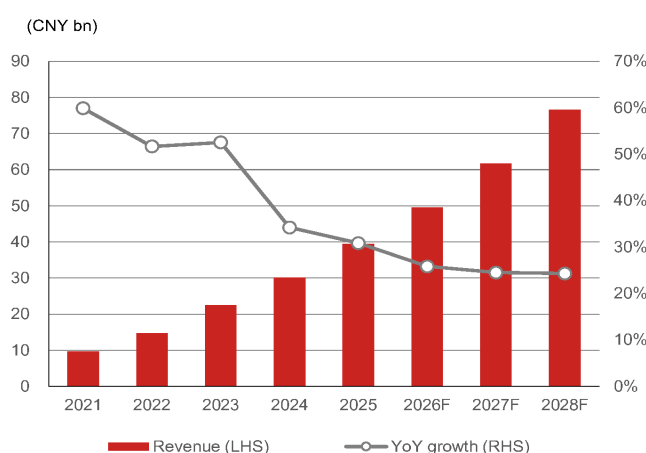
Financial analysis and outlook

Fast revenue growth to continue

NAURA has delivered strong revenue growth since 2016, achieving a 42.5% CAGR during 2016-2025. The company's revenue mainly comes from two segments: electronic process equipment (93% of total revenue in 2025, including semiconductor equipment, vacuum & lithium battery equipment), and electronic components (7% of total revenue in 2025, including hybrid integrated circuits, electronic parts, and other products).

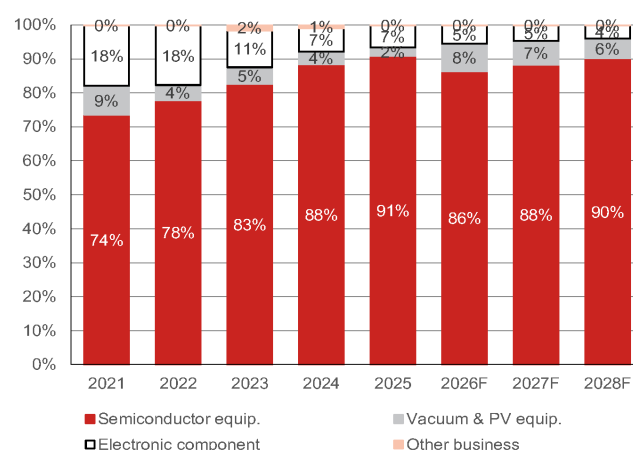
Given the positive outlook for China's semiconductor equipment industry and NAURA's potential for market share gains driven by its comprehensive product portfolio and the localization push, we forecast a 24.9% revenue CAGR for 2025-2028F, outperforming China's overall WFE market. By segment, we project electronic process equipment and electronic components to clock CAGRs of 26.0% and 5.7%, respectively.

Fig. 229: NAURA – revenue forecasts



Source: Company data, Nomura estimates

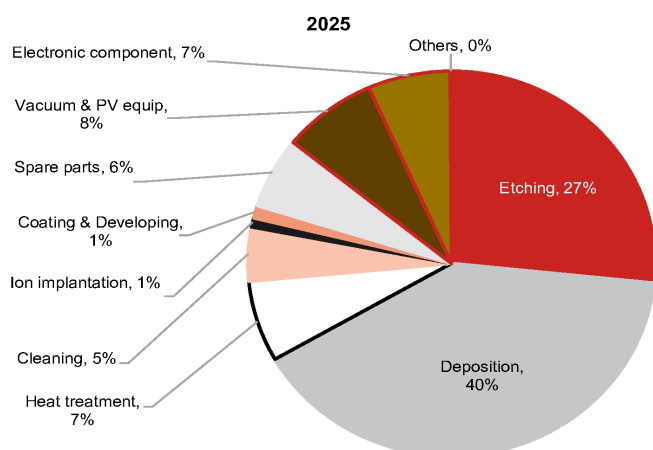
Fig. 230: NAURA – revenue breakdown by segment



Note: NAURA moved PV equipment into Vacuum segment from mid-2025
Source: Company data, Nomura estimates

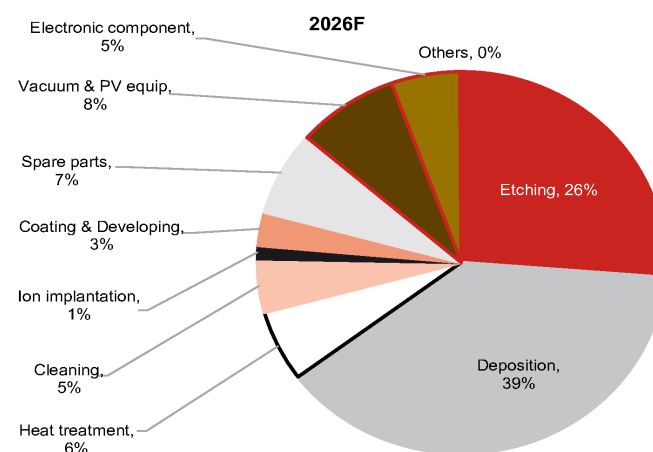
By equipment type, we estimate that, deposition equipment accounted for the largest share at 40% of total revenue in 2025, followed by etching equipment at 27%. Heat treatment and cleaning accounted for 7% and 5%, respectively, in 2025. NAURA's entry into ion implantation, contributed an estimated ~1% of total revenue in 2025F, while the Kingsemi acquisition, added track equipment (coating/developing), contributing ~2% of total revenue in 2025F.

Fig. 231: NAURA – revenue split by equipment (2025)



Source: Company data, Nomura estimates

Fig. 232: NAURA – revenue split by equipment (2026F)



Source: Company data, Nomura estimates

We forecast etching and deposition equipment to achieve a mid-20% CAGR in 2025-

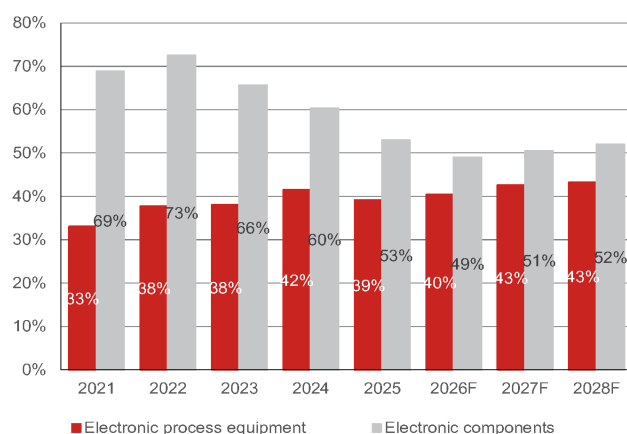
2028F led by market share gains. Ion implanter, as a new growth driver, is expected to grow at a CAGR of above 49% during 2025-2028F, propelled by China's domestic localization push, considering the currently low localization rate in this category.

Margins stable across segments

NAURA's gross margin has been largely stable over the past years. Notably, the electronic components segment's gross margin was on a downtrend during 2022-2025 (from 73% to 53%) mainly due to imbalanced supply-demand for some products (such as resistors, capacitors, microwave modules, etc.). The group's overall gross margin has remained at above 40% since 2022. With increased sales and a more stable market, we forecast NAURA's gross margin will remain above 40%, with a modest upward trajectory.

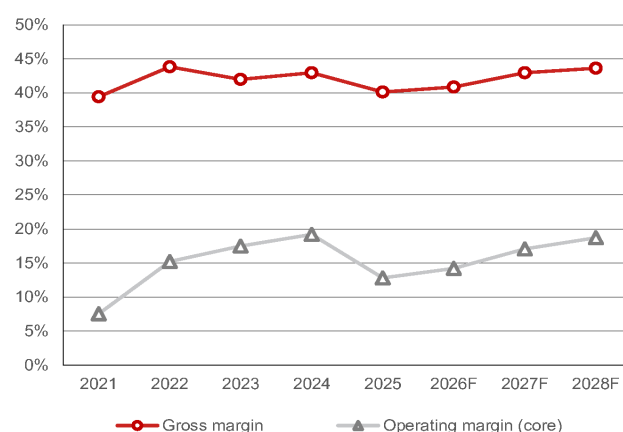
R&D expense represents the largest component of operating expenses. Historically, NAURA's R&D expense ratio (as a percentage of revenue) has ranged between 11-13%, reaching a high level of 13.8% in 2025. To sustain technology strength and support continued market share expansion, we expect the R&D ratio to remain at around 13%. NAURA's core operating profit (defined as gross profit /less taxes & surcharges, S&M, G&A, R&D) declined in 2025, mainly due to a lower gross margin, and an increased opex ratio (driven by increased R&D and sales investments).

Fig. 233: NAURA – gross margins by segment



Source: Company data, Nomura estimates

Fig. 234: NAURA – gross margin and core operating margin



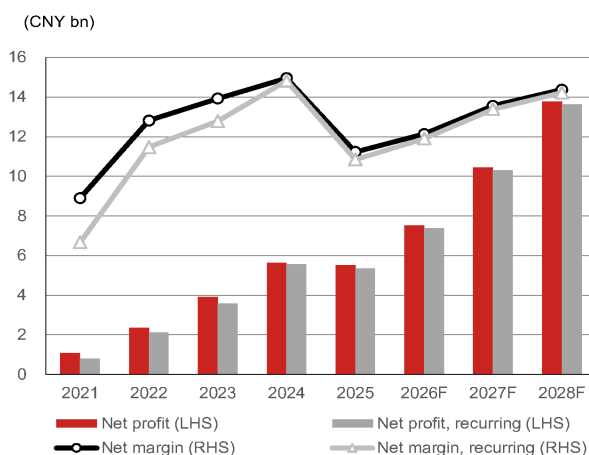
Source: Company data, Nomura estimates

Net profit and EPS

NAURA's net profit attributable to shareholders (net profit, or "NP") was CNY5.5bn in 2025, representing a 59% CAGR in 2020-25. Net profit margin was 14.0% in 2025. Net profit margin dipped slightly in 2025 due to the decline in operating profit (mentioned earlier). With sales growth and gross margin trending upward, we forecast net margin to improve gradually, reaching 16.9% in 2028F. We forecast NAURA's net profit to clock an ~33% CAGR during 2025-28F.

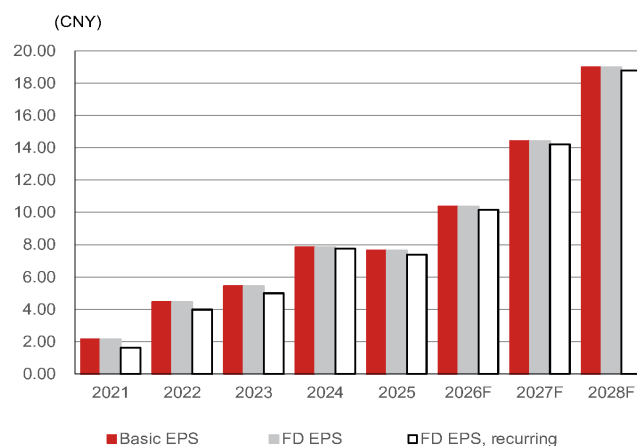
The company reported basic and diluted EPS of CNY7.64 in 2025 (based on weighted average share counts of 722mn (basic) and 723mn (diluted), representing a dilution effect of approximately 0.1%).

Fig. 235: NAURA – net profit and net margin



Source: Company data, Nomura estimates

Fig. 236: NAURA – basic and diluted EPS



Source: Company data, Nomura estimates

While our 2026F financial forecasts are slightly below Bloomberg consensus, our 2027F/2028F forecasts are quite lower than the consensus, as we remain relatively conservative; however, our sales growth forecasts significantly exceed the industry's, and we expect further upside potential. Our operating profit/ net profit estimates are lower than the consensus, as we believe that the company will incur higher R&D expenses to introduce new products and maintain market share gain momentum. That being said, we expect both net profit and recurring net profit to clock significant growth.

Fig. 237: Financial forecasts – Nomura versus consensus

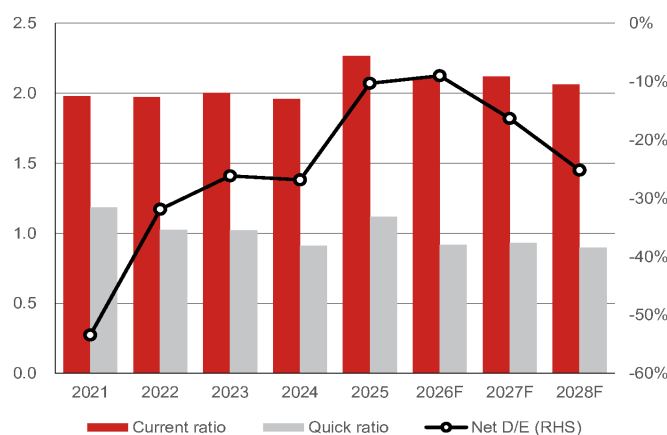
(CNY mn)	2026F	2027F	2028F
Revenue - Nomura est	49,524	61,657	76,644
Revenue - consensus	50,271	66,081	86,381
Revenue - diff	-1.5%	-6.7%	-11.3%
Gross margin - Nomura est	40.9%	43.0%	43.6%
Gross margin - consensus	40.3%	40.9%	41.1%
Gross margin - diff	0.5%	2.1%	2.5%
Operating profit (as reported) - Nomura est	8,007	11,411	15,165
Operating profit (as reported) - consensus	8,251	12,326	17,344
Operating profit (as reported) - diff	-3.0%	-7.4%	-12.6%
Net profit - Nomura est	7,509	10,448	13,768
Net profit - consensus	7,521	11,134	15,719
Net profit - diff	-0.2%	-6.2%	-12.4%
Net profit, recurring - Nomura est	7,364	10,312	13,627
Net profit, recurring - consensus	n.a.	n.a.	n.a.
Net profit, recurring - diff	n.a.	n.a.	n.a.

Source: Bloomberg Finance L.P., Nomura estimates

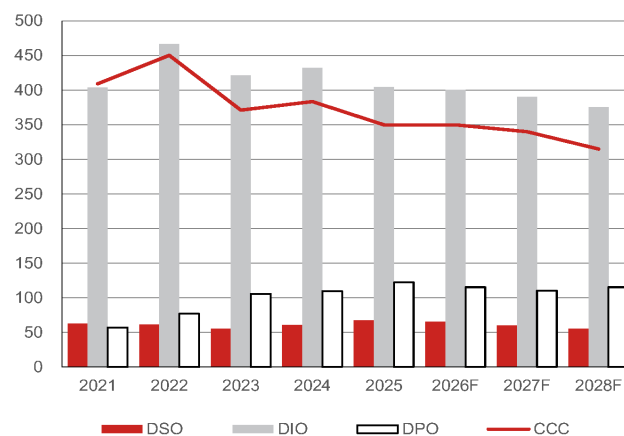
Balance sheet – strong financial position

NAURA has maintained a net cash position, with its net debt-to-equity ratio consistently below 0%. The company raised new bank borrowings in 2025 to fund increased R&D investment and M&A activities, which elevated the net debt-to-equity ratio in 2025. With no further debt issuances expected, we anticipate the net debt-to-equity ratio to decline. Regarding liquidity, the current ratio was below 2.0x prior to 2025, while the quick ratio was below 1.5x. We attribute these relatively modest ratios to the company's high contract liabilities from customer pre-orders.

Working capital has remained stable, though inventory days (DIO) has been elevated at over 400 days, resulting in a positive and extended cash conversion cycle (CCC). This is typical in the semiconductor equipment industry, where lengthy manufacturing and assembly lead times delay revenue recognition, and where companies maintain substantial component and parts inventories in advance of production.

Fig. 238: NAURA – liquidity and solvency ratios

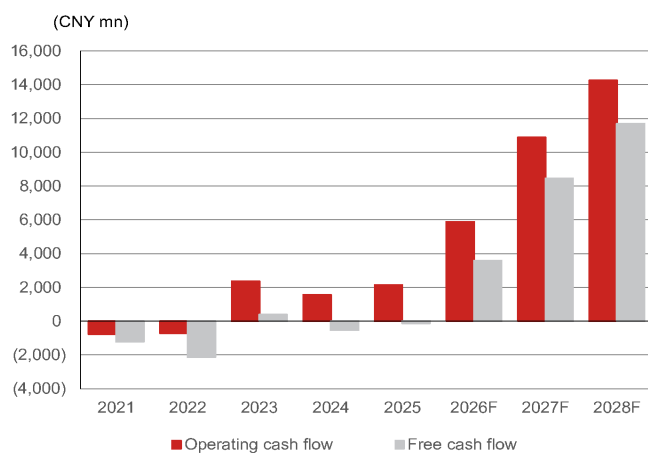
Source: Company data, Nomura estimates

Fig. 239: NAURA – working capital ratios

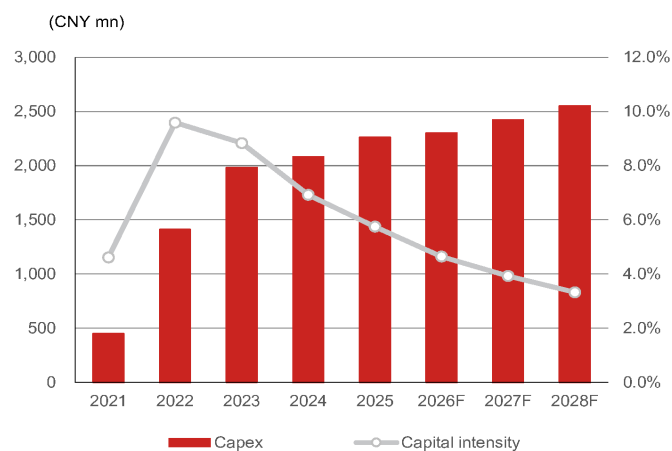
Source: Company data, Nomura estimates

Cash flow – positive cash flows

Operating cash flow was negative in 2021 and 2022, mainly due to an increase in working capital days. We expect operating cash flow to remain positive going forward. The capex ratio has declined since 2022, as sales growth has outpaced capital expenditure increases. With market share gains as the primary goal, we anticipate capex to increase over the next few years in order to support equipment delivery capacity. However, with robust sales growth expected to continue, we project capital intensity will continue to decline.

Fig. 240: NAURA – cash flows

Source: Company data, Nomura estimates

Fig. 241: NAURA – capex and capital intensity

Source: Company data, Nomura estimates

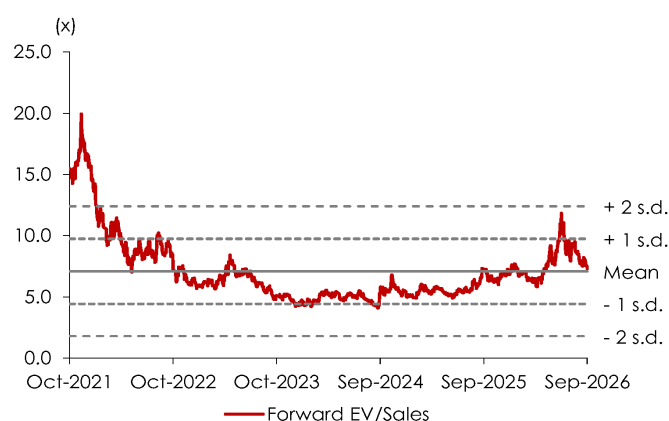
NAURA valuation – further upside potential

As a manufacturing company, NAURA's valuation is fundamentally driven by sales and profitability, with P/E multiples typically assigned to value such businesses. However, Chinese equipment vendors, including NAURA, are currently in a rapid expansion phase, where sales growth and market share gains are the primary strategic focus. Therefore, we believe revenue-based valuation multiples are more appropriate for assessing their value.

We choose **EV/Sales** as our primary valuation multiple to value Chinese SPE (semiconductor production equipment) companies, for two key reasons: (1) Chinese vendors are in a mid-ramp, high-R&D investment phase where profitability is suppressed by heavy investments and one-off items, making earnings multiples overstate their relative value; and (2) Chinese players are currently focussed on revenue expansion and capturing market share, particularly driven by the localization story.

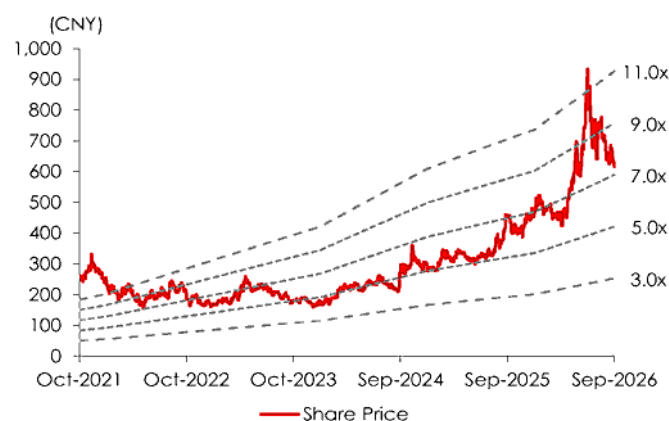
Over the past five years, NAURA has largely traded in a 5-25x forward EV/Sales range (five-year average: 7.2x), with peak valuations occurring in 2021, when the global chips shortage story dominated the China A-shares market, and almost all semiconductor-related companies traded at peak levels. Following subsequent de-rating, NAURA has largely traded in the 5-11x forward EV/Sales range over the past three years (3-year average: 5.9x).

Fig. 242: NAURA – 5-year EV/Sales trend



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 243: NAURA – 5-year EV/Sales band



Source: Bloomberg Finance L.P., Nomura estimates

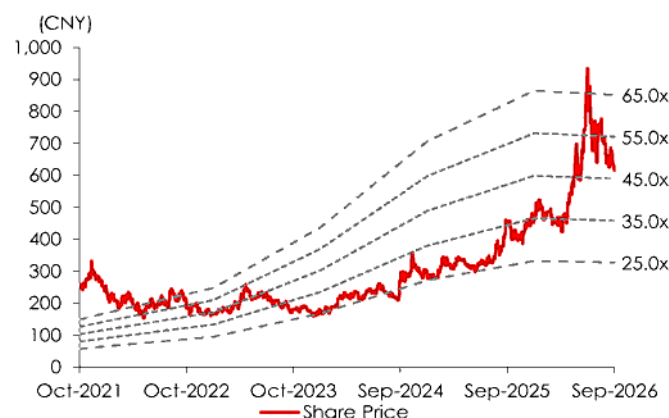
P/E multiples exhibit significantly greater volatility than EV/Sales. Over the past five years, NAURA's forward P/E has ranged from 20-140x (average: 45x). Volatility was significant, with the average minus 2SD falls below zero. This extreme volatility is also another reason that we choose EV/Sales as the primary valuation methodology.

Fig. 244: NAURA – 5-year P/E trend



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 245: NAURA – 5-year P/E band

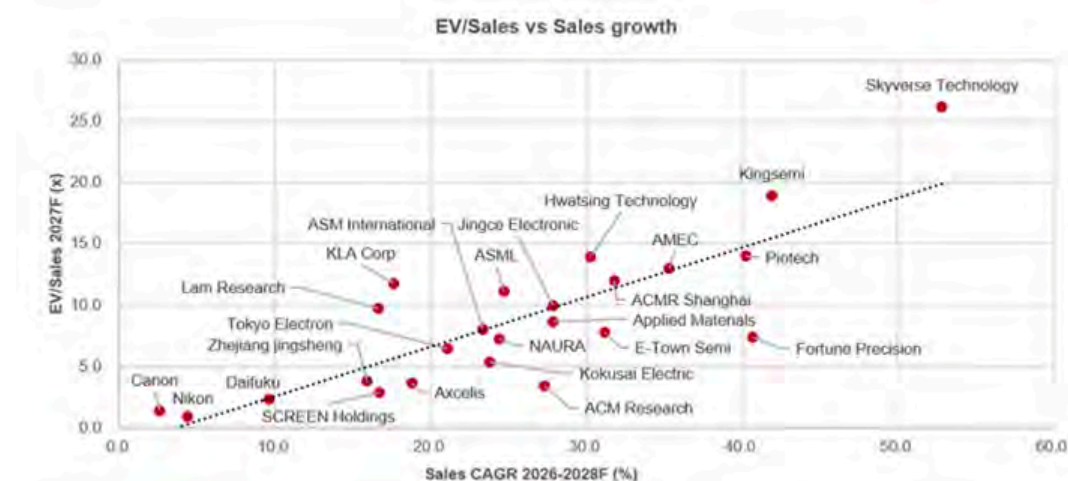


Source: Bloomberg Finance L.P., Nomura estimates

EV/Sales is capital-structure neutral (EV includes net debt, making it comparable across different leverage levels and tax regimes), and is less affected by depreciation, amortization and R&D capitalization policies. For cross-market and cross-lifecycle comparison of hardware companies, EV/Sales is a clean benchmark. However, its limitation is equally apparent: the metric says nothing about profitability, and must therefore be evaluated alongside margin trends and revenue growth.

Chinese equipment vendors generally trade at a premium to global peers. On an EV/Sales basis, global leaders trade at 2-10x 2027F EV/Sales (average: 5.7x), while domestic players largely trade at 6-30x (average: 14.5x). We attribute the premium valuation to: (1) stronger sales and earnings growth driven by market share gains, especially in the domestic China market; and (2) the localization narrative drives positive investor sentiment toward Chinese equipment manufacturers.

Fig. 246: EV/Sales vs revenue growth rate of global major equipment vendors



Source: Company data, Nomura estimates

We believe NAURA is currently trading below fair value, and warrants a higher valuation based on three factors: (1) we expect the company's sales growth rate to exceed the industry average; (2) NAURA has the widest product portfolio, with market share gains expected in the China WFE (wafer fab equipment) market, and; (3) new product launches and entry into new markets is further expanding its total addressable market (TAM).

We resume coverage of NAURA with a **Buy** rating. Our target price of **CNY900.00** is based on a **10.5x forward EV/Sales** multiple and our 2027F revenue forecast of ~CNY61.7bn. Our target multiple is close to 1SD above its 5-year average, as we think it deserves a higher valuation given its higher-than-industry sales growth.

Fig. 247: NAURA – Valuation and target price

Valuation table

Target EV/sales	10.5 x	We use 10.5x EV/sales as our target multiple, based on: (1) EV/sales relevance with sales CAGR and our forecast for revenue; (2) we forecast NAURA's sales revenue to outperform the industry growth; (3) NAURA's wide product coverage and dominant market share in China; (4) new product launches, new market entry is further expanding its total addressable market
Valuation base	2027F	
Revenue in 2027F (CNY mn)	61,657	
Enterprise value (CNY mn)	648,016	
Net debt in 2027F (CNY mn)	(10,214)	
Minority in 2027F (CNY mn)	5,852	
Equity value (CNY mn)	652,379	
Wtd avg diluted shares in 2027F (mn)	725	
Target price (CNY)	900.00	

Source: Nomura estimates

Key catalysts include: (1) accelerated wafer fab capacity expansion in China; (2) continued market share gains for NAURA; (3) deeper penetration into overseas customers, and; (4) tightening equipment export controls from US, Japan, and the Netherlands, which would further benefit domestic Chinese suppliers.

Financial statements

Fig. 248: NAURA Technology – income statement forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F	1Q26	2Q26	3Q26F	4Q26F
Income Statement										
Revenue	22,406	30,075	39,353	49,524	61,657	76,644	10,323	9,839	14,272	15,090
COGS	(13,005)	(17,162)	(23,571)	(29,293)	(35,167)	(43,220)	(6,114)	(5,969)	(8,359)	(8,851)
Gross profit	9,401	12,913	15,782	20,231	26,490	33,425	4,209	3,869	5,913	6,240
Opex	(5,479)	(7,143)	(10,742)	(13,198)	(15,969)	(19,084)	(2,656)	(2,276)	(3,867)	(4,400)
Taxes and surcharges	(167)	(179)	(237)	(297)	(370)	(460)	(60)	(63)	(85)	(89)
S&M expense	(1,084)	(1,101)	(1,636)	(1,808)	(2,220)	(2,759)	(421)	(340)	(500)	(547)
Admin expense	(1,752)	(2,164)	(3,433)	(3,566)	(4,316)	(5,288)	(773)	(598)	(999)	(1,196)
R&D expense	(2,475)	(3,699)	(5,435)	(7,528)	(9,064)	(10,577)	(1,402)	(1,275)	(2,284)	(2,567)
Operating profit (core)	3,922	5,770	5,040	7,033	10,521	14,340	1,553	1,594	2,046	1,840
Finance cost	18	(63)	(229)	(200)	(180)	(165)	(71)	(67)	(31)	(31)
Investment income	1	3	(6)	20	-	-	(23)	42	0	0
Impairment loss	(100)	(235)	(316)	(130)	(130)	(110)	(39)	(9)	(41)	(41)
Other gains	606	1,071	1,313	1,284	1,200	1,100	375	135	300	474
Operating profit (as reported)	4,448	6,546	5,802	8,007	11,411	15,165	1,795	1,694	2,275	2,243
Non-operating items	18	(13)	43	43	32	22	20	14	4	4
Pretax income	4,466	6,533	5,845	8,050	11,443	15,187	1,815	1,709	2,279	2,247
Income tax	(433)	(819)	(436)	(741)	(1,144)	(1,519)	(247)	(48)	(225)	(221)
Minority interests	(134)	(92)	113	200	150	100	67	75	29	29
Net profit (attr. to SH)	3,899	5,622	5,522	7,509	10,448	13,768	1,635	1,735	2,084	2,055
Basic EPS (RMB)	5.45	7.83	7.64	10.37	14.42	19.01	2.26	2.39	2.88	2.84
Diluted EPS (RMB)	5.43	7.83	7.64	10.36	14.41	18.99	2.25	2.39	2.88	2.84
Recurring net profit (attr. To SH)	3,581	5,571	5,336	7,364	10,312	13,627	1,627	1,714	2,044	1,979
Recurring FD EPS (CNY)	4.99	7.76	7.38	10.16	14.23	18.80	2.24	2.36	2.82	2.73
YoY Growth (%)										
Revenue	52.5	34.2	30.9	25.8	24.5	24.3	25.8	24.0	27.9	25.2
Gross profit	46.0	37.4	22.2	28.2	30.9	26.2	19.2	18.1	31.5	39.3
Operating profit (core)	75.5	47.1	(12.6)	39.5	49.6	36.3	(8.0)	11.7	1.5	N/A
Net income (attr. to SH)	65.7	44.2	(1.8)	36.0	39.1	31.8	3.4	6.6	8.4	424.7
Diluted EPS	22.1	44.0	(2.4)	35.6	39.1	31.8	2.8	6.1	8.4	424.4
Recurring net profit (attr. To SH)	70.0	55.6	(4.2)	38.0	40.0	32.1	3.6	6.4	6.4	746.3
Recurring FD EPS	25.3	55.4	(4.8)	37.6	40.0	32.1	3.0	5.9	6.4	745.7
Margins (%)										
Gross margin	42.0	42.9	40.1	40.9	43.0	43.6	40.8	39.3	41.4	41.3
Opex	24.5	23.8	27.3	26.7	25.9	24.9	25.7	23.1	27.1	29.2
Operating margin (core)	17.5	19.2	12.8	14.2	17.1	18.7	15.0	16.2	14.3	12.2
Pretax margin	19.9	21.7	14.9	16.3	18.6	19.8	17.6	17.4	16.0	14.9
Net margin	17.4	18.7	14.0	15.2	16.9	18.0	15.8	17.6	14.6	13.6
Recurring net margin	16.0	18.5	13.6	14.9	16.7	17.8	15.8	17.4	14.3	13.1
Segment revenue										
Electronic process equipment	19,611	27,707	36,731	46,769	58,737	73,550	10,038	9,167	13,416	14,147
YoY Growth (%)	62.3	41.3	32.6	27.3	25.6	25.2	26.0	25.8	29.9	27.0
Percentage of total (%)	88	92	93	94	95	96	97	93	94	94
Electronic component	2,433	2,094	2,579	2,708	2,871	3,043	264	651	853	940
YoY Growth (%)	(5.5)	(13.9)	23.2	5.0	6.0	6.0	15.2	2.0	4.8	4.8
Percentage of total (%)	11	7	7	5	5	4	3	7	6	6
Other businesses	362	274	43	47	49	52	21	21	3	3
YoY Growth (%)	1,132.0	(24.2)	(84.4)	10.0	5.0	5.0	169.6	169.6	(80.5)	(80.5)
Percentage of total (%)	2	1	0	0	0	0	0	0	0	0
Segment gross margin (%)										
Electronic process equipment	38.0	41.5	39.2	40.4	42.6	43.3	40.5	39.0	40.5	41.1
Electronic component	65.7	60.3	53.0	49.0	50.5	52.0	57.5	41.7	56.0	45.3

Source: Company data, Nomura estimates

Fig. 249: NAURA Technology – Balance sheet forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Cash and cash equivalent	12,229	12,385	17,183	15,469	18,473	24,424
Restricted cash	222	11	154	169	186	205
Financial assets - S/T	-	-	42	46	51	56
Notes receivable	945	855	1,073	1,288	1,546	1,855
Account receivable	3,767	6,236	8,217	9,422	10,849	12,249
Prepayment	1,480	909	863	1,036	1,243	1,491
Other receivables	65	114	112	168	252	378
Inventory	16,992	23,635	28,627	35,576	39,576	49,232
Contract assets	285	479	542	650	715	786
Other current assets	2,241	2,046	2,508	2,645	2,802	2,983
Current assets	38,226	46,669	59,321	66,469	75,692	93,659
Financial assets - L/T	106	213	635	666	700	735
Equity method investment	3	66	300	336	336	336
PP&E - net	3,352	6,314	7,568	8,283	8,864	9,365
Construction in progress	2,027	53	452	653	1,008	1,479
Right-of-use assets	215	241	268	245	227	214
Intangible assets	2,547	4,710	10,520	12,181	13,457	14,417
Development costs	6,323	5,968	6,716	6,268	5,955	5,736
Goodwill	27	38	2,386	2,386	2,386	2,386
L/T Accrued expenses	125	182	172	171	170	169
Deferred tax asset	450	712	1,239	1,301	1,366	1,434
Other non-current assets	223	1,199	224	293	389	524
Non-current assets	15,399	19,696	30,480	32,783	34,860	36,796
Total assets	53,625	66,366	89,801	99,251	110,553	130,455
S/T Borrowing	23	94	319	223	156	109
Notes payables	1,741	2,025	3,741	3,928	4,124	4,330
Account payables	6,117	10,276	11,803	14,039	15,637	22,491
Advanced receipts	53	50	47	48	49	50
Contract liabilities	8,317	6,220	4,291	6,118	7,615	9,147
Employee benefits payables	999	1,253	1,690	2,142	2,548	3,123
Tax payables	209	384	586	615	646	678
Other payables	367	398	1,219	1,317	1,422	1,536
Non-current liabilities within 1 year	39	2,127	1,552	1,552	1,552	1,552
Other current liabilities	1,218	977	932	1,025	1,128	1,240
Total current liabilities	19,083	23,805	26,180	31,006	34,878	44,258
L/T Borrowing	5,835	3,946	12,973	10,538	8,103	5,668
Lease liabilities	142	171	172	178	186	193
Deferred income	3,735	5,835	5,915	6,211	6,521	6,847
Deferred tax liabilities	4	1	487	487	487	487
Other non-current liabilities	-	68	147	147	147	147
Total non-current liabilities	9,717	10,021	19,693	17,561	15,443	13,342
Total liabilities	28,800	33,826	45,873	48,567	50,321	57,599
Share capital	530	534	725	725	725	725
Capital reserve	14,971	16,427	17,966	17,966	17,966	17,966
Treasury stock	(45)	-	-	-	-	-
Other comprehensive income	7	11	(31)	(31)	(31)	(31)
Statutory reserves	128	216	265	415	624	900
Retained earnings	8,776	13,895	18,802	25,608	35,097	47,545
Other capital adjustments	-	-	-	-	-	-
Equity attributable to Company	24,367	31,082	37,726	44,683	54,380	67,104
Minority interests	458	1,458	6,202	6,002	5,852	5,752
Total equity	24,825	32,540	43,928	50,684	60,232	72,855
Total equity and liabilities	53,625	66,366	89,801	99,251	110,553	130,455

Source: Company data, Nomura estimates

Fig. 250: NAURA Technology – Statement of cash flow forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Profit before taxation	4,466	6,533	5,845	8,050	11,443	15,187
Provision for impairment loss	100	228	316	-	-	-
D&A expenses	730	1,071	1,567	2,090	2,431	2,747
Depreciation of PP&E	229	315	441	485	533	579
Depreciation of Right-of-use assets	97	64	64	73	67	63
Amortization of Intangible assets	368	631	981	1,430	1,731	2,004
Amortization of Accrued expenses	36	61	81	102	100	101
Finance cost	151	168	255	200	180	165
Investment income	-	(1)	5	16	-	-
Share of JV and associate	(1)	(2)	1	(36)	-	-
Inventory - decrease	(3,968)	(6,550)	(5,056)	(6,949)	(3,999)	(9,656)
Account receivables - decrease	(1,166)	(1,787)	(2,866)	(1,205)	(1,428)	(1,400)
Account payables - increase	1,810	2,234	1,197	2,235	1,598	6,855
Deferred tax asset - decrease	(87)	(258)	(527)	(62)	(65)	(68)
Deferred tax liabilities - increase	2	(3)	486	-	-	-
Tax paid	(517)	(1,080)	(477)	(741)	(1,144)	(1,519)
Others	847	1,000	1,387	2,278	1,863	1,944
Net cash flows from operating activities	2,365	1,552	2,133	5,877	10,879	14,254
Capex - total	(1,980)	(2,082)	(2,262)	(2,300)	(2,420)	(2,550)
investments related - net	(70)	(166)	(495)	(52)	(38)	(40)
Acquisition - net	(8)	(6)	(2,017)	-	-	-
Disposal of assets	0	7	841	-	-	-
Others	-	-	3	(1,963)	(1,990)	(2,029)
Net cash flows from Investing activities	(2,058)	(2,248)	(3,929)	(4,315)	(4,448)	(4,619)
Share issuance	99	438	473	-	-	-
Capital injection from MI	113	842	12	-	-	-
Debt raised (repaid)	1,888	133	7,156	(2,531)	(2,502)	(2,482)
Interest paid	(152)	(203)	(341)	(200)	(180)	(165)
Dividend paid	(236)	(414)	(567)	(552)	(751)	(1,045)
Others	(66)	(66)	(126)	7	7	7
Net cash flows from financing activities	1,647	729	6,607	(3,276)	(3,426)	(3,684)
Net cash flows	1,954	33	4,812	(1,714)	3,004	5,951
Effect of FX	14	5	(14)	-	-	-
Cash and cash equivalents - beg	10,261	12,347	12,385	17,183	15,469	18,473
Cash and cash equivalents - end	12,229	12,385	17,183	15,469	18,473	24,424
Free cash flow (FCF)	385	(530)	(128)	3,577	8,459	11,704

Source: Company data, Nomura estimates

Key risks

Customer concentration: NAURA's key customer base is concentrated among major domestic foundries, memory makers, and IDMs. Therefore, its customers' capex outlook and capacity expansion plans directly impact its order and sales outlook.

Chinese fab capex slowdown: A slowdown in Chinese fab capex, particularly among memory manufacturers (YMTC, CXMT) and advanced logic producers (SMIC, HLMC) would negatively impact the order and sales outlook of Chinese equipment vendors, including NAURA.

Component shortage and supply constraints: While the overall component localization rate exceeds 50%, critical and high-end equipment components are still mainly supplied by overseas suppliers (Japan, Europe, US). Therefore, a failure to acquire adequate component supplies (overseas suppliers, or domestic alternatives) could disrupt equipment delivery schedules, and hence impact sales.

Intensified competition: AMEC's expertise in etching and LPCVD, Piotech's expertise in PECVD/ALD, ACM Research's capabilities in cleaning and ECD (along with its new PECVD pipeline), and Hwatsing's Plasma-enhanced chemical vapor deposition (PECVD) / ALD (Atomic layer deposition) pipeline, are all increasing competition in the etching and Chemical vapor deposition (CVD) segments.

US sanctions escalation: Escalating US export controls on critical high-end tools could potentially impact Chinese fab capacity expansion plans, and consequently impact the order and sales outlook of equipment suppliers.

Technology strength and R&D: Leading-edge deposition processes demand high performance in uniformity and precision, which requires substantial R&D investment to maintain technological strength and competitive moats. Therefore, a failure to sustain R&D momentum will potentially cause market share loss and margin compression.

EQUITY: TECHNOLOGY

Time to revisit: uptrend just started

Wafer industry in upcycle, pricing and utilization improving; SOI wafer sole domestic beneficiary

Resume coverage of NSIG with Buy rating and target price of CNY36.20

We resume coverage on Nation Silicon Industry Group (NSIG) with a Buy rating. Our TP of CNY36.20 is based on a target multiple of 20.0x forward EV/sales (which is around 2SD above its historical average; the stock had traded at an average of 15.0x in the industry downcycle, and we think 20.0x in the industry upcycle is fair) and our forecast of CNY6.7bn revenue in 2027F. We believe NSIG deserves a higher valuation given that: (1) we expect the company's sales growth rate to be higher than the industry average; (2) the company has wide product coverage spanning from 200mm to 300mm, and from wafer to SOI (silicon on insulator); and (3) China's memory and advanced process fab capacity expansion needs more domestic wafer supply to support production. Financially, we forecast NSIG to record a revenue CAGR of ~28% over 2025-28F, driven by strong growth in 300mm wafer and stable growth in 200mm. We expect gross loss to turn around from 2027F. We forecast the its net loss margin to continue narrowing with higher sales, but operating cash flow to remain positive after turning in 2Q26, as depreciation accounts for a large portion of its production cost and expense. Key risks to our TP include: price recovery failing to materialize, overcapacity concerns, prime-wafer qualification slips, and slowing demand.

China's silicon wafer supplier with the widest product coverage

NSIG is a dominant Chinese silicon wafer supplier, with a domestic market share of ~14% in 2025 and ranked no. 2, according to our estimates (after global leader Shin-Etsu [4063 JP, Neutral]). By end-1H26, NSIG had total 300mm wafer capacity of 1mn per month, 200mm wafer capacity (polished and epitaxial) of 500k per month, and 200mm SOI wafer capacity of 65k per month. Besides, it has 300mm SOI capacity in pilot production. NISG's product offerings span from 200mm to 300mm, from test wafer to prime wafer, and from regular wafer to SOI. It is the only Chinese supplier with SOI capability, partnering closely with Soitec (SOI FP, Buy).

Wafer market in upcycle and NSIG's deep customer relations

After years of downcycle and pricing pressure, the overall silicon wafer industry is now back on an uptrend, with stable pricing during 4Q25-1Q26 and slight improvement from 2Q26. Leading players are seeing an increase in pricing. Demand for wafer remains strong in fabs and memory makers, driven by strong AI. NSIG's capacity qualification is progressing well. Furthermore, its existing major customers include domestic foundries, memory makers and power IDMs, as well as leading overseas ones. Its Taiyuan facility also added 22 new customers and 42 new production-qualified products in 1H26, and a leading European IDM was qualified for 300mm prime wafers. Customer depth is one of NSIG's key moats, in our view.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	3,716	0	5,086	0	6,677	0	7,774	
Reported net profit (mn)	-1,508	0	-1,656	0	-1,049	0	-796	
Normalised net profit (mn)	-1,508	0	-1,656	0	-1,049	0	-796	
FD normalised EPS	-53.90c		-49.41c		-31.29c		-23.76c	
FD norm. EPS growth (%)	-		-		-		-	
FD normalised P/E (x)	-	-	-	-	-	-	-	
EV/EBITDA (x)	-	-	31.9	-	13.5	-	9.9	
Price/book (x)	4.6	-	4.3	-	4.5	-	4.7	
Dividend yield (%)	-	-	-	-	-	-	-	
ROE (%)	-10.3		-9.4		-6.0		-4.8	
Net debt/equity (%)	19.0		31.3		52.8		62.9	

Source: Company data, Nomura estimates

Rating
Up from Neutral

Buy

Target price
Increased from
CNY 30.00

CNY 36.20

Closing price
30 September
2026

CNY 23.38

Implied upside

+54.8%

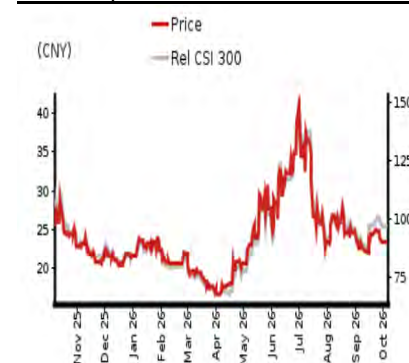
Market Cap (USD mn)

1,013.7

ADT (USD mn)

434.2

Relative performance chart



Source: LSEG, Nomura

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Key data on National Silicon Industry Group

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-5.3	-41.4	-9.4	M cap (USDmn)	1,013.7
Absolute (USD)	-5.1	-40.7	-3.7	Free float (%)	52.0
Rel to CSI 300	0.4	-28.9	-3.3	3-mth ADT (USDmn)	434.2

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	3,388	3,716	5,086	6,677	7,774
Cost of goods sold	-3,692	-4,350	-5,309	-6,144	-6,850
Gross profit	-304	-634	-223	533	924
SG&A	-659	-769	-1,115	-1,426	-1,615
Employee share expense					
Operating profit	-963	-1,403	-1,338	-892	-691
EBITDA	1	-71	504	1,395	2,007
Depreciation	-906	-1,282	-1,783	-2,217	-2,619
Amortisation	-58	-49	-59	-70	-79
EBIT	-963	-1,403	-1,338	-892	-691
Net interest expense	-110	-101	-320	-310	-300
Associates & JCEs	145	33	-15	10	20
Other income	-237	-418	-146	-45	20
Earnings before tax	-1,164	-1,889	-1,819	-1,237	-951
Income tax	43	79	73	124	95
Net profit after tax	-1,122	-1,810	-1,746	-1,114	-856
Minority interests	151	302	90	65	60
Other items					
Preferred dividends					
Normalised NPAT	-971	-1,508	-1,656	-1,049	-796
Extraordinary items					
Reported NPAT	-971	-1,508	-1,656	-1,049	-796
Dividends	-110	0	0	0	0
Transfer to reserves	-1,080	-1,508	-1,656	-1,049	-796

Valuations and ratios

Reported P/E (x)	—	—	—	—	—
Normalised P/E (x)	-66.2	-43.4	-46.6	-73.6	-96.9
FD normalised P/E (x)	—	—	—	—	—
Dividend yield (%)	—	—	—	—	—
Price/cashflow (x)	—	—	89.1	52.3	27.9
Price/book (x)	5.2	4.6	4.3	4.5	4.7
EV/EBITDA (x)	111.8	—	31.9	13.5	9.9
EV/EBIT (x)	—	—	—	—	—
Gross margin (%)	-9.0	-17.1	-4.4	8.0	11.9
EBITDA margin (%)	0.0	-1.9	9.9	20.9	25.8
EBIT margin (%)	-28.4	-37.7	-26.3	-13.4	-8.9
Net margin (%)	-28.6	-40.6	-32.6	-15.7	-10.2
Effective tax rate (%)	—	—	—	—	—
Dividend payout (%)	—	—	—	—	—
ROE (%)	-7.1	-10.3	-9.4	-6.0	-4.8
ROA (pretax %)	-7.4	-4.8	-4.2	-2.5	-1.8

Growth (%)

Revenue	6.2	9.7	36.9	31.3	16.4
EBITDA	-99.9	-9,477.0	—	176.5	43.8
Normalised EPS	—	—	—	—	—
Normalised FDEPS	—	—	—	—	—

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1	-71	504	1,395	2,007
Change in working capital	-836	1,728	119	-100	549
Other operating cashflow	48	-2,216	256	203	250
Cashflow from operations	-788	-559	880	1,498	2,805
Capital expenditure	-5,069	-4,909	-4,897	-4,512	-3,702
Free cashflow	-5,857	-5,468	-4,017	-3,014	-897
Reduction in investments	930	133	-958	29	43
Net acquisitions	0	-324	15	-10	-20
Dec in other LT assets	81	541	128	246	565
Inc in other LT liabilities	9	-113	375	168	185
Adjustments	-67	-401	-554	-466	-804
CF after investing acts	-4,904	-5,633	-5,010	-3,047	-929
Cash dividends	-110	0	0	0	0
Equity issue	0	2,092	2,059	0	0
Debt issue	806	2,288	1,055	2,277	1,721
Convertible debt issue					
Others	1,728	2,106	1,696	-303	-293
CF from financial acts	2,424	6,485	4,809	1,974	1,428
Net cashflow	-2,480	852	-200	-1,073	499
Beginning cash	5,180	2,700	3,553	3,352	2,279
Ending cash	2,700	3,553	3,352	2,279	2,778
Ending net debt	2,614	3,218	5,673	9,024	10,246

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,700	3,553	3,352	2,279	2,778
Marketable securities	226	160	169	177	186
Accounts receivable	975	906	1,323	1,531	1,792
Inventories	1,542	1,966	2,165	2,549	2,669
Other current assets	3,627	3,759	3,519	3,281	2,852
Total current assets	9,070	10,344	10,527	9,816	10,277
LT investments	2,276	1,504	2,445	2,455	2,475
Fixed assets	9,245	14,069	17,168	19,611	21,174
Goodwill	789	419	419	419	419
Other intangible assets	555	656	807	898	970
Other LT assets	7,335	6,795	6,666	6,420	5,856
Total assets	29,270	33,787	38,032	39,619	41,170
Short-term debt	521	1,265	1,518	3,795	4,554
Accounts payable	474	557	752	763	964
Other current liabilities	2,808	4,940	5,240	5,483	5,784
Total current liabilities	3,803	6,763	7,510	10,042	11,302
Long-term debt	4,793	5,506	7,507	7,507	8,469
Convertible debt					
Other LT liabilities	1,472	1,359	1,734	1,903	2,088
Total liabilities	10,068	13,627	16,751	19,452	21,859
Minority interest	6,902	3,235	3,145	3,080	3,020
Preferred stock					
Common stock	2,747	3,305	3,305	3,305	3,305
Retained earnings	1,265	-242	-1,898	-2,947	-3,743
Proposed dividends					
Other equity and reserves	8,287	13,862	16,729	16,729	16,729
Total shareholders' equity	12,299	16,925	18,136	17,088	16,291
Total equity & liabilities	29,270	33,787	38,032	39,619	41,170

Liquidity (x)

Current ratio	2.38	1.53	1.40	0.98	0.91
Interest cover	-8.8	-13.9	-4.2	-2.9	-2.3

Leverage

Net debt/EBITDA (x)	3,449.22	—	11.25	6.47	5.11
Net debt/equity (%)	21.2	19.0	31.3	52.8	62.9

Per share

Reported EPS (CNY)	-35.30c	-53.90c	-50.15c	-31.75c	-24.12c
Norm EPS (CNY)	-35.30c	-53.90c	-50.15c	-31.75c	-24.12c
FD norm EPS (CNY)	-35.30c	-53.90c	-49.41c	-31.29c	-23.76c
BVPS (CNY)	4.48	5.12	5.49	5.17	4.93
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	83.1	92.4	80.0	78.0	78.2
Days inventory	147.8	147.2	142.0	140.0	139.4
Days payable	39.3	43.3	45.0	45.0	46.1
Cash cycle	191.7	196.3	177.0	173.0	171.5

Source: Company data, Nomura estimates

Company profile

National Silicon Industry Group (688126 CH; "NSIG" for short), founded in 2015, is a publicly listed Chinese semiconductor company headquartered in Shanghai. The company engages in the development and sale of semiconductor wafers. It is the largest domestic producer of semiconductor wafers in China. In 2016, NSIG acquired Finnish company, Okmetic. In the same year, NSIG acquired a 14.5% stake in French company, Soitec. On 20 April 2022, NSIG held its initial public offering becoming a listed company on the Shanghai Stock Exchange STAR Market. The offering raised USD341mn.

Valuation Methodology

Our target price of CNY36.20 is based on 20.0x forward EV/Sales multiple, and our 2027F revenue forecasts. The target multiple is around 2SD above its historical average; the stock had traded at an avg. of 15.0x in the industry downcycle, and we think 20.0x in the industry upcycle is fair. The reason for choosing EV/Sales include: (1) Chinese semi wafer vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: (1) price recovery fails to materialize; (2) demand weaker-than-expected from AI spending concerns; (3) slower-than-expected qualification and capacity ramp up; (4) intensified competition from domestic peers, especially for mid-to-low-end products; (5) geopolitical uncertainties impact its overseas sales and customer relations.

ESG

Environmental. Semiconductor wafer manufacturing is energy- and water-intensive by nature: crystal pulling runs continuously at high temperature, and polishing and cleaning consume large volumes of ultrapure water. NSIG's newest capacity (Taiyuan in particular) has been built to current standards, which is a genuine advantage over retrofitted legacy lines, and the group's 2025 annual report describes energy-consumption and emissions management as part of standard operations. The company does not yet publish a standalone ESG report with quantified Scope 1-3 emissions or time-bound reduction targets, which places it behind global peers: Siltronic and SUMCO both publish detailed decarbonisation roadmaps with 2030 and 2045-2050 milestones, and Siltronic reports a high recycled-water share. For investors applying an ESG screen, this is a disclosure gap rather than a proven performance gap, but it is a gap. **Social.** NSIG employed approximately 3,640 people at end-2025, up 19.6% year on year, and research headcount and R&D spending both rose sharply through the downturn (R&D up 32.6% in 2025 and 66.5% in 1H26). The company runs industry-academia collaborations with leading Chinese universities on crystal growth, polishing and SOI, and reports no material safety incidents. It has not published quantified safety, diversity or turnover KPIs. **Governance.** NSIG is a STAR Market listing with standard board committee structures and, unusually for a Chinese materials company, a genuinely international board-level exposure through the Okmetic business. The positive governance read is strategic consistency: management has maintained a single strategy through three years of deteriorating financials, backed by state shareholders willing to fund at the trough. The negative read is dilution: the repeated equity issuance and the 2025 minority buyout, while strategically sensible, have transferred value from public shareholders to the state bloc at low share prices. Related-party transactions with Shanghai Guosheng and with state-affiliated customers and suppliers warrant ongoing monitoring. **Net assessment.** NSIG's strongest ESG attribute is strategic: it is building capacity that Chinese semiconductor self-sufficiency requires, and its Okmetic subsidiary gives it a European manufacturing and compliance footprint. Its weakest attribute is disclosure — no standalone ESG report, no quantified emissions or safety targets. We expect improvement as the company approaches profitability and as institutional ownership broadens.

Investment summary

National Silicon Industry Group (688126 CH, “NSIG” for short; 沪硅产业 in Chinese) was founded in 2015, with a target to improve domestic semiconductor wafer industry capability. It was listed on the STAR Market on 20 April 2020. By end-1H26, NSIG had total 300mm wafer capacity of 1mn per month, 200mm wafer capacity (polished and epitaxial) of 500k per month, and 200mm SOI wafer capacity of 65k per month.

The group now spans six operating entities: (1) Shanghai Zing (上海新昇; 300mm polished and epitaxial wafers); (2) Jinke Silicon Materials in Taiyuan (太原晋科; the second 300mm base), (3) Shanghai Simgui (新傲科技; 200mm epitaxial and SOI wafers); (4) Okmetic (its acquired Finland subsidiary; specialty 200mm/150mm/100mm wafers); (5) Simgui Xinyi (新傲芯翼; 300mm SOI pilot); and (6) Xinju Polymer (新硅聚合; monocrystalline piezoelectric thin-film substrates).

We believe it is time to revisit NSIG, and we are positive on its sales growth and margin recovery. Our view is mainly based on the following:

- **The overall wafer industry is back to an uptrend:** As we discussed earlier, after years of downcycle and pricing pressure, the overall silicon wafer industry is now back on an uptrend, with pricing stable during 4Q25-1Q26 and slightly improved from 2Q26. Leader players are seeing pricing increasing and low-price LTA near end (renegotiation also benefit pricing). Demand for wafer remains strong among fabs and memory makers, driven by strong AI infrastructure build-out.
- **One of the largest in scale in China:** The company has already built a sizeable capacity. Its 300mm capacity reached 100kwpm by end-1H26 across Shanghai and Taiyuan, and target to reach 120kwpm by end-2026E, with further upside potential. Besides, with the capex already incurred, we expect incremental capex intensity to reduce now.
- **SOI capability:** NSIG is now the only Chinese vendor that can supply SOI wafers, with 200mm in volume production, and 300mm in pilot production. Through its close relationship with Soitec (SOI FP, Buy), it has licensed the latter's leading SOI technology “Smart Cut”. We think SOI will be soon be driven by an increase in silicon photonics demand, resulting in a higher-than-overall-market growth rate. And, NSIG may be the only beneficiary among Chinese vendors, in our view.
- **Capacity qualification is progressing well, with loading improving:** NSIG's Taiyuan facility added 22 new customers and 42 new production-qualified products in 1H26 alone, and a leading European IDM was qualified for 300mm prime wafers. Prime wafer sales are rising, driving up the blended ASP (prime wafers usually have higher prices than test wafers).
- **Margin recovery amid upcycle:** Its gross margin has recovered q-q in the past two quarters, from -22.9% in 4Q25 to -5.3% in 2Q26. With pricing improving and product mix shifting towards 300mm (higher ASP), we expect its margins to continue improving.
- **Cash flow has turned, indicating a signal for profit turn:** NSIG's operating cash flow swung from a negative CNY462mn in 1H25 to positive CNY179mn in 1H26, helped by higher sales. Although we expect a loss at the net level, we model positive operating cash flows in 2026-28F as depreciation accounts for a large portion of its cost and expense.

Financially, we forecast NSIG to record a revenue CAGR of ~28% in 2025-28F driven by strong growth in 300mm wafer and stable growth in 200mm. We expect gross loss to turn around from 2027F. We forecast its net loss margin to continue narrowing with an increase in sales.

We resume coverage on NSIG with a **Buy** rating. Our target price of **CNY36.20** is based on a target multiple of **20.0x forward EV/sales**, and our forecast of CNY6.7bn in revenue in 2027F. NSIG has been trading at a premium to local peers because of its strong technology capabilities, wide product coverage, and deep customer relations. We believe this valuation premium will continue over the next few years as the positives remain.

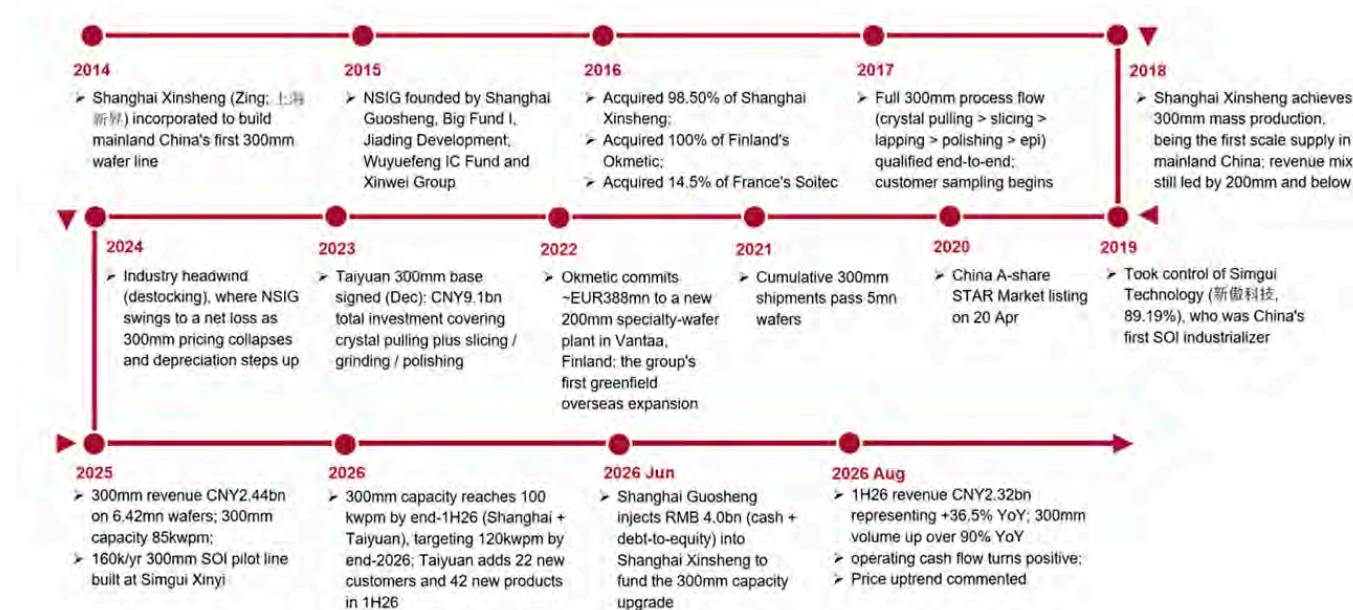
Company overview: prominent semiconductor wafer player in China

Company history and shareholding structure

National Silicon Industry Group was founded in 2015, with a target to improve domestic semiconductor wafer industry capability. It was listed on the STAR Market on 20 April 2020 with ticker of 688126 CH. By end-1H26, NSIG had total 300mm wafer capacity of 1mn per month, 200mm wafer capacity (polished and epitaxial) of 500k per month, and 200mm SOI wafer capacity of 65k per month.

The group now spans six operating entities: (1) Shanghai Zing (上海新昇; 300mm polished and epitaxial wafers); (2) Jinke Silicon Materials in Taiyuan (太原晋科; the second 300mm base), (3) Shanghai Simgui (新傲科技; 200mm epitaxial and SOI wafers); (4) Okmetic (its acquired Finland subsidiary; specialty 200mm/150mm/100mm wafers); (5) Simgui Xinyi (新傲芯翼; 300mm SOI pilot); and (6) Xinju Polymer (新硅聚合; monocrystalline piezoelectric thin-film substrates).

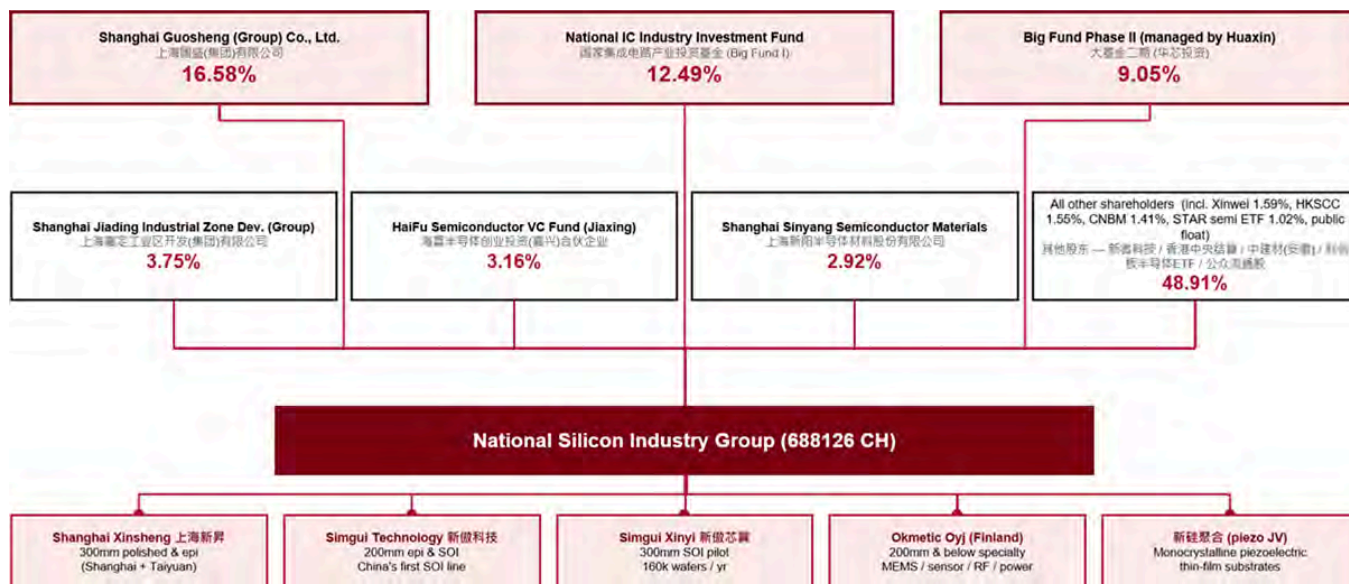
Fig. 251: NSIG corporate history



Source: Company data, Nomura research

NSIG's shareholding is dominated by Shanghai-state vehicles (Shanghai Guosheng Group and its affiliates) and by the National IC Investment Fund.

Fig. 252: NSIG shareholding structure as of Jun-26



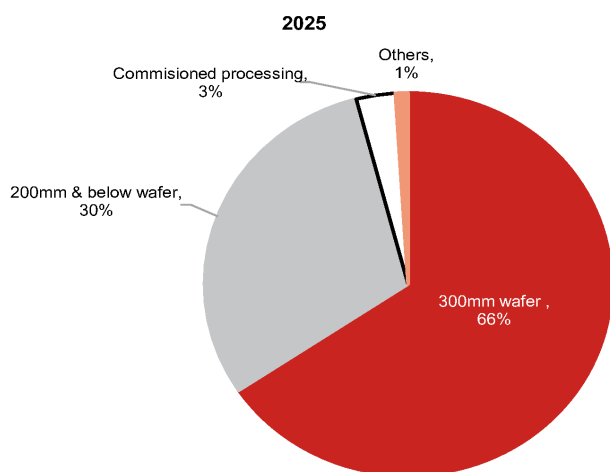
Source: Company data, Nomura research

Business segments and product portfolio

NSIG is one of a few wafer makers globally that can supply polished, epitaxial and SOI products across 300mm, 200mm and 150mm. Considering that a fab qualifying a new wafer supplier prefers a single partner across multiple product lines, and qualification is the industry's most expensive switching cost, we view NSIG's broad portfolio as an important competitive advantage.

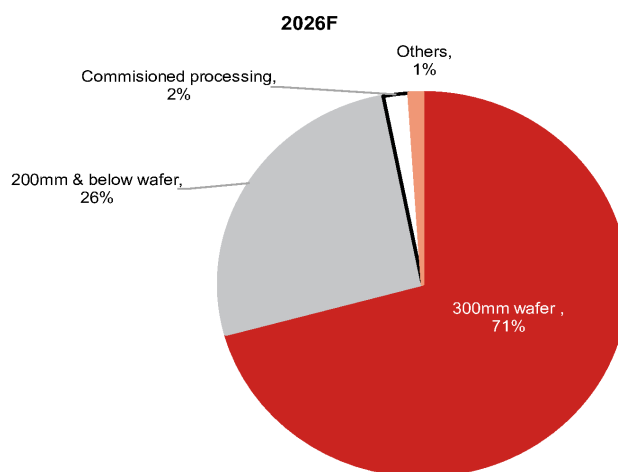
NSIG reported revenue mainly in three main segments: (1) 300mm wafers, which include revenue from the Shanghai Zing and Taiyuan Jinke; (2) 200mm & below wafers, which consists of revenue from Shanghai Singui and Okmetic, including polished wafers, epitaxial wafers, and SOI wafer; and (3) commissioned processing, which is the net revenue from SOI processing for Soitec.

Fig. 253: NSIG revenue split by segment



Source: Company data, Nomura estimates

Fig. 254: NSIG revenue split by segment



Source: Company data, Nomura estimates

300mm is the major growth engine: 300mm wafers are also called 12-inch wafers, widely used in advanced logic, memory, and high-end power & analog. In 2025, NSIG shipped 6.42mn 300mm wafers, up 27.0% y-y, generating CNY2,439mn of revenue, up 15.8%. Volume was up 27% y-y in 2025, indicating that price down roughly 9%. During 2025, the company developed more than 160 new product specifications and brought nearly 60 of them into mass production, and 300mm products now cover logic, memory, CIS and power. Its ongoing development specifically targets the segments with the

strongest pricing: ultra-low-resistivity 300mm for high-power and EV traction, high-specification logic 300mm for AI datacenter, 300mm dToF for automotive LiDAR and robotics, and 300mm SOI for RF and silicon photonics.

200mm in stable status: The 200mm & below segment generated CNY1,125mn of revenue in 2025, up 7.5% y-y, with combined polished and epi capacity of more than 500kwp. Products cater to the power, analog, MCU and sensor customers that are structurally less cyclical.

We expect SOI and new materials to provide future upside: The 300mm SOI pilot line at Simgui Xinyi now has a capacity of roughly 300k wafers per year by end-1H26, with high-voltage and silicon-photonics products in small-batch production. NSIG has held roughly 14.5% of Soitec since 2016, giving it a technology partner rather than a competitor. Furthermore, Xinju Polymer's monocrystalline piezoelectric thin-film substrate line was completed on schedule, which is an early but genuinely new materials business.

Fig. 255: NSIG product offerings and key applications (shaded ones are newly ramping up products)

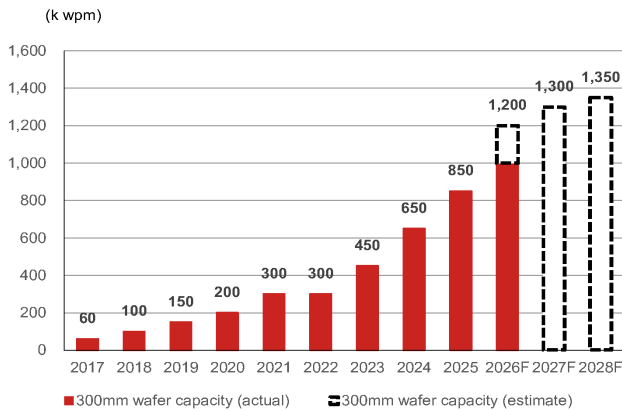
Product Category	Product / Platform	Wafer Size	Device / Application Types	Process Node / Coverage	Key Applications & 2025-26 Status
300mm Polished Wafers	300mm polished wafer; for logic / memory grade	300mm (12")	Logic (CPU / GPU / SoC); Memory (DRAM, 3D NAND); CIS	65nm to 28nm in volume; 20-14nm qualified under the national 02 programme; 14nm and below in customer verification	Full logic-process and memory-process coverage and full coverage of China's major customers; 6.42mn wafers shipped in 2025 (+27% YoY); 1H26 volume up more than 90% YoY
	300mm ultra-low-resistivity wafer (high-power)	300mm	Power (IGBT / MOSFET modules); automotive	Specialty (heavily doped)	Key 2025-26 development targeting high-power AI datacenter and EV traction applications; fills a domestic special-specification gap
	300mm high-specification logic wafer (high-compute)	300mm	AI / HPC logic; datacentre	Advanced logic (14nm and below in verification)	Key development programme for AI datacenter demand; the spec set most exposed to the 2026-27 global price recovery
	300mm dToF wafer (LiDAR / physical AI)	300mm	Automotive LiDAR; robotics; physical AI	Specialty	Key development programme; also targeted at AI datacentre optical sensing
	Taiyuan (Jinke Silicon) 300mm output	300mm	Logic; Memory; Power; CIS	28nm and above ramping	22 new customers and 42 new production-qualified products added in 1H26; prime-wafer batch sales started 2025
300mm Epitaxial Wafers	300mm epi wafer; for logic / memory	300mm	Logic; Memory; Power; CIS	28nm and above in volume	Deposited on in-house polished substrates; epi carries a 20-30% price premium over polished and is the first beneficiary of the 2026-27 price recovery
300mm SOI	300mm SOI pilot line (Simgui Xinyi)	300mm	RF-SOI (front-end modules); high-voltage power; silicon photonics	SOI (device-layer dependent)	~300k wafers/year pilot line built; high-voltage and silicon-photonics products in small-batch production; 2025-26 focus is volume landing and market validation
200mm & below Polished / Epi	200mm polished & epi wafer (Simgui + Okmetic)	200mm (8")	Power; analog; MCU; image sensor; automotive	0.35um to 90nm equivalent	>500k wafers/month combined polished + epi capacity across the group; 1H26 volume +16% YoY
	150mm and below polished & epi wafer	<150mm	Power discrete; sensor; specialty	Legacy	Legacy cash-generative lines; steadily being de-emphasised in favour of 300mm
200mm & below SOI	200mm SOI wafer (Simgui)	200mm / 150mm	RF-SOI; FD-SOI; power; MEMS	SOI	~65k wafers/month group SOI capacity; four SOI technologies mastered (SIMOX, Bonding, Simbond, Soitec-licensed Smart Cut)
	Okmetic 200mm specialty wafer (Vantaa new plant)	200mm / 150mm / 100mm	MEMS; sensors; RF filters (BAW/SAW); power; automotive	Specialty / custom	~EUR388mn new Vantaa plant; trial line-through from 2Q25; custom, high-value, small-lot model that differentiates from the big-five commodity wafer suppliers
Specialty Materials	Monocrystalline piezoelectric thin-film substrates (Xinju)	150mm / 200mm	RF filters; acoustic devices; optical; MEMS	N/A	Revenue more than doubled in 2025; part of the group's second curve

Source: Company data, Nomura research

Capacity: 300mm to see further expansion

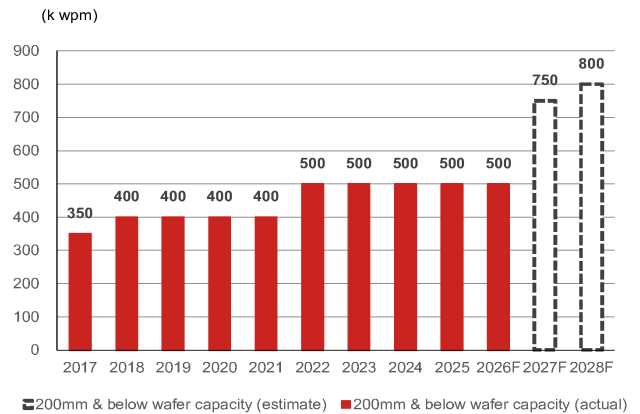
By end-1H26, NSIG had a total installed capacity of 1mn wafers per month across its Shanghai and Taiyuan bases (vs 850k wafers per month by end-2025), and it targets a capacity of 1.2mn by end-2027E. Excluding some trial lines and R&D lines, we estimate the 300mm utilization rate exceeded 90% in 1H26 (vs high-80% in 2025). For 200mm & below, NSIG has around 500k wafers per month of capacity in Simgui, including polished and epitaxial wafers, and another 65k wafers per month of capacity for 200mm SOI. Besides, the company also has some trial line capacity for 300mm SOI wafers of around 300k wafers annually (~25kwp) in Simgui Xinyi.

Fig. 256: NSIG 300mm wafer monthly capacity



Source: Company data, Nomura estimates

Fig. 257: NSIG 200mm wafer monthly capacity



Source: Company data, Nomura estimates

Customer base covering major domestic overseas fabs

NSIG's customer list is strong, with major domestic customers including SMIC (981 HK, Neutral), HuaHong Group (Hua Hong Grace [1347 HK, Neutral] and HLMC [unlisted]), YMTC (unlisted), CXMY (688825 CH, Buy), CR Micro (688396 CH, Not rated), etc., and major overseas customers including TSMC (2330 TT, Buy), UMC (2303 TT, Buy), STMicroelectronics (STMPA FP, Not rated) and Vishay (VSH US, Not rated). NSIG is among the largest suppliers to YMTC's 300mm lightly-doped wafer supply.

NSIG's customer concentration is relatively less, with the largest customer accounting for 13%/11% of revenue in 2024/25, and the top-five customers accounting for 40%/36% of total revenue in 2024/25. By our estimate, memory customers contribute the largest volume share of around 60-65%, mostly polished wafers; logic customers roughly contribute 30-35% of volume, but with the most number of customers, mainly for epitaxial wafers; power & analog IDMs contributed around ~5% of total volume.

Fig. 258: NSIG's key customers

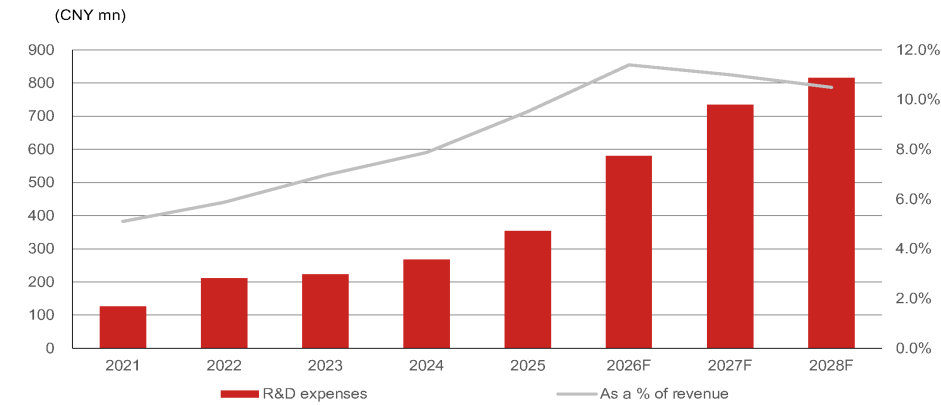
Group	Customer	Segment	Relationship / Status	Key Detail
Domestic major customers	SMIC	Logic foundry	Anchor domestic customer; multi-year supply relationship since the qualification of Xinsheng's 300mm line	Mainland China's largest foundry and the single largest pull on domestic 300mm wafer demand; NSIG supplies polished and epi wafers across 28nm-and-above mature and specialty nodes
	YMTC	NAND memory	Largest share position of any domestic wafer maker; qualified across multiple 3D NAND generations	Very large supply share of YMTC's 300mm lightly-doped wafer; 3D NAND is the most layer-intensive consumer of polished wafers
	CXMT	DRAM memory	Qualified supplier across DDR4/DDR5 generations	DRAM capacity is the single largest incremental driver of mainland 300mm demand to 2030E
	Hua Hong Grace	Specialty foundry (power, MCU, CIS, eNVM)	Long-standing 200mm and 300mm customer	Second-largest mainland foundry; heavily weighted to 200mm
	HLMC	Logic foundry	Domestic foundry customer; 300mm	Part of the Shanghai-state foundry complex and a direct beneficiary of the localization push
	CR Micro	IDM: power discrete, analog, MEMS	Domestic IDM customer; heavily 200mm-weighted	Power and analog exposure makes it a stable, less cyclical outlet for NSIG's 200mm-and-below lines
	Nexchip	Foundry: CIS, DDIC, logic	Domestic foundry customer; 300mm and 200mm	One of the fastest-expanding mainland 300mm foundries; CIS and display-driver demand complements NSIG's CIS-grade 300mm development programme
	Silan Micro	IDM: power discrete, analog, IPM	Domestic IDM customer; 200mm-weighted	Power and analog IDM with its own 300mm expansion; a natural customer for NSIG's ultra-low-resistivity 300mm development program
Overseas major customers	UMC	Mature-node specialty foundry	Qualified international customer; 200mm and 300mm	Mature-node specialist whose demand profile maps well onto NSIG's current 28nm-and-above segment
	TSMC	Leading-edge logic foundry	Qualified international tier-1 customer	On TSMC's qualified list; proof of capability
	STMicroelectronics	IDM: power, automotive, MCU, sensors	Qualified international IDM; supplied through both NSIG and Okmetic channels	European IDM relationships are the strategic rationale for the Okmetic (Finland) acquisition
	Vishay Intertechnology	IDM: discrete, power, analog	Qualified international IDM	Typical of the long-tail specialty IDM base that Okmetic serves and that carries structurally higher gross margin than commodity 300mm
	An European leading IDM (new, 1H26)	IDM: automotive / power (undisclosed)	NEW in 1H26: qualified as an approved supplier and secured 300mm prime-wafer orders	Flagged in the 2026 half-year report as a 300mm prime-wafer breakthrough: the most important single customer event in 1H26 because prime wafers carry far higher ASP and margin than test wafers
Emerging customers	Taiyuan new customers (22 added in 1H26)	Mixed	NEW: 22 customers and 42 production-qualified new products added at Taiyuan in 1H26 alone	Indicating capacity is being absorbed
	Okmetic long-tail specialty customer base (Finland)	Sensor, MEMS, analog, RF, power IDMs (Europe / US)	Serves high-mix, low-volume specialty niches	Key overseas sales channel

Source: Company data, Nomura research

R&D spending was CNY354mn in 2025, up 32.6% y-y, equal to 9.5% of revenue; CNY259mn in 1H26, up 66.5%, equal to 11.2% of revenue. As a technology and capital-intensive company, R&D is important for its development and future upside. Cumulative

granted patents reached 1,014 (697 invention) at 1H26, up from 957 at end-2025. The company’s stated priorities are 300mm SOI for RF, silicon photonics and high-voltage applications, plus crystal growth, slicing, grinding, polishing and epitaxy.

Fig. 259: NSIG: R&D expenses



Source: Company data, Nomura estimates

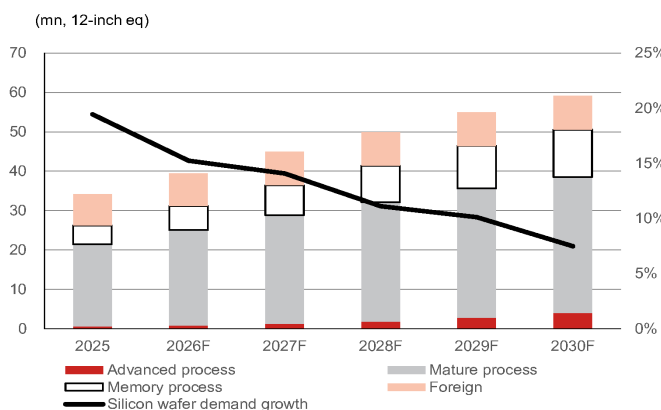
Competitive advantages and growth drivers

As a prominent semiconductor silicon wafer supplier in China, NSIG is now riding on the industry uptrend with sales growth and market share expansion opportunities. In our view, NSIG has the following unique advantages: (1) dominant domestic market share and technology capability; (2) industry upcycle has started and expected to last for years; (3) NSIG is one of the few internationalized Chinese wafer suppliers; and (4) technology partnership with Soitec (SOI FP, Buy).

One of the strong players in China with sizeable market share

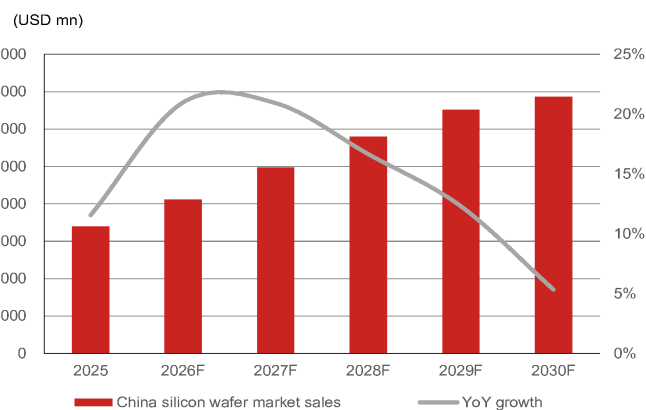
By our estimate, the overall semiconductor silicon wafer demand is expected to grow 21% in 2026F to USD4.1bn (from USD3.4bn in 2025), and maintain growth till 2030F with a CAGR of ~15% in 2025-2030F. However, despite a sizeable amount of capacity installed base in China, we estimate the overall utilization rate to be lower than 50%, mainly due to the following: (1) production line qualification requires time; (2) some high-end categories require additional time and adjustments; and (3) diverse supply-demand situation, where low-end products are in oversupply, and high-end products are in severe shortage. By our estimate, from a volume perspective, domestic suppliers are expected to supply around ~51% of total China silicon wafer demand (vs ~49% in 2025), and this ratio is expected to increase to ~62% with more capacity qualified and ramping up.

Fig. 260: China semiconductor silicon wafer demand volume



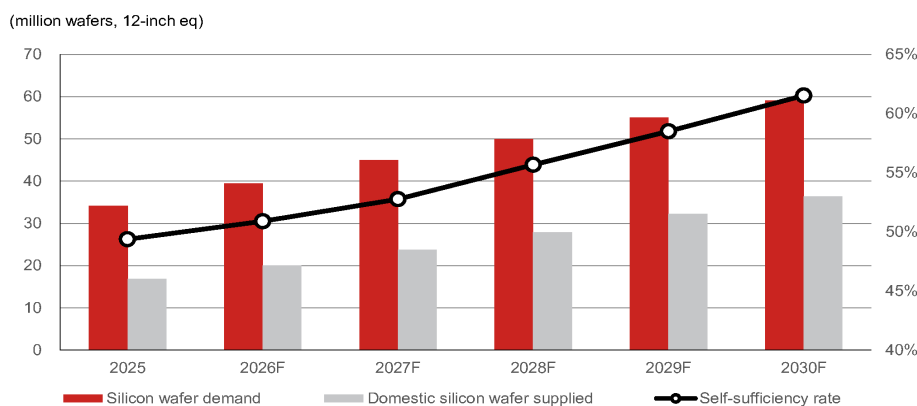
Source: Nomura estimates

Fig. 261: China semiconductor silicon wafer market size



Source: Nomura estimates

Fig. 262: China semiconductor silicon wafer supply and self-sufficiency rate

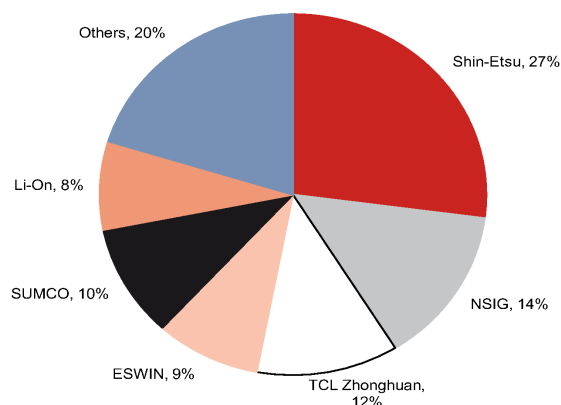


Source: Nomura estimates

Shin-Etsu, the global leader in semiconductor silicon wafer supply, is also taking up the largest market share in China, with a ~25% share in 2025 (see fig. 14 below). NSIG is the largest domestic supplier, with a market share of ~14% in 2025, followed by another two Chinese players TCL Zhonghuan (~13%; 002129 CH, Neutral) and ESWIN (~10%; 688783 CH, Not rated). Li-On (605358 CH, Not rated) ranked no.6 with a market share of

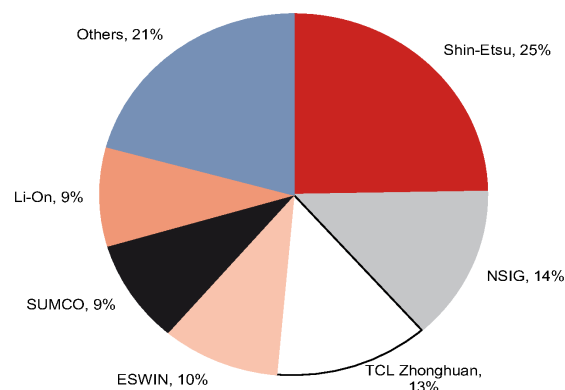
~9%.

Fig. 263: China silicon wafer market share estimate (2024)



Source: Company data, Nomura estimates

Fig. 264: China silicon wafer market share estimate (2025)



Source: Company data, Nomura estimates

Broad coverage spanning from 200mm to 300mm; and from polished wafer to SOI

NSIG has been closing the gap with the global leaders. On product coverage, it is now the most diversified Chinese wafer maker, running the only domestic 300mm SOI pilot line (scaled to ~300k wafers/yr capacity in 1H26 from ~160k at end-2025), and deploying 150mm piezoelectric-on-insulator substrates into production and delivery. These two specialty platforms are led by Soitec, who is also a partner of NSIG. That being said, NSIG is still behind Shin-Etsu, SUMCO and GlobalWafers in terms of node depth and customer quality. Japanese leaders are qualified into 2nm/3nm-class GAA (gate-all-around) production with full long-term agreements with TSMC (2330 TT, Buy), Samsung (005930 KS, Buy), Micron (MU, Not rated), SK Hynix (000660 KS, Buy) and Kioxia (285A JP, Buy), whereas NSIG is in mass production at 14nm.

Among domestic peers, NSIG is strong in terms of coverage broadness and process node qualification. Xi'an ESWIN Material (688783 CH, Not rated) is another strong domestic player with 8mn 300mm wafers shipped in 2025, 168 verified customers, and 121 qualified prime products, with volume supply into TSMC, Micron, Kioxia, GlobalFoundries (GFS US, Not rated), PSMC (6770 TT, Not rated), UMC, Winbond (2344 TT, Not rated) and Nanya (2408 TT, Not rated), plus first test-wafer shipments to Samsung and Toshiba (6588 JP, Neutral). But ESWIN is a 12-inch pure play with no SOI and no sub-200mm capacity. TCL Zhonghuan (002129 CH, Neutral) is a full-size (4 inch to 12 inch) domestic supplier, owns the zone-refined FZ high-resistivity (~80% domestic share) for IGBT and automotive; however, its ~700k wpm of 300mm falls behind NSIG and ESWIN, and group PV losses constrain capex. Li-On Micro (605358 CH, Not rated) is the smallest at 12-inch (300kwpm polished plus 150kwpm epi) but is the differentiated specialist, with heavy-doped/low-resistivity crystal and epi, and also the first domestic AEC-Q100 automotive-grade 300mm supplier for BYD (1211 HK, Buy) and NIO (NIO US, Buy).

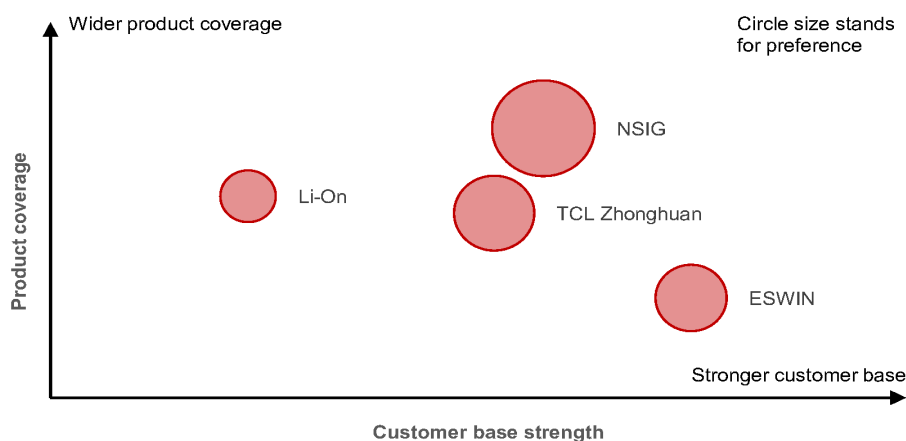
Fig. 265: Product coverage and capability comparison

Dimension	Shin-Etsu	SUMCO	GlobalWafers	NSIG	Xi'an ESWIN	TCL Zhonghuan	Li-On
Crystal growth & defect engineering							
300mm CZ single crystal, volume production	MASS	MASS	MASS	MASS	MASS	MASS	MASS
300mm MCZ / magnetic-field CZ (low oxygen, high resistivity)	MASS	MASS	MASS	MASS	N/A	N/A	N/A
Heavy-doped (low-resistivity) crystal	MASS	MASS	MASS	N/A	N/A	MASS	MASS
Zone-refined (FZ) ultra-high resistivity	MASS	NO	MASS	NO	N/A	MASS	N/A
COP-free / denuded-zone control at <=28nm nodes	MASS	MASS	MASS	QUALIFIED	QUALIFIED	QUALIFIED	QUALIFIED
Low-defect 300mm qualified for GAA / 2-3nm class	MASS	MASS	N/A	N/A	N/A	N/A	N/A
Wafering, polishing & cleaning							
300mm polished wafer (PW), volume production	MASS	MASS	MASS	MASS	MASS	MASS	MASS
Double-side polishing (DSP) / ultra-high flatness 300mm	MASS	MASS	MASS	QUALIFIED	QUALIFIED	QUALIFIED	QUALIFIED
Advanced cleaning; surface particle control at <=26nm	MASS	MASS	MASS	QUALIFIED	QUALIFIED	QUALIFIED	QUALIFIED
Edge geometry / edge-placement control for EUV multi-patterning	MASS	MASS	QUALIFIED	N/A	N/A	N/A	N/A
Value-added layers & specialty substrates							
300mm epitaxy (epi)	MASS	MASS	MASS	MASS	MASS	MASS	MASS
<=200mm epitaxy	MASS	MASS	MASS	MASS	NO	MASS	MASS
Annealed / hydrogen-annealed wafers	MASS	MASS	MASS	QUALIFIED	QUALIFIED	MASS	QUALIFIED
200mm SOI (bonded / Smart Cut)	MASS	QUALIFIED	EXITING by Jun-27	MASS	NO	NO	NO
300mm SOI	MASS	NO	EXITING by Jun-27	PILOT	NO	NO	NO
Piezoelectric-on-insulator (POI) / special substrates	N/A	N/A	N/A	MASS (150mm)	NO	NO	NO
Test / dummy / reclaimed wafers	MASS	MASS	MASS	MASS	MASS	MASS	MASS
Node qualification (mass production)							
>=28nm	MASS	MASS	MASS	MASS	MASS	MASS	MASS
14nm	MASS	MASS	MASS	MASS	N/A	QUALIFIED	MASS
7nm	MASS	MASS	MASS	N/A	N/A	N/A	N/A
5nm / 4nm	MASS	MASS	QUALIFIED	N/A	N/A	N/A	N/A
3nm / 2nm class	MASS	MASS	N/A	N/A	N/A	N/A	N/A

Source: Company data, Nomura research

In summary, NSIG wins on portfolio breadth and full-chain control; ESWIN is good at customer depth and scale, TCL Zhonghuan is good at FZ capability, and Li-On wins on specialty and auto.

Fig. 266: Comparison of major domestic silicon wafer vendors



Source: Nomura estimates

SOI wafer capacity a key advantage: NSIG the only potential supplier in China

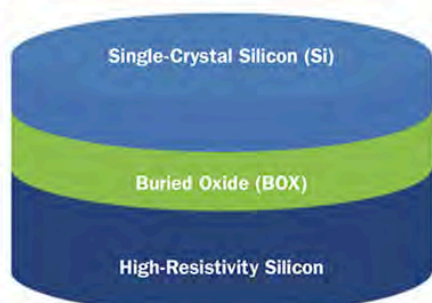
Driven by global AI leaders' buoyant demand for high-speed optical transceivers, as well as persistent component shortages (such as optical chips), we believe the component shortage for most products will continue into 2027F. Meanwhile, product innovation in the optical transceiver market is accelerating, and future technology trends including silicon photonics (SiPh), LPO/LRO, and NPO/CPO primarily target higher performance, lower energy consumption and costs. The 1.6T upgrade and SiPh migration are expected to be the key drivers, in our view. We think NPO/CPO technologies will continue to improve. If leading CPO solution providers use bundled sales strategies for their CPO switch products, which could accelerate adoption rates in scale out network in the medium term, while we believe there are more CPO use cases in the scale-up network in the long term.

Photonics SOI wafer is becoming an increasingly important material to build SiPh-based PIC, due to its scalability in most of the major foundries with lower cost per die. For example, under the same area size, photonics SOI wafer price is only 25% of InP substrate. Thus, we assume photonics SOI wafer demand will grow along with rising SiPh PIC demand in optical transceivers and CPO modules.

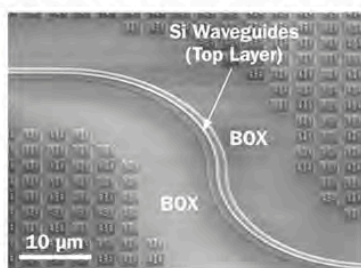
The reasons why silicon photonics need SOI include:

- Exceptional optical confinement enabled by the refractive index contrast between the layers, where in SOI wafer, the top silicon core has a high refractive index of approximately 3.5, while the underlying buried oxide layers has a significantly lower refractive index of around 1.45. This drastic difference creates a perfect environment for total internal reflection, which act as a "trap" that confines light entirely within the top silicon layer and prevents it from leaking into the substrate.
- Sub-micron optical waveguides: As the light is tightly bound, engineers can design and fabricate incredibly compact photonic components, such as splitters, modulators, and photodetector, directly on a chip. This high integration density is critical because it makes the optical components small enough to be compatible with existing CMOS fabrication lines.

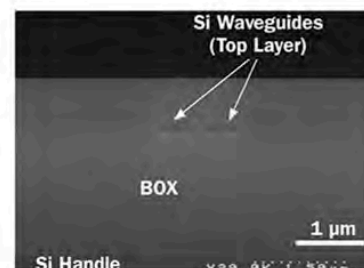
Fig. 267: SOI wafer needed in silicon photonics



A schematic view of a photonic SOI substrate



A tilted scanning electron microscopy view of a silicon waveguide fully etched into the top silicon layer



A cross-sectional SEM image of a twin-waveguide directional coupler etched into the top silicon layer

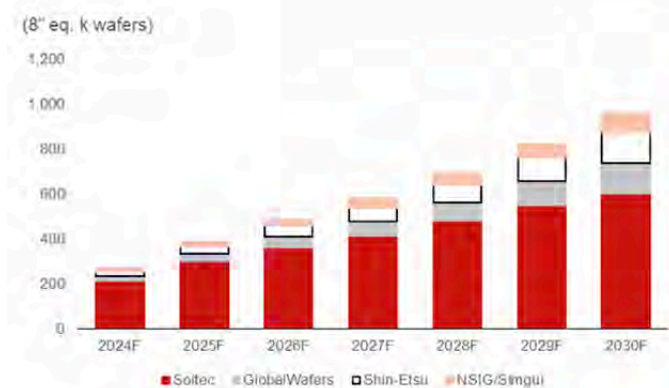
Source: CEA-Leti, Nomura research

We have analyzed the SOI wafer market in our Anchor Report "*Greater China Semi – A Guide to Semi renaissance in 2026-30F*" (published on 21 May 2026). As it is a niche market in terms of the volume shipments, we believe by 2030F, global photonics SOI wafer demand may only contribute a very small portion of total 12" semi wafer demand. However, the dollar content contribution would be much higher, in our view, since the ASP of photonics SOI wafer is 10x higher than that for 12" semi wafer.

Other than non-photonics SOI wafer, the rest of RF, FD and Power-SOI have been suffering from weak smartphone and automotive demand for more than one year already. However, downstream device vendors have been re-stocking those non-photonics SOI wafers since early 2Q26 due to the concern that AI applications will squeeze out the capacity for other applications. As a result, we believe the overall SOI wafer market

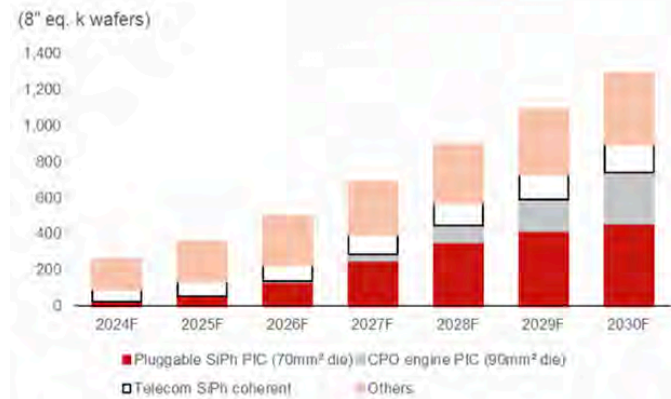
demand may recover faster than the overall wafer market.

Fig. 268: Photonics SOI wafer capacity by supplier



Source: Nomura research

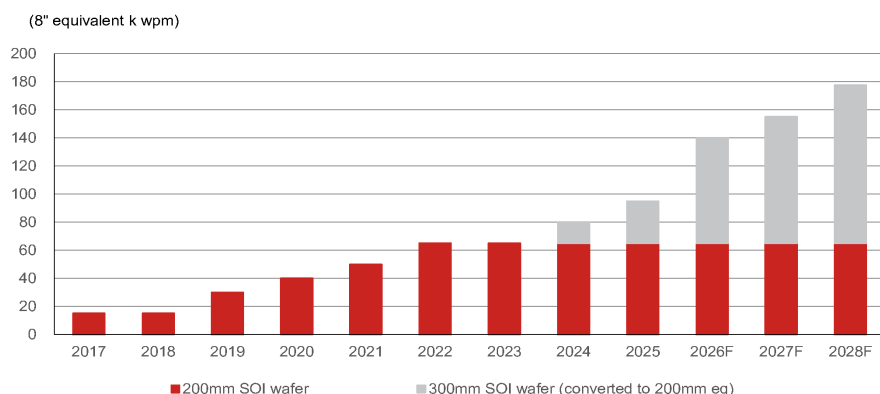
Fig. 269: Photonics SOI wafer demand breakdown



Source: Nomura research

Being the only one with SOI capacity in China, NSIG is poised to embrace this uptrend brought by AI. By 1H26, NSIG had 200mm SOI wafer capacity of 65k wafers per month, and 300mm SOI wafer pilot capacity of 300k wafers annually (~25k wafer per month). Total capacity including pilot line, all converted into 200mm equivalent wafer size, totaled 121k wafers per month, the largest in China.

Fig. 270: NSIG SOI wafer capacity (all in 8-inch equivalent)

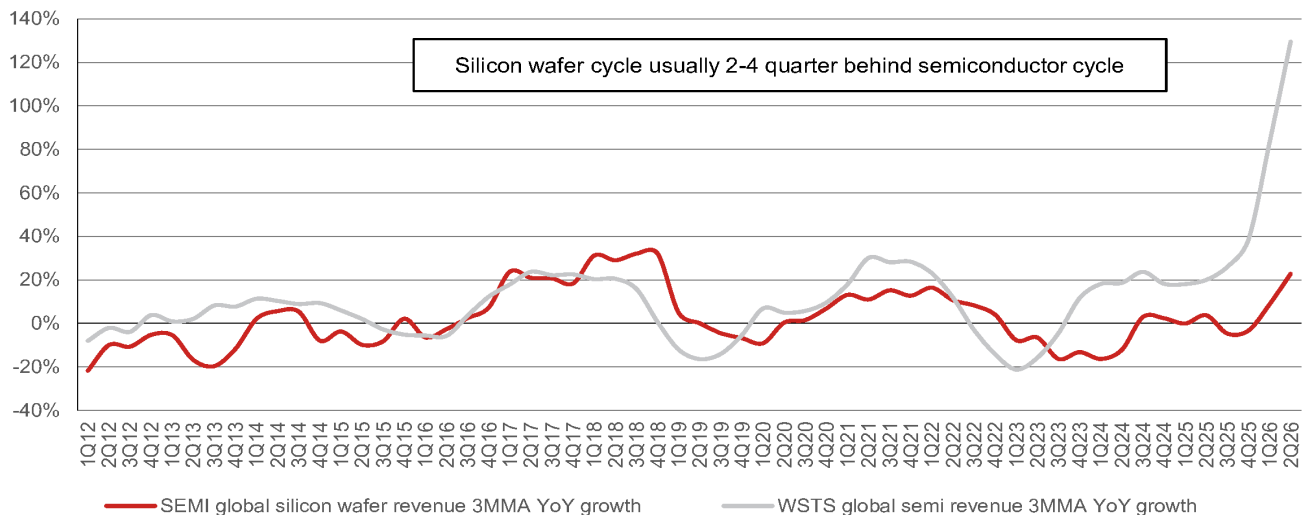


Source: Company data, Nomura estimates

Besides, NSIG's partnership with Soitec (one of the major SOI wafer suppliers globally) is also an advantage. Simgui, under NSIG, is the only Chinese vendor that has a license for Soitec's "Smart Cut" technology, which is a leading technology knowhow in SOI wafer manufacturing. In fact, Soitec only licensed this technology to three players: Shin-Etsu in Japan, GlobalWafers in Taiwan, and Simgui (NSIG).

Silicon wafer industry uptrend started; pricing in recovery

Silicon wafer is the upstream of the semiconductor market. If looking together with the semiconductor cycle, it's easy to find that as an upstream material, the silicon wafer cycle is usually 2 to 4 quarters behind the semiconductor cycle. The reason for this phenomenon would be the following: (1) demand change needs extra time to transmit up along the supply chain due to the time required for action at each layer; (2) fabs and IDMs usually keep a certain level of healthy inventory (1.5 to 3 months) to mitigate some downstream volatility, which smoothens the cycle, (3) some vendors use LTA (long-term agreement) to lock in supply and price for years, which also smoothens the cycle.

Fig. 271: Semiconductor silicon wafer industry cycle vs overall semiconductor market cycle

Source: SEMI, WSTS, Nomura research

The semiconductor upcycle has lasted for over a year, mainly driven by the huge demand brought by AI and HPC related areas, as well as the supply-squeeze effect, which further tightened supply in some other fields. Our channel check indicates that the silicon wafer market just saw pricing bottoming out in 1Q26, and the gradual upward recovery started from 2Q26, which is in line with the typical cycle pattern. The semiconductor cycle is expected to last for years, with industry supply (foundry capacity and fab equipment constraint) expected to remain tight, in our view. In this circumstance, we expect the silicon wafer market to enjoy a prolonged upcycle, starting from early this year.

Industry pricing is already seeing a recovery. The two Japanese giants, Shin-Etsu and SUMCO, along with GlobalWafers have issued two rounds of price increase letters in 2026. The second round, in May, included a 5-8% increase in standard 12-inch wafers and an 18-22% increase for high-end wafers used in AI and HPC applications. GlobalWafers is also proactively communicating with customers in hope to see some more improvement in the 2H26E, with full utilization at 12-inch facilities. The domestic giant, NSIG, commented that price repair has begun and the market is entering an upward channel.

Fig. 272: Pricing comments by global major silicon wafer suppliers

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Total Revenue QoQ										
Shin-Etsu	-5.7%	1.1%	11.8%	-0.8%	-4.8%	-0.5%	4.4%	-1.0%	-1.5%	3.5%
SUMCO	-11.0%	12.1%	-6.1%	1.6%	2.5%	0.4%	-3.7%	6.2%	-3.6%	12.0%
GlobalWafers	-10.0%	1.6%	3.5%	3.0%	-4.6%	2.7%	-9.5%	0.1%	-3.6%	8.8%
Siltronic	-3.7%	2.3%	1.7%	1.0%	-4.1%	-4.8%	-8.8%	23.7%	-17.5%	4.9%
SK Siltron	-1.8%	N/A	N/A	N/A	N/A	12.2%	-0.3%	8.5%	-19.1%	N/A
NSIG	-9.4%	16.6%	7.6%	0.0%	-11.8%	11.7%	5.4%	13.9%	0.8%	13.7%
300mm wafer pricing										
Shin-Etsu	N/A	N/A	N/A	N/A	N/A	LTA flat	N/A	N/A	Spot ↑ (LTA hold)	N/A
SUMCO	Spot ↓	Spot ↓	Mixed	Mixed	LTA stable	Mixed	Mixed	Spot ↓	Spot ↓	Spot ↑
GlobalWafers	Mixed	Mixed	N/A	N/A	N/A	Non-LTA ↓	Spot ↓ (LTA hold)	N/A	Spot ↑	Non-LTA ↑
Siltronic	Low SD ↓	Almost stable	Spot ↓ (LTA hold)	Slightly ↓	N/A	N/A	Non-LTA ↓	Non-LTA ↓	N/A	Spot ↑ (LTA hold)
SK Siltron	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
NSIG	↓	↓	↓	↓	↓	↓	↓	↑	Price bottom	↑
200mm wafer pricing										
Shin-Etsu	N/A	N/A	N/A	N/A	Soft ↓	N/A	↓	N/A	Flat	↑
SUMCO	Spot ↓	Mixed	Spot ↓	Slightly ↓	LTA stable	Spot ↓	↓	Spot ↓	↓	↑
GlobalWafers	Mixed	N/A	N/A	N/A	N/A	↓	↓	N/A	Limited ↑	↑
Siltronic	↓	↓	↓	↓	↓	↓	↓	↓	↓	↓
SK Siltron	N/A	N/A	N/A	↓	N/A	N/A	↓	N/A	N/A	↑
NSIG	↓	↓	↓	↓	↓	Slightly ↑	↓	↓	↓	↓
150mm & lower wafer pricing										
Shin-Etsu	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	Flat	N/A
SUMCO	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
GlobalWafers	N/A	N/A	N/A	N/A	N/A	UTR<70%	↓	Recovering	Tightening	↑
Siltronic	↓	↓	↓	↓	↓	↓	N/A	N/A	Sales drag	Price pressure
SK Siltron	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
NSIG	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

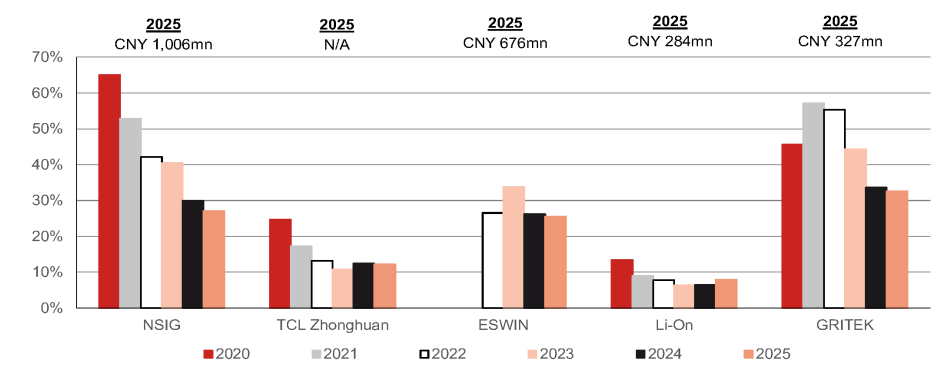
Source: Company data, Nomura research

NSIG, an internationalized Chinese player

About 27% of NSIG’s total revenue was from the overseas market, underpinned by the wholly-owned Okmetic facility in Finland and qualifications at TSMC, UMC, STMicroelectronics and Vishay. In 1H26, NSIG qualified a further leading European IDM and secured 300mm prime-wafer orders, which we think will benefit overall margin because prime wafers carry a far higher ASP and margin than test wafers.

Looking at domestic peers, TCL Zhonghuan had over 12% overseas sales, but mainly from photovoltaic related wafers and modules. Xi’an ESWIN and GRITEK (688432 CH, Not rated) had higher overseas sales percentage, but less sales scale.

Fig. 273: Overseas revenue percentage of major Chinese silicon wafer vendors



Source: Company data, Nomura research

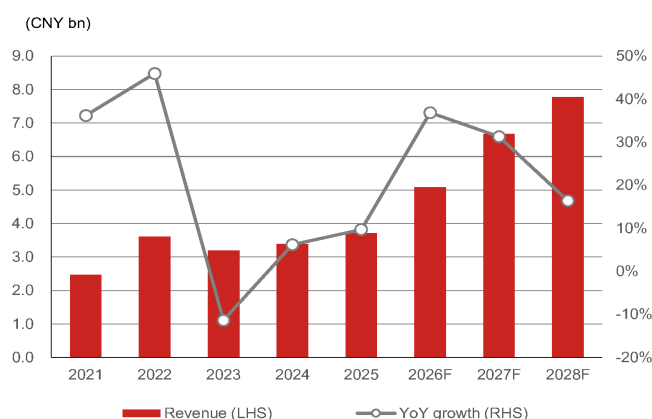
Financial analysis and outlook

Revenue to grow amid market uptrend

NSIG revenue underwent a decline in 2023 due to a decline in both 300mm and 200mm wafer segments. Revenue has been on an uptrend since 2024 mainly helped by 300mm ramp up, from CNY3.2bn in 2023 to CNY3.7bn in 2025, representing an ~8% CAGR. In 1H26, growth accelerated to 36.5% y-y on 300mm volume growth of more than 90% y-y. We forecast NSIG's revenue to record a ~28% CAGR in 2025-28F, driven by: (1) capacity expansion in coming years, (2) favorable pricing trend in the industry, and (3) new products potential including 300 SOI wafer and specialty piezoelectric-on-insulator (POI).

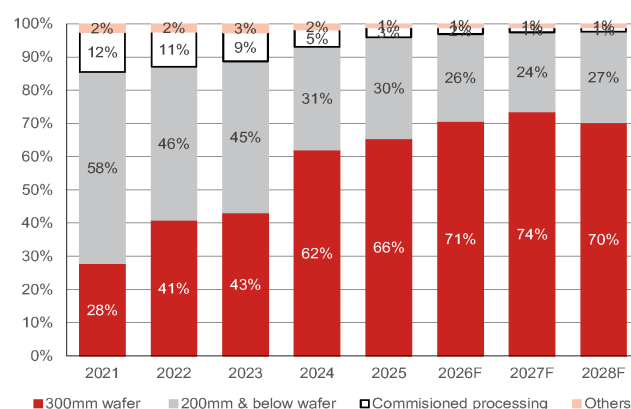
Driven by 300mm capacity ramp up, we believe the 300mm segment will contribute most of the growth. 300mm wafer revenue surpassed 200mm & below in 2024. We expect the 300mm wafer segment revenue to record a ~31% CAGR in 2025-30F, while 200mm & below segment revenue could post a ~23% CAGR in 2025-30F (SOI is faster than regular wafer). The specialty POI segment contributed around ~CNY100mn revenue in 2025 (from subsidiary NSIT, 新硅聚合). We forecast this segment to record a ~50% CAGR over 2025-28F.

Fig. 274: NSIG revenue forecasts



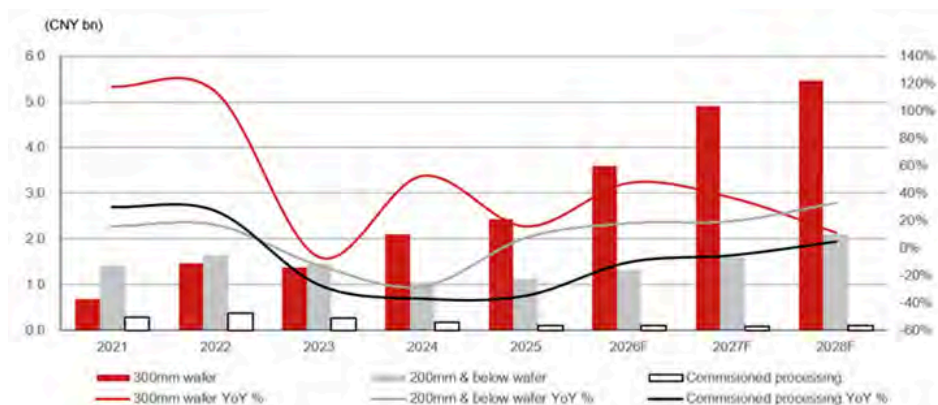
Source: Company data, Nomura estimates

Fig. 275: NSIG revenue breakdown by segment



Source: Company data, Nomura estimates

Fig. 276: NSIG segment revenue and relevant growth rate



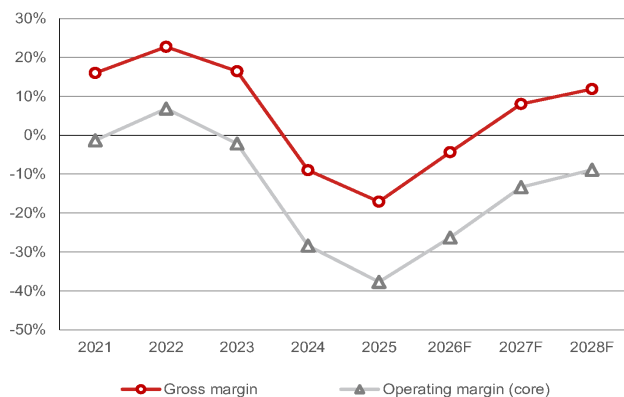
Source: Company data, Nomura estimates

Gross margin to turn around in 2027F

NSIG's gross margin went from +16.5% in 2023 to -9.0% in 2024 and -17.06% in 2025, mainly hurt by unfavorable market conditions, where pricing pressure across 200mm and 300mm wafer segments, and also new capacity ramping up caused higher depreciation expenses. We forecast gross margins to recover quarter by quarter this year, and return to gross profit as early as 1Q27F. We expect the gross margin turnaround in 2027F with a GPM of ~8%, and further improvement to ~12% in 2028F.

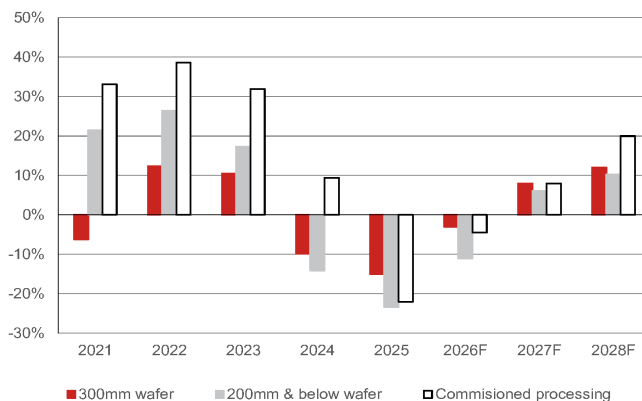
R&D expense has been the largest part of operating expenses since 2024 (administrative expenses used to be the largest portion). NSIG's R&D expense ratio (as percentage of revenue) has been increasing over the years (7.0% in 2023, 7.9% in 2024, 9.5% in 2025; most recently in 1H26 it was 11.2%), mainly due to new product development, capacity upgrades, etc. To maintain its technology strength and expanding market share, we expect NSIG to maintain the R&D expense ratio to around 10-11% level in 2026-28F.

Fig. 277: NSIG gross margin and core operating margin



Source: Company data, Nomura estimates

Fig. 278: NSIG gross margins by segment



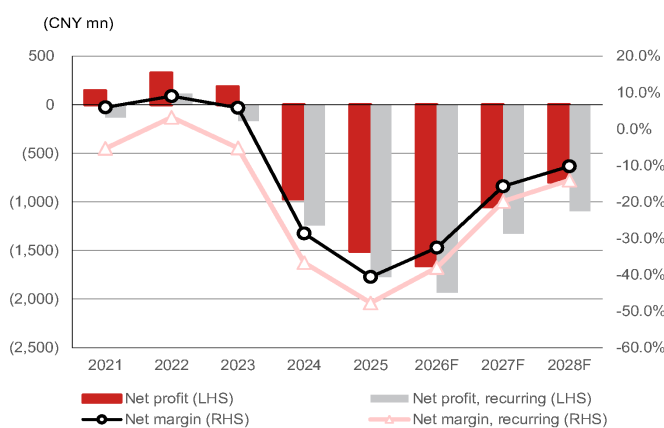
Source: Company data, Nomura estimates

Net profit and EPS

Similar to the whole industry, NSIG has been suffering losses at the net level since 2024, where the industry started the downtrend. Recurring net profit has been lower due to the exclusion of some government subsidies, which were recognized in the P&L. We expect NSIG's net loss to increase a bit as sales increase, but net profit margin to continue narrowing in our forecast period.

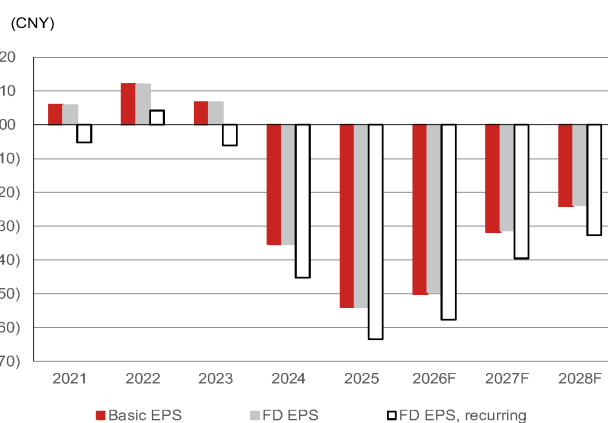
Basic and diluted EPS of NSIG was a loss of CNY0.54 in 2025 (basic and diluted weighted average shares of 2,797mn, no dilution effect).

Fig. 279: NSIG net profit and net margin



Source: Company data, Nomura estimates

Fig. 280: NSIG basic, diluted, and recurring diluted EPS



Source: Company data, Nomura estimates

Our estimates for revenue are largely in line with the Bloomberg consensus, but our forecasts for gross margin are lower than the consensus, as we believe more time is needed for a gross profit turnaround given higher depreciation due to new capacity ramps up. We also expect more R&D expenses as NSIG continues to expand its product coverage (SOI, new materials) and qualify new products.

Fig. 281: Financial forecasts – Nomura versus consensus

(CNY mn)	2026F	2027F	2028F
Revenue - Nomura est	5,086	6,677	7,774
Revenue - consensus	5,220	6,743	7,468
Revenue - diff	-2.6%	-1.0%	4.1%
Gross margin - Nomura est	-4.4%	8.0%	11.9%
Gross margin - consensus	10.5%	13.7%	15.7%
Gross margin - diff	-14.8%	-5.7%	-3.8%
Operating profit (as reported) - Nomura est	(1,814)	(1,237)	(951)
Operating profit (as reported) - consensus	(753)	(198)	111
Operating profit (as reported) - diff	n.a.	n.a.	n.a.
Net profit - Nomura est	(1,656)	(1,049)	(796)
Net profit - consensus	(589)	12	402
Net profit - diff	n.a.	n.a.	n.a.
Net profit, recurring - Nomura est	(1,934)	(1,324)	(1,093)
Net profit, recurring - consensus	n.a.	n.a.	n.a.
Net profit, recurring - diff	n.a.	n.a.	n.a.

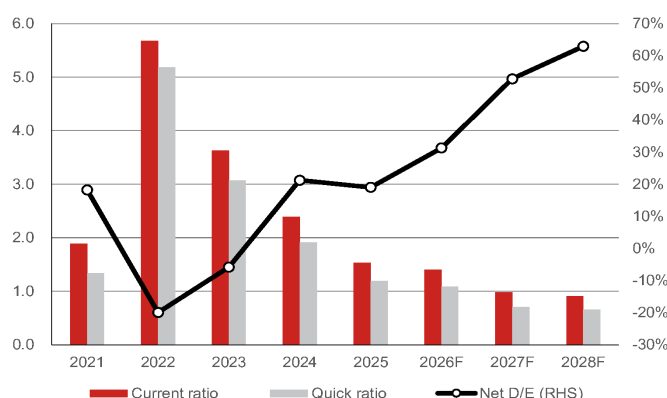
Source: Bloomberg Finance L.P., Nomura estimates

Balance sheet: more funds may needed

NSIG's net debt to equity ratio saw a drastic decline in 2022, coupled with a surge in the current ratio and quick ratio. This was mainly due to the share placement in 2022, which increased cash and equivalents. With new capacity being built and ramped up, the profit level deteriorated, net debt ratio increased and liquidity decreased. According to its financial statements, the company transferred its other comprehensive income to retained earnings twice (CNY795mn in 2023; CNY651mn in 2024) to keep its retained earnings positive. But retained earnings turned negative in 2025. Our model indicates that if no further funding is raised, the constant negative cash flow (a result of net loss) will continue to drag down the cash level. Therefore, we assume some debt to be raised (both short-term and long-term) to keep the cash level at a relatively healthier level. This is why we estimate the net cash-to-debt ratio increase in 2026-28F. That being said, we believe if bonds are issued, or funds are raised via equity issuance (placement or dual-listing), it would be possible that no debt would be needed.

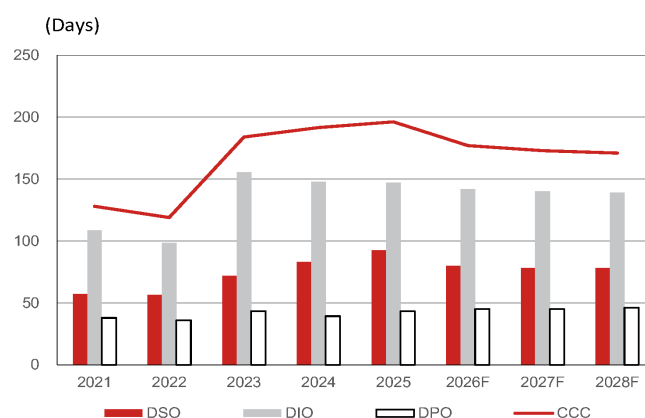
Working capital has been relatively stable, but inventory days (DIO) has been at a high level (over 140 days), resulting in positive and high cash conversion cycle (CCC). This is common in the semiconductor material industry, where the production cycle (from raw materials to final shipment) requires a long time.

Fig. 282: NSIG liquidity and solvency ratios



Source: Company data, Nomura estimates

Fig. 283: NSIG working capital ratios



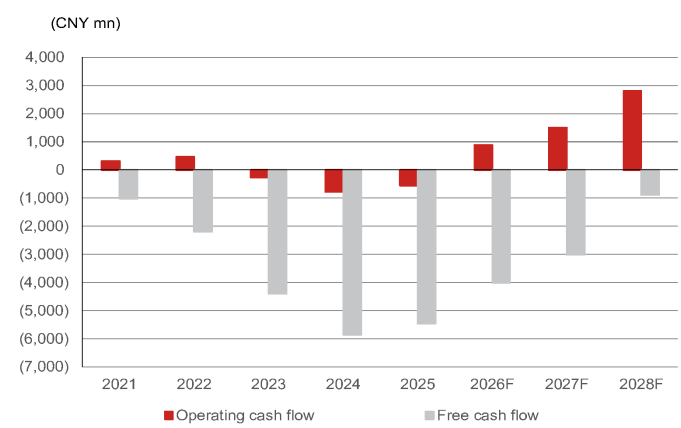
Source: Company data, Nomura estimates

Cash flow: positive operating cash flow from 2026F

Operating cash flow has been negative since 2023, mainly due to decreased profit and increase in working capital days. Despite continuing net loss in our forecast period, depreciation accounts for a large portion of the expense and cost, and cash flow excludes these non-cash items. Therefore, our model indicates positive cash flow from 2026F, and

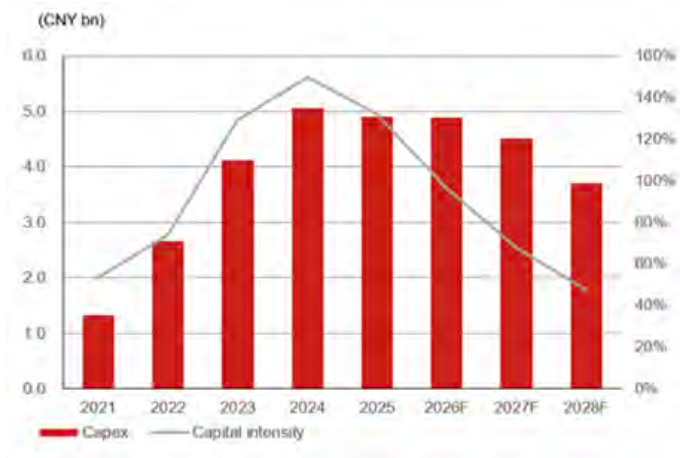
continued improvement. An evidence is that NSIG has already reported positive cash flow in 2Q26 (CNY345mn in 2Q26). Free cash flow also follows a similar pattern. With new capacity gradually completing its ramp up, we expect future capex to decline, and with higher sales capital intensity could drop.

Fig. 284: NSIG operating cash flow and free cash flow



Source: Company data, Nomura estimates

Fig. 285: NSIG capex and capital intensity



Source: Company data, Nomura estimates

NSIG valuation: trading at a premium

Being a manufacturing company, sales and profit are the ones driving valuation. P/E is normally used for these kinds of companies. However, most Chinese silicon wafer vendors, including NSIG, are now reporting losses, making it impossible to value them with P/E. Furthermore, as a dominant player in China, NSIG is now primarily targeting sales growth and market share gain. Therefore, we think a sales-related valuation multiple should be more suitable for its valuation.

Fig. 286: Global semiconductor silicon wafer companies valuation comparison

Company	Stock Code	Nomura Rating	Stock Price (local currency)	Market Cap (USD mn)	2026F	P/E (x)	2027F	2028F	2026F	P/B (x)	2027F	2028F	2026F	P/S (x)	2027F	2028F	2026F	EV/Sales (x)	2027F	2028F
Overseas silicon wafer																				
Shin-Etsu	4063 JP	Neutral	5,945.00	75,126	189.9	169.9	151.6	21.9	21.0	20.1	36.1	33.1	30.5	6.1	5.8	5.5				
GlobalWafers	6488 TT	Buy	1,035.00	17,158	39.6	26.1	13.0	4.9	4.4	3.5	1.0	1.0	1.2	9.3	6.9	4.9				
SUMCO	3436 JP	Buy	3,316.00	7,392	n.a.	46.4	21.4	2.1	2.0	1.9	2.5	2.2	1.9	32.6	27.7	23.7				
Soitec	SOI FP	Buy	155.20	6,311	n.a.	96.3	51.9	3.7	3.5	3.3	9.1	8.2	6.9	9.3	8.1	6.6				
Formosa	3532 TT	Not rated	471.00	5,734	140.0	35.5	30.7	n.a.	n.a.	n.a.	12.2	10.2	8.0	13.4	11.3	8.9				
Siltronic	WAF GR	Not rated	80.05	2,999	n.a.	n.a.	n.a.	1.4	1.6	1.6	2.0	1.7	1.5	2.8	2.4	2.1				
Wafer Works	6182 TT	Not rated	133.00	2,611	144.6	65.8	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.				
RS Technologies	6445 JP	Not rated	1,372.00	148	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.				
Average - overseas silicon wafer					128.5	73.3	53.7	6.8	6.5	6.1	10.5	9.4	8.3	12.2	10.4	8.6				
China silicon wafer																				
ESWIN	688783 CH	Not rated	26.92	16,212	n.a.	n.a.	1,346.0	9.1	9.3	9.2	31.4	24.5	19.9	32.1	25.0	20.4				
NSIG	688126 CH	Buy	23.38	11,525	n.a.	n.a.	n.a.	4.3	4.5	4.7	15.4	11.7	10.1	17.1	13.5	11.8				
GRINM	688432 CH	Not rated	47.09	8,782	224.2	181.1	162.4	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.				
Li-On	605358 CH	Not rated	45.36	5,224	110.6	43.9	24.8	3.7	3.5	3.2	6.9	5.8	4.3	7.6	6.3	4.8				
TCL Zhonghuan	002129 CH	Neutral	9.20	5,548	n.a.	163.5	n.a.	1.8	1.8	n.a.	1.3	1.2	n.a.	3.8	2.7	n.a.				
Wafer Works Shanghai	688584 CH	Not rated	26.37	2,632	101.4	64.3	47.9	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.				
Average - China silicon wafer					145.4	113.2	395.3	4.7	4.8	5.7	13.7	10.8	11.5	15.1	11.9	12.3				
Compound semi																				
Sumimoto Electric	5802 JP	Buy	2,318.00	46,864	20.1	17.6	14.2	2.3	2.2	2.0	1.3	1.2	1.2	1.4	1.3	1.2				
Resonac	4004 JP	Buy	14,985.00	18,235	25.8	15.4	12.8	3.5	2.9	2.5	2.5	2.2	2.0	2.9	2.4	2.1				
Wolfspeed	WOLF US	Not rated	28.13	1,489	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	1.9	1.9	n.a.	2.9	2.8	n.a.				
IQE PLC	IQE LN	Not rated	47.55	840	n.a.	n.a.	n.m.	426.5	479.8	432.7	4.9	4.2	3.5	4.9	4.2	3.5				
Sanan Optoelectronics	600703 CH	Suspended	11.48	8,542	60.4	n.a.	n.a.	n.a.	n.a.	n.a.	3.1	n.a.	n.a.	3.5	n.a.	n.a.				
Yunnan Germanium	002428 CH	Not rated	86.87	8,462	187.6	63.7	33.8	34.7	26.6	19.8	31.5	18.5	16.5	32.2	18.9	16.9				
SICC - A	688234 CH	Suspended	104.39	7,166	328.3	115.1	77.0	6.9	6.6	6.3	20.7	15.3	12.4	21.2	15.7	12.8				
SICC - H	2631 HK	Not rated	68.00	7,166	102.0	65.3	59.3	3.9	3.7	3.5	20.7	15.3	12.4	21.2	15.7	12.8				
InnoScience	2577 HK	Not rated	39.38	4,593	n.a.	117.7	24.9	8.1	7.5	5.5	14.3	7.9	4.9	14.4	7.9	5.0				
Unitechem Group	603065 CH	Not rated	14.23	889	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.				
Average - Compound semi					120.7	65.8	37.0	69.4	75.6	67.5	11.2	8.3	7.6	11.6	8.6	7.8				

Note: Bloomberg consensus for Not rated companies, Nomura estimates for rated ones. Priced as on 30 Sep 2026.

Source: Bloomberg Finance L.P., Nomura estimates

We choose EV/sales as our major valuation multiple to value NSIG, mainly considering: (1) industry is now facing profit pressure, making it impossible to derive P/E; (2) Chinese players are now at sales expansion and market-share-driven stages, where sales growth and market share gain are the main focus for them, especially with the localization story.

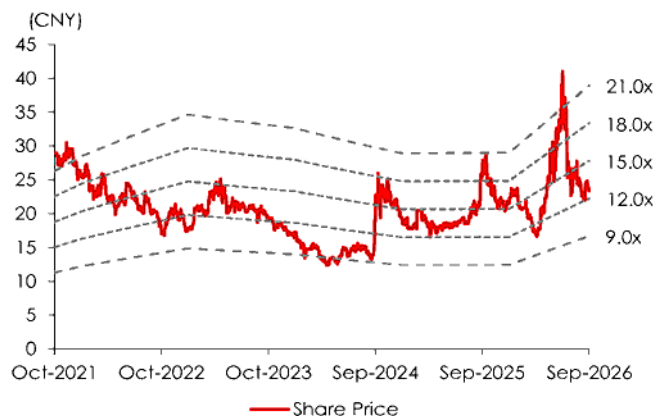
During 2021-YTD26, NSIG largely traded at 8-23x forward EV/sales (average of ~14x), with the highest valuation in 2021, when the chipset shortage story dominated the China A-share market, and almost all semiconductor-related companies traded at their peak levels. Another peak appeared around May-Jun 2026, when the industry leaders sent a clear signal of positive pricing trend.

Fig. 287: NSIG five-year EV/sales trend



Source: Company data, Nomura estimates

Fig. 288: NSIG five-year EV/sales bands



Source: Company data, Nomura estimates

Local comparable peers are limited for NSIG. The most direct comparable is Xi'an ESWIN (688783 CH, Not rated), which is trading at ~26x 2027E EV/sales. Other domestic peers like Li-On (605358 CH, Not rated; mainly focuses 200mm heavy-doped wafers targeting power devices and automotive) and TCL Zhonghuan (002129 CH, Neutral; mainly focuses on solar) are not directly comparable. We believe NSIG deserves a higher-than-current valuation given that: (1) the semiconductor wafer industry is now in an upcycle, which we expect to last for several years; (2) the company's sales growth rate is expected to be higher than the industry; (3) the company has wide product coverage spanning from 200mm to 300mm, and from wafer to SOI; and (4) China's memory and advanced process fab capacity expansion needs more domestic wafer supply to support production. Therefore, we select 20.0x forward EV/sales as our target multiple, which is around 2SD above its historical average. NSIG traded at an average EV/sales of 15.0x in the industry downcycle, and hence, we think 20.0x in the industry upcycle is fair.

We resume coverage on NSIG with a Buy rating. Our target price of CNY36.20 is based on a target multiple of 20.0x forward EV/sales, and our revenue forecast of CNY6.7bn in 2027F.

Fig. 289: NSIG – Valuation and target price

Valuation table

Target EV/sales	20.0 x	We use 20.0x EV/sales as our target multiple, based on: (1) semiconductor wafer industry is now in an upcycle, which we expect to last for several years, creating re-rating potentials; (2) we forecast NSIG's sales revenue to outperform the industry growth; (3) NSIG's wide product coverage and strong customer relations; (4) pricing and profitability recovery to drive re-rating ahead
Valuation base	2027F	
Revenue in 2027F (CNY mn)	6,677	
Enterprise value (CNY mn)	133,349	
Nett debt in 2027F (CNY mn)	9,024	
Minority in 2027F (CNY mn)	3,080	
Equity value (CNY mn)	121,246	
Wtd avg diluted shares in 2027F (mn)	3,352	
Target price (CNY)	36.20	

Source: Nomura estimates

Financial statements

Fig. 290: NSIG – Income statement forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F	1Q26	2Q26	3Q26F	4Q26F
Income Statement										
Revenue	3,190	3,388	3,716	5,086	6,677	7,774	1,084	1,233	1,312	1,457
COGS	(2,665)	(3,692)	(4,350)	(5,309)	(6,144)	(6,850)	(1,212)	(1,298)	(1,335)	(1,464)
Gross profit	525	(304)	(634)	(223)	533	924	(128)	(65)	(23)	(7)
Opex	(595)	(659)	(769)	(1,115)	(1,426)	(1,615)	(253)	(236)	(296)	(329)
Taxes and surcharges	(14)	(18)	(28)	(41)	(47)	(54)	(7)	(14)	(9)	(10)
S&M expense	(80)	(70)	(77)	(103)	(134)	(154)	(22)	(21)	(28)	(31)
Admin expense	(279)	(304)	(310)	(392)	(511)	(591)	(82)	(85)	(107)	(118)
R&D expense	(222)	(267)	(354)	(580)	(735)	(816)	(143)	(116)	(152)	(169)
Operating profit (core)	(70)	(963)	(1,403)	(1,338)	(892)	(691)	(382)	(301)	(319)	(336)
Finance cost	1	(110)	(101)	(320)	(310)	(300)	(101)	(77)	(71)	(71)
Investment income	(2)	3	(1)	1	2	2	-	(1)	1	1
Impairment loss	(100)	(426)	(690)	(442)	(372)	(332)	(134)	(118)	(95)	(95)
Other gains	349	333	308	285	335	370	51	55	90	90
Operating profit (as reported)	179	(1,163)	(1,886)	(1,814)	(1,237)	(951)	(566)	(442)	(395)	(411)
Non-operating items	(1)	(1)	(3)	(5)	-	-	(10)	2	1	1
Pretax income	178	(1,164)	(1,889)	(1,819)	(1,237)	(951)	(576)	(440)	(393)	(410)
Income tax	(17)	43	79	73	124	95	48	(61)	42	44
Minority interests	26	151	302	90	65	60	45	19	13	13
Net profit (attr. to SH)	187	(971)	(1,508)	(1,656)	(1,049)	(796)	(483)	(482)	(338)	(353)
Basic EPS (CNY)	0.07	(0.35)	(0.54)	(0.50)	(0.32)	(0.24)	(0.15)	(0.15)	(0.10)	(0.11)
Diluted EPS (CNY)	0.07	(0.35)	(0.54)	(0.49)	(0.31)	(0.24)	(0.15)	(0.15)	(0.10)	(0.10)
Recurring net profit (attr. to SH)	(166)	(1,243)	(1,774)	(1,934)	(1,324)	(1,093)	(524)	(433)	(421)	(556)
Recurring FD EPS (CNY)	(0.06)	(0.45)	(0.63)	(0.58)	(0.40)	(0.33)	(0.16)	(0.13)	(0.12)	(0.16)
YoY Growth (%)										
Revenue	(11.4)	6.2	9.7	36.9	31.3	16.4	35.2	37.7	39.0	35.5
Gross profit	(35.8)	N/A	N/A	N/A	N/A	73.2	N/A	N/A	N/A	N/A
Operating profit (core)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Net profit (attr. to SH)	(42.6)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Diluted EPS	(42.9)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Recurring net profit (attr. to SH)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Recurring FD EPS	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Margins (%)										
Gross margin	16.5	(9.0)	(17.1)	(4.4)	8.0	11.9	(11.8)	(5.3)	(1.8)	(0.5)
Opex	18.6	19.4	20.7	21.9	21.4	20.8	23.4	19.1	22.6	22.6
Operating margin (core)	(2.2)	(28.4)	(37.7)	(26.3)	(13.4)	(8.9)	(35.2)	(24.4)	(24.3)	(23.0)
Pretax margin	5.6	(34.4)	(50.8)	(35.8)	(18.5)	(12.2)	(53.1)	(35.7)	(30.0)	(28.1)
Net margin	5.8	(28.6)	(40.6)	(32.6)	(15.7)	(10.2)	(44.6)	(39.1)	(25.8)	(24.2)
Recurring net margin	(5.2)	(36.7)	(47.7)	(38.0)	(19.8)	(14.1)	(48.4)	(35.1)	(32.1)	(38.1)
Segment revenue										
300mm wafer	1,379	2,106	2,439	3,600	4,916	5,472				
YoY Growth (%)	(6.6)	52.8	15.8	47.6	36.6	11.3				
Percentage of total (%)	43	62	66	71	74	70				
200mm & below wafer	1,452	1,047	1,125	1,329	1,590	2,112				
YoY Growth (%)	(12.6)	(27.9)	7.5	18.1	19.6	32.8				
Percentage of total (%)	45	31	30	26	24	27				
Commissioned processing	278	176	115	104	99	103				
YoY Growth (%)	(26.6)	(36.7)	(34.5)	(10.0)	(5.0)	5.0				
Percentage of total (%)	9	5	3	2	1	1				
Segment gross margin (%)										
300mm wafer	10.5	(9.8)	(15.0)	(3.0)	8.0	12.0				
200mm & below wafer	17.2	(14.1)	(23.4)	(11.1)	6.1	10.2				
Commissioned processing	31.9	9.4	(22.0)	(4.5)	8.0	20.0				

Source: Company data, Nomura estimates

Fig. 291: NSIG – Balance sheet forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Cash and cash equivalent	5,180	2,700	3,553	3,352	2,279	2,778
Restricted cash	2,121	2,455	2,521	2,395	2,156	1,725
Financial assets - ST	416	226	160	169	177	186
Notes receivable	17	8	6	6	7	8
Account receivable	568	975	906	1,323	1,531	1,792
Prepayment	163	251	344	228	228	228
Other receivables	52	14	26	28	29	31
Inventory	1,449	1,542	1,966	2,165	2,549	2,669
Other current assets	541	899	861	861	861	861
Current assets	10,508	9,070	10,344	10,527	9,816	10,277
Financial assets - LT	3,698	1,373	403	1,359	1,359	1,359
Equity method investment	754	902	1,101	1,086	1,096	1,116
PP&E - net	7,039	9,245	14,069	17,168	19,611	21,174
Construction in progress	4,350	6,377	5,328	5,168	4,898	4,309
Right-of-use assets	91	79	117	131	144	156
Intangible assets	566	555	656	807	898	970
L/T Accrued expenses	7	3	1	1	2	2
Deferred tax asset	3	32	88	105	116	127
Other non-current assets	2,017	1,633	1,680	1,680	1,680	1,680
Total non-current assets	18,524	20,200	23,442	27,505	29,803	30,893
Total assets	29,032	29,270	33,787	38,032	39,619	41,170
S/T Borrowing	325	521	1,265	1,518	3,795	4,554
Notes payables	-	100	132	198	297	446
Account payables	321	474	557	752	763	964
Contract liabilities	221	93	7	7	7	7
Non-current liabilities within 1 year	797	1,083	1,927	1,927	1,927	1,927
Other current liabilities	1,231	1,533	2,874	3,108	3,252	3,404
Total current liabilities	2,894	3,803	6,763	7,510	10,042	11,302
L/T Borrowing	2,638	2,956	4,009	4,810	4,810	5,772
Lease liabilities	70	59	95	100	105	110
Deferred income	1,430	1,271	1,158	1,508	1,659	1,825
Deferred tax liabilities	152	127	91	109	120	132
Other non-current liabilities	1,342	1,852	1,512	2,714	2,716	2,718
Total non-current liabilities	5,632	6,265	6,865	9,242	9,410	10,557
Total liabilities	8,526	10,068	13,627	16,751	19,452	21,859
Share capital	2,747	2,747	3,305	3,305	3,305	3,305
Capital reserve	7,024	7,029	13,306	15,365	15,365	15,365
Statutory reserves	13	20	20	20	20	20
Retained earnings	1,702	1,265	(242)	(1,898)	(2,947)	(3,743)
Other capital adjustments	3,629	1,238	536	1,345	1,345	1,345
Equity attributable to Company	15,114	12,299	16,925	18,136	17,088	16,291
Minority interests	5,391	6,902	3,235	3,145	3,080	3,020
Total equity	20,505	19,201	20,159	21,281	20,167	19,311
Total equity and liabilities	29,032	29,270	33,787	38,032	39,619	41,170

Source: Company data, Nomura estimates

Fig. 292: NSIG – Cash flow statement forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Profit before taxation	178	(1,164)	(1,889)	(1,819)	(1,237)	(951)
Provision for impairment loss	100	426	690	-	-	-
D&A expenses	731	964	1,332	1,842	2,287	2,698
Depreciation of PP&E	645	879	1,254	1,747	2,178	2,576
Depreciation of Right-of-use assets	26	26	28	35	39	43
Amortization of Intangible assets	57	54	47	58	68	78
Amortization of L/T Accrued expenses	3	4	2	2	2	2
Fair value change gains	(143)	12	(50)	(20)	(25)	(30)
Finance cost	34	143	196	320	310	300
Investment income (excl. JV/asso.)	2	(3)	1	(1)	(2)	(2)
Share of JV and associate	(11)	(145)	(33)	15	(10)	(20)
Deferred tax asset - decrease	(1)	(29)	(55)	(18)	(11)	(12)
Deferred tax liabilities - increase	5	(22)	(31)	18	11	12
Inventory - decrease	(705)	(204)	(664)	(199)	(384)	(120)
Account receivables - decrease	(384)	(821)	(76)	(418)	(208)	(262)
Account payables - increase	115	188	(60)	195	11	201
Tax paid	(13)	(8)	(7)	73	124	95
Others	(179)	(124)	88	890	633	896
Net cash flows from operating activities	(275)	(788)	(559)	880	1,498	2,805
Capex - total	(4,126)	(5,069)	(4,909)	(4,897)	(4,512)	(3,702)
investments related - net	1,845	930	133	(958)	29	43
Acquisition & invest in JV/asso. - net	-	-	(324)	15	(10)	(20)
Disposal of assets	0	0	16	-	-	-
Others	9	23	10	(50)	(52)	(55)
Net cash flows from Investing activities	(2,272)	(4,116)	(5,074)	(5,890)	(4,545)	(3,734)
Share issuance	54	-	2,092	2,059	-	-
Capital injection of MI	148	1,683	1,706	-	-	-
Debt raised (repaid)	1,057	806	2,288	1,055	2,277	1,721
Bond issuance	1,338	500	1,000	1,200	-	-
Interest paid	(105)	(179)	(224)	-	-	-
Dividend paid	-	(110)	-	-	-	-
Others	(29)	(261)	(390)	496	(303)	(293)
Net cash flows from financing activities	2,462	2,440	6,472	4,809	1,974	1,428
Net cash flows	(84)	(2,464)	839	(200)	(1,073)	499
Effect of FX	22	(16)	13	-	-	-
Cash and cash equivalents - beg	5,243	5,180	2,700	3,553	3,352	2,279
Cash and cash equivalents - end	5,180	2,700	3,553	3,352	2,279	2,778
Free cash flow (FCF)	(4,401)	(5,857)	(5,468)	(4,017)	(3,014)	(897)

Source: Company data, Nomura estimates

Key risks

Price recovery fails to materialize (highest impact): If the May 2026 increases do not translate into 2027 contracts, or the pricing situation is reversed, it would not only impact NSIG's sales outlook and profitability, but also impact the industry outlook and market sentiment.

Overcapacity concerns: Current domestic capacity utilization is quite diverse, where high-end products are in severe shortage, while low-end ones are in oversupply and suffering from underutilization. This may introduce intensified price competition and pressure margins.

Prime-wafer qualification slips: The prime-versus-test wafer mix is one important swing factor in ASP. Slower-than-expected prime qualification (at Taiyuan or Shanghai) would keep ASP well below market prices even if market prices rise.

Inventory write-downs: This likely happens when the industry pricing condition gets worse, and could directly impact NSIG's profitability.

Demand shock: A global recession or a pause in AI datacenter capex would hit advanced-node and HBM wafer demand, which would accordingly impact demand for wafers.

Geopolitics: Export-control escalation affecting equipment, materials or poly-silicon supply could delay the ramp-up. Furthermore, restrictions on sales to overseas customers could also impact NSIG's sales outlook and overseas market exposure.

Valuation: NSIG is trading at a premium to domestic peers, which we believe has been supported by its strong technology capabilities and market share, wide product coverage, and deep customer relations. Failure to keep the above-mentioned edge and advantages may result in de-rating for its valuation.

Hubei Dinglong 300054.SZ 300054 CH

EQUITY: BASIC MATERIALS

Capacity roadmap frames long-term growth

CMP pad capacity heading to 1.3mn pieces; slurry reaches profitable scale; photoresist in validation stage

Pad capacity to reach c.1.3mn pieces, supporting CNY3-4bn output value

We expect CMP (chemical mechanical polishing) pad capacity plan to offer long-term growth opportunity. Hard-pad capacity currently stands at 600k pieces per year, and we expect it to reach 700k pieces by end-2026F. A second plant expected to start production in 2H27F or 2028F would add another 600k pieces and take total capacity to c.1.3mn pieces. At an ASP of around CNY3,000 per piece, we estimate this could support CNY3-4bn of sales in the long term. On demand, management sees a high probability that domestic logic capacity would double by 2030E, with memory capacity likely to expand faster. On this basis, we believe the domestic CMP materials market could reach CNY7-8bn plus after 2030F. In addition, we expect consumption per wafer to rise, noting that polishing steps increase from c.10 at 90nm to c.34 at 7nm and that a higher memory layer count is adding the steps. We believe the capacity roadmap is ready for this structural demand.

Slurry reaches profitable scale while photoresist remains in validation

Other businesses are at different stages: photoresist is still in validation phase, while CMP slurry has entered a profitable scale-up. i) In high-end wafer photoresist, eight KrF/ArF products have received volume orders from domestic customers. In detail, the company has developed 40+ products, with nearly 30 sampled to customers. Management expects 2026E photoresist revenue in the low tens of millions of CNY. ii) CMP slurry and cleaning fluids were close to breakeven in 2025 and may have turned profitable in 2Q26E, with product wins now spanning large-silicon-wafer fine slurry, ceria, TSV (through-silicon via), copper barrier and SiC substrate slurries. We expect revenue contributions to be CNY500-800mn in 2026F.

Maintain Buy and TP of CNY104 on pad growth and slurry contributions

We maintain our Buy rating and TP of CNY104, which reflects the company's solid earnings growth in the long term, backed by CMP pad capacity expansion, the scale-up of CMP slurries and cleaning fluids. We revise up our 2027/28F EPS to CNY1.48/1.80 from CNY1.45/1.70 to reflect the consolidation of Haofei, and likely increasing contributions from the slurry business. Our TP of CNY104 implies 70x 2027F P/E (previously 72x 2027F P/E), at +1.1x SD of its five-year historical average P/E of 50x. The stock currently trades at 46x 2027F P/E.

This note marks the transfer coverage of Dinglong to Clint Su.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	3,660	4,088	4,088	4,548	4,789	5,059	5,472
Reported net profit (mn)	720	1,169	1,161	1,382	1,414	1,617	1,715
Normalised net profit (mn)	720	1,169	1,161	1,382	1,414	1,617	1,715
FD normalised EPS	76.48c	1.24	1.23	1.45	1.48	1.70	1.80
FD norm. EPS growth (%)	38.3	62.1	61.1	16.9	20.4	17.0	21.3
FD normalised P/E (x)	88.2	—	54.8	—	45.5	—	37.5
EV/EBITDA (x)	55.4	—	43.9	—	32.4	—	26.6
Price/book (x)	11.5	—	9.2	—	7.1	—	5.6
Dividend yield (%)	0.2	—	0.2	—	0.4	—	0.5
ROE (%)	13.9	18.7	18.6	17.4	17.6	16.2	16.6
Net debt/equity (%)	9.0	3.6	3.8	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains **Buy**

Target price Remains **CNY 104.00**

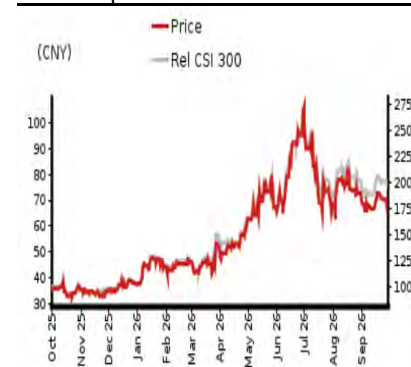
Closing price 30 September 2026 **CNY 67.45**

Implied upside **+54.2%**

Market Cap (USD mn) 9,602.6

ADT (USD mn) 398.8

Relative performance chart



Source: LSEG, Nomura

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Key data on Hubei Dinglong

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-7.2	-36.3	85.9	M cap (USDmn)	9,602.6
Absolute (USD)	-7.0	-35.6	97.4	Free float (%)	68.8
Rel to CSI 300	-1.2	-23.6	92.2	3-mth ADT (USDmn)	398.8

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	3,338	3,660	4,088	4,789	5,472
Cost of goods sold	-1,773	-1,799	-1,670	-1,884	-2,063
Gross profit	1,565	1,861	2,418	2,905	3,410
SG&A	-890	-971	-1,095	-1,257	-1,417
Employee share expense					
Operating profit	674	890	1,323	1,648	1,993
EBITDA	918	1,172	1,471	1,964	2,332
Depreciation	-192	-226	-114	-257	-291
Amortisation	-51	-55	-34	-59	-49
EBIT	674	890	1,323	1,648	1,993
Net interest expense	-12	-50	-76	-89	-102
Associates & JCEs					
Other income	53	65	154	158	172
Earnings before tax	715	905	1,401	1,717	2,063
Income tax	-76	-110	-186	-223	-268
Net profit after tax	639	796	1,215	1,494	1,795
Minority interests	-118	-75	-54	-80	-80
Other items					
Preferred dividends					
Normalised NPAT	521	720	1,161	1,414	1,715
Extraordinary items					
Reported NPAT	521	720	1,161	1,414	1,715
Dividends	-80	-143	-126	-283	-343
Transfer to reserves	440	577	1,035	1,131	1,372

Valuations and ratios

Reported P/E (x)	122.0	88.2	54.8	45.5	37.5
Normalised P/E (x)	122.0	88.2	54.8	45.5	37.5
FD normalised P/E (x)	122.0	88.2	54.8	45.5	37.5
Dividend yield (%)	0.1	0.2	0.2	0.4	0.5
Price/cashflow (x)	76.7	54.9	42.0	30.3	25.0
Price/book (x)	13.0	11.5	9.2	7.1	5.6
EV/EBITDA (x)	70.2	55.4	43.9	32.4	26.6
EV/EBIT (x)	95.5	72.9	48.9	38.6	31.1
Gross margin (%)	46.9	50.9	59.2	60.7	62.3
EBITDA margin (%)	27.5	32.0	36.0	41.0	42.6
EBIT margin (%)	20.2	24.3	32.4	34.4	36.4
Net margin (%)	15.6	19.7	28.4	29.5	31.3
Effective tax rate (%)	10.7	12.1	13.3	13.0	13.0
Dividend payout (%)	15.4	19.9	10.9	20.0	20.0
ROE (%)	10.7	13.9	18.6	17.6	16.6
ROA (pretax %)	11.3	12.8	16.0	17.2	18.7

Growth (%)

Revenue	25.1	9.7	11.7	17.1	14.3
EBITDA	98.0	27.7	25.6	33.5	18.8
Normalised EPS	133.3	38.3	61.1	20.4	21.3
Normalised FDEPS	133.3	38.3	61.1	20.4	21.3

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	918	1,172	1,471	1,964	2,332
Change in working capital	-203	-431	-187	-286	-295
Other operating cashflow	114	416	230	443	535
Cashflow from operations	828	1,157	1,515	2,121	2,573
Capital expenditure	-769	-775	-691	-740	-700
Free cashflow	60	381	824	1,381	1,873
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	-332	-543	-287	-295	
Inc in other LT liabilities	95	36	0	0	
Adjustments	-302	-647	-22	287	295
CF after investing acts	-243	-503	296	1,381	1,873
Cash dividends	-80	-143	-126	-283	-343
Equity issue	9	176	107	0	0
Debt issue	414	1,001	117	0	0
Convertible debt issue					
Others	-182	-13	-164	0	0
CF from financial acts	161	1,021	-66	-283	-343
Net cashflow	-82	517	229	1,098	1,530
Beginning cash	1,120	1,038	1,555	1,784	2,882
Ending cash	1,038	1,555	1,784	2,882	4,412
Ending net debt	303	496	262	-836	-2,365

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,038	1,555	1,784	2,882	4,412
Marketable securities					
Accounts receivable	1,070	1,018	1,326	1,535	1,750
Inventories	563	654	676	745	816
Other current assets	274	589	693	802	915
Total current assets	2,944	3,815	4,479	5,965	7,893
LT investments					
Fixed assets	2,639	3,133	3,437	3,920	4,330
Goodwill	537	537	738	738	738
Other intangible assets	327	299	338	279	230
Other LT assets	948	1,281	1,823	2,110	2,406
Total assets	7,395	9,066	10,815	13,012	15,596
Short-term debt	402	226	201	201	201
Accounts payable	356	359	398	439	481
Other current liabilities	699	619	829	889	951
Total current liabilities	1,457	1,205	1,428	1,529	1,633
Long-term debt	637	1,825	1,845	1,845	1,845
Convertible debt					
Other LT liabilities	426	521	557	557	557
Total liabilities	2,520	3,551	3,830	3,931	4,035
Minority interest					
Preferred stock					
Common stock	938	947	953	953	953
Retained earnings	2,094	2,719	3,911	5,608	7,666
Proposed dividends					
Other equity and reserves	1,843	1,849	2,121	2,519	2,942
Total shareholders' equity	4,875	5,515	6,985	9,081	11,561
Total equity & liabilities	7,395	9,066	10,815	13,012	15,596

Liquidity (x)

Current ratio	2.02	3.17	3.14	3.90	4.83
Interest cover	57.2	17.9	17.4	18.5	19.6

Leverage

Net debt/EBITDA (x)	0.33	0.42	0.18	net cash	net cash
Net debt/equity (%)	6.2	9.0	3.8	net cash	net cash

Per share

Reported EPS (CNY)	55.29c	76.48c	1.23	1.48	1.80
Norm EPS (CNY)	55.29c	76.48c	1.23	1.48	1.80
FD norm EPS (CNY)	55.29c	76.48c	1.23	1.48	1.80
BVPS (CNY)	5.18	5.85	7.33	9.53	12.13
DPS (CNY)	0.09	0.15	0.13	0.30	0.36

Activity (days)

Days receivable	117.0	104.1	104.7	109.1	109.9
Days inventory	115.9	123.4	145.3	137.6	138.5
Days payable	73.3	72.5	82.8	81.1	81.6
Cash cycle	159.6	155.0	167.2	165.6	166.7

Source: Company data, Nomura estimates

Company profile

Hubei Dinglong is a photoelectric and semiconductor new materials and general print consumables manufacturer and supplier. Dinglong is the first Chinese listed company in the printing consumables field and has become a leading printing consumables producer that covers the entire industry supply chain through a series of mergers and acquisitions. Dinglong has actively expanded its business scale to IC and related processing materials, including CMP pads, CMP cleaning fluid, OLED flexible displays, etc.

Valuation Methodology

We use P/E methodology to value Dinglong. Our TP of CNY104 is based on 70x 2027F EPS of CNY1.48, at +1.1x SD of its 5-year historical average P/E of 50x. The target P/E is well supported by our 2026-28F earnings CAGR of 22%. The benchmark index is CSI300.

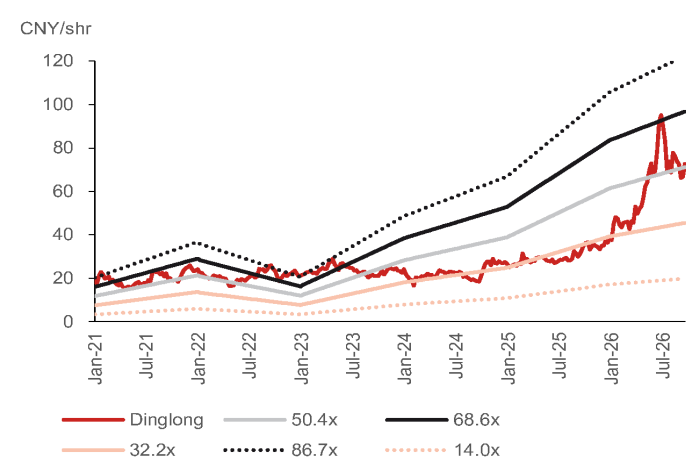
Risks that may impede the achievement of the target price

Downside risks include 1) main customers' production ramps are slower than expectation; 2) slower ramp-up of ArF/KrF order conversion; 3) goodwill or integration risk from the lithium materials acquisition.

ESG

Hubei Dinglong fits the ESG theme since it offers printing consumables and semiconductor materials business, while the firm's recycled ink cartridges business (under the printing consumables) recycles wasted ink cartridges, renews some parts, and produces cartridges meeting industry standards for consumers.

Fig. 293: Dinglong – forward P/E band



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 294: Dinglong – forward P/E with -2/+2x SD



Source: Bloomberg Finance L.P., Nomura estimates

EQUITY: BASIC MATERIALS

Capacity paces growth

Three platforms scaling as CMP share approaches 13% globally; overseas progress ahead of plan

1H26 revenue up 34%; capacity sets the pace

Anji Microelectronics reported 1H26 revenue of CNY1,526mn, +33.7% y-y, with CMP (chemical mechanical planarization) slurry up 29.5% y-y and functional wet electronic chemicals up 51.0% y-y. Company management frames Anji's 30%-plus growth as capacity-paced rather than demand-limited. In addition, the company is building capacity against customers' three-year plans, typically running at 60-70% utilisation, and treats raw-material security as a strategic priority. According to management, Anji's 2025 global CMP slurry share was close to 13%, ranking the third position. Against the backdrop of an 11.0% 2025-30F CAGR for global CMP slurry (based on estimates from CIC), we expect domestic fab build-out and rising CMP step counts at advanced nodes to drive Anji's growth, at a faster pace than the market rate.

Damascene and TSV electroplating enter mass production; first etchant orders

For new businesses: i) damascene copper electroplating solutions and additives for IC manufacturing, and TSV (through-silicon via) electroplating products, entered mass production with sales in 1H26; and ii) etchants reached small-volume production, and management commented that the company booked its first etchant orders in 1H26. For overseas markets, management projects progress to be better than its previous expectation: post-etch cleaning solutions have entered a second overseas market, TSV slurry is in qualification at overseas customers, and dielectric slurries are in small-volume introduction stage. The segment recorded non-mainland China revenue of CNY56mn in 1H26, or 3.6% of its total revenue; therefore, we view overseas revenue as a long-term growth driver rather than a 2026-27F earnings driver, given the small base and geopolitical constraints.

Maintain Buy and TP of CNY360 on pad growth and slurry contributions

We maintain our Buy rating and TP of CNY360, reflecting the company's strong long-term earnings growth that is backed by continuous capacity expansion and scale-up of new products. We raise 2027/28F EPS to CNY8.57/10.41 from CNY8.52/10.31 to reflect the increased contributions from damascene and TSV electroplating. Our TP of CNY360 implies 42x 2027F P/E (previously 42x 2027F P/E), at +2x SD of its five-year historical average P/E of 26x. The stock currently trades at 25x 2027F P/E.

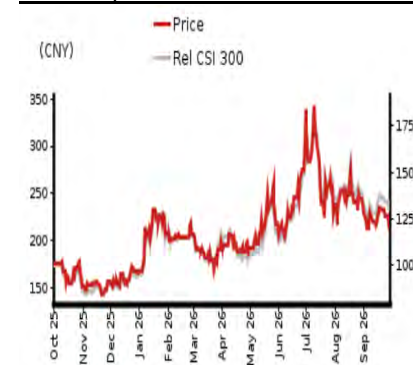
This note marks the transfer coverage of Anji Microelectronics to Clint Su.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	2,504	3,310	3,325	4,137	4,157	4,965	4,988
Reported net profit (mn)	784	1,097	1,136	1,437	1,445	1,738	1,755
Normalised net profit (mn)	784	1,097	1,136	1,437	1,445	1,738	1,755
FD normalised EPS	4.65	6.51	6.74	8.52	8.57	10.31	10.41
FD norm. EPS growth (%)	12.3	40.0	44.9	31.0	27.3	21.0	21.4
FD normalised P/E (x)	45.4	—	31.3	—	24.6	—	20.3
EV/EBITDA (x)	47.9	—	36.4	—	28.6	—	23.3
Price/book (x)	10.1	—	8.4	—	6.6	—	5.3
Dividend yield (%)	0.2	—	0.4	—	0.5	—	0.6
ROE (%)	25.1	28.2	29.2	30.0	30.1	28.9	28.9
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Remains	CNY 360.00
Closing price 30 September 2026	CNY 211.00
Implied upside	+70.6%
Market Cap (USD mn)	7,186.7
ADT (USD mn)	305.9

Relative performance chart



Source: LSEG, Nomura

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Key data on Anji Microelectronics Technology

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-11.7	-37.8	20.1	M cap (USDmn)	7,186.7
Absolute (USD)	-11.5	-37.1	27.6	Free float (%)	47.8
Rel to CSI 300	-5.7	-25.1	26.4	3-mth ADT (USDmn)	305.9

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	1,835	2,504	3,325	4,157	4,988
Cost of goods sold	-762	-1,084	-1,469	-1,772	-2,112
Gross profit	1,073	1,420	1,856	2,384	2,876
SG&A	-515	-621	-779	-1,009	-1,204
Employee share expense					
Operating profit	558	799	1,077	1,375	1,673
EBITDA	715	992	1,307	1,650	1,993
Depreciation	-157	-193	-230	-275	-320
Amortisation					
EBIT	558	799	1,077	1,375	1,673
Net interest expense	-29	10	50	21	25
Associates & JCEs					
Other income	39	40	120	175	210
Earnings before tax	568	849	1,247	1,571	1,908
Income tax	-34	-65	-112	-126	-153
Net profit after tax	534	784	1,136	1,445	1,755
Minority interests	0	0	0	0	0
Other items					
Preferred dividends					
Normalised NPAT	534	784	1,136	1,445	1,755
Extraordinary items					
Reported NPAT	534	784	1,136	1,445	1,755
Dividends	-58	-88	-127	-161	-196
Transfer to reserves	476	696	1,009	1,284	1,559

Valuations and ratios

Reported P/E (x)	51.0	45.4	31.3	24.6	20.3
Normalised P/E (x)	51.0	45.4	31.3	24.6	20.3
FD normalised P/E (x)	51.0	45.4	31.3	24.6	20.3
Dividend yield (%)	0.2	0.2	0.4	0.5	0.6
Price/cashflow (x)	55.1	80.9	65.6	34.4	25.8
Price/book (x)	13.2	10.1	8.4	6.6	5.3
EV/EBITDA (x)	66.5	47.9	36.4	28.6	23.3
EV/EBIT (x)	85.2	59.5	44.2	34.3	27.8
Gross margin (%)	58.5	56.7	55.8	57.4	57.7
EBITDA margin (%)	39.0	39.6	39.3	39.7	39.9
EBIT margin (%)	30.4	31.9	32.4	33.1	33.5
Net margin (%)	29.1	31.3	34.1	34.8	35.2
Effective tax rate (%)	6.0	7.7	8.9	8.0	8.0
Dividend payout (%)	10.9	11.2	11.2	11.2	11.2
ROE (%)	22.1	25.1	29.2	30.1	28.9
ROA (pretax %)	24.1	26.8	27.7	28.7	29.5

Growth (%)

Revenue	36.5	32.8	25.0	20.0
EBITDA	38.7	31.8	26.2	20.8
Normalised EPS	12.3	44.9	27.3	21.4
Normalised FDEPS	12.3	44.9	27.3	21.4

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	715	992	1,307	1,650	1,993
Change in working capital	-238	-570	-425	-362	-371
Other operating cashflow	17	18	-340	-256	-244
Cashflow from operations	493	440	542	1,032	1,378
Capital expenditure	-267	-355	-400	-450	-480
Free cashflow	226	84	142	582	898
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	-90	-248	-251	-251	
Inc in other LT liabilities	29	65	66	66	
Adjustments	-84	-315	83	106	126
CF after investing acts	142	-292	42	502	838
Cash dividends	-58	-88	-127	-161	-196
Equity issue	28	857	0	0	0
Debt issue	173	-135	0	0	0
Convertible debt issue					
Others	-20	381	36	46	56
CF from financial acts	123	1,015	-91	-116	-140
Net cashflow	265	724	-49	387	698
Beginning cash	633	898	1,621	1,572	1,959
Ending cash	898	1,621	1,572	1,959	2,657
Ending net debt	-653	-655	-606	-993	-1,690

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	898	1,621	1,572	1,959	2,657
Marketable securities					
Accounts receivable	393	552	729	911	1,093
Inventories	618	1,050	1,368	1,602	1,851
Other current assets	118	103	137	171	205
Total current assets	2,026	3,326	3,806	4,643	5,807
LT investments					
Fixed assets	679	881	1,051	1,226	1,386
Goodwill					
Other intangible assets	79	74	71	67	64
Other LT assets	668	757	1,006	1,257	1,508
Total assets	3,452	5,038	5,933	7,194	8,765
Short-term debt	130	146	146	146	146
Accounts payable	143	183	249	301	359
Other current liabilities	193	160	197	234	271
Total current liabilities	467	488	592	681	776
Long-term debt	114	821	821	821	821
Convertible debt					
Other LT liabilities	170	198	263	329	395
Total liabilities	751	1,507	1,676	1,831	1,992
Minority interest					
Preferred stock					
Common stock	1,198	1,271	1,271	1,271	1,271
Retained earnings	1,523	2,249	3,293	4,623	6,238
Proposed dividends					
Other equity and reserves	-19	11	-307	-531	-736
Total shareholders' equity	2,701	3,531	4,257	5,363	6,773
Total equity & liabilities	3,452	5,038	5,933	7,194	8,765

Liquidity (x)

Current ratio	4.34	6.81	6.43	6.82	7.48
Interest cover	19.4	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	4.14	4.65	6.74	8.57	10.41
Norm EPS (CNY)	4.14	4.65	6.74	8.57	10.41
FD norm EPS (CNY)	4.14	4.65	6.74	8.57	10.41
BVPS (CNY)	16.02	20.95	25.26	31.81	40.18
DPS (CNY)	0.34	0.52	0.75	0.96	1.16

Activity (days)

Days receivable	78.1	68.9	70.3	72.0	73.5
Days inventory	295.7	280.7	300.4	305.9	299.3
Days payable	68.6	54.9	53.7	56.7	57.2
Cash cycle	305.2	294.7	317.0	321.2	315.7

Source: Company data, Nomura estimates

Company profile

Anji Microelectronics Technology (Anji), founded in 2004, is a semiconductor materials company that engages in R&D, manufacturing, selling and technology services. The company focuses on the R&D and commercialization of key semiconductor materials, and its main products include chemical mechanical planarization (CMP) slurry and photoresist solvent, which are applied in integrated circuit (IC) chips manufacturing and advanced encapsulation.

Valuation Methodology

We use P/E methodology to value Anji Microelectronics Technology. Our TP of CNY360 is based on 42x 2027F P/E, +2x SD of its historical average P/E at 26x. The target P/E is well supported by our 2026-28F earnings CAGR of 24%. The benchmark index is CSI300.

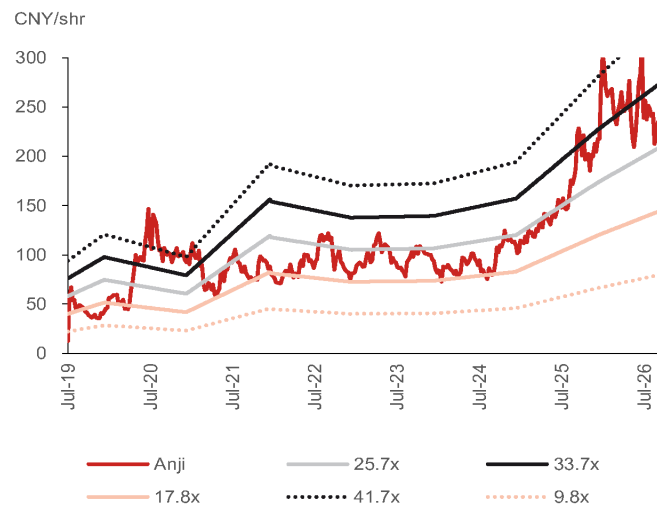
Risks that may impede the achievement of the target price

Downside risks include: 1) lackluster demand from key clients, 2) delayed expansion plans from key clients.

ESG

Anji Microelectronics Technology fits the ESG theme, as: 1) the company continues to invest in energy saving and waste recycling; and 2) obtained the Responsible Business Alliance (RBA) certificate in 2018, while issued RBA management booklet.

Fig. 295: Anji – forward P/E band



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 296: Anji – forward P/E with -2/+2x SD



Source: Bloomberg Finance L.P., Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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Analyst Certification

We, Donnie Teng, Clint Su and Frank Fan, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

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Materially mentioned issuers

Subject issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
NAURA Technology	002371 CH	CNY 615.97	30-Sep-2026	Buy	N/A	
Hubei Dinglong	300054 CH	CNY 67.45	30-Sep-2026	Buy	N/A	
Advanced Micro-Fabrication Equipment China	688012 CH	CNY 318.55	30-Sep-2026	Buy	N/A	
Anji Microelectronics Technology	688019 CH	CNY 211	30-Sep-2026	Buy	N/A	
Piotech Inc.	688072 CH	CNY 640	30-Sep-2026	Buy	N/A	
National Silicon Industry Group	688126 CH	CNY 23.38	30-Sep-2026	Buy	N/A	
ACM Research	ACMR US	USD 80.92	30-Sep-2026	Buy	N/A	

NAURA Technology (002371 CH)

CNY 615.97 (30-Sep-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

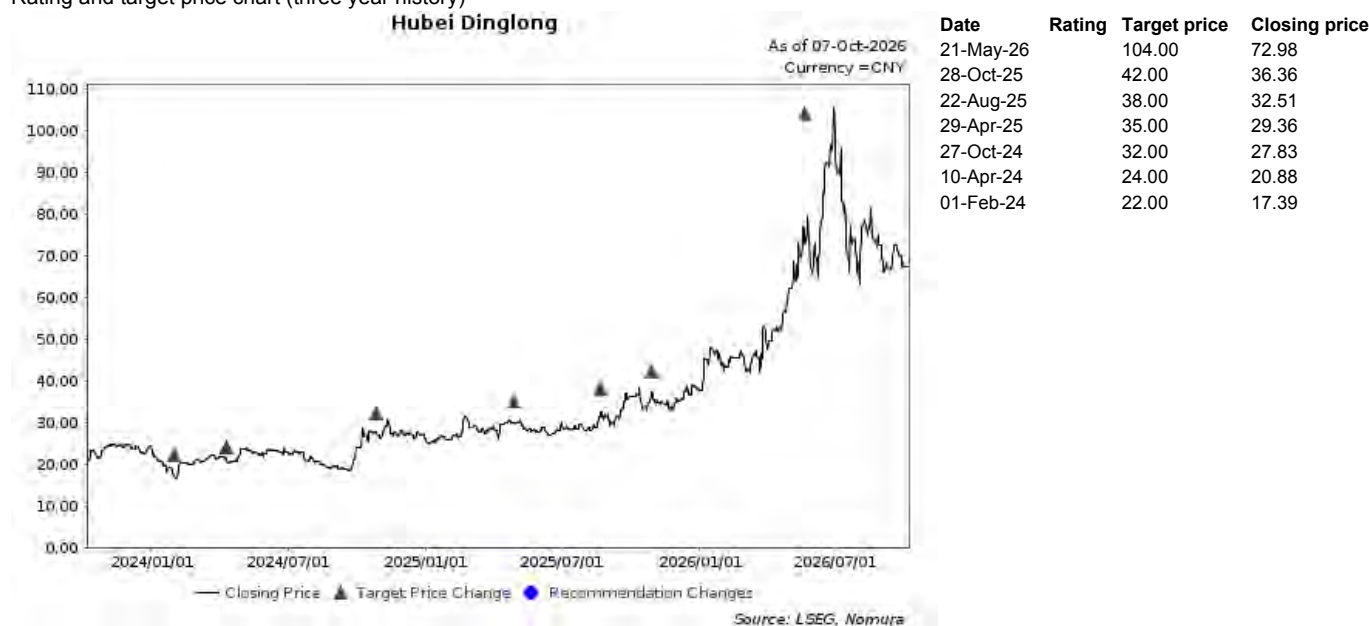
Valuation Methodology Our target price of CNY900.00 is based on 10.5x forward EV/Sales multiple, and our 2027F revenue forecasts. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for NAURA; (3) substitution from overseas customers; (4) easing of equipment export control from US, Japan, Netherlands.

Hubei Dinglong (300054 CH)

CNY 67.45 (30-Sep-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

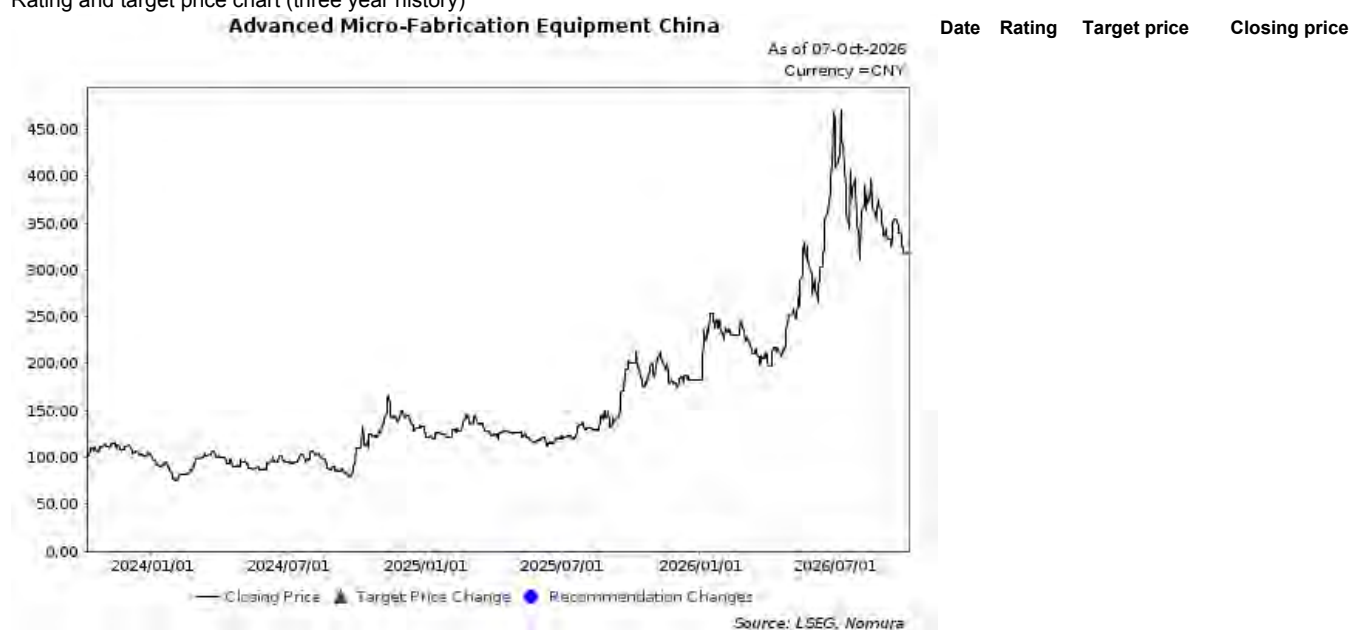
Valuation Methodology We use P/E methodology to value Dinglong. Our TP of CNY104 is based on 70x 2027F EPS of CNY1.48, at +1.1x SD of its 5-year historical average P/E of 50x. The target P/E is well supported by our 2026-28F earnings CAGR of 22%. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include 1) main customers' production ramps are slower than expectation; 2) slower ramp-up of ArF/KrF order conversion; 3) goodwill or integration risk from the lithium materials acquisition.

Advanced Micro-Fabrication Equipment China (688012 CH)

CNY 318.55 (30-Sep-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



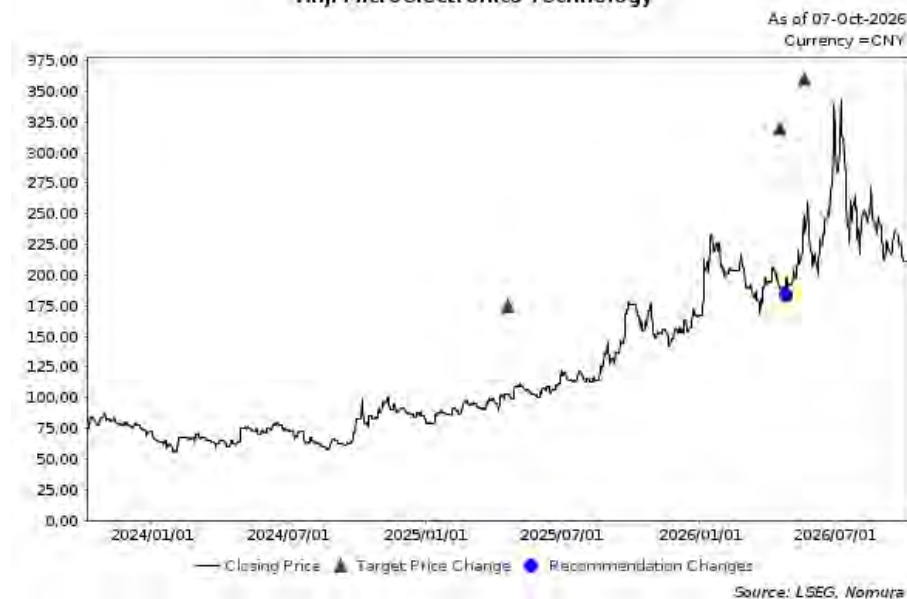
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of CNY480.00 is based on 20.0x EV/Sales multiple, and our 2027F revenue forecasts. We believe AMEC will continue to have higher valuation than domestic peers given its strength in etching, higher-than-market sales growth, and continuing market share increase. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for AMEC; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

Anji Microelectronics Technology (688019 CH)**CNY 211 (30-Sep-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Anji Microelectronics Technology

Date	Rating	Target price	Closing price
21-May-26		360.00	234.45
19-Apr-26	Buy		188.46
19-Apr-26		320.00	188.46
21-Apr-25		175.00	102.82

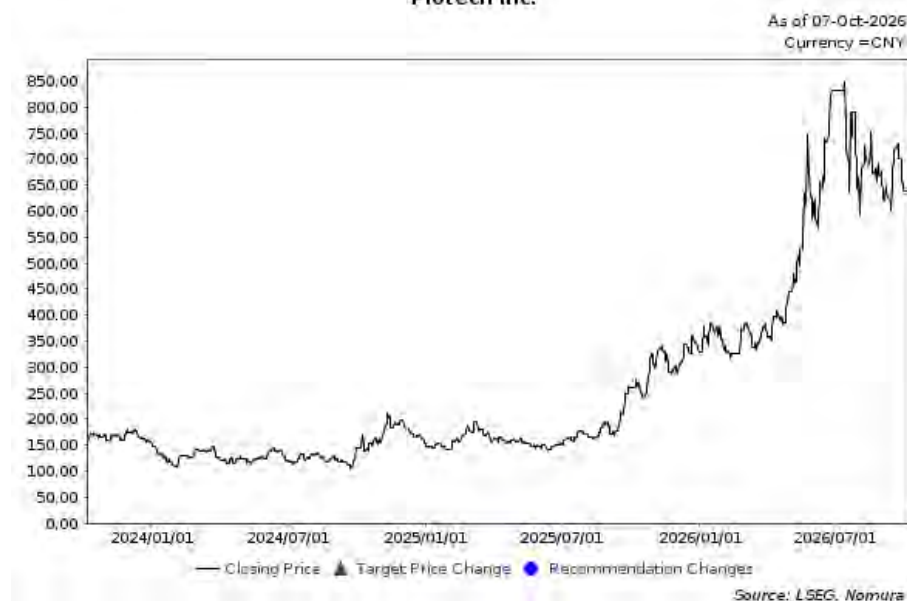
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We use P/E methodology to value Anji Microelectronics Technology. Our TP of CNY360 is based on 42x 2027F P/E, +2x SD of its historical average P/E at 26x. The target P/E is well supported by our 2026-28F earnings CAGR of 24%. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: 1) lackluster demand from key clients, 2) delayed expansion plans from key clients.

Piotech Inc. (688072 CH)**CNY 640 (30-Sep-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Piotech Inc.

Date	Rating	Target price	Closing price
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For explanation of ratings refer to the stock rating keys located after chart(s)

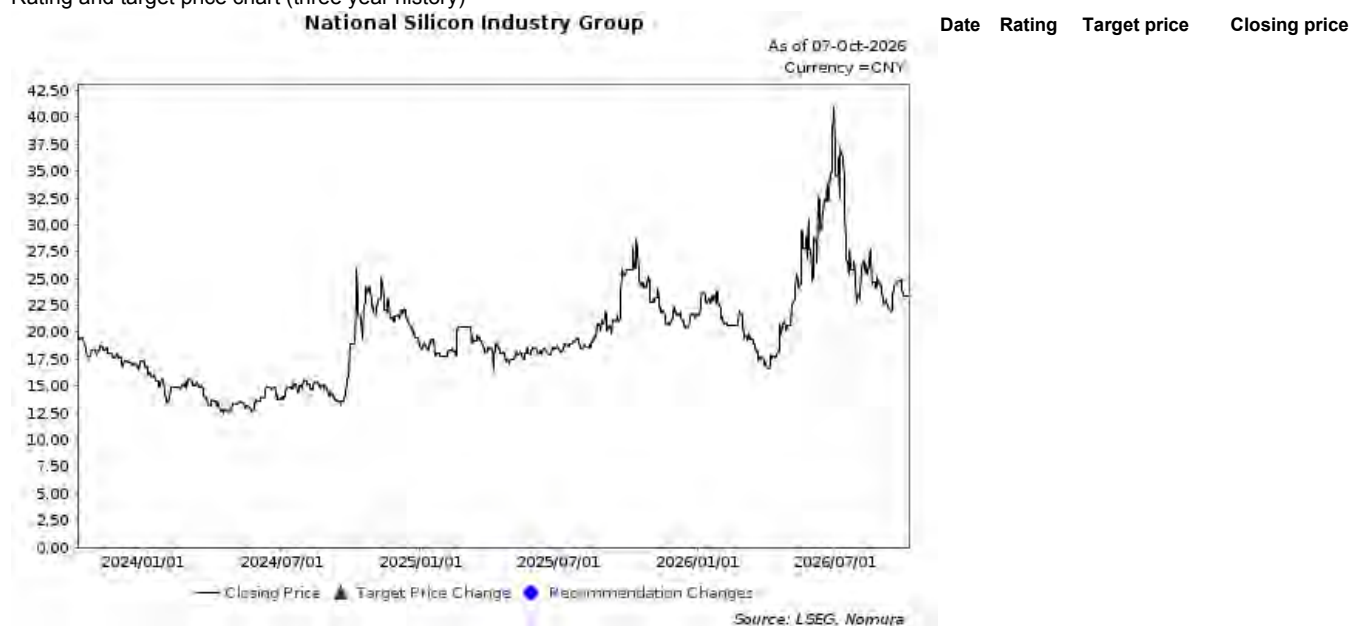
Valuation Methodology Our target price of CNY913.00 is based on 20.0x forward EV/sales multiple, and our revenue forecasts for 2027F. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for Piotech; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

National Silicon Industry Group (688126 CH)

CNY 23.38 (30-Sep-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of CNY36.20 is based on 20.0x forward EV/Sales multiple, and our 2027F revenue forecasts. The target multiple is around 2SD above its historical average; the stock had traded at an avg. of 15.0x in the industry downcycle, and we think 20.0x in the industry upcycle is fair. The reason for choosing EV/Sales include: (1) Chinese semi wafer vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) price recovery fails to materialize; (2) demand weaker-than-expected from AI spending concerns; (3) slower-than-expected qualification and capacity ramp up; (4) intensified competition from domestic peers, especially for mid-to-low-end products; (5) geopolitical uncertainties impact its overseas sales and customer relations.

ACM Research (ACMR US)

USD 80.92 (30-Sep-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of USD118.00 is based on 6.0x forward EV/Sales multiple, and our 2027F revenue forecasts. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is the Nasdaq.

Risks that may impede the achievement of the target price Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for ACM Research; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

Rating and target price changes

Issuer	Ticker	Old Stock Rating	New Stock Rating	Old Target Price	New Target Price
NAURA Technology	002371 CH	Suspended	Buy	N/A	CNY 900
Advanced Micro-Fabrication Equipment China	688012 CH	Suspended	Buy	N/A	CNY 480
Piotech Inc.	688072 CH	Not Rated	Buy	N/A	CNY 913
National Silicon Industry Group	688126 CH	Neutral	Buy	CNY 30	CNY 36.2
ACM Research	ACMR US	Suspended	Buy	N/A	USD 118

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As at 30 September 2026.

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